OAG ZIMBABWE
Office of the Auditor - General

REPORT OF THE AUDITOR-GENERAL

FOR THE FINANCIAL YEAR ENDED

DECEMBER 31, 2024

ON

LOCAL AUTHORITIES

Presented to Parliament of Zimbabwe: 2025



Office of the Auditor-General of Zimbabwe
5th Floor, Burroughs House
48 George Silundika Avenue
Harare, Zimbabwe.

The Hon. Professor M. Ncube
Minister of Finance, Economic Development and Investment Promotion
Mgandane Dlodlo Building
Corner S.V. Muzenda/ Samora Machel Avenue
Harare.

Dear Sir,

I hereby submit my report on the audit of Local Authorities in terms of Section 309(2) of the Constitution of Zimbabwe read together with Section 10(1) of the Audit Office Act [*Chapter 22:18*], for the year ended December 31, 2024.

Yours faithfully,

R. KUJINGA,
ACTING AUDITOR-GENERAL.

HARARE
June 18, 2025.

OAG ZIMBABWE
Office of the Auditor-General

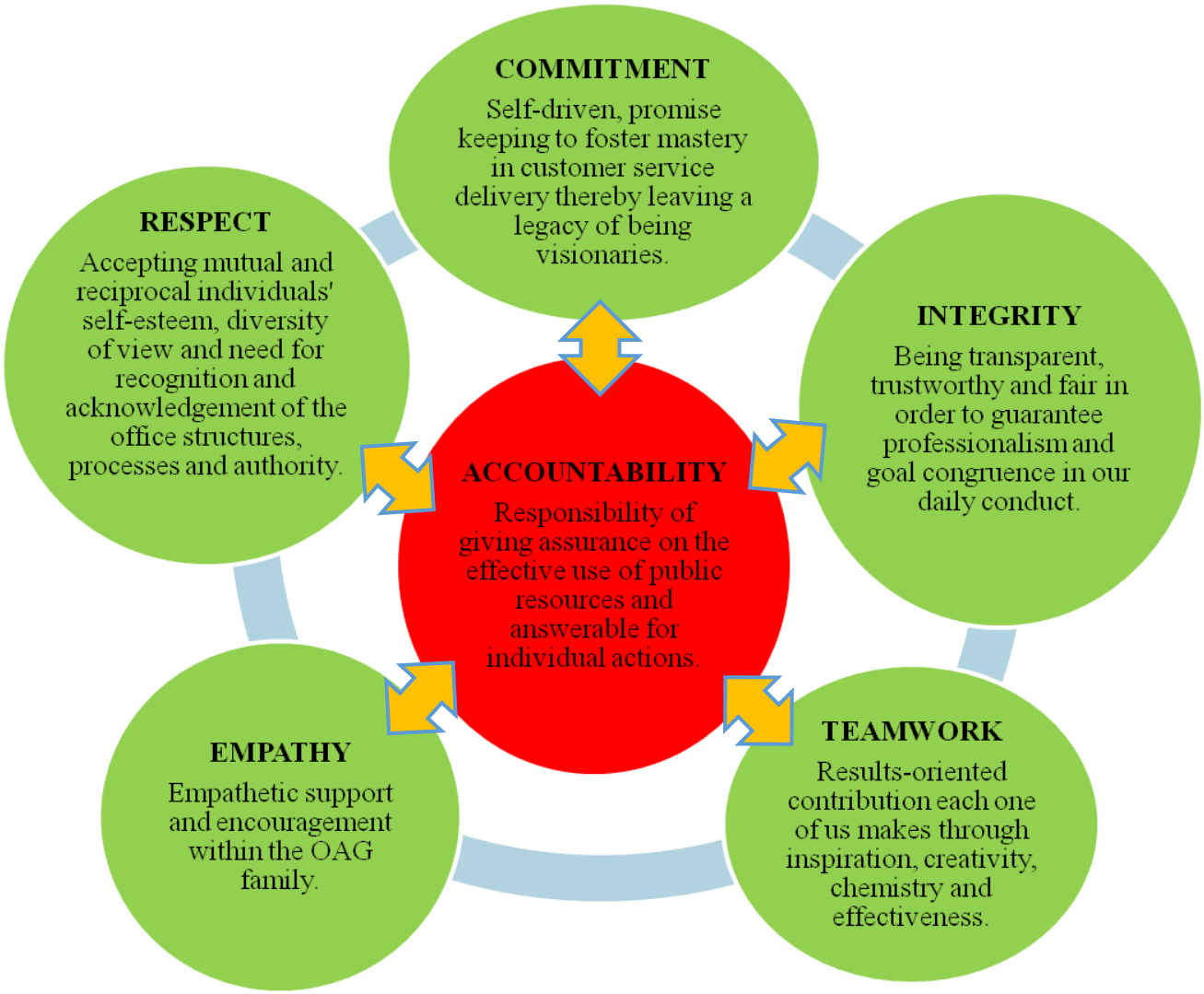
We assure accountability

OAG Vision

To be the Center of Excellence in the provision of Auditing Services.

OAG Mission

To examine, audit and report to Parliament on the management of public resources of Zimbabwe through committed, motivated, customer focused and well-trained staff with the aim of improving accountability and good corporate governance.



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LIST OF ACRONYMS

1. BIQ - Business Intelligence Quotient
2. CEO - Chief Executive Officer
3. EIA - Environmental Impact Assessment
4. EMA - Environmental Management Agency
5. ERP - Enterprise Resource Planning
6. IPSAS - International Public Sector Accounting Standards
7. ISA - International Standards on Auditing
8. ISSAI - International Standards of Supreme Audit Institutions
9. LAPF- Local Authorities Pension Fund
10. NEC- National Employment Council
11. NSSA - National Social Security Authority
12. OAG - Office of the Auditor-General
13. PAYE- Pay as You Earn
14. PFMA - Public Finance Management Act
15. PRAZ- Procurement Regulatory Authority of Zimbabwe
16. PSIP - Public Sector Investment Programme
17. SDL- Standards Development Levy
18. SLB- Service Level Benchmarking
19. UCPF- Urban Councils Pension Fund
20. UDCORP- Urban Development Corporation
21. UNICEF- United Nations Children Education Fund
22. USD - United States Dollar
23. VAT- Value Added Tax
24. ZIMDEF- Zimbabwe Manpower Development Fund
25. ZIMRA- Zimbabwe Revenue Authority
26. ZINARA- Zimbabwe National Road Administration
27. ZINWA- Zimbabwe National Water Authority
28. ZFRM – Zimbabwe Financial Reporting Manual
29. ZRDCWU- Zimbabwe Rural District Council Workers' Union
30. ZUCWU - Zimbabwe Urban Councils Workers Union
31. ZWL - Zimbabwean Dollar Local
32. ZWG – Zimbabwean Gold

DEFINITION OF TERMS

"Local Authority" means a municipal council, town council, local board and rural district council established in terms of the Urban Councils Act [Chapter 29:15] or Rural District Council established in terms of the Rural District Councils Act [Chapter 29:13]. Local Authorities are established with the overall mandate of governing respective Council areas.

Local authorities are categorised into two groups which are:

A. Rural District Councils and

B. Urban Councils, in which a local authority can either be classified as a:
   i. City Council,
   ii. Municipality,
   iii. Town Council and
   iv. Local Board.

"Consolidated financial statements"- In relation to annual financial statements, means to combine the annual financial statements of reporting unit, public entity and constitutional entity.

"Misstatement of financial statements"- According to the International Standards on Auditing (ISAs) a misstatement represents: "A difference between the amount, classification, presentation or disclosure of a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework."

"Transitional financial statements" – Financial statements prepared under IPSAS financial reporting framework before adoption of the IPSAS framework.

Types of audit opinions

- **"Unqualified / clean audit opinion"** – The financial statements contain no material misstatements.

- **"Qualified audit opinion"** – The financial statements contain material misstatements in specific amounts, or there is insufficient evidence to conclude that specific amounts included in the financial statements are not materially misstated.

- **"Adverse audit opinion"** – The financial statements contain material misstatements that are not confined to, or misstatements represent a substantial portion of the financial statements.

- **"Disclaimer of opinion"** – The auditor has not been able to obtain sufficient evidence to provide a basis of an audit opinion. The lack of sufficient evidence is not confined to specific amounts, or represents a substantial portion of the financial statements.

PREAMBLE

Introduction

This report contains the results of audits of Local Authorities following the end of the 2024 financial year. The primary purpose of financial statements is to provide relevant and reliable information to users about a reporting entity's financial position and financial performance. In public sector, the users of financial statements include various stakeholders, inter alia, the executive, parliament, development partners and the public at large. The objectives of financial statements audit in the public sector are often broader than expressing an opinion on whether the financial statements have been prepared, in all material respects, in accordance with the applicable financial reporting framework but also to address service delivery issues. Local Authorities service delivery is critical in improving the quality of life of citizens.

Mandate

My mandate is set out in the Constitution of Zimbabwe Amendment (No. 20) Act, 2013 and amplified in the Audit Office Act [*Chapter 22:18*]. I am required to audit and report to Parliament my findings on the examination of accounts of all public entities. In fulfilling this mandate, I do contract from time to time some of the audits to public auditors registered in terms of the Public Accountants and Auditors Act [*Chapter 27:12*] as stated in Section 9 of the Audit Office Act [*Chapter 22:18*]. Accordingly, I have included audit findings from such auditors in this report.

Basis of preparation of Local Authorities financial statements

Management of public funds is governed primarily by the Constitution of Zimbabwe Amendment (No. 20) Act, 2013 and the Public Finance Management Act [*Chapter 22:19*]. Section 37 read together with Statutory Instrument 41 of 2019 which requires the preparation of financial statements to comply with International Financial Reporting Standards (IFRSs) and International Public Sector Accounting Standards (IPSASs). IFRSs and IPSASs comprise interpretations adopted by the International Accounting Standards Board (IASB) and the International Public Sector Accounting Standards Board (IPSASB), which set common rules so that financial statements can be consistent, transparent and comparable around the world.

The regulator of the accountancy profession in Zimbabwe, Public Accountants and Auditors Board (PAAB) prescribed the International Public Sector Accounting Standards (IPSASs) for use in Zimbabwe on March 1, 2019 following the gazette of Statutory Instrument 41 of 2019. IPSASs have been adopted by the Government of Zimbabwe as the financial reporting framework for Local Authorities. All Local Authorities are expected to have fully implemented the standards by December 31, 2025. I appreciate the efforts being made by the Local Authorities, Ministry of Finance, Economic Development and Investment Promotion and Ministry of Local Government and Public Works in the adoption and implementation of these standards.

For the second year of the IPSASs transitional period, there are Local Authorities that had adopted IPSASs and the Office had continued to audit and review full IPSASs for these Local Authorities and transitional IPSASs financial statements respectively. An IPSAS transitional financial statements review report was produced and presented to the Minister of Finance, Economic Development and Investment Promotion in February 2025. Local Authorities were either applying Accruals IPSASs or IFRSs before the Government IPSASs implementation strategy, hence the migration to full IPSASs is expected to be easier. The efforts by the Ministry of Finance Economic Development and Investment Promotion, the Ministry of Local Government and Public Works and other stakeholders in training and assisting preparers of financial statements are commendable. The Audit Office is fully committed to play its part in the IPSASs implementation drive.

There are some Local Authorities that have not been able to correct the impact of Statutory Instrument (S.I.) 33 of 2019 (S.I. 33), which prescribed parity between the US dollar and local currency. S.I. 33 also prescribed the manner in which certain balances in the financial statements were to be treated as a consequence of the recognition of the RTGS$ as currency in Zimbabwe. The requirements of S.I. 33 of 2019 precluded public entities from complying with IAS 21 - "The Effects of Changes in Foreign Exchange Rates".

Audit approach

I conducted my audits in accordance with the International Standards of Supreme Audit Institutions (ISSAIs) and the International Standards on Auditing (ISAs). These Standards require that I comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement. In this regard, my audit approach was designed to enable me to express an opinion on the Local Authorities' financial statements.

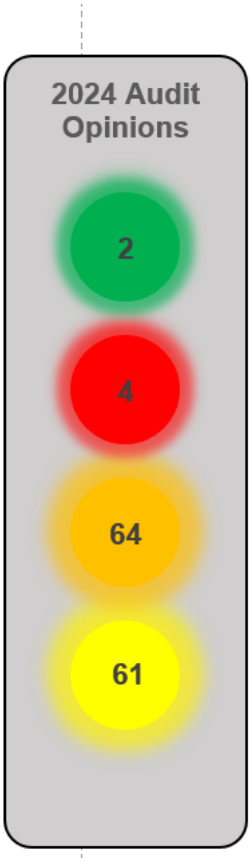
All aspects of the Local Authorities' activities and processes may not have been examined. I consider maintenance of adequate internal controls to be the responsibility of management. My audits cannot therefore be expected to identify all weaknesses in the systems and processes, which a special investigation directed at those areas might reveal. As to the possibility of fraud, I plan my audits to have a reasonable expectation of its disclosure if the potential effects of the fraud would be material in the financial statements. However, there are many kinds of fraudulent activities, particularly those involving defalcation, forgery, collusion and management override of controls, which would be unreasonable to expect the normal audit to uncover.

Audit opinions

The principal objective of my audit procedures is to enable me to express an opinion on the truthfulness and fairness of the financial statements as a whole. An audit opinion is based on the concept of reasonable assurance. It is not a guarantee that the financial statements are free of misstatements. Where I have issued an unqualified/ clean, qualified and adverse opinion, I believe that the audit evidence I have obtained is sufficient and appropriate to provide the basis for my opinion of the respective financial statements. Where an entity has received a disclaimer of opinion it's because I was unable to obtain sufficient appropriate audit evidence to express an opinion.

A majority of Local Authorities continued to receive modified opinions for 2021, 2022, 2023 and 2024 due to uncorrected misstatements on the opening balances as a result of not applying the requirements of International Public Sector Accounting Standard (IPSAS) 3 – "Accounting Policies, Changes in Accounting Estimates and Errors". In this report, I issued two (2) unmodified opinions, sixty-one (61) qualified opinions, sixty-four (64) adverse opinions and four (4) disclaimers of opinion. The basis of these opinions were mainly non-compliance with standards in particular IPSAS 17/ IPSAS 45 – "Property, Plant and Equipment, IPSAS 16 – "Investment Property", IPSAS 29/ IPSAS 41 – "Financial Instruments", IPSAS 35 – "Consolidated Financial Statements", IPSAS 10 – Financial Reporting in Hyperinflationary Economies, IPSAS 4 – "The effects of Changes in Foreign Exchange Rates", IPSAS 12 – " Inventories" and because of, inter alia, unsupported journals, incomplete records of inventories, unsupported expenditure and suspense accounts.

Audit Opinions included in this report



Key

Unqualified / Clean	
Disclaimer	
Adverse	
Qualified	

Opinion	2024	2023
Unqualifed/ Clean	2	2
Qualified	61	29
Adverse	64	58
Disclaimer	4	7
Totals	**131**	**96**

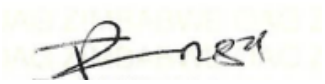
Report structure

The report consists of accounts on which material findings were noted during the audits of the financial statements of Local Authorities. The Local Authorities reported are in arrears (2019 – 2023) with the exception of Buhera Rural District Council. Under each audited client are audit findings, their associated possible risks / implications, audit recommendations, management responses and comments to management responses where necessary. Although some of the issues identified are common within the audited entities, the majority of the findings are not the same due to the nature, uniqueness and varying mandates of the entities.

Acknowledgements

It is my honour to appreciate all stakeholders who contributed, in their various ways, in the work of my Office and the compilation of this report. Special tribute goes to the various audit firms, UDCORP and our valued clients who made it possible for me to submit my report for the year under review. I also extend my indebtedness to our development partners for their unwavering financial and technical support and to our printers for their invaluable co-operation.

Finally, I extend my sincere appreciation to the Audit Office Board for their support and to management and staff for their continued commitment and dedication to duty. Without all this support, the production of this report could not have been possible.



HARARE
June 18, 2025.

R. KUJINGA,
ACTING AUDITOR-GENERAL.

EXECUTIVE SUMMARY

This report covers the results of the audit of one hundred and thirty-two (132) financial statements of eighty-nine (89) Local Authorities. The financial statements audited comprises of the statement of financial position, statement of financial performance, statement of changes in net assets, statement of cash flows, statement of comparison of budget and actual amounts and notes to the financial statements. The report highlights key audit findings noted during the audits and recommendations on how issues raised may be addressed in order to improve public sector transparency, accountability, good corporate governance and service delivery.

At the time of finalising this report, in relation to 2019, 2020, 2021, 2022, 2023 and 2024 financial years, one hundred and thirty-two (132) financial statements that were submitted for audit have been completed while the audits of forty-eight (48) financial statements were in progress and some being finalized. However, only twenty-six (26) Local Authorities have submitted financial statements up to financial year ended December 31, 2024, while sixty-six (66) Local Authorities were yet to submit financial statements for the year ended December 31, 2024. This signifies a downward performance in terms of submission of financial statements. Among those in arrears, are entities that are expected to clear arrears and smoothly migrate to IPSAS.

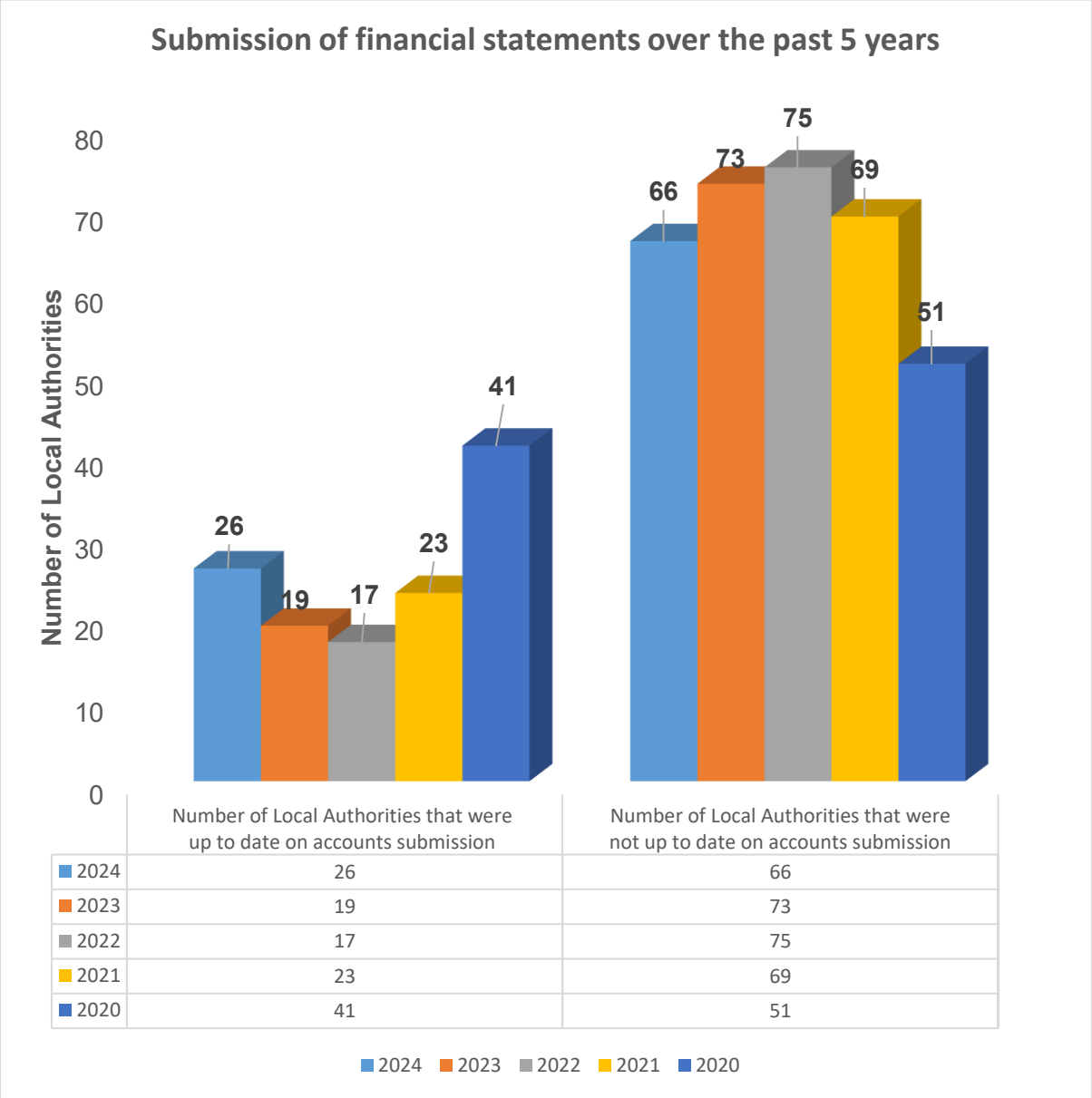
In the current year, nine (9) Local Authorities (14%) had not submitted financial statements for 2023 and 2024 compared to eighteen (18) Local Authorities (24%) which had arrears of two (2) years (2022 and 2023) in the prior year. These Local Authorities need to be monitored by the relevant stakeholders as their lagging behind will affect full IPSAS implementation. Late submission of financial statements creates gaps on accountability and this has resulted in most of the Local Authorities not being able to avail supporting documents and reconciling variances noted during the audit.

Below are graphs on submission of financial statements;

(a) Trend analysis on financial statements not submitted



(b) Five-year trend analysis on submission of financial statements



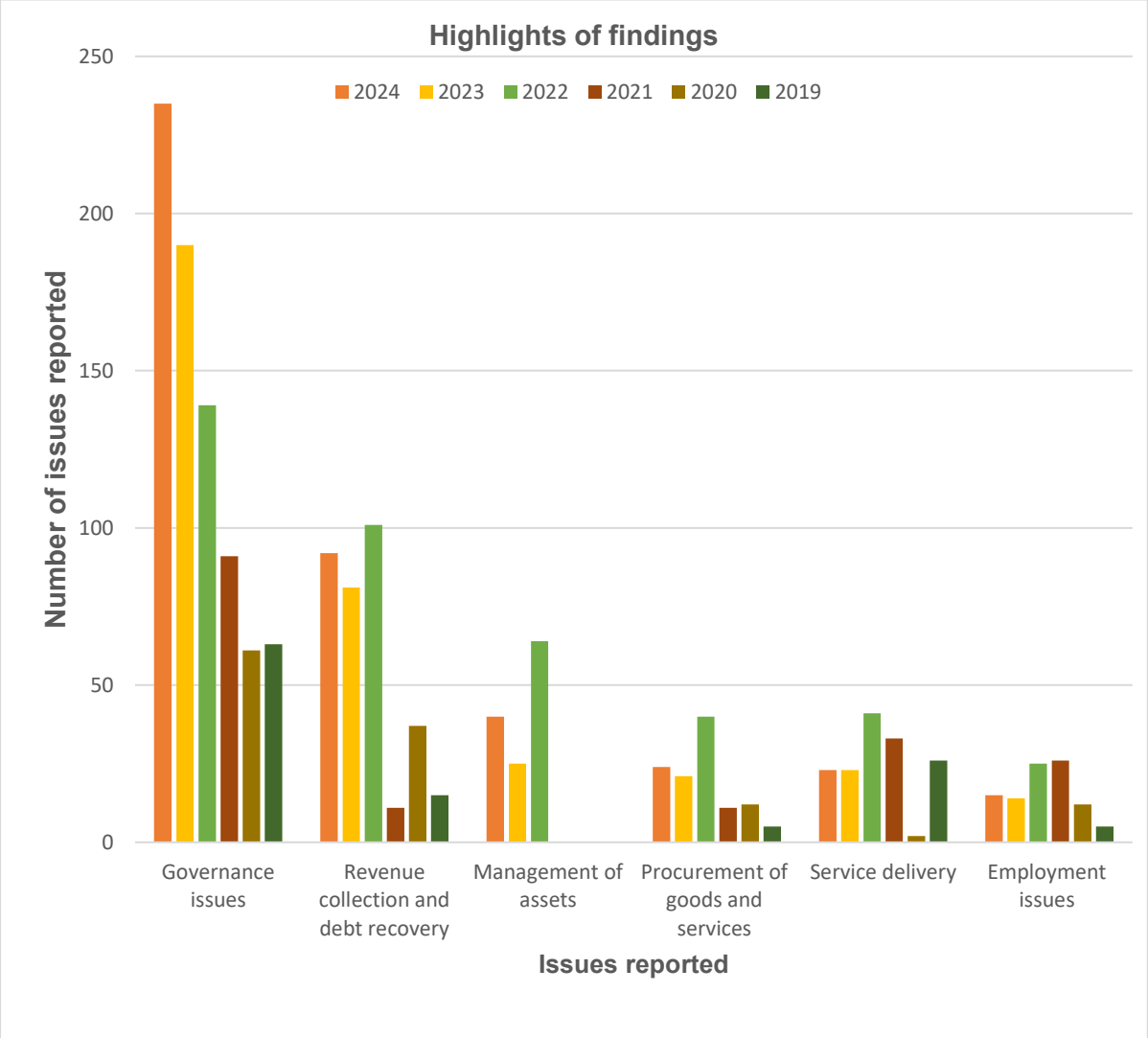
	Number of Local Authorities that were up to date on accounts submission	Number of Local Authorities that were not up to date on accounts submission
2024	26	66
2023	19	73
2022	17	75
2021	23	69
2020	41	51

Highlights

The audit covered aspects on governance, revenue collection and debt recovery, management of assets, procurement of goods and services, employment costs and service delivery. The aspects covered are in line with the quest to promote transparency, accountability and service delivery. It is expected that the impact of addressing my findings will have a positive effect on the lives of the citizens of Zimbabwe.

I continue to appreciate efforts made by Government in the form of statutory/structural reforms, which included development and implementation of National Development Strategy (NDS) 1 towards the attainment of Vision 2030, the requirement by Office of the President and Cabinet for senior management to sign performance contracts and the blue print on “A Call to Action-No Compromise to Service Delivery” which aims to improve service delivery, transparency and accountability in Local Authorities and in addition, the signing of integrity pledges and the establishment of integrity committees.

Below is a graphical and tabulated overview of the aspects covered during the audit.



	2024	2023	2022	2021	2020	2019
Governance issues	235	190	139	91	61	63
Revenue collection and debt recovery	92	81	101	11	37	15
Management of assets	40	25	64	0	0	0
Procurement of goods and services	24	21	40	11	12	5
Service delivery	23	23	41	33	2	26
Employment issues	15	14	25	26	12	5
Total	**429**	**354**	**410**	**172**	**124**	**114**

Governance issues

There was an increase in reported issues on good corporate governance from one hundred and ninety (190) for sixty-six (66) Local Authorities reported in the 2023 report to two hundred and thirty-five (235) for seventy-nine (79) Local Authorities. In this report there are instances of weak internal control over inventory, compliance with laws and regulations, cash management, unsupported adjustments and incomplete records. In addition, majority of the Local Authorities were lagging behind in embracing technology as most of their business

processes were still manual or partially automated. Lack of full automation of accounting systems resulted in late submission of financial statements and due to lapse of time, document retention is compromised resulting in incomplete records. In light of the above, Local Authorities and those in charge of governance are therefore encouraged to embrace Government's thrust on implementation of Information Communication Technology which includes electronic Government Procurement (eGP) system and E-filing and bring their books to current.

The late or non-submission of financial statements created gaps on accountability, limited my scope of audit and delayed the commencement of the audit thereby affecting completion of audits. Some Local Authorities had modules of their accounting systems which were not activated resulting in partial automation and backlogs. Notably, non-delivery of goods and services resulted in loss of value. While the Government is in a drive for full IPSAS implementation, a number of Local Authorities were still in arrears. However, the migration to full IPSAS in line with the Zimbabwe Financial Reporting Manual (ZFRM) has resulted in improved quality of submitted financial statements.

Revenue collection and debt recovery

The findings in respect of revenue collection and debt recovery increased from eighty-one (81) reported on fifty-one (51) Local Authorities in the prior year to ninety-two (92) for sixty (60) Local Authorities in this report. Most of the Local Authorities did not have Enterprise Resource Planning systems to manage their revenue collection processes prompting most of them to account for revenue on cash basis instead of accruals basis. As a result, Local Authorities are losing revenue due to the absence of complete/ updated databases for their various revenue streams. I noted instances of non-billing of revenue and unresolved variances between the revenue records and the reported figures in the financial statements. Most Councils were recognizing revenue on cash basis because of not billing customers therefore their receivables were incomplete. The resultant liquidity challenges have continued to compromise implementation of programmes and the improvement of service delivery.

Management of assets

I reported forty (40) issues for twenty-five (25) Local Authorities in respect of management of assets. The majority of Local Authorities did not maintain comprehensive asset registers which would have enabled accountability of public assets. In addition, Local Authorities' assets were not revalued to reflect fair values at the reporting date as required by the reporting frameworks. Under the current environment, assets will be under- valued without constant revaluations. Local Authorities cited lack of financial resources as one of the reasons why they were not able to carry out asset revaluations. In addition, the useful lives were not reviewed to assess the asset and plan for the replacement of these assets a practice that will enhance service delivery. In light of the above, Local Authorities and those in charge of governance are therefore encouraged to put in place systems that enhance the maintenance of assets, upgrading of registers, carrying out of board of inquiries for damaged or stolen assets.

Procurement of goods and services

I reported twenty-four (24) issues for eighteen (18) Local Authorities in respect of procurement of goods and services. There were instances of unsupported expenditure on the procurement of goods. I reported twelve (12) local authorities that had procured goods and services that were yet to be delivered. The goods not delivered ranges from ambulances, front-end loaders, pickup trucks, fire tenders which are key in the operation of Local Authorities and service delivery. Gweru City Council could not avail procurement supporting documents for expenditure amounting to ZWL$883 million (2021: ZWL$155 million). Therefore, Local

Authorities need to strengthen the due diligence processes to include evaluation of capacity to deliver the goods to be procured.

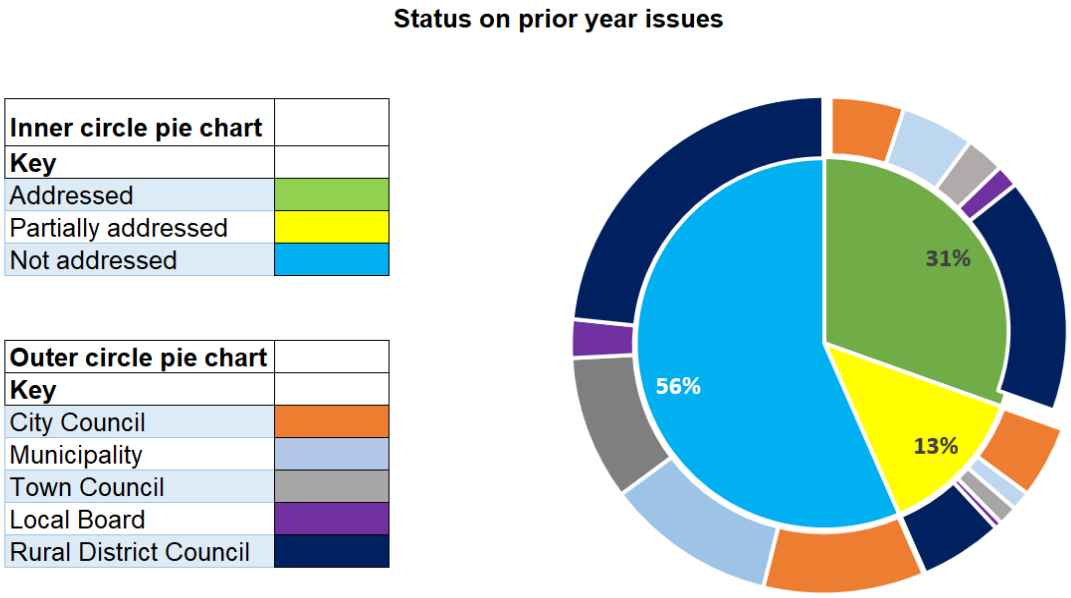
Service delivery

Service delivery issues remained a challenge for the majority of the local authorities. I reported twenty-three (23) findings on service delivery issues. A number of Local Authorities are experiencing growth however facilities have not been upgraded to match with the growth. Water, sewerage infrastructure and waste management were not being upgraded to match the growth in population. I appreciate Government's efforts on Local Authorities for the financial support in devolution which should be utilized to enhance service delivery.

Follow up on prior year audit findings

I followed up six hundred and thirty-nine (639) audit findings that were raised in my 2019 - 2023 reports and noted that only one hundred and ninety-five (195) were addressed, eighty-three (83) were partially addressed and three hundred and sixty-one (361) were not addressed. Issues not addressed included completeness of database, completeness of asset registers, non-delivery of procured goods, non-compliance with environmental legislations.

The progress made is further analysed below:



	2024		2023		2022	
Findings	**Number**	**Percentage**	**Number**	**Percentage**	**Number**	**Percentage**
Addressed	195	31%	88	17%	39	18%
Partially addressed	83	13%	65	12%	28	13%
Not addressed	361	56%	380	71%	154	70%
Total	**639**	**100%**	**533**	**100%**	**221**	**100%**

Conclusion

This report enables Parliament and those charged with public sector governance to discharge their oversight responsibilities, in addressing audit findings. Therefore, the report helps in building public trust in government institutions, resulting in contributing to a stable economic environment and the achievement of national development goals.

The issues I have raised above, if not addressed, service delivery and efforts made to enhance transparency and accountability through various instruments may be compromised. Concerted efforts from those charged with governance is required to put in place measures to address reported weaknesses in order to enhance transparency, accountability, good corporate governance and service delivery.

CITY COUNCILS

BULAWAYO CITY COUNCIL 2021

I have audited the financial statements of Bulawayo City Council for the year ended December 31, 2021. The Council's reporting framework was not explicit as to whether it was International Public Sector Accounting Standards (IPSASs) or International Financial Reporting Standards (IFRS). The financial statements were prepared with reference to the Urban Councils Act *[Chapter 29:15]* and the Public Finance Management Act *[Chapter 22:19].* As a result, the financial statements were not suitable for other purposes.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Basis of preparation

Finding

The Council's reporting framework was not explicit as to whether it was International Public Sector Standards (IPSASs) or International Financial Reporting Standards (IFRSs). The Financial statements were prepared with reference to Urban Councils Act *[Chapter 29:15*] and the Public Finance Management Act *[Chapter 22:19].* As a result, the financial statement was not suitable for other purposes.

Risk / implication

The Financial statements may lack compatibility and may not be useful to users.

Recommendation

The Council should consider early adoption of IPSAS financial reporting framework.

Management response

Council is currently in the process of adopting IPSAS.

2. MANAGEMENT OF ASSETS

2.1 Documentation of assets additions

Finding

The Council's asset acquisitions for the year did not have supporting documentation in the form of vouchers or invoices. The payments relate to items highlighted in the table below.

Assets	Amount ZWL$
Cashiers padded chairs	4 48 960
Fernhill suzer pumps rehabilitation	44 777 455
Waste water supplies	1 136 500

Risk / implication

Misstatement of financial assets.

Fraud and error may go undetected.

Recommendation

Management should ensure that all capital asset additions have supporting documentation.

Management response

Noted. Council will ensure that all supporting documents are in place.

3. SERVICE DELIVERY ISSUES

3.1 Sewer

Finding

The Lotshe Hlabangani road in Tshabalala has since been closed as vegetation grew on the tarred road due to sewage exposure flowing in the area's access road. In an effort to curb the problem of sewer flowing, the Council dug a trench which redirects the sewer to a nearby stream. A nearby church has since been affected, with congregants losing parking space hence affecting ease of access to the church.

Risk / implication

Health hazard to the community.

Financial loss due to penalties.

Recommendation

The Council should ensure implementation of emergency response plans to quickly address sewer overflows so as to minimize the impact on communities and the environment.

The Council should do regular inspections of sewer lines and infrastructure for leaks, blockages, or damage and address any issues promptly to prevent sewage overflows

Management response

Due to constant vandalism by residents seeking water for gardening, Council has now decided to put a tender in June 2024 for the complete diversion of the sewer pipeline so that it runs underground.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing findings that I raised in my 2023 annual report. I raised fourteen (14) findings, four (4) were addressed, two (2) was partially addressed and eight (8) were not addressed as indicated below;

4.1 Existence, completeness, ownership and valuation of property, plant and equipment

The finding was not addressed. The Council did not maintain comprehensive assets register. Assets that are above 30 years old were carried at nil value.

4.2 Valuation of capital investment in City of Kings Business Ventures

The finding was not addressed. Valuation of Capital Investment in City of Kings Business Ventures Capital investment in City of Kings Business Ventures were carried at nil value. This entity has not issued financial statements since 2009.

4.3 Valuation of equity investment in Tetrad Investment Bank Limited

The finding was addressed. The valuation of Tetrad equity was provided.

4.4 Completeness of trade and other payables

The finding was not addressed. The Council did not perform trade and other payables reconciliations.

4.5 Completeness of revenue from service charges and property taxes to ratepayers

The finding was not addressed. There were significant gaps in generated invoice numbers for the year for which management was unable to provide satisfactory explanations.

4.6 Occurrence, measurement, and completeness of royalty income

The finding was addressed. Royalty income was accrued appropriately.

4.7 Public contributions and inventory donations

The finding was not addressed. The Council, in common with other entities of a similar nature, receives income from public contributions and inventory donations which cannot be fully controlled until they have been recorded.

4.8 Bank reconciliations

The finding was partially addressed. The Council was still in the process of performing bank reconciliations of the two Nostro accounts.

4.9 Asset register

The finding was addressed. Council is now maintaining an excel asset register.

4.10 Policies and manuals

The finding was not addressed. Policies are yet to be put in place.

4.11 Water losses

The finding was not addressed. The water project was not completed due to funding.

4.12 Bank reconciliations

The finding was addressed. Bank reconciliation statements are now being prepared.

4.13 Repairs of water pipes

The finding was partially addressed. The Council replaced 78% of the water meters.

4.14 Obsolete equipment at the Thorngrove sewer purification plant

The finding was not addressed. The Council did not replace the equipment due to cash flows challenges.

GWERU CITY COUNCIL 2021, 2022 AND 2023

I have audited the financial statements of Gweru City Council for the years ended December 31, 2021-2023 and I issued an adverse opinion for all the three years.

Adverse opinion 2021

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Gweru City Council as at December 31, 2021, its financial performance and its cash flows for year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 - "Financial Reporting in Hyperinflationary Economies"

The Council did not adjust its financial statements for the effects of inflation contrary to IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" which requires the financial statements of an entity operating in a hyperinflationary economy to be stated in terms of the measuring unit current at the reporting date. On October 11, 2019, the Public Accountants and Auditors Board (PAAB) issued pronouncement 01/2019, which highlighted a general consensus within the accounting and audit profession that the factors and characteristics to apply the IPSAS 10- "Financial Reporting in Hyperinflationary Economies" in Zimbabwe had been met and the standard should be applied from July 01, 2019 and financial statements of entities with year-end on or after this date should be hyper inflated. Had the Council complied with the requirements of IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 35 - "Consolidated Financial Statements"

The Council did not consolidate the financial results of its subsidiary, Go Beer Investments (Private) Limited in the financial statements. This was contrary to IPSAS 35 - "Consolidated Financial Statements" which requires a controlling entity to prepare consolidated financial statements. Had the Council consolidated its subsidiary, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 36 - "Investment in Associates and Joint Ventures"

The Council did not account for its share in Gweru City Parking Management Company (Private) Limited, a joint venture, in the financial statements. This was contrary to IPSAS 36 - "Investment in Associates and Joint Ventures" paragraph 22 which requires an entity with joint control to account for its share of surplus or deficit of the joint venture entity. Had the Council accounted for its joint venture investment, the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

The Council did not maintain an asset register to support the property, plant and equipment balance of ZWL$131 million recognised in the financial statements. In addition, the Council's infrastructure assets such as road networks, sewer reticulation systems and bridges were not valued and accounted for as part of property, plant and equipment. I could therefore not satisfy myself on the completeness and valuation of property, plant and equipment.

v. Cash and cash equivalents

The Council did not perform bank reconciliations resulting in an unreconciled variance of ZWL$93.5 million between the cashbook balances (negative ZWL$34.5 million) and the bank statements (ZWL$59 million). There were no alternative procedures I could perform to verify the completeness, accuracy, and existence of the reported bank and cash balances. Accordingly, I could not satisfy myself as to the completeness and accuracy of bank and cash balances as at December 31, 2021.

vi. Expenditure

I was not availed with supporting documentation such as supplier invoices and receipts for general expenses amounting to ZWL$155 million. I was therefore unable to satisfy myself on the accuracy and validity of expenses reported in the financial statements.

vii. Grant income

I did not receive confirmation for grant income amounting to ZWL$95.1 million. I was also not availed with bank statements to confirm receipt of the grant. There were no alternative procedures I could perform to ascertain the completeness, accuracy and existence of the grant income.

viii. Journal entries

The journal listing for 2021 financial year was not complete and supporting documentation was not availed for selected journal transactions amounting to ZWL$699.1 million. Consequently, I could not satisfy myself on the validity and accuracy of journals posted in the financial statements.

Adverse opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Gweru City Council as at December 31, 2022, its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 - "Financial Reporting in Hyperinflationary Economies"

The Council did not adjust the financial statements for the effects of inflation contrary to IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" which requires the financial statements of an entity operating in a hyperinflationary economy to be stated in terms of the measuring unit current at the reporting date. On October 11, 2019, the Public Accountants and Auditors Board (PAAB) issued pronouncement 01/2019, which highlighted a general consensus within the accounting and audit profession that the factors and characteristics to apply the IPSAS 10- "Financial Reporting in Hyperinflationary Economies" in Zimbabwe had been met and the standard should be applied from July 01, 2019 and financial statements of entities with year-end on or after this date should be hyper inflated. Had the Council applied the requirements of IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 35 - "Consolidated Financial Statements"

The Council did not consolidate the financial results of its subsidiary, Go Beer Investments (Private) Limited in the financial statements. This was contrary to IPSAS 35 - "Consolidated Financial Statements" which requires a controlling entity to prepare consolidated financial statements. Had the Council consolidated its subsidiary, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 36 "Investment in Associates and Joint Ventures"

The Council did not account for its share in Gweru City Parking Management Company (Private) Limited, a joint venture, in the financial statements. This was contrary to International Public Sector Accounting Standard 36 - "Investment in Associates and Joint Ventures" paragraph 22 which requires an entity with joint control to account for its share of surplus or deficit of the joint venture entity. Had the Council accounted for its joint venture investment, the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, plant and Equipment"

The Council did not maintain an asset register to support its property, plant and equipment balance of ZWL$330 million recognised in the financial statements. In addition, the Council's infrastructure assets such as road networks, sewer reticulation systems and bridges were not valued and accounted for as part of property, plant and equipment. I could therefore not satisfy myself on the completeness and valuation of property, plant and equipment.

v. Cash and cash equivalents

The Council did not perform bank reconciliations resulting in an unreconciled variance of ZWL$422.9 million between the cashbook balances (negative ZWL$13.8 million) and the bank statements (ZWL$409 million). As a result, there were no alternative procedures I could perform to verify the completeness, accuracy, and existence of the reported bank and cash balances. Therefore, I could not satisfy myself on the completeness and accuracy of bank and cash balances as at December 31, 2022.

vi. Expenditure

I was not availed with supporting documentation such as invoices and receipts for general expenses amounting to ZWL$883.1 million. I was therefore unable to satisfy myself on the accuracy and validity of expenses reported in the financial statements.

vii. Grant income

I did not receive confirmation for grant income amounting to ZWL$223 million. I was also not availed the bank statements to confirm receipt of the grant. I was therefore unable to satisfy myself on the accuracy and validity of grant income reported in the financial statements.

viii. Journal entries

Supporting documentation was not availed for selected journal transactions amounting to ZWL$1.3 billion. I could therefore not satisfy myself on the validity and accuracy of journals posted in the financial statements.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Gweru City Council as at December 31, 2023, its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 - "Financial Reporting in Hyperinflationary Economies"

The Council did not adjust the financial statements for the effects of inflation contrary to IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" which requires the financial statements of an entity operating in a hyperinflationary economy to be stated in terms of the measuring unit current at the reporting date. On October 11, 2019, the Public Accountants and Auditors Board (PAAB) issued pronouncement 01/2019, which highlighted a general consensus within the accounting and audit profession that the factors and characteristics to apply the IPSAS 10- "Financial Reporting in Hyperinflationary Economies" in Zimbabwe had been met and the standard should be applied from July 01, 2019 and financial statements of entities with year-end on or after this date should be hyper inflated. Had the Council applied the requirements of IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 35- "Consolidated Financial Statements"

The Council did not consolidate the financial results of its subsidiary, Go Beer Investments (Private) Limited in the financial statements. This was contrary to IPSAS 35 - "Consolidated Financial Statements" which requires a controlling entity to prepare consolidated financial statements. Had the Council consolidated its subsidiary, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 36 "Investment in Associates and Joint Ventures"

The Council did not account for its share in Gweru City Parking Management Company (Private) Limited, a joint venture, in the financial statements. This was contrary to IPSAS 36 - "Investment in Associates and Joint Ventures" paragraph 22 which requires an entity with joint control to account for its share of surplus or deficit of the joint venture entity. Had the Council accounted for its joint venture investment, the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 – "Segment Reporting"

The Council did not account for revenue, expenses, liabilities and assets of its Schools in the financial statements. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52 to 57, which requires the Council to disclose for each segment revenue, expenses, liabilities and assets which should be reconciled to the aggregated information in the entity's

financial statements. Had the Council complied with IPSAS 1- “Presentation of Financial Statements” and IPSAS 18- “Segment Reporting” in accounting for its Schools, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - “Property, Plant and Equipment”

The Council did not maintain an asset register to support its property, plant and equipment balance of ZWL$3.8 billion recognised in the financial statements. In addition, the Council’s infrastructure assets such as road networks, sewer reticulation systems and bridges were not valued and accounted for as part of property, plant and equipment. I could therefore not satisfy myself on the completeness and valuation of property, plant and equipment.

vi. Cash and cash equivalents

The Council did not perform bank reconciliations resulting in an unreconciled variance of ZWL$4.9 billion between the cashbook balances (negative ZWL$1.8 billion) and the bank statements (ZWL$3.1 billion). As a result, there were no alternative procedures I could perform to verify the completeness, accuracy, and existence of the reported bank and cash balances. Therefore, I could not satisfy myself on the completeness and accuracy of bank and cash balances as at December 31, 202.

vii. Journal entries

The journal listing for 2023 financial year was not complete and supporting documentation was not availed for selected journal transactions amounting to ZWL$18.8 billion. Consequently, I could not satisfy myself on the validity and accuracy of journals posted in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Asset register

Finding

The Council did not maintain an asset register due to lack of asset module in their Promun system. As a result, I could not confirm completeness and valuation of property, plant and equipment. This was contrary to the Public Finance Management Act *[Chapter 22:19]* section 49(1)(a) which requires the Council to keep full records of its financial affairs.

Risk / implication

Financial statements may be materially misstated.

Misappropriation of Council assets.

Recommendation

The Council should keep and maintain a comprehensive asset register.

Management response

The current ERP has failed to take on board the asset module. Management will initiate the preparation of a comprehensive asset register and ensure that all assets are coded and tagged. Management is in the process of procuring a new ERP which can encompass the assets register.

1.2 Hyperinflation accounting

Finding

The Council had no expertise in preparation of inflation adjusted financial statements. As a result, they did not prepare inflation adjusted financial statements for the 2021 and 2022 financial years contrary to International Public Sector Accounting Standard (IPSAS) 10- "Financial Reporting in Hyperinflationary Economies", paragraph 1A which requires entities operating in hyperinflationary economies to prepare inflation adjusted financial statements.

Risk / implication

Financial statements may be materially misstated.

Recommendation

Council should capacitate its account staff with IPSAS training.

Management response

This was due to lack of expertise in IPSAS requirements. Management has committed to preparing future financial statements in compliance with IPSAS 10. Management will comply with IPSAS 10 before signing.

1.3 Consolidation of subsidiary companies

Finding

The Council's subsidiary Go Beer Investments was last audited in 2010. During the period under review, the Company's operations were not consolidated in the financial statements. In addition, the Council did not consolidate its subsidiary, Gweru City Parking in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 35 - "Consolidated Financial Statements" paragraph 5 which requires a controlling entity to prepare consolidated financial statements.

Risk / implication

Financial statements may be materially misstated.

Recommendation

Management should consolidate the financial performance of all its subsidiaries.

Management response

This was due to lack of integration of subsidiary operations. Go beer ceased operations in 2014. Go beer financial statements were last audited in 2010, making consolidation a

challenge. Management will include subsidiary results in future consolidated financial statements.

1.4 Investment in joint venture

Finding

The Council did not account for its share in Gweru City Parking Management Company (Private) Limited, a joint venture, in its financial statements. This was contrary to International Public Sector Accounting Standard 36 - "Investment in Associates and Joint Ventures" paragraph 22 which requires the Council to account for its share in of the Investment in Joint Venture using the equity method.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for its Investment in Joint Venture.

Management response

Gweru City Parking Management Company (Private) Limited had not been accounted for because the Joint venture operation started in 2021 and by the time of preparation of final accounts a corresponding cash book in the General ledger had not yet been created thus it did not find its way on to the trial balance. However, the matter will be corrected in the December 31, 2024 financial statements by June 30, 2025.

1.5 Property, plant and equipment

Finding

The Council last revalued its property, plant and equipment in 2010 due to lack of resources. This was contrary to the requirements of the International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment" paragraph 44 which requires Council to revalue assets with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the reporting date.

In addition, the Council's infrastructure assets such as road networks, sewer reticulation systems and bridges were not valued and accordingly, not accounted for as part of property, plant and equipment.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should source funding for the revaluation exercise.

Management response

A revaluation exercise was not conducted because of lack of resources. Revaluations will be conducted in compliance with IPSAS 17, and a policy for regular revaluation will be established.

1.6 Bank reconciliations

Finding

The Council did not prepare bank reconciliations resulting in an unresolved variance amounting to ZWL$4.9 billion (ZWL$422.9 million: 2022) (ZWL$93.4 million: 2021) between bank balance and the financial statements figures.

Risk / implication

Misstatement of financial statements.

Irregular transactions may be processed and may go undetected.

Recommendation

Bank reconciliations should be prepared on a monthly basis.

Management response

Monthly reconciliations will be implemented and reviewed by the Director of Finance to ensure accuracy and completeness.

1.7 Journal entries

Finding

The Council did not have adequate internal control measures such as input validation controls. As a result, journals amounting to ZWL$44.2 million (ZWL$699.1 million:2021) were posted without supporting documentation.

Risk / implication

Financial statements may be materially misstated.

Recommendation

The Council should ensure that all supporting documentation is safely kept for future reference.

All journals should be duly authorized at an appropriate level.

Management response

This was a result of insufficient internal control measures such as lack of input validation controls. Management will implement a stricter documentation policy for journal entries.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Grant income

Finding

Grant payments received by Council from Ministry of Local Government were deposited directly into the Council's Rates Account without proof of payment to distinguish whether the amounts received are for bills or grant income. As a result, The Council did not avail confirmation or proof of receipt for the government grant income received amounting to ZWL$226.9 million (ZWL$95.1 million :2021). This was contrary to the Urban Council Act [Chapter 29:15] section 286(1) which requires Council to keep such books of account as may be necessary to maintain a true and proper record of all matters relating to its financial transactions.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should ensure that all revenue receipts are supported.

Management response

Non submission of proof of payment of grant payments from Ministry of Local Government. The Ministry just deposits devolution disbursements into our Account without any written documentation. We have to call accounts officers to confirm whether the disbursements is a grant or payment of municipal bills. Management will ensure proper documentation for all future government grants. Due to the Government payment system where each entity has to register a vendor number, we only have one vendor number linked to our Rates Account. The money is deposited into our Rates Account and then we transfer it to the dedicated Account for Devolution receipts.

3. PROCUREMENT OF GOODS AND SERVICES

3.1 Purchase of backhoe loader

Finding

The Council contracted a supplier to supply a backhoe loader for an amount of USD$82 330. However, records revealed that the Council paid USD$102 048, thus an overpayment of USD$19 000 and no explanation was given on excess.

Risk / implication

Financial loss to Council arising from the non-recovery of the overpaid amount.

Fraudulent activities may occur.

Recommendation

The Council should prepare supplier reconciliations to ensure that such instances do not recur.

Management response

The back hole loader was purchased using forex that was bought from the auction using the full value of the invoice from the Supplier, and was remitted directly to the Supplier. However, a deposit had already been paid to the Supplier. An investigation will be conducted, and recovery measures will be implemented where applicable.

3.2 Expenditure

Finding

The Council's record keeping was not adequate. As a result, Council did not avail supporting documentation such as invoices and requisitions for expenditure amounting to ZWL$883 million (ZWL$155 million: 2021). This was contrary to Statutory Instrument 144 of 2019 section 71 (1) which requires expenditure to be supported.

Risk / implication

Misstatement of financial statements.

Irregular transactions may be processed and not detected on time.

Recommendation

Management should provide all supporting documentation filed.

Management response

This was due to poor record-keeping practices and lack of compliance. Use of proforma invoices for payments, unsupported transactions will be investigated, and missing documentation will be traced or resolved appropriately. Water treatment chemicals were delivered directly to the site and the stations should have records of receipt of the same. Weak controls in ensuring documentation is maintained. Use of manual system. goods received vouchers will be cross checked, and missing retrieved to ensure all purchases are accounted for.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that were raised in my 2023 annual report. I raised eleven (11) findings, one (1) finding was addressed and ten (10) findings were not addressed as indicated below.

4.1 Cash and cash equivalents

The finding was not addressed. The Council did not perform bank reconciliations.

4.2 Beer Levy

The finding was not addressed. The Council did not obtain beer levy statistics from the brewers.

4.3 Property, plant and equipment

The finding was not addressed. Infrastructure assets were not accounted for.

4.4 Inflation adjusted financial statements

The finding was not addressed. The financial statements were not hyper-inflated.

4.5 Expenditure

The finding was not addressed. Council expenses had no supporting supplier invoices and receipts.

4.6 Investment in Go Beer

The find was not addressed. The Council did not consolidate the results of its subsidiary.

4.7 Unsupported journals

The finding was not addressed. The Council had no documents to support the processed journals entries.

4.8 Payables reconciliations

The finding was not addressed. The Council did not perform payable reconciliations.

4.9 Receivables

The finding was not addressed. The Council did not perform reconciliations on receivables.

4.10 Debtors with credit balances

The finding was not addressed. Debtors with credit balances were not investigated.

4.11 Property, plant and equipment and IPSAS 12 inventories

The finding was addressed. The Council accounted for its stands.

I have audited the consolidated financial statements of Harare City Council for the year ended December 31, 2021 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the consolidated financial statements do not present fairly, in all material respects the consolidated financial position of Harare City Council as at December 31, 2021, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 3— Accounting Policies, Changes in Accounting Estimates and Errors

The Council did not restate the comparative amounts to resolve errors which resulted in an adverse opinion in the prior year. This was contrary to IPSAS 3- "Accounting Policies, Changes in Accounting Estimates and Errors" paragraph 47 which requires an entity to correct material prior period errors retrospectively in the first set of financial statements authorized for issue after their discovery. Had the Council corrected material prior period errors, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 – "The Effects of Changes in Foreign Exchange Rates"

The prior year financial statements did not comply with the requirements of IPSAS 4 - "Effects of Changes in Foreign Exchange Rates", as the Council was not able to use an appropriate exchange rate on change of functional currency. The Council translated its comparative financial statements using the interbank rate which came into existence on February 22, 2019 through Exchange Control Directive RU 28 of 2019 issued by the Reserve Bank of Zimbabwe.

The Council used January 1, 2019 as the date of change in functional currency and translated its foreign denominated balances to ZWL$ at a rate of 1:1 per statutory instrument 33/2019 which prescribed that all assets and liabilities that were denominated in USD before February 22, 2019 be deemed to be RTGS dollars at a rate of 1:1 and all transaction subsequent to February 22, 2019 at interbank rate. The Council's inability to assess the appropriateness of using the interbank rate in achieving fair presentation was primarily due to the need to comply with Statutory Instrument (SI) 33 and the fact that there were no official exchange rates between October ,2018 and February 2019 due to lack of an observable foreign exchange market. In that regard the misstatement on the opening balances had an impact on the current year financial statements and the Council did not correct this prior period as required by IPSAS 3 – "Accounting Policies, Changes in Estimates and Errors". Had Council applied the requirements of IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" and IPSAS 3 – "Accounting Policies, Changes in Estimates and Errors" many elements in the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 35 – "Consolidated Financial Statements"

The Council did not consolidate its subsidiaries contrary to IPSAS 35- "Consolidated financial statements" paragraph 5, which requires a controlling entity to present consolidated financial

statements. Had the Council consolidated its subsidiaries, the financial statements would have been materially different.

iv. Non- compliance with International Public Sector Accounting Standard (IPSAS) 18 – "Segment Reporting"

The Council did not disclose its segments contrary to IPSAS 18 – "Segment Reporting" paragraph 52 which requires the Council to disclose segments financial information. Had the Council disclosed its segments, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23 – "Revenue from Non-exchange Transactions" and IPSAS 9 - "Revenue from Exchange Transactions"

The Council recognised revenue amounting to ZWL$36 billion from grants and subsidies, licenses and permits, exchange of goods, waste removal, rental income and other income. There were no reliable and complete records for the revenue streams. As a result, I was unable to perform any alternative procedures necessary to obtain sufficient and appropriate audit evidence to establish the completeness and accuracy of revenue recognised.

vi. Employee costs

Included in the employment costs of ZWL$ 8.55 billion was an amount of ZWL$150.98 million that was not supported by underlying payroll records. I was unable to obtain sufficient and appropriate audit evidence to confirm the accuracy and completeness of employee costs recognised in the financial statements.

vii. Non – compliance with International Public Sector Accounting Standard (IPSAS) 21 – "Impairment of Non-Cash Generating Assets"

The Council did not assess its property, plant and equipment and investment property for indicators of impairment. This was contrary to IPSAS 21 – "Impairment of Non-Cash-Generating Assets" paragraph 26 which requires assessment of assets for indications of impairment to be made at each reporting date. Had the Council assessed its assets for indicators of impairment, the carrying amount of property, plant and equipment of ZWL$ 21.69 billion and investment property of ZWL$ 178.61 million would have been materially different.

viii. Allowance for credit losses

The Council did not disclose information on the methods, assumptions and judgements used in the recognition and measurement of expected credit losses of ZWL$ 5.08 billion recognised in the financial statements. This was contrary to IPSAS 30 – "Financial Instruments: Disclosures" paragraph 31 which requires entities to disclose methods and assumptions applied in determining the fair values of each financial asset. Had Council disclosed the methods and assumptions used for determining allowance for credit losses, the disclosures to the financial statements would have been fairly presented.

ix. Cash and Cash Equivalents

The Council had cash and cash equivalents amounting to ZWL$458.3 million as at December 31, 2021. However, receipts and payments made during the year were not being accurately and completely captured in the Council's accounting records and no bank reconciliations

were prepared for the year ended December 31, 2021. As a result, I could not satisfy myself on completeness and accuracy of valuation of cash and cash equivalents balances disclosed in the financial statements.

x. Unsubstantiated current liabilities

Included in current liabilities balance of ZWL$15.96 billion was an unsubstantiated balance of ZWL$ 10.7 billion. I was not availed with payables listing of ZWL$5.18 billion, journals amounting to ZWL$2.89 billion supporting the suspense account, employee obligations of ZWL$0.35 billion and schedules supporting leave pay of ZWL$1.1 billion and VAT provision of ZWL$1.18 billion. As a result, I could not satisfy myself on the existence, completeness and valuation of current liabilities disclosed in the financial statements.

xi. Non-Compliance with International Public Sector Accounting Standard (IPSAS) 20 - "Related Party Disclosures"

The Council did not disclose its investments in Harare Sunshine Holdings (Pvt) Ltd, Rufaro Marketing (Pvt) Ltd and Harare Quarry (Pvt) Ltd. The Council could not substantiate a loan to Harare Quarry (Pvt) Ltd amounting to ZWL$ 4.96 million as no loan agreement was availed.

In addition, the Council understated its share of revenue from Council Parking (Pvt) Ltd by ZWL$73.21 million and did not also account for ZWL$15.88 million due from Council Parking (Pvt) Ltd. As a result, I was unable to obtain sufficient appropriate audit evidence to confirm that related party balances at December 31 2021 and transactions for the year then ended were fairly stated.

xii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 19 - "Provisions, Contingent Liabilities and Contingent Assets"

The Council did not include a note on contingent liabilities to the financial statements as required by International Public Sector Accounting Standard (IPSAS) 19 "Provisions, Contingent Liabilities and Contingent Assets".

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council did not assess its property, plant and equipment and investment property for indicators of impairment. This was contrary to IPSAS 21 – "Impairment of Non-Cash-Generating Assets" paragraph 26 which requires assessment of assets for indications of impairment to be made at each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should assess its assets for indicators of impairment at each reporting date.

Management response

Recommendation noted and management is taking necessary action to integrate an asset management module into the SAGE ERP system, to implement a system for proper accounting and reporting of property, plant and equipment.

1.2 Cash and bank

Finding

The Council had cash and cash equivalents amounting to ZWL$458.3 million as at December 31, 2021. However, receipts and payments made during the year were not being accurately and completely captured in the Council's accounting records and no bank reconciliations were prepared for the year ended December 31, 2021.

Risk / implication

Misstatement of financial statements.

Financial losses due to irregular transactions.

Recommendation

Monthly bank reconciliations should be prepared and reviewed by a senior officer.

Management response

Management will ensure that bank reconciliations are prepared on time and reviewed monthly. Management will review and sign off on the bank reconciliation reports to confirm the accuracy and completeness of the reconciliations. Management will monitor the completion of bank reconciliations and ensure timely follow-up on any discrepancies or unusual items identified during the reconciliation process.

1.3 Current liabilities

Finding

Included in current liabilities balance of ZWL$15.96 billion was an unsubstantiated balance of ZWL$ 10.7 billion. I was not availed with payables listing of ZWL$5.18 billion, journals amounting to ZWL$2.89 billion supporting the suspense account, employee obligations of ZWL$0.35 billion and schedules supporting leave pay of ZWL$1.1 billion and VAT provision of ZWL$1.18 billion.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should retain relevant documents to adequately support records in respect of its liabilities.

Management response

Steps to improve the document filing and retrieval process will be put in place to ensure that documents can easily be retrieved together with the supporting documents when they are required for future reference. A creditor reconciliation process has been put in place to confirm accuracy of the payable balances. We will ensure that all payments and expenditures are captured promptly and accurately, with no delays or errors in the recording process.

1.4 Related Parties

Finding

The Council did not disclose its investments in Harare Sunshine Holdings (Pvt) Ltd, Rufaro Marketing (Pvt) Ltd and Harare Quarry (Pvt) Ltd. The Council could not substantiate a loan to Harare Quarry (Pvt) Ltd amounting to ZWL$ 4.96 million as no loan agreement was availed.

In addition, the Council understated its share of revenue from Council Parking (Pvt) Ltd by ZWL$73.21 million and did not also account for ZWL$15.88 million due from Council Parking (Pvt) Ltd.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should account for all related parties.

Management response

Efforts have been made to make available information in which the City has shareholding and the reporting has been based on the information that has been made available. Remuneration of key management staff has been included in the general payroll, efforts will be made to disclose them in future.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue

Finding

The Council recognised revenue amounting to ZWL$36 billion from grants and subsidies, licenses and permits, exchange of goods, waste removal, rental income and other income. There were no reliable and complete records such as databases for the revenue streams.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council's revenue should be adequately supported by underlying records such as databases.

Management response

Management is addressing these risks through the implementation of the recommended actions, including regular reconciliations and the creation of a comprehensive database to capture all relevant businesses and permit holders in the City.

3. EMPLOYMENT COSTS

3.1 Payroll costs

Finding

Included in the payroll costs of ZWL$ 8.55 billion was an amount of ZWL$150.98 million which was not supported by underlying payroll records. The Council did not reconcile the Sage ledger and Belina payroll system generated figures.

Risk / implication

Misstatement of financial statements.

Recommendation

Payroll costs should be supported by underlying records.

Management response

We will implement a process to ensure that the payroll totals generated by the Belina payroll system are reconciled and posted to the Sage general ledger on a monthly basis.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised twenty-eight (28) findings, one (1) was addressed and twenty-seven (27) were not addressed as indicated below;

4.1 Dividend income

The finding was not addressed. Documents supporting dividends income were not availed.

4.2 Other income

The finding was not addressed. Documents supporting land sales such as agreements were not availed.

4.3 Leave pay provision

The finding was not addressed. The Council did not avail leave pay schedules.

4.4 Property, plant and equipment

The finding was not addressed. The Council is still maintaining an excel asset register.

4.5 Financial statements not supported by underlying accounting records

The finding was not addressed. Council's financial statements were not supported by underlying accounting records.

4.6 Investments in other entities

The finding was not addressed. Council did not consolidate its subsidiaries and account for its investments in associates.

4.7 Financial Reporting in Hyper-Inflationary Economies

The finding was addressed. Council prepared inflation adjusted financial statements.

4.8 Property, plant and equipment

The finding was not addressed. Council did not revalue its assets.

4.9 Investment property

The finding was not addressed. Council did not value its investment properties as required by IPSAS 16 – "Investment Property".

4.10 Inventories and biological assets

The finding was not addressed. Council did not account for its inventory in line with IPSAS 12 - "Inventories and IPSAS 27 - "Agriculture".

4.11 Receivables from exchange transactions

The finding was not addressed. An impairment assessment of outstanding receivables from non-exchange transactions were not performed.

4.12 Receivables from Non-exchange transactions

The finding was not addressed. An impairment assessment of outstanding receivables from non-exchange transactions were not performed.

4.13 Prepayments

The finding was not addressed. Council did not maintain proper records on prepayments.

4.14 Cash and bank balances

The finding was not addressed. Council did not maintain proper records of its cash and bank balances.

4.15 Payables

The finding was not addressed. The Council did not provide a list of creditors making up the outstanding balance of ZWL$1.88 billion.

4.16 Borrowings

The finding was not addressed. Council did not maintain proper records of its borrowings.

4.17 Deferred grant

The finding was not addressed. Council did not maintain appropriate records of its deferred grant.

4.18 Equity / net assets

The finding was not addressed. Council records to Equity / net assets are still inaccurate.

4.19 Revenue from non-exchange transactions

The finding was not addressed. Council did not maintain proper records of its Revenue from non-exchange transactions.

4.20 Revenue from exchange transactions

The finding was not addressed. Council did not provide sufficient records for audit.

4.21 Employment costs

The finding was not addressed. Council did not maintain proper records of its employment's costs.

4.22 General expenses

The finding was not addressed. Council did not maintain proper records of general expenses.

4.23 Related Party Disclosures

The finding was not addressed. No Related Party Disclosures were made.

4.24 Provisions, Contingent Liabilities and Contingent Assets

The finding was not addressed. Council did not maintain proper records of provisions made.

4.25 Employee benefit obligations

The finding was not addressed. Council did not maintain proper records of employee benefit obligations.

4.26 Reconciliation of cash and cash equivalents

The finding was not addressed. Monthly bank reconciliations are not yet being done and reviewed.

4.27 BIQ System

The finding was not addressed. Council is yet to comply with section 45 of the Public Finance Management Act [Chapter 22:19].

4.28 Disaster recovery and business continuity site

The finding was not addressed. Management is yet to establish an offsite disaster recovery Site.

I have audited the financial statements of Kadoma City Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Kadoma City Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

Non-Compliance with International Public Sector Accounting Standard (IPSAS) 1- "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not account for revenue, expenses, receivables and payables of its six (6) Schools in the financial statements for fair presentation. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27 which requires Council to include all revenue, expenses, receivables and payables in the financial statements and IPSAS 18- "Segment Reporting" paragraphs 52-57 which also requires the Council to disclose for each segment, assets, liabilities, revenue, and expenses. Had the Council complied with IPSAS 1- "Presentation of Financial Statements" and IPSAS 18- "Segment Reporting" in accounting for its Schools, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Accounting for Schools

Finding

The Council did not account for revenue, expenses, receivables and payables of its six (6) Schools in the financial statements for fair presentation. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity and IPSAS 18- "Segment Reporting" paragraphs 52-57, which requires the Council to disclose for each segment, assets, liabilities, revenue, and expenses.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should take necessary steps to account for its Schools in the financial statements.

Management response

Plans to incorporate the Schools in the financial reporting of Council are already underway. All Council Schools have been engaged and preparatory work is already in progress.

2. PROCUREMENT OF GOODS AND SERVICES

2.1 Procurement methods

The Council procured work suits, safety shoes and oils from suppliers different from the ones which were recommended by the evaluation committee. No justification or documentation was provided for the choice of procurement method or for the deviation from the evaluation committee's recommendation.

Risk / implication

Irregular procurement may occur.

Recommendation

Council should follow procurement procedures where deviations are made justifications and documentation should be provided.

Management response

Evaluation committee had recommended the supplier based on price only but after technical consultancy concerning the brand offered since it was our first time to procure the brand, we were sceptical and not comfortable to experiment since it will be used for all heavy earth moving equipment and vehicles. We then bought from the 2nd bidder with a well-known brand which the PO confirmed they had working experience with the brand. Evaluation is based on more than one element of price.

It was later realised that the supplier quoted for plain work suits instead of branded as per PR. The issue of not writing the justification for the changes is well noted and the need to indicate justification for the changes recorded and to be part of the evaluation documents. It is an oversight on the importance of records which will be corrected.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my previous report. I raised eleven (11) findings, six (6) were addressed, three (3) were partially addressed and two (2) were not addressed as indicated below;

3.1 Accounting for Schools

The finding was not addressed. The Council Schools were not included.

3.2 Valuation of property, plant and equipment

The finding was addressed. Council carried out an asset revaluation exercise in 2023 and corrected the 2023 financial statements.

3.3 Master plan

The finding was partially addressed. The Council prepared the plan and awaiting its approval.

3.4 Payroll deductions

The finding was not addressed. Statutory deductions were not being remitted, Council cited cash

flow challenges.

3.5 Internal audit reports

The finding was addressed. Internal audit reports were submitted.

3.6 Board of inquiry

The finding was addressed. Provision for a board of enquiry is in place.

3.7 Security

The finding was partially addressed. The draft policy is in place and not yet approved.

3.8 Functional meters

The finding was partially addressed. Programme put on hold to focus on water system rehabilitation.

3.9 Beer levy

The finding was addressed. Levy Inspectors were appointed by Council.

3.10 Council ambulance

The finding was addressed. The ambulance was delivered.

3.11 Inventory management

The finding was addressed. Council procures limited quantities based on need.

KWEKWE CITY COUNCIL 2021 AND 2022

I have audited the financial statements of Kwekwe City Council for the years ended December 31, 2021 and 2022 and I issued a qualified opinion for both years.

Qualified Opinion 2021

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects the financial position of Kwekwe City Council as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified of Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment"

The Council did not recognise infrastructure assets such as roads, sewer pipes, water pipes and streetlights in the financial statements. This was contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised. Had the Council recognised infrastructure assets, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 – "Impairment of Non-Cash-Generating Assets"

The Council did not assess its assets for indicators of impairment contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an assessment for indicators of impairment at each reporting date. Had the Council carried out an impairment test on its items of property, plant and equipment, the carrying amount of ZWL$1.6 billion disclosed in the financial statements would have been materially different.

Qualified Opinion 2022

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects the financial position of Kwekwe City Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified of Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment"

The Council did not recognise infrastructure assets such as roads, sewer pipes, water pipes and streetlights in the financial statements. This was contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised. Had the Council recognised infrastructure assets, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 – "Impairment of Non-Cash-Generating Assets"

The Council did not assess its assets for indicators of impairment contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an assessment for

indicators of impairment at each reporting date. Had the Council carried out an impairment test on its items of property, plant and equipment, the carrying amount of ZWL$5.3 billion disclosed in the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council did not value and recognise infrastructure assets such as roads, sewer pipes, water pipes and streetlights in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised. In addition, the Council did not assess its assets for indicators of impairment contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an assessment of assets for indicators of impairment at each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should recognise infrastructure assets and assess for impairment on its assets at each reporting date.

Management response

Management acknowledges the recommendation and confirms that tenders for the valuation of the Council's assets have already been flighted. The tender process is currently underway, and management is committed to expediting the evaluation and appointment of a suitable valuer to ensure that the valuation exercise commences as soon as possible.

2. PROCUREMENT OF GOODS AND SERVICES

2.1 Procurement of ambulance

Finding

The Council procured an ambulance on August 17, 2022 at a total cost of US$ 63 891. However, the ambulance was yet to be delivered at the time of audit in 2025. This was contrary to the contract terms which required the delivery of the ambulance within two (2) weeks from the date of payment.

Risk / implication

Financial loss due to non-delivery of procured goods.

Service delivery may be compromised.

Recommendation

Management should follow up with the supplier and ensure delivery of the procured goods.

Management response

Management acknowledges the observation and recommendations for action going forward.

3. EMPLOYMENT COSTS

3.1 Remittance of statutory deductions

Finding

The Council was levied interest amounting to ZWL$15.8 million for non-compliance in remitting statutory deductions. The Council was not remitting dues such as PAYE, NSSA and Local Authorities Pension Fund contributions to respective authorities.

Risk / implication

Financial loss due to interests and penalties.

Recommendation

The Council should remit statutory deductions should be paid and remitted on time.

Management response

The Council has established payment plans with key regulators, including ZIMRA and NSSA, which has helped avoid the issuance of garnishee orders despite the outstanding obligations. While these arrangements have been honored consistently within the Council's capacity, it is important to note that, despite repeated engagements, the regulatory authorities have maintained that interest charges on outstanding balances cannot be waived even when payment plans are in place. Management remains committed to fulfilling its obligations under the current agreements and in light of the above recommendations they will continue to advocate for more flexible terms where possible.

I have audited the financial statements of Masvingo City Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Masvingo City Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 – "Revenue"

The Council recognised business license revenue amounting to ZWL$1.17 billion on cash basis contrary to IPSAS 47 – "Revenue" paragraph 5 which requires revenue to be accounted for using the accruals basis. Had Council recognised business licence revenue on accruals basis, the revenue disclosed would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property"

The Council did not disclose the fair value of its investment property. This was contrary to IPSAS 16 – "Investment Property" paragraph 90(e) which requires the disclosure of the fair values of the investment property even when the cost model had been adopted. The departure from the disclosure requirements of IPSAS 16 – "Investment Property" was considered material. Had the Council disclosed the fair values of its investment properties, the disclosures to the financial statements would have been fairly presented.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment"

The Council did not review the useful lives of its assets in line with IPSAS 45 - "Property, Plant and Equipment" paragraph 48 which requires the useful lives of assets to be reviewed at each reporting date. Had the Council reviewed the useful lives of its assets, the financial statements would have been different.

1. GOVERNANCE ISSUES

1.1 Useful lives of assets

Finding

The Council did not review the useful lives of its assets in line with IPSAS 45 - "Property, Plant and Equipment" paragraph 48 which requires the useful life of assets to be reviewed at each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should review the useful lives of its property, plant and equipment in line with IPSAS 45 – "Property, Plant and Equipment".

Management response

We acknowledge the finding; the Council did not assess and ascertain useful lives of the entire classes of non-current assets.

1.2 Investment property

Finding

The Council could not hire a valuer due to financial constraints. As a result, the Council measured and disclosed its investment property at ZWL$338 million using the cost model. This was contrary to the Zimbabwe Financial Reporting Manual (ZFRM) manual paragraph 13.4 (a) which requires all investment properties to be accounted for under the fair value model. Had the fair values of the investment property been determined the amount disclosed might had been significantly different considering the market volatility of the reporting currency.

Risk / implication

Misstatement of the financial statements.

Recommendation

The Council should train its staff on valuation and measure investment properties using the fair value model.

Management response

Agreed, Council could not do fair value assessments for its investment property due to lack of skills internally and the cost of hiring external valuer. Council is going to train its Estates and Valuations Officer in carrying out valuations of public assets for financial reporting before the end of the 2024 financial year. Our 2024 financial statements will comply with ZFRM as recommended by audit.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Recognition of business licences

Finding

The Council recognised revenue from business licences on a cash basis instead of accruals basis. This resulted in some licences fees being recorded in an incorrect financial period in which it relates. This was contrary to IPSAS 47 – "Revenue" paragraph 7 which requires transactions to be recognized when they occur and not on actual receipt.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should recognise revenue on accruals basis in line with IPSAS 47 – "Revenue".

Management response

Noted, we are going to improve our system and create debtors upon receipting these revenues and subsequently accrue revenues in compliance with this concept.

3. PROCUREMENT OF GOODS AND SERVICES

3.1 Delivery of procured goods

Finding

The Council made advance payments amounting to ZWL$15.43 million for the purchase of a pick-up truck, new starter for a fire tender and repair of a dozer without an advance payment guarantee. The payments were made on March 29, 2022, December 2, 2020 and June 16, 2021 respectively. As at the time of audit in July 2024 the procured goods were not yet delivered. This was contrary to section 67 (18) of Statutory Instrument 144 of 2019 which requires an advance payment to be made after a guarantee covering the advance amount has been furnished.

Risk / implication

Financial loss due to non-delivery of goods.

Recommendation

The Council should follow up on the delivery of the procured goods and services.

Management response

The supply of Pick-up truck and bitumen were issued with warrants of execution by the High Court and our lawyers are working on them. The Liebherr Dozer is still in the service provider's workshop and Council has resolved to transport it back. The supply of the fire tender starter is still outstanding and a follow up shall be done as per audit recommendation.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing audit findings and recommendations raised in my 2023 annual report. I raised twenty-eight (28) audit findings, five (5) were addressed, eleven (11) were partially in progress while the other twelve (12) were not yet addressed as indicated below;

4.1 Consolidation of Schools

The finding was addressed. Council accounted for its seven Schools.

4.2 Response to internal audit reports

The finding was partially addressed. Council did not respond to some internal audit reports.

4.3 Implementation of Full Council resolutions

The finding was partially implemented. Council implemented some of the resolutions.

4.4 Service rebates for Councillors

The finding was not addressed. Council did not regularize the matter.

4.5 Donation of drugs

The finding was not addressed. The Council did not maintain a donated drugs register.

4.6 Revenue from assessment rates and beer levy

The finding was addressed. Rates and beer levy revenue were accrued.

4.7 Lease rental from mobile telecoms operators

The finding was partially addressed. Council did not bill some base stations.

4.8 Stands inventory

The finding was not addressed. Council did not account for stands inventory.

4.9 Procurement of Prado VX-L

The finding was not addressed. The Council did not follow the Ministerial approval.

4.10 Evaluation of tenders

The finding was not addressed. Council did not comply to Public Procurement and Disposal of Public Assets Act *[Chapter 22:23].*

4.11 Non-revenue water

The finding was not addressed. Council's water loss was high.

4.12 Revenue from water sales

The finding was partially addressed. Council did not replace all malfunctioning meters.

4.13 Taxation

The finding was not addressed as no taxation was recovered on prior benefits on disposed motor vehicles.

4.14 Recruitment of senior internal auditor

The finding was not addressed. Council has not recruited senior internal auditor.

4.15 Overpayment of lot 2 works-roads rehabilitation

The finding was not addressed. Council did not recover the overpaid amount.

4.16 Procurement of Toyota Quantum

The finding was addressed. The Council regularised the contract.

4.17 Engagement of auctioneer

The finding was addressed. Council engaged an auctioneer.

4.18 Revaluation of property, plant and equipment and Intangible assets

The finding was partially addressed. Council revalued assets but did not avail the assumptions used.

4.19 Accounting for land

The finding was addressed. Council accounted for land separately from buildings.

4.20 Sewer reticulation challenges

The finding was partially addressed. Council started the repairs.

4.21 Work in progress - Mucheke trunk sewer

The finding was partially addressed. Council did not provide progress reports on ongoing projects.

4.22 Donations received

The finding was partially addressed. The Council put in place a register but did not record any donations.

4.23 Maintenance of stands register

The finding was not addressed. Council is yet to update the stands register.

4.24 Segregation of duties

The finding was not addressed. Council did not segregate the IT personnel duties.

4.25 Business licenses

The finding was partially implemented. Council put in place a new serialised license book, however, did not update the database.

4.26 Water works- treatment plant capacity

The finding was partially addressed. The Council has put a plan in place to capacitate the water works plant.

4.27 Compliance and solid waste management

The finding was partially addressed. The Council started working on designs and EMA assessments for the construction project of the new landfill.

4.28 Health services provisions

The finding was not addressed. The Council did not engage a radiographer.

MUTARE CITY COUNCIL 2023

I have audited the consolidated financial statements of Mutare City Council and its subsidiary for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of matters described in the Basis for Qualified Opinion section of my report, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of Mutare City Council and its subsidiary ("the Group") as at December 31, 2023, and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Opening balances

Included in the financial statements of the Group were results from operations of six (6) Council schools. The prior year financial results of the schools were not submitted for audit. As result, I was unable to satisfy myself by alternative means whether the closing balances as at December 31, 2022, were free of material misstatement and were appropriately brought forward into 2023.

ii. Incomplete records

Included in the consolidated financial statements are payables and receivables from Schools. However, the Schools did not maintain adequate accounting records such as ledgers for payables and receivables during the year under review. As a result, I could not ascertain the valuation and completeness of the receivables and payables amounting to ZWL$1.37 billion and ZWL$420.99 million respectively disclosed in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Opening balances

Finding

The prior year's financial results of the Schools were not submitted for audit. This was contrary to section 49 of the Public Finance and Management Act *[Chapter 22:19]* and section 47 of the Education Act *[Chapter 25:04]* which requires financial statements to be submitted within two (2) months after the end of the financial year for audit.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council Schools should submit financial statements for audit within the statutory deadlines.

Management response

In future, the schools shall submit financial statements for audit and have them audited.

1.2 Incomplete records

Finding

The Schools did not maintain adequate accounting records such as ledgers for payables and receivables during the year under review. As a result, I could not ascertain the valuation and completeness of the payables amounting to ZWL$ 420.99 million and receivables amounting to ZWL$ 1.37 billion.

Risk / implication

Misstatement of financial statements.

Recommendation

The schools should maintain adequate accounting records such as ledgers for payables and receivables.

Management response

The schools shall seek guidance and assistance from Council to ensure that it's accounting policies and procedures are aligned to Council so as to comply with the International Public Sector Accounting Standards (IPSAS) reporting framework.

2. PROCUREMENT OF GOODS AND SERVICES

2.1 Contract management

Finding

The Council entered into a contract with a supplier on servicing and installation of PABX system on January 20, 1999 for a yearly rental fee of ZW$20 520. However, Council paid a total of ZWL$63.5 million rentals to the Supplier during the year under review which was not adequately supported by documentation and review of the contract. This was contrary to the Public Procurement and Disposal of Public Assets Act *[Chapter 22:23]* section 78 (e) which requires the contract to be updated on price.

Risk / implication

Financial loss due to fraud.

Recommendation

Council should review their contract with the Supplier on timeframes and rental fees to be paid due to changes in economic conditions.

Management response

Noted. Council shall ensure that an addendum is signed with the Supplier to comply with Public Procurement and Disposal of Public Asset Act.

3. SERVICE DELIVERY

3.1 Street lighting

Finding

The Council had funding constraints which affected their repair program. As a result, Council had one thousand and eighty-five (1 085) out of one thousand two hundred (1 200) streetlights which were not functional.

Risk / implication

Service delivery may be compromised.

Recommendation

The Council should install, repair, and maintain streetlights.

Management response

Noted. There is an ongoing repair program for streetlights. However, there are funding constraints, which is affecting the repair program.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2023 annual report. I raised twenty (20) findings, eleven (11) were addressed, five (5) were partially addressed and four (4) were not addressed as indicated below;

4.1 Schools

The finding was addressed. Council schools were incorporated in the consolidated financial statements.

4.2 Land and buildings

The finding was addressed. The land and buildings of the Council subsidiary were separated.

4.3 Gimboki sewer plant

The finding was partially addressed. The scoping for fencing was done and works budgeted for in the 2024 budget. The sewer plant is now being manned by security.

4.4 Deferred tax

The finding was addressed. Tax computations and adjustments were made in 2023 financial statements.

4.5 Clinic staff management

The finding was addressed. Council is taking nurses on locum basis to ensure optimum level of staff.

4.6 Clinics

The finding was partially addressed. The Council is in the process of renovating all clinics.

4.7 Payables

The finding was addressed. Supporting documents for accounts are now maintained and reconciliations are performed on monthly basis.

4.8 Depreciation of land

The finding was addressed. The Council engaged government valuers and the land was separated from buildings for depreciation purposes.

4.9 Lease agreements

The finding was addressed. The Council and its Subsidiary have updated lease agreements.

4.10 Asset management register

The finding was partially addressed. The Company now has an asset register, however, it was incomplete.

4.11 Employment costs overrun

The finding was addressed. Cost overruns were rectified.

4.12 Vehicle registration

The finding was not addressed. The eight (8) vehicles were still not registered in Council's name.

4.13 Organisational structure

The finding was addressed. The organogram was approved by Council.

4.14 Procurement of vehicles

The finding was partially addressed. Council managed to recover ZWL$39 860.

4.15 Dangamvura water pipeline

The finding was addressed. The pipeline was completed and commissioned.

4.16 Water losses

The finding was not addressed. Water losses are still high.

4.17 Bulky water meters

The finding was not addressed. The Council still do not have bulky water meters.

4.18 Matida flat and Mcgregors hostels

The finding was not addressed. The rented properties did not have adequate water supply.

4.19 Meter replacement

The finding was partially addressed. The SOP for faulty water meter replacement by customers is now in place and tender was concluded for procurement of water meters. The Council has also engaged customers to replace their meters and have their accounts credited as reimbursement.

4.20 Stores department

The finding was addressed. The Council recruited two (2) additional stores clerk to ensure segregation of duties in line with approved the organogram.

I have audited the financial statements of Victoria Falls City Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Victoria Falls City Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 – "Inventories"

The Council did not account for roads materials as inventory in the financial statements. This was contrary to IPSAS 12 paragraph 47 which requires the Council to recognise the construction materials not consumed at year end to be accounted for as inventory. The Council had large quantities of quarry stones that were not valued. In addition, Council did not maintain purchase invoices, delivery notes and issue vouchers. Due to the incomplete records keeping, I was not able to perform alternative procedures to ascertain the quantities and values of the construction material.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 – "Revenue"

The Council recognised beer levy revenue amounting to ZWL$56.44 million on cash basis contrary to IPSAS 47 – "Revenue" paragraph 3 which requires revenue to be accounted for using the accruals basis. I was not availed with evidence of any reconciliation or verifications of sales made by commercial brewers and there was no supporting evidence such as beer levy schedules which could have been used as the basis in arriving at the remitted amount. The extent of misstatement could not be quantified due to unavailability of supporting beer sales statistics. Had the Council complied with the requirements of IPSAS 47 - "Revenue" the disclosed revenue would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Inventories

Finding

The Council did not quantify and account for the quarry stones inventory in its financial statements. This was contrary to the requirements of International Public Sector Accounting Standard (IPSAS) 12 – "Inventories" paragraph 10 which requires materials and supplies awaiting use in the production process to be accounted for as inventory if not utilised at year end. I was not availed with purchase documents or records showing the movement of the quarry stones inventory due to inadequate record maintenance.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should account for all its inventory in the financial statements.

Management response

The technical team will help us to quantify the materials and stores will prepare a draw down record.

1.2 Disaster recovery plan

Finding

The Council did not have an approved documented disaster recovery plan which sets out policies, tools and procedures to enable the recovery of data and business continuity following a disaster. The business continuity and disaster recovery policy was still in draft form.

Risk / implication

Business continuity and recovery of data may be compromised.

Recommendation

Council should have an approved Business Continuity and Disaster Recovery Draft Policy.

Management response

A Business Continuity and Disaster Recovery Draft Policy document is now in place and is awaiting to go the Management Committee for assessment before being taken to Council for possible approval.

2 REVENUE MANAGEMENT AND DEBT RECOVERY

2.1 Revenue from beer levy

Finding

The Council recognised beer levy revenue amounting to ZWL$41 million on cash basis instead of the accruals basis as required by the International Public Sector Accounting Standards (IPSASs) conceptual framework**.** I was not availed with evidence of beer levy reconciliations or verifications of sales made by commercial brewers and there was no supporting evidence such as beer levy schedule.

Risk / implication

Misstatements of financial statements.

Recommendation

Council should engage the brewer to obtain beer sales statistics to appropriately account for beer levy revenue.

Management response

Management has been liaising with Delta Sorghum division following up on Beer levies. There has been no system in place to check and verify sales by commercial brewers both due to manpower constraints and difficulty to access that information. Council will however work on modalities to address the issue.

2.2 Built Operate and Transfer (BOT) arrangement

Finding

The Council entered into a twenty-five (25) year Built Operate and Transfer (BOT) lease agreement in 2012 with a safari operator to lease premises and land on a stand measuring 3.67 hectares. The operator was supposed to build an upmarket leisure centre in terms of the lease agreement however, the operator did not develop the leisure centre although they had occupation of the premises.

In addition, during the period ended December 31, 2023 the operator did not also comply with the terms of the lease agreement such as paying the annual rental to the Council of USD$12 240, rates and other municipal service charges.

Risk / implication

Service delivery may be compromised.

Financial loss due to non-compliance with the agreement.

Recommendation

Council should engage the lessee to enforce compliance with all the terms of lease agreement.

Management response

The lease rentals that were paid in advance lapsed in 2022. Council has engaged the lessee to negotiate new rentals and the lessee has requested to surrender the lease. Council is ceased with the matter.

3 MANAGEMENT OF ASSETS

3.1 River pump station

Finding

The Council's Water pump station did not have perimeter fence on the river side which exposed employees to wildlife attack as wild animals had access to the pump station.

Risk / implication

Safety of the employees may be compromised.

Recommendation

Council should ensure that all its premises are well secured.

Management response

Work in progress. Currently in the process of procuring fencing material.

4 SERVICE DELIVERY

4.1 Waste management

Finding

The Council's sewer reticulation system was not operating as per environmental management legislation. The Council was disposing low standard effluent into the nearby river, a practice that attracted a fine of ZWL$12,58 million. In addition, the Council did not have a landfill as it was making use of a dumpsite, which was contrary to the Environmental Management Act [Chapter 20:27], First Schedule 11(a) which requires that the Council's waste management to have a land fill.

Risk / implication

Health hazards to the community and environment.

Recommendation

Council should upgrade its sewer infrastructure.

Management response

Council came up with the Water and Sanitation and Hygiene (WASH) program to address Water, Sanitation and Hygiene issues. The WASH project has been divided into phases to enable implementation with available funding and according to impact. Currently The City of Victoria Falls is implementing phase 1 of the WASH program. Later phases of the WASH program (Phase 3 and 4) will seek to upgrade the sewer outfalls and sewer treatment plant so that the effluent from the treatment plant meets the EMA standards.

5 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made did not make progress in addressing findings that I raised in my previous report. I raised sixteen (16) findings, four (4) were addressed, nine (9) were partially addressed and three (3) were yet to be addressed as indicated below;

5.1 Valuation of property, plant and equipment

The finding was addressed. Undeveloped land was classified and quantified.

5.2 Master plan

The finding was addressed. The Masterplan was approved by Council in June 2024 and will be opened to the public in August and September 2024.

5.3 Receipting and licensing

The finding was partially addressed. A Business Licensing system has been tested by ICT and Public Health sections and this testing will be cascaded outside Council to stakeholders after all internal testing is done.

5.4 Price variation

The finding was addressed. Council is now conscious to the fact that a transaction of this nature will not be repeated.

5.5 Property, plant and equipment from ZINWA

The finding was addressed. The finding was addressed. The valuation of assets was done

5.6 Payables

The finding was partially addressed. Council made payment plans to pay the outstanding payables and there has been a reduction in payables.

5.7 Valuation roll and billing

The finding was partially addressed. The Council has engaged the Ministry of Local Government and Public Works Valuation section to undertake the exercise and awaiting to be allocated a team and dates for the exercise to commence.

5.8 Sewer systems

The finding was partially addressed. The BE100 tender had to be readvertised this resulted in delays in servicing the stands in BD46 Mkhosana that are on septic tanks.

5.9 Fencing of sewer ponds

The finding was not addressed. Funding constraints are still hindering the project.

5.10 Street lighting

The finding was partially addressed. The Council started the street lighting project and it's ongoing.

5.11 Water distribution

The finding was partially addressed. The Mkhosana reservoir project started in 2023 and is currently at 65%.

5.12 Water system

The finding was partially addressed. The short-term work was completed. The Council will pursue the long-term plans when they have funding.

5.13 Beer levy revenue

The finding was partially addressed. Council working on modalities to address the issue.

5.14 Schools

The finding was not addressed. The Council has started work on another secondary school for Mkhosana area.

5.15 Security of Council properties

The finding was partially addressed. Funding constraints are still hindering the project.

5.16 Provision of water

The finding was not addressed. During the year under review, the raw water treatment plant was handed over by ZINWA to the Council in a dilapidated state and short -term works were done to rehabilitate the station.

MUNICIPALITIES

BEITBRIDGE MUNICIPALITY 2021

I have audited the financial statements of Beitbridge Municipality for the year ended December 31, 2021 and I issued a disclaimer of opinion.

Disclaimer of Opinion

I do not express an opinion on the financial statements of Beitbridge Municipality. Because of the significance of the matters described in the Basis for Disclaimer of Opinion section of my report, I have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on the financial statements.

Basis for Disclaimer of Opinion

i. Supporting documentation

The Municipality processed post-year-end adjustments amounting to ZWL$242.84 million on key account balances such as revenue, cash, receivables, payables, and inventories. These adjustments had no supporting documentation. I therefore, could not obtain sufficient appropriate audit evidence to confirm the occurrence, accuracy and completeness of these adjustments.

ii. Valuation of Property, plant and equipment

The valuation of property, plant and equipment was performed by management as at December 31,2020. The property, plant and equipment valuations were determined in USD and then translated to Zimbabwe dollar (ZWL$) using the interbank exchange rate as at December 31,2021. The translated property, plant and equipment values in ZWL$ could not meet the fair values requirements of International Public Sector Accounting Standard (IPSAS) 46 – "Fair Value Measurement" as they did not reflect the assumptions that market participants would apply in valuing similar items of property, plant and equipment in ZWL$. I could not determine the extent of the adjustments that were necessary.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4- "The Effects of Changes in Foreign Exchange Rates" and IPSAS 10- "Financial Reporting in Hyperinflationary Economies"

The opening balances of Council's foreign currency denominated transactions and balances were translated into ZWL$ using interbank exchange rates. The exchange rates used did not meet the definition of spot exchange rates in accordance with (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates" due to non-availability of foreign currency for immediate delivery at the interbank exchange rates. In addition, the misstatements were not corrected in the financial statements for the year ended December 31, 2021. Had the Council used the correct spot rates, the inflation adjusted financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments"

The Council did not make an assessment for allowance for credit losses for receivables amounting to ZWL$564.7 million. This was contrary to IPSAS 41- "Financial Instruments" paragraph 81 which requires an assessment of allowance for credit losses at each reporting period. Had the Council made an assessment of allowance for credit losses, the receivables balance would have been materially different.

v. Revenue

The Council recognized revenue from business licenses amounting to ZWL$28.06 million on cash basis. This was contrary to IPSAS 23 - “Revenue from Non-exchange Transactions” which requires revenue to be recognized on accrual basis. Had the Council recognized revenue from business licenses on accrual basis, revenue and receivables disclosed in the financial statements would have been materially different.

Below are other material issues noted during the audit.

1. GOVERNANCE

1.1 Supporting documentation

Finding

The Municipality processed post-year-end adjustments amounting to ZWL$242.84 million on key account balances such as revenue, cash, receivables, payables, and inventories. These adjustments had no supporting documentation

Risk / implication

Misstatement of financial statements.

Recommendation

Management should ensure all transactions are posted into the system have supporting documentation.

Management response

Management has developed daily, monthly and year end Standard Operating Procedures with clear cut of dates. This will ensure that transactions are posted on time.

1.2 Bank reconciliations

Finding

Bank reconciliation statements were not being prepared and reviewed on time. This was contrary to section 6.1.3 of the Municipality Financial Regulations, which requires bank reconciliation statements to be prepared on a monthly basis.

Risk / implication

Errors and fraudulent activities can go undetected.

Recommendation

All bank reconciliations should be prepared and reviewed on time.

Management response

Management is seized with clearing a backlog caused by legacy issues. The current standard is that Bank Reconciliations should be done by the 10th of the following month.

2. MANAGEMENT OF ASSETS

2.1 Property, plant and equipment

Finding

The valuation of property plant and equipment was performed by management as at December 31,2020. The property, plant and equipment valuations were determined in USD and then translated to Zimbabwe dollar (ZWL$) using the interbank exchange rate as at December 31,2021. The translated property, plant and equipment values in ZWL$ could not meet the fair values requirements of International Public Sector Accounting Standard (IPSAS) 46 – "Fair Value Measurement" as they did not reflect the assumptions that market participants would apply in valuing similar items of property, plant and equipment in ZWL$.

Risk / implication

Misstatement of financial statements.

Recommendation

Management must comply with the requirements of IPSAS 4 – "Property, Plant and Equipment".

Management response

Management has budgeted for the valuation of property, plant and equipment using an independent expert. This is also in line with our IMAP.

3. REVENUE COLLECTION, MANAGEMENT AND DEBT RECOVERY

3.1 Receivables

Finding

The Council did not make an assessment for allowance for credit losses for receivables amounting to ZWL$564.7 million. This was contrary to International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments" paragraph 81 which requires an assessment of allowance for credit losses at each reporting period.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should make an assessment of allowance for credit losses.

Management response

Management will comply with IPSAS 41.

3.2 Customer billing

Finding

The Council recognized revenue from business licenses amounting to ZWL$28.06 million on cash basis. This was contrary to International Public Sector Accounting Standard (IPSAS) 23 - “Revenue from Non-exchange Transactions”, which requires revenue to be recognized on accrual basis. Had the Council recognized revenue from business licenses on accrual basis, revenue and receivables disclosed in the financial statements would have been materially different.

Risk/ implication

Misstatement of revenue and receivables.

Recommendation

The Municipality must recognise revenue on accrual basis as per IPSAS 23.

Management response

A database for customers is available and kept by the licencing department. The reason for recognising these customers is due to the timing between billing and the date the customer eventually pays in hyperinflationary conditions.

4. PROGRESS ON ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised three (3) findings, and all three (3) were not addressed as follows;

4.1 Valuation of property, plant and equipment

The finding was not addressed. Property, plant and equipment was not revalued.

4.2 Receivables reconciliations

The finding was not addressed. The Municipality did not perform reconciliations on its debtors.

4.3 Non-reconciling interfund account balances

The finding was not addressed. Municipality did not reconcile the inter-fund account balances.

BINDURA MUNICIPALITY 2022 and 2023

I have audited the financial statements of Bindura Municipality for the years ended December 31, 2022 and 2023 and I issued an adverse opinion for both years.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, in all material respects the financial position of Bindura Municipality as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 – "Segment Reporting"

The Council did not account for the revenue, expenses, assets and liabilities for its five (5) Schools in the financial statements affecting fair presentation. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52, which requires an entity to identify and disclose its separate segments. Had the Council complied with IPSAS 1- "Presentation of Financial Statements" and IPSAS 18- "Segment Reporting" in accounting for its schools, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

The Municipality did not carry out a revaluation of its property, plant and equipment since 2016 despite changes in the operating environment that affects fair values of items of property, plant and equipment. This was contrary to IPSAS 17 - "Property, plant and equipment", paragraphs 44 and 49 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount of assets do not differ materially from those which would be determined using fair value at the reporting date.

In addition, the Municipality did not also carry out an assessment of the residual values and useful lives of the property, plant and equipment contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 67 which requires the residual values and useful lives of assets to be assessed at least at each reporting date. Had the Municipality carried out a revaluation and an assessment of residual values and useful lives of its property, plant and equipment, the financial statements would have been materially different.

iii. Cash and cash equivalents

The Municipality was not performing monthly bank reconciliations. As a result, there was an unreconciled balance of ZWL$19.5 million between the figure disclosed in the financial statements of ZWL$147.7 million and cash book of ZWL$128.2 million. I was therefore unable to determine the accuracy of the amount disclosed in the financial statements.

iv. Water billing

The Municipality did not bill one thousand five hundred and ninety-eight (1598) households in

the Garikai area that were receiving Municipality water. There was no individual water meters installed that could enable billing for water consumed. Had the Council billed these households the revenue would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 29 – "Financial Instruments"

The Municipality did not re-assess the appropriateness of the judgements used in estimating the allowance for credit losses on receivables, instead a flat rate of 20% was applied and an allowance for credit loss on receivables of ZWL$752 million was recognised in the financial statements. This was contrary to IPSAS 29 - "Financial Instruments" paragraph 67 which requires the assessment of receivable recoverability at the end of each reporting period. I was unable to determine the accuracy and completeness of the allowance for credit losses.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 - "Inventories"

The Municipality did not value and account for inventory such as medical drugs as at December 31, 2022. This was contrary to IPSAS 12 – "Inventories" which requires items that meet the definition of inventory to be accounted for. Had the Municipality valued and recognised the medical drugs, the amounts disclosed in the financial statements would have been materially different.

vii. Non-compliance with International Public Sector Accounting Standards (IPSAS) 16- "Investment Property"

The Municipality did not account for land reserves measuring 27.3 hectares which was held for future development contrary to IPSAS 16 – "Investment Property" paragraph 12 (b) which requires an entity to account for land which is held for undetermined future use as investment property. I was therefore, unable to determine adjustments necessary to disclose the land reserve to investment property.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Bindura Municipality as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Municipality did not carry out a revaluation of its property, plant and equipment since 2016 despite changes in the operating environment that affects fair values of items of property, plant and equipment. This was contrary to IPSAS 45 - "Property, Plant and Equipment", paragraphs 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount of assets do not differ materially from those which would be determined using fair value at the reporting date. The Municipality did not also carry out an assessment of the

residual values and useful lives of the property, plant and equipment contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 48 which requires the residual values and useful lives of assets to be assessed at least at each reporting date. Had the Municipality carried out a revaluation and an assessment of residual values and useful lives of its property, plant and equipment, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 – "Segment Reporting".

The Municipality did not account for revenue, expenses, assets and liabilities of its six (6) Schools in the financial statements affecting fair presentation This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity and IPSAS 18- "Segment Reporting" paragraph paragraphs 52-57, which requires the Council to disclose for each segment, assets, liabilities, revenue, and expenses. Had the Council complied with IPSAS 1- "Presentation of Financial Statements" and IPSAS 18- "Segment Reporting" in accounting for its schools, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 - "Inventories"

The Municipality did not value and account for inventory such as medical drugs as at December 31, 2023. This was contrary to IPSAS 12 – "Inventories" which requires items that meet the definition of inventory to be accounted for. Had the Municipality valued and recognised the medical drugs, the amounts disclosed in the financial statements would have been materially different.

iv. Cash and cash equivalents

The Municipality was not performing monthly bank reconciliations. As a result, there were unreconciled balances of ZWL$403 million between the financial statements balance of ZWL$651 million and the cash book balance amounting to ZWL$248 million. I could therefore not be able to ascertain the completeness and accuracy of the amount of cash and cash equivalents disclosed in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Valuation of property, plant and equipment

Finding

The Municipality did not carry out a revaluation of its property, plant and equipment since 2016 despite changes in the operating environment that affects fair values of items of property, plant and equipment. This was contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 29, which requires assets to be revalued with sufficient regularity. In addition, the Municipality did not carry out an assessment of the residual values and useful lives of the property, plant and equipment contrary to IPSAS 45 paragraph 48 which requires the residual values and useful lives of assets to be assessed at least at each reporting date.

The Municipality did not also recognize 27.3 hectares of land in the financial statements resulting in non-compliance with IPSAS 45 – "Property, Plant and Equipment" which requires an entity to account for its land. The land could not be recognized as it was not valued.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should consider to revalue all its assets with sufficient regularity in compliance with IPSAS 45.

Management response

Valuation of property, plant and equipment has not been done due to non-responses by valuers. We have since engaged a valuer for the valuation hopefully they will be through to meet the 28 February 2025 submission deadline.

The piece of land measuring approximately 27.3ha was left vacant up to this day because of some constraints mainly Its proximity to the mining area. A tachometric survey will be conducted in order to pick all the features including boundaries and railway line servitude to determine the actual developable area and determine the actual land value for accounting purposes.

1.2 Accounting for Schools

Finding

The Municipality did not recognize the revenue, expenses, assets and liabilities of its five (5) schools in the financial statements for the year ended December 31, 2022 and 2023 for fair presentation. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity and IPSAS 18- "Segment Reporting" paragraph paragraphs 52-57, which requires the Municipality to disclose for each segment, assets, liabilities, revenue, and expenses.

Risk / implication

Misstatement of financial statements

Recommendation

The Municipality should account for all its schools.

Management response

The Municipality is currently not accounting for Schools following their handover to School Development Committees. Municipality is planning to account for its schools after a Look and Learn in 2025.

1.3 Expenditure

Finding

The Municipality reported expenditure inclusive of input tax during the year ended December 31, 2022. This was contrary to the requirements of International Public Sector Accounting Standard (IPSAS) 12 – "Inventories" paragraph 19 and IPSAS 17 – "Property, Plant and Equipment" paragraph 30(a) which requires exclusion of refundable taxes on recognition of expenses and assets.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should ensure that expenses and assets are recorded net of input VAT.

Management response

Noted. However, due to limited system support, management was not quick to pick up the error on VAT treatment. Going forward this claimable expenditure will not be included in the value of assets and expenses.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Management of leases

Finding

The Municipality was not updating the occupancy register for its "single quarters" houses located in the Chipadze area. The register provided for audit was last updated in the year 1993 with three hundred and fifty-eight (358) housing units. In addition, there were no lease agreements between the Municipality and the lessees. This was contrary to SI 144 of 2019 Section 102(2) which requires an Accounting Officer of an entity to ensure that proper controls are put in place for fixed assets under their charge.

Risk / implication

The Municipality may lack recourse in the case of disputes.

Recommendation

The Municipality should update its occupancy register and have lease agreements in place.

Management response

Noted. There are no rental and leases registers in place.

Management will however come up with a database for single quarters ratepayers for monitoring and update their lease registers.

Housing department intends to carry out an exercise that will come up with an annual lodger/tenant agreement and an updated register to be in place in 2024.

2.2 Water billing

Finding

The Municipality did not bill one thousand five hundred and ninety-eight (1598) households in the Garikai area that were receiving Municipality water as the households had no water meters. However, records showed that some houses in the same area were billed an average of 7 cubic meters (m^3) per month based on estimates. As a result, the Municipality lost approximately ZWL$12.1 million of water revenue. This was contrary to Statutory Instrument (SI) 144 of 2019 section 42(4) which requires the receivers of revenue to ensure that revenue collections are safeguarded and properly brought to account.

Risk / implication

Financial loss due to non-billing of water.

Misstatement of financial statements.

Recommendation

The Municipality should install water meters to all Garikai households to enable billing for actual water consumption.

Management response

Municipality takes note of non - billing of Garikai residents. Municipality has so far engaged the residents in the area to install individual water meters to enable billing of the properties. There are issues to be resolved between Municipality and the Stakeholders and residents of Garikai and the issue of billed water will be among the items to be discussed.

3. MANAGEMENT OF ASSETS

3.1 Inventory valuation

Finding

The Municipality did not value and account for inventory such as medical drugs as at December 31, 2023. This was contrary to IPSAS 12 – “Inventories” which requires items that meet the definition of inventory to be accounted for.

Risk / implication

Misstatement of financial statements.

Recommendation

Municipality should properly account for all inventories and make necessary disclosures in the financial statements.

Management response

Management has noted this and are making efforts to contact the supplier so that at least we get unit prices and invoices of donations to Municipality which we have not received. Prices of most drugs donated are not available over the counter. The drugs

inventory is being looked into urgently and the issue will be resolved. We now have donations registers at every clinic.

3.2 Front-end loader

Finding

The Municipality made an advance payment of US$90 850 to a supplier for the purchase of a front-end loader in 2018 without a bank guarantee. This was contrary to Public Procurement and Disposal Act [*Chapter 22:23*] section 82(5)(ii) which prohibits advance payment unless supplier furnishes an advance payment guarantee covering the amount of the advance payment. In addition, the front-end loader was not yet delivered.

Risk / implication

Financial loss due to non-delivery.

Recommendation

The Council should take appropriate action to recover and safeguard public assets.

Management response

Management has been making follow up on this equipment, management have no other option now but to engage Municipality lawyers for the recovery of this equipment. We are seeking a resolution from Municipality to engage lawyers, since it's now a long outstanding issue.

4. SERVICE DELIVERY ISSUES

4.1 Raw water

Finding

The Municipality's source of raw water was contaminated by gold panning activities which was taking place upstream. This was evidenced by results of raw water laboratory tests conducted by the Municipality. This resulted in increased cost to the Municipality in water purification as the Municipality was using 25 bags of water treating chemicals instead of the ideal 7 bags resulting in excess cost of 18 bags per day to the Municipality.

Risk / implication

Financial losses as a result of increased water chemicals costs.

The quality of water may compromise the health of residents/clients.

Recommendation

The Municipality should engage the parent ministry and other stakeholders to manage and stop water pollution.

Management response

This is noted. Management will continue to engage ZINWA, EMA, ZRP, Ministry of Mines and Minister of State for Provincial Affairs Mashonaland Central.

5.1 Landfill facility

Finding

The Municipality did not have a landfill for disposal of waste material. As a result, the Municipality was using a dumpsite at Trojan Mine. This was contrary to the Environmental Management Act [*Chapter 20:27*], First Schedule 11(a) which requires the Municipality to have a landfill facility for solid waste management.

Risk / implication

Financial loss due to penalties.

Recommendation

The Council should develop a landfill facility for proper waste management.

Management response

Municipality has been and continues to be seized with the need to develop a landfill. As a law-abiding organization, Municipality engaged the Ministry of Lands with the request for land allocation for the development of a landfill as way back as 2017. This is because Municipality has run out of land for expansion and there is no suitable land within the current Municipality boundaries.

Land suitable for a landfill was identified at neighboring Kingstone Farm but to date the allocation has not been finalized despite numerous engagements. Efforts continue to be made to facilitate allocation of the required land and as soon as land is availed, a landfill will be developed.

5. PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Municipality made some progress in addressing findings that I raised in my 2023 annual report. I raised twenty (20) findings, eight (8) were addressed, two (2) were partially addressed and ten (10) were yet to be addressed as indicated below;

5.1 Cash and cash equivalents

The finding was not addressed. Bank reconciliations were still not being done for 2022 and 2023.

5.2 Devolution acquittals

The finding was not addressed. Municipality did not acquit devolution funds received in 2023.

5.3 Nostro account

The finding was not addressed. The USD bank accounts were not created in the system.

5.4 Financial management- investments

The finding was addressed. The investments have since been accounted for and journals have been passed to that effect.

5.5 Business licences

The finding was addressed. Inspection of the seven business operators was done.

5.6 Revenue from business licences

The finding was addressed. An updated business schedule was availed for audit.

5.7 Beer levy revenue

The finding was addressed. The Brewer was engaged and the reconciliations were done.

5.8 Stands received as endowments

The finding was not addressed. Management is still engaging the land developers.

5.9 Sale of institutional stands

The finding was not addressed. Housing allocations are still being done manually.

5.10 Discount allowed on stands

The finding was addressed. Stand prices were adjusted and most of the Municipality Councillors have since collected their amended contract copies.

5.11 Fire tender and ambulance

The finding was addressed. Municipality received fire tenders from the government.

5.12 Devolution expenditure

The finding was addressed. Management resolved to ring fence the account and no further internal advances from the account.

5.13 Staff establishment

The finding was not addressed. The new organizational structure was not yet approved by the HR and Finance Committee.

5.14 Payroll costs

The finding was addressed. The differences were reconciled.

5.15 Valuation of property, plant and equipment

The finding was not addressed. Municipality has not yet revalued its property, plant and equipment.

5.16 Asset register balances

The finding was not addressed. The asset module is not digitalized.

5.17 Shaft on Council stores premises

The finding was not addressed. Municipality did assess the potential risk posed by the shaft.

5.18 Sewer challenges

The finding was not addressed. Nothing yet on Bamas and chicken lovers since they closed operations.

5.19 Water challenges

The finding was partially addressed. Water is now reaching the affected wards. However, water pipes for Ward 10 were still being replaced.

5.20 Road maintenance

The finding was partially addressed. Council fixed part of the drainage works and the whole area needs a new design as road is lower than drainage pipes.

I have audited the financial statements of Chegutu Municipality for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chegutu Municipality as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Municipality did not recognise Schools' buildings, furniture and land reserves measuring five hundred and twenty-six (526) hectares in the financial statements for the year ended December 31, 2023 contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires buildings and land to be recognised as assets.

In addition, the Municipality did not carry out an assessment of the residual values and useful lives of the property, plant and equipment contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 48 which requires the residual values and useful lives of assets to be assessed at each reporting date. Had the Municipality recognised its schools' buildings and land reserves, assess useful lives and residual values, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Municipality did not disclose the fair values of its investment properties contrary to IPSAS 16 - "Investment Property" paragraph 90, which requires fair values of investment property to be disclosed even when the cost model has been adopted. Had the Municipality disclosed the fair values, investment property would have been fairly presented.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments"

The Municipality recognised allowance for credit losses of ZWL$5.48 billion at a flat rate of 20% on gross receivables without taking into account the recoverability and changes in credit risk of the receivables. This was contrary to IPSAS 41 – "Financial instruments" paragraph 81, which requires the assessment at each reporting date to determine whether the credit risk on a financial instrument has increased significantly since initial recognition. Had the Municipality determined and recognised allowance for credit losses in line with the requirements of IPSAS 41 – "Financial Instruments", the disclosed receivables balance would have been materially different.

iv. Opening balance

The Municipality did not recognise its share of residual interest arising from a joint arrangement which was wound up in the year 2022. In this regard the Municipality's 2023 accumulated fund, assets and liabilities opening balances misstatements have an impact on the current year

financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 36 - “Investments in Associates and joint ventures”, paragraph 26 which requires the Municipality to recognise the retained interest in the former joint venture as a financial asset measured at fair value. The Municipality could not determine the residual interest as it was unable to obtain audited financial statements of the joint arrangement in order to determine its 10% share from the residual interest of the joint arrangement’s net assets. I was therefore not able to determine the extent by which the financial statements were misstated and any adjustments that could have been necessary.

v. Donations

The Municipality did not recognise the revenues and assets arising from donations which included two (2) vehicles and medical equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 47 – “Revenue” paragraph 30, which requires an inflow of resources that meet the asset recognition criteria to be measured at its current value. Had the Municipality recognised the revenue and assets arising from donations the financial statements would have been materially different.

vi. Inventories

The Municipality recognised stands inventory valued at ZWL$2.71 billion which was not substantiated by underlying records. In addition, the Municipality did not recognise construction materials at its schools. I could not therefore establish the extent of the misstatement in the inventories disclosed.

vii. Expenditure without supporting documentation

The Municipality recognised education services expenditure amounting to ZWL$7.98 million which was not supported with requisite documents such as cash payment advice, invoices or receipts and delivery notes. As a result, I could not satisfy myself on the accuracy and validity of the expenditure reported in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Opening balances

Finding

The Municipality did not recognise its share of residual interest arising from a joint arrangement which was wound up in the year 2022. In this regard the Municipality’s 2023 accumulated fund, assets and liabilities opening balances misstatements had an impact on the current year financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 36 - “Investments in Associates and joint ventures”, paragraph 26 which requires the Municipality to recognise the retained interest in the former joint venture as a financial asset measured at fair value. The Municipality could not determine the residual interest as it was unable to obtain audited financial statements of the joint arrangement in order to determine its 10% share from the residual interest of the joint arrangement’s net assets. I was not provided with documentary evidence supporting how the net assets of the joint arrangement was shared / distributed on winding up of operations.

Risk / implication

Misstatement of the financial statements

Recommendation

The Municipality should account for its residual interests in the joint arrangement.

Management response

The Municipality shall obtain financial statements pertaining to the joint venture so as to determine residual interest.

1.2 Overdraft facilities

The Municipality was funding its salaries through overdraft facilities for three (3) consecutive years (2022-2024). This was contrary to section 292 of the Urban Councils Act [*Chapter 29:15*], which requires salaries of permanent employees to be funded from revenue.

Risk / implication

Service delivery may be compromised due to dependency on borrowed funds.

Recommendation

The Municipality should explore other revenue streams and improve its revenue collection efforts in order to avoid dependency on overdrafts.

Management response

An overdraft facility was approved by Municipality for the purpose of temporary financial accommodation in terms of Section 291 of the Act. Replenishment of the overdraft was done using the rates account, which ordinarily funds wages and salaries. The overdraft facility was accessed as a short-term strategy whilst medium to long term strategies were being employed.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Expected credit losses

Finding

The Municipality did not have a debt management policy in place. As a result, the Municipality recognised allowance for credit losses amounting to ZWL$5.48 billion at a flat rate of 20% on gross receivables without taking into account the recoverability and changes in credit risk of the receivables. This was contrary to International Public Sector Accounting Standard (IPSAS) 41 – “Financial instruments” paragraph 81, which requires the assessment at each reporting date to determine whether the credit risk on a financial instrument has increased significantly since initial recognition.

Risk / implication

Misstatements of financial statements.

Recommendation

The Municipality should assess allowance for credit losses on its receivables in compliance with the requirements of IPSAS 41.

Management response

Noted. A policy on expected credit losses will be crafted so as to comply with IPSAS 41.

2.2 Donations

Finding

The Municipality did not recognize the revenues and assets arising from donations which included two (2) vehicles and medical equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 47 – "Revenue" paragraph 30, which requires an inflow of resources that meet the asset recognition criteria to be measured at its current value.

Risk / implication

Misappropriation of donated goods.

Misstatement of financial statements.

Recommendation

Municipality should put in place policies and procedures for the accounting and recognition of donations.

Management response

Noted. The policy and procedures shall be put in place in the first quarter of 2025.

3. PROCUREMENT OF GOODS AND SERVICES

3.1 Expenditure

Finding

The Municipality procured sixteen (16) Samsung S9 Tablets at a total value of US$15 900 which were not in the budget for in 2023 contrary to the Public Finance Management Act [*Chapter 22:19*].

Risk / implication

Override of controls leading to misappropriation of funds.

Compromised service delivery due to unbudgeted procurements.

Recommendation

The Municipality should commit on expenditure that has been budgeted for.

Management response

Noted. It was an oversight on our part that 2023 was an election year which then required us to budget for gadgets of the incoming sixteen (16) Councillors.

3.2 Expenditure supporting documentation

Finding

The Municipality recognised education services expenditure amounting to ZWL$7.98 million which was not supported with requisite documents such as cash payment advice, invoices or receipts and delivery notes. I could not ascertain whether this expenditure was valid as the School was not requesting for invoices and or receipts on expenditure incurred. This was contrary to accounting procedures manual on retention of expenditure supporting documentation.

Risk / implication

Misstatement of financial statements.

Misappropriation of funds.

Recommendation

The School should obtain and retain invoices and receipts to adequately support expenditure.

Management response

Receipts will be attached to respective payment vouchers while the School will actively pursue with National Association of Primary Heads (NAPH) and Better Schools Programme Zimbabwe (BSPZ) to obtain the supporting documents. In future the School will insist on invoices, delivery notes and receipts from all suppliers and service providers.

4. MANAGEMENT OF ASSETS

4.1 Valuation of investment property

Finding

The Municipality did not disclose the fair values of its investment properties contrary to International Public Sector Accounting Standard (IPSAS) 16 - “Investment Property” paragraph 90, which requires fair values of investment property to be disclosed even when the cost model has been adopted.

Risk / implication

Misstatement of financial statements.

Recommendation

The Municipality should disclose fair values of its investment property.

Management response

Noted. Fair value of investment property shall be determined at the end of each financial year as to comply with IPSAS 16.

4.2 Assessment of useful lives

Finding

The Municipality did not carry out an assessment of the residual values and useful lives of the property, plant and equipment contrary to IPSAS 45 – "Property, Plant and Equipment" which requires the residual values and useful lives of assets to be assessed at each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

The Municipality should assess useful lives of assets at each reporting date.

Management response

Noted. The assessment of useful life will be carried out in the 2024 financial year.

4.3 Recognition of Schools

Finding

The Municipality did not recognise school's buildings, furniture and land reserves measuring five hundred and twenty-six (526) hectares in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" which requires buildings, furniture and land to be recognised as assets.

Risk / implication

Misstatement of property plant and equipment.

Misappropriation of assets.

Recommendation

Municipality should recognize buildings, furniture and land reserves in the financial statements.

Management response

Noted. A record of land reserves shall be kept and these will be included in the financial statements from 2024 financial year.

4.4 Stands inventory

Finding

The Municipality recognised stands inventory valued at ZWL$2.71 billion which was not substantiated by underlying records. In addition, the Municipality did not recognise construction materials at its schools. This was contrary to section 286 of the Urban Councils Act [*Chapter 29:15*] which requires Municipality to maintain a true and proper record of all matters relating to the financial transactions of the Municipality.

Risk / implication

Misstatement of financial statements.

Misappropriation of public resources.

Recommendation

Management should maintain true and proper records of stands inventory.

Management response

Noted. A reconciliation exercise shall be carried out which will involve comparing stands according to: General plan, stand files, SIMACC and PROMUN.

5. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND MPLEMENTATION OF RECOMMENDATIONS

The entity has made little progress in addressing audit findings and recommendations raised in my previous audit report. I raised twenty (20) audit findings, seven (7) were addressed, two (2) were partially addressed and eleven (11) were not addressed as indicated below;

5.1 Accounting for schools

The finding was addressed. The Municipality accounted for its Schools in the 2023 financial statements.

5.2 Value added tax

The finding was addressed. The Municipality engaged PRAZ and ZIMRA on the issue with the intention of harmonizing the requirements from the two regulators.

5.3 Beer levy revenue

The finding was addressed. Some breweries that discontinued their products from the Chegutu market.

5.4 Taxation of termination benefits

The finding was not addressed. Terminal benefits were not being processed through the payroll system.

5.5 Awarding of contracts

The finding was addressed. All procurements are now being done with PRAZ registered companies.

5.6 Assessment of useful lives

The finding was not addressed. Assessment of useful life of assets is going to be done at the end of year starting 2024 as required by IPSAS.

5.7 Joint venture interest

The finding was not addressed. Audited financial statements were not obtained and no residual interest was recognised.

5.8 Taxation

The finding was not addressed. The Municipality continues to issue stands and other benefits to its employees without deducting the income tax.

5.9 Payables reconciliations

The finding was addressed. The variance was reconciled.

5.10 Accounting for donations

The finding was not addressed. The Council did not put in place donations register and did not account for donations.

5.11 Stands register

The finding was not addressed. Housing module in the PROMUN was not operationalised.

5.12 Service industry- durawall

The finding was addressed. The finding was addressed through regularisation of change in use.

5.13 Solid waste management

The finding was not addressed. The Council has not opened a new landfill.

5.14 Councillor's allowances

The finding was addressed through recovering the overpaid allowances.

5.15 Policy document

The finding was partially addressed. Policies drafted and waiting for Council approval.

5.16 Bank reconciliations

The finding was not addressed. Variances not yet cleared.

5.17 Street lighting

The finding was partially addressed. The finding is being implemented in phases.

5.18 Beer levy

The finding was not addressed. Schedules not yet received from brewers.

5.19 Meter status

The finding was not addressed. Properties are yet to be installed with functional water meters.

5.20 Wheel clamping

The finding was not addressed. Municipality not yet issuing tickets stating the offenses committed and amounts due.

I have audited the financial statements of Chinhoyi Municipality for the year ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the accompanying financial statements do not present fairly the financial position of Chinhoyi Municipality as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 – "Presentation of Financial Statements" and IPSAS 18 – "Segment Reporting"

The Council did not recognise revenue, expenses, assets and liabilities of its eight (8) Schools in the financial statements. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 12, which requires an entity to identify and disclose its separate segments. Had the Council complied with IPSAS 1 – "Presentation of Financial Statements" and IPSAS 18 – "Segment Reporting" in accounting for its Schools, the financial statements would have been materially different.

ii. Non-Compliance with International Public Sector Accounting Standard (IPSAS) 45- "Property, Plant and Equipment"

The Council did not revalue its property, plant and equipment with a carrying amount of ZWL$ 9.84 billion since 2019. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires an entity to conduct revaluations with sufficient regularity. In addition, the value of land was not separated from buildings for depreciation calculation purposes. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 50 which prohibits the depreciation of land. Had the Council revalued its property, plant and equipment with sufficient regularity, and disclosed the land and buildings separately, the financial statements would have been materially different.

iii. Non-Compliance with International Public Sector Accounting Standard (IPSAS) 21- "Impairment of Non-Cash Generating Assets" and IPSAS 16 - "Investment Property"

The Council did not assess its assets for impairment at the reporting date despite the assets having impairment indicators. In addition, the Council did not disclose the fair value of its investment properties contrary to IPSAS 16 – "Investment Property" paragraph 90 which requires Council to disclose the fair value of investment property even when the cost model has been adopted. Had the Council assessed the property, plant, and equipment, for impairment and disclosed the fair value of investment property the financial statements would have been materially different.

iv. Shop licensing income

The Council invoiced seven hundred and fifty-one (751) businesses from a database containing two thousand seven hundred and sixty - eight (2 768) operational businesses resulting in two thousand and seventeen (2 017) operational businesses not being invoiced. I could not satisfy myself on the accuracy and completeness of revenue from shop licenses amounting to ZWL$625 million accounted for in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Council schools

Finding

The Council did not recognise revenue, expenses, assets and liabilities of its eight (8) Schools in the financial statements. This was contrary to IPSAS 1- “Presentation of Financial Statements” paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity and IPSAS 18- “Segment Reporting” paragraph 12, which requires an entity to identify and disclose its separate segments.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for the revenue, expenses, assets and liabilities of schools in its financial statements.

Management response

The Council shall account for the revenue, expenses, assets and liabilities of schools in its 2024 financial statements.

2. MANAGEMENT OF ASSETS

2.1 Revaluation of property plant and equipment

Finding

The Council did not revalue its property, plant and equipment since 2019. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 - “Property, Plant and Equipment” paragraph 29 which requires an entity to conduct revaluations with sufficient regularity. In addition, the value of land was not separated from buildings for depreciation calculation purposes contrary to IPSAS 45 - “Property, Plant and Equipment” paragraph 50 which prohibits the depreciation of land.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should revalue its property plant and equipment and account for land separately.

Management response

The Council is planning to revalue its property plant and equipment in the 2024 financial year.

2.2 Impairment of assets

Finding

The Council did not assess its assets for impairment at the reporting date despite the assets having impairment indicators. In addition, the Council did not disclose the fair value of its investment properties contrary to International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property" paragraph 90 which requires Council to disclose the fair value of investment property even when the cost model has been adopted.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should assess its assets for impairment and disclose the fair value of its investment property.

Management response

Council intends to do a reliable impairment review, which failed to take place because the required funds to carry out the exercise could not be availed because of cash flow constraints. In the future Council will capacitate the Estates and Valuations Officer to do the exercise. The valuation of the investment properties shall be done by the Estates and Valuations Officer for the 2023 financial year to ensure compliance with IPSAS 16.

3. REVENUE COLLECTION AND DEBT RECOVERY

3.1 Business license fees

Finding

The Council invoiced seven hundred and fifty-one (751) businesses from a database containing two thousand seven hundred and sixty - eight (2 768) operational businesses resulting in two thousand and seventeen (2 017) operational businesses not being invoiced. I could not satisfy myself on the accuracy and completeness of revenue from shop licenses amounting to ZWL$625 million accounted for in the financial statements included in revenue from transactions without binding arrangements.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should invoice businesses for shop licenses.

Management response

Noted. The recommendations have been partially implemented in the 2023 financial year. 2025 will start implementing the Local Authority Digital system to rectify the challenges on shop licenses.

4. PROGRESS TOWARDS ADDRSSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Municipality did not make progress in addressing findings that I raised in my 2023 annual report. I raised fourteen (14) findings which were not addressed as indicated below;

4.1 Fuel allocations

The finding was not addressed. The variance of the fuel allocations were not accounted for.

4.2 Business license fees

The finding was not addressed. The Council did not invoice business licenses fees for its businesses.

4.3 Shop licensing

The finding was not addressed. The Council was not invoicing these shop licensing.

4.4 Reserve parking

The finding was not addressed. No agreements were made between the Council and its clients.

4.5 Billboards

The finding was not addressed. No invoicing of billboards was done.

4.6 Valuation of property, plant and equipment

The finding was not addressed. The Council did not revalue its property, plant and equipment.

4.7 Accounting for schools

The finding was not addressed. The Council did not account for schools.

4.8 Land and buildings

The finding was not addressed. The Council did not separate land and buildings.

4.9 Employee benefits

The finding was not addressed. The Council was still processing benefits outside the payroll.

4.10 Sewer management

The finding was not addressed. The Council is still discharging raw sewerage into nearby rivers.

4.11 Water meters

The finding was not addressed. The Council still uses estimates for billing purposes.

4.12 Stands development

The finding was not addressed. The encroachment has not been reversed.

4.13 Stand allocations on wetlands

The finding was not addressed. The affected beneficiaries have not been relocated.

4.14 School fees allowances

The finding was not addressed. Allowances were not taxed.

I have audited the financial statements of the Chitungwiza Municipality for the years ended December 31, 2021 and 2022 and I issued a qualified opinion for both years.

Qualified Opinion 2021

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Chitungwiza Municipality as at December 31, 2021 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 – "Financial Reporting in Hyper-Inflationary Economies"

The Municipality did not adjust the financial statements for inflation contrary to the requirements of IPSAS 10 - "Financial Reporting in Hyper-Inflationary Economies" which requires the financial statements of an entity whose functional currency is the currency of a hyperinflationary economy to be stated in terms of the measuring unit current at the reporting date. On October 11, 2019, the Public Accountants and Auditors Board (PAAB) issued pronouncement 01/2019, which highlighted a general consensus within the accounting and audit profession that the factors and characteristics to apply the IPSAS 10- "Financial Reporting in Hyper-Inflationary Economies" in Zimbabwe had been met and the standard should be applied from July 01, 2019 and financial statements of entities with yearend on or after this date should be hyper inflated. Had the Municipality adjusted their financial statements for hyperinflation the financial statements would have been materially different.

ii. Payables

The Municipality did not avail reconciliations and adequate documentary evidence to support payroll payables amounting to ZWL$402.13 million. I was unable to obtain sufficient and appropriate audit evidence to verify the completeness, accuracy and valuation of the payroll payables. I therefore could not satisfy myself of the validity and accuracy of the trade payables balance disclosed in the financial statements.

Qualified Opinion 2022

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chitungwiza Municipality as at December 31, 2022 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

The Municipality did not recognize its infrastructure assets such as road networks in the financial statements contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised as property, plant and equipment. In addition, the Municipality last revalued its property, plant and equipment in the year 2019

contrary to IPSAS 17 - “Property, Plant and Equipment” paragraph 44 which requires revaluations to be performed with sufficient regularity to ensure that the carrying amount does not differ materially from the fair value at the reporting date. Had the Municipality accounted for its infrastructure assets and revalued its assets the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Non-compliance with IPSAS 10 – “Reporting in Hyper Inflationary Economies”

Finding

The Municipality did not adjust the financial statements for inflation contrary to the requirements of IPSAS 10 – “Reporting in Hyperinflationary Economies” which requires the financial statements of an entity whose functional currency is the currency of a hyperinflationary economy to be stated in terms of the measuring unit current at the reporting date. Zimbabwean entities were operating in a hyper inflationary environment during the period under review. On October 11, 2019, the Public Accountants and Auditors Board (PAAB) issued pronouncement 01/2019, which highlighted a general consensus within the accounting and audit profession that the factors and characteristics to apply the IPSAS 10 had been met and the standard should be applied from July 1, 2019 and financial statements of entities with year-end on or after this date should be hyper inflated.

Risk / implication

Misstatement of financial statements.

Recommendation

Municipality should hyper inflate historical financial statements to comply with IPSAS 10.

Management response

The observation has been noted. We will implement the recommendation and ensure inflationary adjusted accounts are done from the year ending December 31, 2023 onwards.

1.2 Accounting for infrastructure assets

Finding

The Municipality did not recognise infrastructure assets such as road networks in the financial statements contrary to IPSAS 17 “Property, Plant and Equipment” paragraph 21 which requires infrastructure assets to be recognised as property, plant and equipment

Risk / implication

Misstatement of financial statements.

Recommendation

The Municipality should recognise infrastructure assets.

Management response

Our Works Department is working on coming up with values for infrastructure assets so that they can be included in the 2025 financial statements.

1.3 Revaluation of assets

Finding

the Municipality last revalued its property, plant and equipment in the year 2019 despite operating in a hyperinflationary environment. This was contrary to IPSAS 17 - “Property, Plant and Equipment” paragraph 44 which requires revaluations to be performed with sufficient regularity to ensure that the carrying amount does not differ materially from the fair value at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

The Municipality should revalue its property, plant and equipment to comply with IPSAS 17 - “Property, Plant and Equipment”.

Management response

We have engaged Ministry of Local Government to assist in valuing the assets.

1.4 Management of leases

Finding

The Municipality’s lease contract management controls were not adequate. During the year ended December 31,2021, Zengeza 4 butchery was listed as vacant in the Municipality’s records, yet the property was occupied and the tenant was not paying any rentals. There was no evidence of a contract and the Municipality could not explain how the butchery was occupied. In addition, the Municipality had forty-two (42) leased properties that did not have valid contracts for the year ended December 31, 2022.

Risk / implication

Financial loss due to fraud.

Recommendation

Municipality to conduct a thorough investigation into illegally occupied properties, including Zengeza 4 butchery, to identify unauthorized tenants and take appropriate legal action to evict them.

Municipality should have lease agreements in place for all its properties.

Management response

The tenant for Zengeza 4 Butchery was evicted from the premises. Nonetheless the overall audit observation and recommendation are duly noted for implementation. Going

forward, regular inspections at least once quarterly of Municipality properties will be undertaken through the District Officers. On the other hand, the Department responsible for property management is stepping its efforts in terms of enforcing lease agreements and ensuring that each tenant has a valid lease agreement.

Some leases were not signed yet some were still operational because they were legal issues because previous tenants had refused to vacate the premises. The Municipality has included the position of a property specialist who will be responsible for managing Municipality properties and at the same time Municipality is in the process of making tenants sign leases. The Municipality procured a Lease Management Software from Harare Institute of Technology and this will assist the organization in digitalization of records for Municipality rented properties and streamline operations.

1.5 Bank reconciliations

Finding

The Municipality had a backlog in financial statements preparation and audit. As a result, the Municipality did not perform monthly bank reconciliations on time for the year under review. Only one reconciliation was done for each bank account as at December 31, 2021.

Risk / implication

Irregular transactions may go undetected.

Recommendation

Municipality should perform bank reconciliations on a monthly basis and on time.

Management response

The observation has been noted. This was caused by the backlog in preparation of financial statements. The issue is to be resolved as Municipality is working on clearing all outstanding audits by December 31, 2024

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Payables

Finding

Included in the payables balance were payroll payables amounting to ZWL$402.13 million which had no reconciliations and adequate documentary evidence to support the balance. I was unable to obtain sufficient and appropriate audit evidence to verify the completeness, accuracy and valuation of the payroll payables.

Risk / implication

Misstatement of financial statements.

Irregular transactions may not be detected on time.

Recommendation

Municipality to perform payables reconciliations on a monthly basis and on time.

Management response

The variances are caused by estimations on payroll creditors, when we post in our ledgers, we use actual deductions from the payroll whereas payroll creditors are sometimes given estimates due to delays in processing of payrolls. Going forth reconciliations will be done monthly on all creditors to avoid last minute errors and miscalculations.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Municipality made progress in addressing audit findings and recommendations raised in my previous audit report. I raised fourteen (14) audit findings, eight (8) were addressed, two (2) were partially addressed while four (4) were not addressed as indicated below;

3.1 Statutory deductions

The finding was partially addressed. The Municipality is currently on a payment plan with the statutory bodies as some are legacy debts which were accumulating interest.

3.2 Accuracy of financial statements

The finding was addressed. The Municipality prepared inflation adjusted financial statements.

3.3 Payables

The finding was not addressed. The Municipality did not reconcile its payables.

3.4 Creditors with debit balances

The finding was addressed. Municipality secured invoices for the transactions and the creditors were credited in order to clear the negative balances.

3.5 City of Harare water purchases

The finding was not addressed. Municipality did not repair the bulk water meter.

3.6 Stand sales

The finding was not addressed. Municipality has not provided the forty-three (43) files for stands sold in 2019.

3.7 Business licenses

The finding was addressed. Municipality recognised revenue for licenses on accrual basis.

3.8 Receivables

The finding was partially addressed. Municipality's IT department did not input all required information on new allocations.

3.9 Beer levy

The finding was addressed**.** The Municipality obtained beer levy schedules from the brewer.

3.10 Management fuel allowances

The finding was addressed. Fuel allowances were taxed through payroll.

3.11 Revaluation of assets

The finding was not addressed. The Municipality did not revalue its assets.

3.12 Water meters

The finding was not addressed. Faulty meters were not replaced.

3.13 Inventory

The finding was addressed. The inventory balance was supported by a valuation report and stock count records.

3.14 Bank balances

The finding was addressed. Bank reconciliations were done.

GWANDA MUNICIPALITY 2022 AND 2023

I have audited the financial statements of Gwanda Municipality for the years ended December 31, 2022 and 2023 and I issued an adverse opinion for both years.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present the financial position of the Gwanda Municipality as at December 31, 2022 and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard (IAS) 16 – "Property, Plant and Equipment"

The Municipality did not depreciate its property, plant and equipment. This was contrary to IAS 16 - "Property, Plant and Equipment" which requires that property, plant and equipment be depreciated over their useful life. Had the Municipality charged depreciation on these items, the carrying amount of property, plant and equipment would be materially different.

ii. Non-compliance with International Accounting Standard (IAS) 36 – "Impairment of Assets"

The Municipality did not carry out an impairment assessment of non-current assets as at December 31, 2022 contrary to IAS 36 – "Impairment of Assets" which requires an assessment for indicators of impairment to be done at the end of each reporting date. Had the Municipality carried out an assessment of impairment, the carrying amount of property, plant and equipment would have been materially different.

iii. Non-compliance with International Financial Reporting Standard (IFRS) 9 – "Financial Instruments"

The Municipality did not provide for allowance for credit losses on receivables contrary to the requirements of IFRS 9 – "Financial instruments", which requires an assessment of receivables at the end of the reporting period. Had the Municipality applied the requirements of IFRS 9 - "Financial Instruments" the receivables disclosed would have been materially affected.

iv. Non-compliance with International Accounting Standard (IAS) 29 – "Financial Reporting in Hyperinflationary Economies"

The Municipality applied inappropriate conversion factors in inflation adjusting of items of financial statements contrary to the requirements of IAS 29 – "Financial Reporting in Hyperinflationary Economies". All non-monetary assets in existence as at January 1, 2022 were restated by applying yearly average conversion factors and were not restated from date of acquisition. Had the Municipality restated non-monetary assets by applying appropriate conversion factors, the financial statements would be materially different.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position

of Gwanda Municipality as at December 31, 2023 and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Value Added Tax

The Municipality was using 14.5% when calculating Value Added Tax on revenue instead of 15% gazetted for the year 2023. Had the Council used the gazetted rate the Value Added Tax would have been different.

ii. Receivables

There was an unresolved variance of ZWL$2.5 million between receivables balance of ZWL$20.18 million and the age analysis which had a balance of ZWL$17.67 million. I could not satisfy myself on the accuracy of receivables reported on the financial statements.

iii. Non-compliance with International Accounting Standard (IAS) 16 – "Property, Plant and Equipment"

The Council did not properly maintain a record of its assets in the form of a comprehensive fixed asset register. As a result, the carrying amount per Council's asset register differed with property, plant and equipment balance disclosed in the financial statements by ZWL$208.45 million. In addition, the Municipality did not depreciate its assets in the 2023 year. This was contrary to IAS 16 – "Property, Plant and Equipment" which requires assets to be depreciated over their useful lives. Had the Council maintained an updated asset as the basis for carrying amount, the financial statements would have been materially different

iv. Payroll variance

The Municipality experienced system challenges resulting in ZWL$3.74 billion being processed outside payroll. Consequently, the payroll summaries had an amount of ZWL$3.75 billion which did not agree with the financial statement amount of ZWL$8.21million. No reconciliations were performed by the Municipality to reconcile salaries and wages per the payroll summaries to salaries and wages per the ledger.I could not satisfy myself on the accuracy of payroll expenses reported in the financial statements.

v. Non-compliance with International Accounting Standard (IAS) 40 - "Investment Property"

The Municipality accounted for properties held to earn rentals as property, plant and equipment. This was contrary to IAS 40 - "Investment Property" which require such properties to be recognised as Investment Property. Had the Municipality accounted for these properties as Investment property, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Impairment of assets

Finding

The Municipality did not carry out an impairment assessment of non-current assets as at December 31, 2022 contrary to International Accounting Standards (IAS) 36 - “Impairment of assets” which requires an assessment for indicators of impairment to be done at the end of each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

The Municipality should carry out an impairment assessment at the end of each reporting period in compliance with IAS 36.

Management response

This is noted. Council will make an assess for impairment starting in the following year. The newly adopted International Public Sector Accounting Standards will assist in this regard as staff are undergoing training.

1.2 Property, plant and equipment

Finding

The Municipality did not depreciate its property, plant and equipment contrary to the requirements of IAS 16 – “Property, Plant and Equipment” which requires depreciable items of property, plant and equipment to be depreciated over their useful life.

In addition, the Council did not properly maintain a record of its assets in the form of a comprehensive fixed asset register. As a result, the carrying amount per Council’s asset register differed with property, plant and equipment balance disclosed in the financial statements by ZWL$208.45 million.

Risk / implication

Misstatement of financial statements.

Recommendation

The Municipality should maintain an asset register to be the basis for depreciating its assets in compliance with IAS 16 - “Property, Plant and Equipment”.

The Municipality should update its assets register.

Management response

This is noted. A fixed asset management policy that has provision for depreciating various fixed assets shall be crafted.

1.3 Value Added Tax

Finding

The Municipality was using 14.5% when calculating Value Added Tax on revenue instead of the 2023 gazetted rate of 15%.

Risk / implication

Misstatement of financial statements.

Financial loss due to penalties.

Recommendation

The Municipality should charge 15 % Valued Added Tax.

Management response

The audit finding is noted. Council delayed system setup for updating the VAT rate.

1.4 Investment property

Finding

The Municipality accounted for properties held to earn rentals as property, plant and equipment. This was contrary to International Accounting Standard (IAS) 40 - "Investment Property", which requires such properties to be recognised as Investment Property.

Risk/ implication

Misstatement of financial statements.

Recommendation

The Municipality should account for properties held to earn rentals as Investment property.

Management response

Commercial property shall be re-classified under IAS 40 since their rentals are market related.

1.5 Payroll

Finding

The Municipality experienced system challenges resulting in ZWL$3.74 billion being processed outside payroll. Consequently, the payroll summaries had an amount of ZWL$3.75 billion which did not agree with the financial statement amount of ZWL$8.21million. No reconciliations were performed by the Municipality to reconcile salaries and wages per the payroll summaries to salaries and wages per the ledger.

Risk/ implication

Misstatement of financial statements.

Recommendation

Municipality should rectify the system challenges and reconcile the variances.

Management response

This was due to the system challenge which shall be rectified by the migration to a new ERP system. A journal shall be passed to rectify the error.

1.6 Asset ownership

Finding

The Municipality had three (3) motor vehicles which were not registered in the Municipality's name. I was not availed with the registration books of the vehicles.

Risk / implication

Municipality vehicles may be misappropriated.

The Municipality may lose the vehicles in case of legal disputes.

Recommendation

Municipality should register the vehicles in its name.

Management response

This is noted. The change of ownership shall be done.

1.7 Hyperinflation accounting

Finding

The Municipality applied inappropriate conversion factors in inflation adjustment of items of financial statements contrary to the requirements of International Accounting Standard (IAS) 29 – "Financial Reporting in Hyperinflationary Economies". All non-monetary assets in existence as at January 1, 2022 were restated by applying yearly average conversion factors and were not restated from date of acquisition.

Risk / implication

Misstatement of financial statements.

Recommendation

The Municipality should prepare inflation adjusted financial statements in compliance with financial reporting standards.

Management response

This is noted. The Municipality shall comply with all applicable accounting standards.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Receivables

Finding

There was an unresolved variance of ZWL$2.5 million between receivables balance amounting to ZWL$20.18 million and the age analysis which had a balance of ZWL$17.67 million. I could not satisfy myself on the accuracy of receivables reported on the financial statements.

Risk/ implication

Misstatement of financial statements.

Recommendation

The Municipality should perform reconciliations between the age analysis and ledger balances on a monthly basis.

Management response

Reconciliations shall be done between the age analysis and ledger balances on a monthly basis.

3 PROGRESS ON IMPLEMENTATION OF PRIOR YEAR AUDIT FINDINGS AND RECOMMENDATIONS

The Council made some progress in addressing the findings that I raised in my 2023 annual report. I raised seven (7) findings two (2) findings were addressed, three (3) were partially addressed and two (2) were not addressed as indicated below.

3.1 Asset register

The finding was addressed. The asset register is now in place.

3.2 Statutory obligations

The finding was partially addressed. The Municipality had payment plans with the authorities.

3.3 Dilapidated stores building

The finding was partially addressed. Municipality budgeted for the construction of a new building.

3.4 Valuation roll

The finding was partially addressed. The valuation roll was not yet finalised.

3.5 Year-end cut off procedures

The finding was addressed. The Municipality performed year end cut off procedures

3.6 Unbilled stands

The finding was not addressed. Twenty-seven (27) stands sold in 2019 are still not being billed.

3.7 Staff benefits

The finding was not addressed. The Municipality did not deduct income tax on staff benefits.

KARIBA MUNICIPALITY 2022 AND 2023

I have audited the financial statements of Kariba Municipality for the year ended December 31, 2022 and 2023 and I issued an adverse opinion for both years.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Kariba Municipality as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The Municipality translated foreign currency transactions and balances using inter-bank exchange rates. These exchange rates did not meet the definition of a spot exchange rate. This was contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates". Had the foreign currency transactions and balances been recognised in accordance with the requirements of IPSAS 4 – "The Effects of Changes in Foreign Exchange Rates" the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) -17 "Property, Plant and Equipment"

The Municipality did not revalue property, plant and equipment since 2011.This was contrary to IPSAS 17- "Property, Plant and Equipment" paragraph 44 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially from the fair value determined at the reporting date. In addition, the Municipality did not recognise infrastructure assets such as roads and bridges in the financial statements contrary to IPSAS 17 – "Property, Plant and Equipment" which requires infrastructure assets to be recognised. Had the Municipality revalued its property, plant and equipment and recognised infrastructure assets, the carrying amount of property, plant and equipment would have been materially different.

iii. Unsupported expenditure

Expenditure amounting to ZWL$19.92 million did not have supporting documentation such as supplier invoices and receipts. In addition, Municipality processed journals amounting to ZWL$165.1 million that were not adequately supported. As a result, I could not satisfy myself on the accuracy and validity of expenses disclosed in the financial statements.

iv. Inventory

The Municipality posted unsupported inventory journals amounting to ZWL$67.47 million in the financial statements. As a result, I could not satisfy myself on the accuracy and validity of inventory balance disclosed in the financial statements.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23 - "Revenue from Non-Exchange Transactions and IPSAS 9 - "Revenue from Exchange Transactions"

The Municipality accounted for revenue from business license fees and beer levy amounting to ZWL$29.19 million and ZWL$10.78 million on cash basis respectively. This was contrary to IPSAS 23- "Revenue from Non-Exchange Transactions" which requires revenue to accounted for on accrual basis.

The Municipality also recognised stand sales revenue on cash basis contrary to the requirements of IPSAS 9 – "Revenue from Exchange Transactions" paragraphs 14 and 15 which requires revenue to be recognised at the fair value of the consideration received or receivable. Had the Municipality recognised the stand sales revenue on accrual basis, the revenue would have been materially different.

vi. Payables

There were unsupported payables amounting to ZWL$58.77 million due to missing supplier statements and reconciliations. I could not satisfy myself as to the validity, accuracy and completeness of the payables disclosed in the financial statements.

vii. Cash and cash equivalents

There were no supporting cash books, bank reconciliation statements and bank statements for bank balances amounting to ZWL$21.31 million reported in the financial statements. I could not satisfy myself of the completeness and accuracy of the cash and cash equivalents balance disclosed in the financial statements.

viii. Inter fund accounts

The Municipality did not maintain records to account for inter-fund transfers. As a result, there was a variance of ZWL$0.3 million (net payables) between inter-fund payables of ZWL$ 1.46 billion against inter-fund receivables of ZWL$1.43 billion. I could therefore not satisfy myself on the completeness and accuracy of payables and receivables balances disclosed in the financial statements.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Kariba Municipality as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-Compliance with International Public Sector Accounting Standard (IPSAS) 47 – "Revenue"

The Municipality accounted for revenue from sale of houses and business license fees amounting to ZWL$1.3 billion and ZWL$300 million on cash basis respectively. This was contrary to IPSAS 47- "Revenue" which requires revenue to accounted for on accrual basis. In addition, there was an unresolved variance of ZWL$656.7 million between the stand sales

income disclosed in the financial statements of ZWL$2.45 billion and the balance as per supporting stand sales listing of ZWL$1.8 billion. Had the Municipality recognized the housing sales and business licence revenue on accrual basis and resolved the stand sales variance, the revenue disclosed would have been materially different.

ii. Cash and cash equivalents

There was an unresolved variance ZWL$202.7 million between bank amount disclosed in the financial statements of ZWL$772.7 million and the balance in the general ledger of ZWL$975.4 million. In addition, Municipality did not avail cash books, bank reconciliations and bank statements for bank balances amounting to ZWL$368 million. As a result, I was unable to satisfy myself on the accuracy of cash and cash equivalents reported in the financial statements.

iii. Payroll

There was an unresolved variance of ZWL$0.4 billion between the payroll summaries amounting to ZWL$15 billion and payroll balance disclosed in the financial statements of ZWL$ 14.6 billion. As a result, I could not satisfy myself on the completeness and accuracy of payroll costs reported in the financial statements.

iv. Expenditure

The Municipality processed journals amounting to ZWL$342 million that were not adequately supported. As a result, I could not satisfy myself on the accuracy and validity of expenses disclosed in the financial statements.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 – "Presentation of Financial Statements" and (IPSAS) 18 – "Segment Reporting"

The Municipality did not account for revenue, expenses, assets and liabilities of its three (3) schools in the financial statements for the year ended December 31, 2023. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires such items to be included for fair presentation. As a result, no segment information was reported in respect of the Municipality's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52-57, which requires the Municipality to disclose such information as part of segment reporting. Had the Municipality accounted for its schools, and presented segment information, the financial statements would have been materially different.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment"

The Municipality did not revalue property, plant and equipment since 2011. This was contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the reporting date. In addition, the Municipality did not recognise infrastructure assets such as roads and bridges in the financial statements contrary to IPSAS 45 – "Property, Plant and Equipment" which requires infrastructure assets to be recognised. Had the Municipality revalued property, plant and equipment with sufficient regularity and recognised infrastructure assets the carrying amount of property, plant and equipment would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Accounting for schools

Finding

The Municipality did not account for revenue, expenses, assets and liabilities of its three (3) schools in the financial statements for the year ended December 31, 2023. This was contrary to International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" paragraph 27, which requires such items to be included for fair presentation. As a result, no segment information was reported in respect of the Municipality's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52-57, which requires the Municipality to disclose such information as part of segment reporting.

Risk / implication

Misstatement of financial statements

Recommendation

The Municipality should account for its schools.

Management response

Observation is noted. There are some issues regarding consolidation of schools as the Municipality fully implement IPSAS. The Municipality is facing some challenges with the Ministry of Education and the school's administration i.e. school's bursars need to be trained on IPSAS so that they can prepare the financial statements. During the year 2024, Kariba Municipality engaged both the School authorities and officials from the Ministry of Education to map a way forward. It is still work in progress as the Municipality is yet to fully implement IPSAS together as a nation in 2025 and will clear all these legacy issues.

1.2 Bank reconciliations and cash books

Finding

There was an unresolved variance ZWL$202.7 million between bank amount disclosed in the financial statements of ZWL$ 772.7 million and the balance in the general ledger of ZWL$975.4 million. In addition, Municipality did not avail cash books, bank reconciliations and bank statements for bank balances amounting to ZWL$368 million (2022: ZWL$21.31 million).

Risk / implication

Misstatement of financial statements.

Recommendation

Municipality should maintain cash books for each bank account and perform monthly bank reconciliations.

Management response

The audit finding is correct. Bank reconciliations were not being done on idle accounts and also no cashbooks had been opened for Nostro account transactions hence no bank reconciliations were done. Management has resolved to close all idle accounts. In addition, cashbooks for Nostro accounts are now being maintained and bank

reconciliations are now being done. The observation is noted bank reconciliation will be reviewed and signed for by the Assistant Accountant. Municipality will close these inactive bank accounts as recommended.

1.3 Property, plant and equipment

Finding

The Municipality did not revalue property, plant and equipment since 2011.This was contrary to International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment" paragraph 44 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially from the fair value determined at the reporting date. In addition, the Municipality did not recognise infrastructure assets such as roads and bridges in the financial statements contrary to IPSAS 17 – "Property, Plant and Equipment" which requires infrastructure assets to be recognised.

Risk / implication

Misstatement of financial statements.

Recommendation

The Municipality should revalue its assets and recognise infrastructure assets in the financial statements.

Management response

The observation is noted, and the Municipality has since engaged the Ministry of Local Government and Public Works valuers to value all Municipality assets and infrastructure assets. The valuation will be done after the end of year in 2024, and this will be accounted for in the 2024 financial statements.

1.4 Unsupported journals

Finding

The Municipality processed journals amounting to ZWL$342 million (2022: ZWL$165.1 million) that were not adequately supported. As a result, I could not satisfy myself on the accuracy and validity of expenses disclosed in the financial statements.

Risk/ implication

Misstatement of financial statements.

Fraud and errors may go undetected.

Recommendation

The Municipality should post supported journals.

Management response

Noted and agreed. We will implement the audit recommendations going forward. Observation is noted and the Municipality will ensure that in future all the issues raised

are addressed. The Municipality is in the process of investigating the origins of the online journal.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue

Finding

The Municipality accounted for revenue from sale of houses and business license fees amounting to ZWL$1.3 billion and ZWL$300 million on cash basis respectively. This was contrary to International Public Sector Accounting Standard (IPSAS) 47- “Revenue” which requires revenue to accounted for on accrual basis.

In addition, there was an unresolved variance of ZWL$650 million between the stand sales income disclosed in the financial statements of ZWL$2.45 billion and the balance as per supporting stand sales listing ZWL$1.8 billion.

Risk / implication

Misstatement of financial statements.

Recommendation

The Municipality should investigate and resolve the variances.

Municipality should support all journals with adequate documentation.

Management response

Sale of houses

In future the Municipality will accrue sale of houses income at the time sales are made and not when customer subsequently settles their debt, these sales were done long back and payable over 25 years Municipality was then raising interest on the balance and the monthly instalment.

Business licences fees

The observation is noted. The biggest challenge the Municipality is facing in accruing all business license fee income is the volatility or ever-changing business type of the operators in a particular shop or premises. Since different business type have different business licence, accruing such businesses will be problematic. Nonetheless Municipality has taken note of the observation and will ensure that all well established and fixed businesses licence fee income be accrued as a starting point towards full accrual.

3. EMPLOYMENT COSTS

3.1 Employee benefits

Finding

The Municipality was not processing allowances such as fuel, housing, electricity, telephone and water allowances amounting to ZWL$387 million through its payroll. As a result, taxes

were not remitted in respect of these benefits and allowances. This was contrary to section 8 (f) of the Income Tax Act *[Chapter 23.06]* which requires benefits accruing to employees to be taxed.

Risk / implication

Financial loss resulting from fines and penalties.

Recommendation

Municipality should process all employee benefits through payroll.

Management response

The observation is noted. Going forward all staff allowances will be accounted for in the financial statements and taxed accordingly in full.

3.2 Payroll reconciliation

Finding

There was an unresolved variance of ZWL$0.4 billion between the payroll summaries amounting to ZWL$15 billion and payroll balance disclosed in the financial statements of ZWL$ 14.6 billion. As a result, I could not satisfy myself on the completeness and accuracy of payroll costs reported in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

The Municipality should investigate and clear the variances noted.

Management response

The observation is noted. The Municipality is currently carrying out investigations to correct the anomaly. Going forward, the Municipality will ensure that all allowances are processed through the payroll and payroll reconciliations are done monthly.

4. SERVICE DELIVERY ISSUES

4.1 Provision of sewerage services

Finding

The Municipality's sewer system was blocked due to silting in mains, dumping of waste and overload of sewer system due to population growth. As a result, sewer spillages were being experienced in Nyamhunga, Batonga, DA Camp, Heights septic soakaways in Mahombekombe area. The Municipality also incurred penalties from the Environmental Management Agency (EMA).

Risk/ implication

Financial loss due to fines and penalties.

Recommendation

The Municipality should upgrade its sewer system to accommodate the growing population.

Management response

Observation is noted. Sewer network sand dredging is currently underway, contracted to a company. They are to cover 1 400 metres of combined sectional lengths in each location across Kariba. This shall minimize sewer spillages at manholes. Sewer spillages are as a result of dumping foreign matter in sewers.

5. PROGRESS TOWARDS ADDRESSING AND IMPLEMENTATION OF PRIOR YEAR AUDIT FINDINGS AND RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my 2023 annual report. I raised sixteen (16) audit findings, three (3) were addressed, and thirteen (13) were not addressed as indicated below;

5.1 Property, plant and equipment

The finding was not addressed. Municipality did not recognize infrastructure assets.

5.2 Receivables

The finding was addressed. The receivable variances were cleared.

5.3 Payables

The finding was not addressed. Supplier statements and reconciliations were missing.

5.4 Cash and cash equivalents

The finding was not addressed. The Municipality had no supporting cash books and bank reconciliation statements.

5.5 Expenditure

The finding was not addressed. Supplier invoices and receipts were not availed.

5.6 Journal entries

The finding was not addressed. The journals were posted without supporting documentation.

5.7 Foreign exchange gains

The finding was addressed. Foreign exchange gains were included in the financial statements.

5.8 Stand sales

The finding was not addressed. Stand sales revenue was accounted for on cash basis.

5.9 Taxation of employee benefits

The finding was not addressed. Employee benefits were not processed through payroll.

5.10 Business licenses

The finding was not addressed. The Municipality accounted for business licences on a cash basis.

5.11 Sale of public assets to management

The finding was not addressed. The approval for sale of assets to management was not availed.

5.12 Inventory management

The finding was addressed. The Municipality put in place strategies for segregation of handling of donated drugs at the clinics.

5.13 Service level agreements

The finding was not addressed. Municipality is yet to follow up on signing of service level agreement with PROMUN service provider.

5.14 Water meters

The finding was not addressed. The Municipality did not replace non-functional meters.

5.15 Statutory deductions

The finding was not addressed. The Municipality is still not up to date with clearing of statutory deductions.

5.16 Estate funds

The finding was not addressed. Municipality did not reimburse estate funds borrowed and used for recurrent expenditure.

MARONDERA MUNICIPALITY 2022 AND 2023

I have audited the financial statements of Marondera Municipality for the years ended December 31, 2022 and 2023 and I issued an adverse opinion for both years.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Marondera Municipality as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 – "Presentation of Financial Statements" and International Public Sector Accounting Standard (IPSAS) 18 – "Segment Reporting"

The Municipality did not account for revenue, expenses, assets and liabilities of its six (6) Schools. This affected fair presentation as it was contrary to International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" paragraph 27, which requires an entity to fairly present its financial statements. Consequently, no segment information was reported in respect of the Municipality's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52, which requires an entity to identify and disclose its separate segments. Had the Municipality complied with IPSAS 1 and IPSAS 18 in accounting for its Schools, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21- "Impairment of Non-Cash Generating Assets"

The Municipality did not assess its property, plant and equipment and investment property for impairment at the reporting date despite the assets having indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an entity to assess at each reporting date whether there is any indication that an asset may be impaired. Had the Municipality assessed its assets for indications of impairment at the reporting date, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23 - "Revenue from Non- Exchange Transactions"

The Municipality was recognizing revenue from business licenses on cash basis. This was contrary to IPSAS 23 - "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognized on accruals basis. Had the Municipality accounted for its business licenses on accrual basis, the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates" and IPSAS 3 - "Accounting Policies, Changes in Accounting Estimates and Errors"

The prior year financial statements did not comply with the requirements of IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", as the Municipality did not use an appropriate exchange rate on change of functional currency. The Municipality did not restate the 2022 opening balances to address the prior year error contrary to the requirements of IPSAS 3 -

"Accounting Policies, Changes in Accounting Estimates and Errors". Had the Municipality applied the requirements of (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates" and (IPSAS) 3 – "Accounting Policies, Changes in Accounting Estimates and Errors" many elements of the financial statements would have been materially different.

v. Investment in shares

The Municipality disclosed investment in shares of ZWL$94 845 in respect of Marondera Municipality Pension Fund. I was not provided with sufficient appropriate evidence relating to the formation and management of the Pension Fund. No records were provided for both the pension fund and the shares for me to assess the accounting treatment and valuation of the shares. Accordingly, I could not satisfy myself on the rights and obligations of the Municipality to the Pension Fund and the valuation of the investment disclosed.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Municipality did not disclose the fair value of its investment properties. This was contrary to IPSAS 16- "Investment Property" paragraph 90 which requires fair values for investment property to be disclosed even when the cost model has been adopted.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present the financial position of Marondera Municipality as at December 31, 2023 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Municipality did not account for revenue, expenses, assets and liabilities of its six (6) Schools. This affected the fair presentation as it was contrary to International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" paragraph 27, which requires an entity to fairly present its financial statements. Consequently, no segment information was reported in respect of the Municipality's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52, which requires an entity to identify and disclose its separate segments. Had the Municipality complied with IPSAS 1 and IPSAS 18 in accounting for its Schools, the financial statements would have been materially different.

ii. Non - Compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Municipality did not carry out an assessment of the residual values and did not review the useful life of its property, plant and equipment contrary to IPSAS 45 - "Property, Plant and Equipment", paragraph 48 which requires annual review of residual values and the useful lives. Had the Municipality reviewed the useful lives and residual values of its assets, the financial statements would have been materially different.

iii. Non - Compliance with International Public Sector Accounting Standard (IPSAS) 21- "Impairment of Non-Cash Generating assets"

The Municipality did not assess its assets for impairment at the reporting date despite the assets having indicators of impairment. This was contrary to (IPSAS) 21- "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an entity to assess for indicators of impairment at each reporting date. Had the Municipality assessed its assets for impairment, the carrying amounts would have been materially different from the amounts disclosed in the financial statements.

iv. Investment in shares

The Municipality disclosed investment in shares of ZWL$0.455 million in respect of Marondera Municipality Pension Fund. I was not provided with sufficient appropriate evidence relating to the formation and management of the Pension Fund. No records were provided for both the pension fund and the shares for me to assess the accounting treatment and valuation of the shares. Accordingly, I could not satisfy myself on the rights and obligations of the Municipality to the Pension Fund and the valuation of the investment disclosed.

v. Non compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Municipality did not disclose the fair value of its investment property. This was contrary to IPSAS 16- "Investment Property" paragraph 90 which requires fair values for investment property to be disclosed even when the cost model has been adopted. Had the Municipality disclosed the fair value of its investment property, the financial statements would have achieved a fair presentation.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Municipality Schools

Finding

The Municipality did not account for revenue, expenses, assets and liabilities of its six (6) Schools. This affected fair presentation as it was contrary to International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" paragraph 27, which requires an entity to fairly present its financial statements. Consequently, no segment information was reported in respect of the Municipality's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52, which requires an entity to identify and disclose its separate segments.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should account for its Schools in accordance with IPSAS 1 and disclose in accordance with IPSAS 18.

Management response

The observations are noted. From 2023 Municipality will ensure Schools are included and accounted for in the financial statements.

1.2. Valuation of property, plant and equipment

Finding

The Municipality did not assess its assets for impairment at the reporting date despite the assets having indicators of impairment. This was contrary to (IPSAS) 21- "Impairment of Non-Cash Generating Assets" paragraph 26, which requires the assessment of indicators of impairment at each reporting date.

In addition, the Municipality did not carry out an assessment of the residual values and did not review the useful life of its property, plant and equipment contrary to IPSAS 45 - "Property, Plant and Equipment", paragraph 48 which requires annual review of residual values and the useful lives.

Risk / implication

Misstatement of financial statements.

Recommendation

Municipality should annually review its assets for impairment and carryout an assessment of residual values and useful lives.

Management response
Audit observation is noted. During the period under review the maintenance section was not sufficiently resourced and it has only one contract employee who was supposed to undertake the inspections and maintenance as well of all Municipality assets. As a result, inspections could not be carried out as planned hence impairment could not be done. From 2024 Municipality plans to start impairment of assets.
However, we have since engaged valuers to carry out the valuation exercise to be concluded in December 31, 2024 for incorporation of the values in the 2024 financial year audit.

1.3 Investment property

Finding

The Municipality did not disclose the fair value of its investment property. This was contrary to IPSAS 16- "Investment Property" paragraph 90 which requires fair values for investment property to be disclosed even when the cost model has been adopted.

Risk / implication

Misstatement of financial statements.

Recommendation

The Municipality should disclose fair values of its investment property to comply with (IPSAS)16 - “Investment Property”.

Management response

Observations have been noted, Municipality will conduct valuation of investment property by December 2024.

1.4 Investment in shares

The Municipality disclosed investment in shares of ZWL$0.455 million (2022: ZWL$94 845) in respect of Marondera Municipality Pension Fund. I was not provided with sufficient appropriate evidence relating to the formation and management of the Pension Fund as Council did not have information on the intended beneficiaries or those who started the scheme. No records were provided for both the pension fund and the shares for me to assess the accounting treatment and valuation of the shares.

Risk / implication

Misstatement of financial statements.

Recommendation

Municipality should avail all supporting documentation and account for the investment.

Management response

The Municipality has approached broker regarding the shareholding for the Municipality of Marondera. The shares were transferred to the Municipality after the demutualisation process. However, the Municipality sought a resolution to advertise the shares in the local newspaper to find out if the intended beneficiaries (those who started the scheme) would come through and claim the shares. Municipality will then forfeit the shares in the event of no claim.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Business licenses

Finding

The Municipality was recognizing revenue from business licenses on cash basis. This was contrary to IPSAS 23- “Revenue from Non-Exchange Transactions” paragraph 2 which requires revenue to be recognized on accruals basis.

Risk / implication

Misstatement of financial statements.

Recommendation

Municipality should invoice all businesses for business license fees and recognize revenue in a manner prescribed in IPSAS 23.

Management response

Audit finding on accounting business license on cash basis is noted, however we are migrating to IPSAS through our implementation road map.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my previous audit report. I raised seven (7) audit findings which were not addressed as indicated below;

3.1 Fuel requisitions

The finding was not addressed. Controls over the management of fuel not in place.

3.2 Municipality Schools

The finding was not addressed. Municipality did not account for its Schools in the financial statements.

3.3 Impairment of assets

The finding was not addressed. The Municipality did not have the maintenance section properly resourced and manned for inspection of assets.

3.4 Investment property

The finding was not addressed. The Municipality did not disclose fair values of its investment property.

3.5 Business licenses

The finding was not addressed. The Municipality did not invoice all businesses for business license fees and recognize revenue in a manner prescribed in IPSAS 23.

3.6 Lease contracts

The finding was not addressed. The Municipality did not formalise contracts with tenants.

3.7 Investment in shares

The finding was not addressed. The Municipality did not avail all supporting documentation for the investment.

I have audited the financial statements of Redcliff Municipality for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Redcliff Municipality as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

Non-compliance with International Public Sector Accounting Standard (IPSAS) 21- "Impairment of Non-Cash Generating Assets" and IPSAS 45 - "Property, Plant and Equipment"

The Council did not assess its assets for impairment indicators at the reporting date despite there being indications of impairment. This was contrary to IPSAS 21- "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an assessment at each reporting date whether there is an indication that an asset may be impaired. In addition, the Council did not perform an assessment of the residual values and useful lives of property, plant and equipment items reported in the financial statements. This was contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 48 which requires the residual values and useful lives of assets to be reviewed at each reporting date. I could not satisfy myself on the valuation property, plant and equipment of ZWL$62.22 billion disclosed in the financial statements.

Below are the other matters noted during the audit;

1. GOVERNANCE ISSUES

1.1. Property plant and equipment

Finding

The Council did not assess its assets for impairment indicators at the reporting date despite there being indications of impairment. This was contrary to IPSAS 21- "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an assessment at each reporting date whether there is an indication that an asset may be impaired. In addition, the Council did not perform an assessment of the residual values and useful lives of property, plant and equipment items reported in the financial statements. This was contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 48 which requires the residual values and useful lives of assets to be reviewed at each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should assess its assets for impairment and review the residual values and useful lives of property, plant and equipment.

Management response

The Municipality carried out an assessment of useful lives and impairment of assets for the 2024 financial year using the assets valuation reports.

2. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing findings that I raised in my 2022 annual report. I raised nine (9) findings, four (4) were addressed and five (5) were not addressed as indicated below;

2.1. Valuation of property, plant and equipment

The finding was addressed. Council performed a revaluation of its assets.

2.2. Ownership of assets

The finding was not addressed. Council did not avail documentation on proof of ownership.

2.3. Shortage of Classrooms

The finding was not addressed. Council did not construct more classroom blocks.

2.4. Sewer plant

The finding was not addressed. Council did not fence the disused sewer plant.

2.5. Settlement of creditors with land.

The finding was not addressed. Council did not regularise the settlement of creditors with land.

2.6. Approval and acquittal of devolution grant

The finding was addressed. The Council availed devolution acquittals.

2.7. Income generating projects

The finding was addressed. The Council discontinued the income generating projects.

2.8. Procurement of vehicles and equipment- land swap

The finding was addressed. Council made alterations to the contract and an agreed position was reached. An addendum was signed.

2.9. Dumpsite

The finding was not addressed. The Council did not have an approved landfill.

TOWN COUNCILS

CHIPINGE TOWN COUNCIL 2022 AND 2023

I have audited the financial statements of Chipinge Town Council for the years ended December 31, 2022 and 2023 and I issued an adverse opinion for both years.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Chipinge Town Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

Foreign currency denominated transactions and balances during the financial year were translated into ZWL$ using the inter-bank exchange rates. This was contrary to IPSAS 4 – "The Effects of Changes in Foreign Exchange Rates" which requires foreign currency denominated transaction to be translated using spot exchange rates. The interbank exchange rates used did not meet the definition of a spot exchange rate as the rate was not available for immediate delivery. Had the Council complied with the requirements of IPSAS 4 – "The Effects of Changes in Foreign Exchange Rates" the financial statements would be materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

Council did not account for infrastructure assets such as road networks in the financial statements contrary to the requirements of IPSAS 17 - "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets that meet the definition of property, plant, and equipment to be accounted for in accordance with this standard.

In addition, Council last revalued its assets in 2009 contrary to the requirements of IPSAS 17 - "Property, Plant and Equipment" which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the reporting date. Had Council revalued its property, plant and equipment the carrying amount of property, plant and equipment disclosed would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 27 - "Agriculture"

The Council accounted for its biological assets with a carrying amount of ZWL$ 6.02 million using the 2014 values. This was contrary to IPSAS 27 - "Agriculture" which requires biological assets to be measured at fair value less costs to sell at each reporting date. Had the Council complied with the requirements of IPSAS 27 - "Agriculture", the carrying amount of biological assets would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23 - "Revenue from Non-Exchange Transactions"

Council accounted for beer levy amounting to ZWL$10.2 million on a cash basis. This was contrary to the requirements of IPSAS 23 - "Revenue from Non-Exchange Transactions"

paragraph 12 which requires revenue to be recognised on accrual basis. Had the Council complied with the requirements of IPSAS 23 - “Revenue from Non-Exchange Transactions”, the disclosed revenue would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - “Presentation of Financial Statements” and IPSAS 18 - “Segment Reporting”

The Council did not account for the revenue, expenses, assets and liabilities for its five (5) Schools in the financial statements. This was contrary to IPSAS 1- “Presentation of Financial Statements” paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council’s education services segment contrary to IPSAS 18- “Segment Reporting” paragraph 52 to 57, which requires an entity to identify and disclose its separate segments. Had the Council complied with IPSAS 1 - “Presentation of Financial Statements” and IPSAS 18 - “Segment Reporting” in accounting for its Schools, the financial statements would have been materially different.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Chipinge Town Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - “Presentation of Financial Statements” and IPSAS 18 - “Segment Reporting”

The Council did not account for revenue, expenses, liabilities and assets of its six (6) Schools in the financial statements. This was contrary to IPSAS 1- “Presentation of Financial Statements” paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council’s education services segment contrary to IPSAS 18- “Segment Reporting” paragraph 52 to 57, which requires the Council to disclose for each segment revenue, expenses, liabilities and assets. Had the Council complied with IPSAS 1- “Presentation of Financial Statements” and IPSAS 18- “Segment Reporting” in accounting for its Schools, the financial statements would have been materially different.

ii. Non-Compliance with International Public Sector Accounting Standard (IPSAS) 17 - “Property, Plant and Equipment”

The Council did not account for infrastructure assets such as road networks in the financial statements contrary to the requirements of IPSAS 17 - “Property, Plant and Equipment” which requires infrastructure assets to be capitalised.

In addition, Council last revalued its assets in 2011, contrary to IPSAS 17- “Property, Plant and Equipment” which requires revaluation to be done with sufficient regularity to ensure that the carrying amount does not differ materially from fair value at the reporting date. Had Council revalued its property plant and equipment and recognised its infrastructure assets the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 27 - "Agriculture"

The Council recognised biological assets amounting to ZWL$194.3 million based on 2014 market rates. This was contrary to IPSAS 27 – "Agriculture", which requires biological assets to be valued at fair value less costs to sell. Had the Council determined the fair values as at the reporting date, the financial statements would have been materially different.

iv. Donations

The Council did not account for donations income received for upgrading water infrastructure during the year under review. The extent of the misstatement could not be quantified as the Council could not quantify the value of work that was done due to absence of supporting documents and unavailability of donor confirmation response. As a result, I was unable to satisfy myself on the completeness and accuracy of income reported in the financial statements.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council did not disclose the fair value of its investment properties. This was contrary to IPSAS 16- "Investment Property" paragraph 90 which requires investment property to be disclosed at the fair value even when the cost model has been adopted.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Statutory deductions

Finding

The Council was not up to date in remitting its statutory deductions such as LAPF, NSSA, ZIMDEF and PAYE and owed ZWL$780.2 million (2022: ZWL$52.75 million) in statutory deductions at the end of year.

Risk / implication

Financial loss due to penalties and fines.

Recommendation

The Council should ensure that statutory deductions are timeously remitted on a monthly basis so as to avoid penalties and fines.

Management response

Council reviewed the Finance Department organogram and staffing the department through lateral transfers. 4 more members were added through internal transfers. The Council now has 2 bookkeepers, one responsible for revenue and the other one for expenditure. Also, Council established a stand-alone debt collection section by employing a Debtor's Officer. Several interventions are being employed to improve revenue collection, amongst them formation of revenue collection teams, improvements in the provision of water supply, decentralisation of revenue collection points to Ward level and procurement of revenue collection gadgets.

1.2 Property, plant and equipment

Finding

The Council did not account for infrastructure assets such as road networks in the financial statements contrary to the requirements of International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment" which requires infrastructure assets to be capitalised.

In addition, Council last revalued its assets in 2011, contrary to IPSAS 17- "Property, Plant and Equipment" which requires revaluation to be done with sufficient regularity to ensure that the carrying amount does not differ materially from fair value at the reporting date.

Risk / implication

Misstatements of financial statements.

Recommendation

Council should revalue its assets and account for infrastructure assets.

Management response

Observation is noted. Council will engage the Ministry of Local Government and Public Works valuers to value all Council assets including infrastructure assets.

1.3 Valuation of biological assets

Finding

The Council recognised biological assets amounting to ZWL$194.3 million (2022: ZWL$6.02 million) based on 2014 market rates. This was contrary to International Public Sector Accounting Standard (IPSAS) 27 - "Agriculture", which requires biological assets to be valued at fair value less costs to sell.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should account for biological assets according to the requirements of IPSAS 27 - "Agriculture".

Management response

Observation is noted. Council will engage the services of registered abattoirs to do the valuation of biological assets during 2025.

1.4 Investment property

Finding

The Council did not disclose the fair value of its investment properties. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 - “Investment Property” paragraph 90 which requires investment property to be disclosed at the fair value even when the cost model has been adopted.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should seek funding to capacitate its staff.

Management response

Observation is noted. Council is to fully implement IPSAS by end of 2025, and committed to engage experts to re-value all its investment properties using fair value model and train accounting staff on IPSAS. IPSAS training is ongoing in accordance with the IPSAS Implementation Matrix and Action Plan.

1.5 Council Schools

Finding

The Council did not account for the revenue, expenses, assets and liabilities for its five (5) Schools in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 1 - “Presentation of Financial Statements” paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council’s education services segment contrary to IPSAS 18 - “Segment Reporting” paragraph 52 to 57, which requires an entity to identify and disclose its separate segments.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should account for its Schools in accordance with IPSAS 1 and disclose in accordance with IPSAS 18.

Management response

Observation is noted. The Council did not include the operations of the Schools due to lack of technical expertise on IPSAS. However, there is need for the Council to undergo IPSAS training, and management has prepared a comprehensive IPSAS Training Matrix roadmap, where all the Council’s finance staff and Schools will be accorded the opportunity to attend IPSAS training. The planned training will have been done by 31 December 2025.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Donations

Finding

The Council did not account for donations income received for upgrading water infrastructure during the year under review. The extent of the misstatement could not be quantified as the Council could not quantify the value of work that was done due to absence of supporting documents and unavailability of donor confirmation response.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for the donations received.

Management response

Observation is noted. Council was having challenges in obtaining confirmation responses from donor. However, the Council will continue engaging donor to have donor confirmation responses.

2.2 Beer levy

Finding

Council did not obtain beer levy schedules or returns from commercial brewers. As a result, Council accounted for beer levy amounting to ZWL$10.17 million on a cash basis. This was contrary to International Public Sector Accounting Standard (IPSAS) 23 - “Revenue from Non-Exchange Transactions” which requires revenue to be recognised on accrual basis.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should engage commercial brewers to obtain the sales schedules which are used as basis for calculating the levy.

Management response

The beer manufacturer already engaged, they are working and reconciling with our database. However, we still need to schedule for another meeting with them so as to conclude this issue. Also, most of the beer outlets operating in Chipinge Town are using rural addresses hence, prejudicing Town Council the beer levy income.

3. EMPLOYMENT COSTS

3.1. Taxation of benefits

Finding

Council processed allowances such as fuel, airtime and school fees outside the payroll for the year ended December 31, 2022. As a result, taxes were not remitted in respect of those benefits and allowances amounting to ZWL$24.70 million. This was contrary to section 8 (f) of the Income Tax Act [*Chapter 23.06*] which requires benefits accruing to employees to be taxed.

Risk / implication

Financial loss due to penalties.

Recommendation

Council should process benefits through the payroll.

Management response

This was due to an oversight in our Human resources department. We will implement the audit recommendations going forward.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my previous report. I raised twelve (12) findings, two (2) were partially addressed and ten (10) were not addressed as indicated below;

4.1. Infrastructure assets

The finding was not addressed. Council did not include its infrastructure assets in the financial statements.

4.2. Biological assets

The finding was not addressed. Council did not recognise its biological assets at fair value less costs to sell.

4.3. Beer levy

The finding was not addressed. Council is yet to receive beer sales statistics from commercial brewers.

4.4. Ownership of assets

The finding was not addressed. The Council did not provide proof of ownership for its assets.

4.5. Revaluation of assets

The finding was not addressed. The Council did not revalue its property, plant and equipment.

4.6. Contract workers

The finding was not addressed. Council did not cease the casualisation of labour contrary to the requirements of the Labour Act of 2016.

4.7. Statutory deductions

The finding was not addressed. Council is yet to comply with statutory deductions payment deadlines.

4.8. External loans

The finding was not addressed. Council is yet to repay the PSIP loan.

4.9. Non-revenue water

The finding was not addressed. Council is yet to fix non-functional water meters and minimise water leakages.

4.10. Sewerage system

The finding was not addressed. Council is yet to construct a sewer reticulation system.

4.11. Water supply

The finding was partially addressed. The Council has capacitated eight (8) boreholes with solar and ZESA power to supply portable water to residents and replacement of old infrastructure in the water distribution channel is in progress.

4.12. Refuse removal

The finding was partially addressed. Refuse collection is now being done on a weekly basis.

CHIREDZI TOWN COUNCIL 2021, 2022 AND 2023

I have audited the financial statements of Chiredzi Town Council for the year ended December 31, 2021-2023 and I issued an adverse opinion for all the years.

Adverse Opinion 2021

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Chiredzi Rural District Council as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency denominated transactions and balances using inter-bank exchange rates which did not meet the definition of a spot exchange as foreign currency was not available for immediate delivery at these rates. This was contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" paragraph 9 which requires spot exchange rates to be used. Had the foreign currency transactions and balances been translated using spot exchange rates, the financial statements would have been materially different.

ii. Receivables

The Council did not provide listings for its sundry debtors amounting to ZWL$27.46 million. In addition, there were unsupported journal transactions amounting to ZWL$11.85 million that were posted to reduce the receivables figure. As a result, I was unable to satisfy myself on the accuracy and valuation of receivables reported in the financial statements.

iii. Payables

The Council did not provide listings for payables amounting to ZWL$16.68 million disclosed in the financial statements. In addition, there were unsupported journal transactions amounting to ZWL$19.29 million which were posted to reduce payables. As a result, I was unable to satisfy myself as to the completeness, accuracy and validity of accounts payables disclosed in the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 9 - "Revenue from Exchange Transactions" and IPSAS 23 - "Revenue from Non-Exchange Transactions"

The Council recognised stand sales revenue and beery levy income on cash basis. This was contrary to the requirements of IPSAS 9 - "Revenue from Exchange Transactions" paragraph 14 and 15 and IPSAS 23 - "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognised on accrual basis. In addition, there was an unreconciled variance of ZWL$7.23 million between the business licence fees disclosed in the financial statements of ZWL$16.35 million and ZWL$9.12 million as per supporting business licence database. Had Council recognised revenue on accrual basis revenue would have been materially different.

v. Property, plant and equipment

The Council did not provide supporting documents such as supplier invoices and receipts for property, plant and equipment purchased amounting to ZWL$7.64 million. As a result, I was unable to satisfy myself on the accuracy and valuation of property, plant and equipment reported in the financial statements.

vi. Cash and cash equivalents

The Council did not provide supporting cash books, bank reconciliation statements and bank statements for bank balances amounting to ZWL$4.23 million. As a result, I was unable to satisfy myself on the accuracy of cash and cash equivalents reported in the financial statements.

vii. Expenditure

The Council did not provide supporting documentation such as supplier invoices and receipts for expenditure amounting to ZWL$7.13 million. As a result, I could not satisfy myself as to the accuracy and validity of expenditure balances disclosed in the financial statements.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Chiredzi Town Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency denominated transactions and balances using inter-bank exchange rates which did not meet the definition of a spot exchange as foreign currency was not available for immediate delivery at these rates. This was contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" paragraph 9 which requires spot exchange rates to be used. Had the foreign currency transactions and balances been translated using spot exchange rates, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not account for the revenue, expenses, assets and liabilities of its School in the financial statements for fair presentation. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52, which requires an entity to identify and disclose its separate segments. Had the Council complied with IPSAS 1- "Presentation of Financial Statements" and IPSAS 18- "Segment Reporting" in accounting for its School, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 9 - "Revenue from Exchange Transactions" and IPSAS 23 - "Revenue from Non-Exchange Transactions"

The Council recognised stand sales revenue on cash basis resulting in unresolved variance of ZWL$38.4 million between the stands sales disclosed in the financial statements of ZWL$ 61.9 million and the balance as per stand sales listing of ZWL$100.3 million. In addition, Council recognised beer levy income amounting to ZWL$12 million on cash basis. This was contrary to the requirements of IPSAS 9 - "Revenue from Exchange Transactions" paragraph 14 and 15 and IPSAS 23 - "Revenue from Non-Exchange Transactions" paragraph 2, which requires revenue to be recognised on accrual basis. Had Council recognised revenue on accrual basis revenue disclosed in the financial statements would have been materially different.

iv. Cash and cash equivalents

The Council did not provide supporting cash books, bank reconciliation statements and bank statements for bank balances amounting to ZWL$23.8 million. As a result, I was unable to satisfy myself on the accuracy of cash and cash equivalents reported in the financial statements.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Chiredzi Town Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 – "Revenue"

The Council recognised stand sales revenue and beery levy income on cash basis. This was contrary to the requirements of IPSAS 47 - "Revenue" paragraph 5 which requires revenue to be recognised on accrual basis. In addition, the Council disclosed a foreign exchange gain balance of ZWL$251.2 million in the financial statements which could not be substantiated. Had the Council recognised revenue of accrual basis and substantiated the foreign exchange gain, the financial statements would have been materially different.

ii. Cash and cash equivalents

There was an unresolved variance of ZWL$1.86 billion between the balances as per cash books of ZWL$2.39 billion and bank balances confirmed by banks ZWL$0.53 billion. In addition, I was not availed with confirmation responses from six (6) banks with a total amount of ZWL$0.94 billion. As a result, I was unable to satisfy myself on the accuracy of cash and cash equivalents reported in the financial statements.

iii. Payables

There was an unresolved variance of ZWL$0.75 billion between balance as per trade payables listing of ZWL$1.01 billion and the amount disclosed in the financial statements of ZWL$0.26 billion. As a result, I was unable to satisfy myself as to the completeness and validity of trade and other payables disclosed in the financial statements.

iv. Expenditure

The Council did not provide supporting documentation such as supplier invoices and receipts for expenditure amounting to ZWL$657.8 million. As a result, I could not satisfy myself as to the accuracy and validity of expenditure balances disclosed in the financial statements.

v. Non-compliance with International Public Sector Accounting standard 45 – Property, Plant and Equipment"

The Council did not recognise land and infrastructure assets such as road networks and bridges in the financial statements contrary to International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" which requires assets that meet the recognition criteria of an asset to be accounted for as property, plant and equipment. In addition, the Council did not revalue of its property, plant and equipment since 2011. This was contrary to IPSAS 45 paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the fair values at the reporting date. Had the Council revalued its property, plant and equipment, accounted for its land and infrastructure assets, the carrying amounts of items of property, plant and equipment disclosed in the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Bank reconciliations

Finding

The Council was not maintaining cash books for four (4) of its bank accounts. As a result, the Council did not provide supporting cash books, bank reconciliation statements and bank statements for bank balances amounting to ZWL$4.23 million and ZWL$23.8 million for 2021 and 2022 respectively. As a result, I was unable to satisfy myself on the accuracy of cash and cash equivalents reported in the financial statements.

Risk / implication

Misstatement of financial statements.

Irregular transactions may go undetected.

Recommendation

The Council should maintain cash books for all its bank accounts and perform bank reconciliations.

Management response

Council will ensure that audit recommendations are implemented and communication with relevant banks shall be enhanced.

1.2 Accounting for Schools

The Council did not recognise the revenue, expenses, assets and liabilities for its School in the financial statements for fair presentation. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the

financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52, which requires an entity to identify and disclose the revenue, expenses, assets and liabilities of its separate segments.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for the School in the financial statements.

Management response

Observation is noted. We will implement the recommendation going forward.

1.3 Supporting documents

Finding

The Council's filing system was not effective. As a result, the Council did not provide supporting documents such as payment vouchers and supplier invoices for asset additions amounting to ZWL$7.64 million and current expenditure amounting to ZWL$7.13 million. This was contrary to the provisions of Statutory Instrument 144 of 2019 (Treasury Instructions), section 53 (1) which requires all expenditure to have adequate supporting documentation.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should improve its filing system and adequately support its expenditure.

Management response

Management acknowledges that there is need for improvement in our filing systems. Management is currently pursuing the e-filing option as a lasting solution to missing documents.

1.4 Receivables

Finding

The Council did not provide listings for its sundry debtors amounting to ZWL$27.46 million. In addition, there were unsupported journal transactions amounting to ZWL$11.85 million which were posted to reduce the receivables figures.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should provide receivables listing and journals entries should be adequately supported.

Management response

The Council will continue improving on the reconciliation of ledgers to ensure that financial statements are accurate. Controls are continuously being improved through development of standard operating procedures. Advances between accounts will be repaid in the current period to their respective accounts.

1.5 Payables

Finding

The Council did not provide listings for payables amounting to ZWL$16.68 million and ZWL$171.1 million in 2021 and 2022 respectively disclosed in the financial statements. In addition, there were unsupported journal transactions amounting to ZWL$19.29 million and ZWL$1.9 million which were posted in 2021 and 2022 respectively to reduce the payables disclosed in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should provide payable listing and journals entries should be adequately supported.

Management response

This was due to reluctance by some creditors to confirm amounts owed them by the Council. In future, Council will make concerted effort to ensure that all confirmations are received. Further, some companies were one day suppliers hence could not provide statements.

1.6 Property, Plant and Equipment

Finding

The Council did not recognise land and infrastructure assets such as road networks and bridges in the financial statements contrary to International Public Sector Accounting Standard (IPSAS) 45 - “Property, Plant and Equipment” which requires assets that meet the recognition criteria of an asset to be accounted for as property, plant and equipment. In addition, the Council did not revalue its property, plant and equipment since 2011. This was contrary to IPSAS 45 paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the fair values at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for property, plant and equipment in accordance with IPSAS 45.

Management response

Revaluation of assets has been budgeted for in 2025. Engagements with the Ministry of Local Government and Public Work's valuations department have commenced. The revaluation will include all available Council assets.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue

Finding

The Council recognised stand sales revenue on cash basis resulting in unresolved variance of ZWL$38.4 million between the stands sales disclosed in the financial statements of ZWL$ 61.9 million and the balance as per stand sales listing of ZWL$100.3 million. In addition, Council did not receive beer sales schedules from the brewer, as a result, Council recognised beer levy income on cash basis. This was contrary to IPSAS 9 - "Revenue from Exchange Transactions" paragraph 14 and 15 and (IPSAS) 23 - "Revenue from Non-Exchange Transactions" which requires revenue to be recognised on accrual basis.

There was also an unreconciled variance of ZWL$7.23 million between the business licence fees disclosed in the financial statements of ZWL$16.35 million and ZWL$9.12 million as per supporting business licence database.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should obtain sales schedules from the brewer.

Council should recognise revenue on cash basis and investigate and clear unresolved variances.

Management response

Observation is noted. As highlighted in the previous report where land sale debtors had credit balances as a result of no debit raising. The figure represents adjustments on those stands which were not initially raised but was received. Management will engage the brewer on the possibility of them supplying the Council with schedules of beer sales quantities. In addition, a separate bank account has been opened to ensure that the funds are accounted for separately.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing audit findings and recommendations raised in my 2023 annual report. I raised nine (9) audit findings, three (3) were addressed, while the other six (6) findings were not addressed as indicated below;

3.1 Inflation adjusted financial statements

The finding was addressed. Council adjusted the financial statements for inflation.

3.2 Receivables

The finding was not addressed. The Council did not reconcile the receivables balances.

3.3 Revenue

The finding was not addressed. Council did not recognise beer levy revenue on an accrual basis and provide supporting documentation for journals.

3.4 Payables

The finding was not addressed. The Council did not reconcile the variances.

3.5 Unsupported expenditure

The finding was not addressed. The Council did not avail supporting documents for the expenditure.

3.6 Asset additions

The finding was not addressed. The Council did not provide supporting documentation.

3.7 Payroll

The finding was addressed. Payroll reconciliations were performed.

3.8 Cash and cash equivalents

The finding was not addressed. Bank confirmations were not received.

3.9 Water meters

The finding was addressed. Council replaced the non-functional water meters.

KAROI TOWN COUNCIL 2021 AND 2022

I have audited the financial statements of Karoi Town Council for the years ended December 31, 2021 and 2022 and I issued an adverse opinion for 2021 and a qualified opinion for 2022.

Adverse Opinion 2021

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Karoi Town Council as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

The Council's property, plant and equipment was last revalued in 2013 despite significant changes in its operating environment. This was contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 44 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount of assets does not differ materially from that which would be determined using fair value at the reporting date.

In addition, the Council did not carry out an assessment of the residual values and useful lives of its property, plant and equipment contrary to IPSAS 17 - "Property, Plant and Equipment", paragraph 67 which requires the residual values and the useful lives of assets to be reviewed at least at each annual reporting date. Had the Council revalued its property, plant and equipment with sufficient regularity, the carrying amounts disclosed in the financial statements would be materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 - "Inventories"

The Council did not recognise inventory of stands, medical drugs and building materials in its financial statements. This was contrary to IPSAS 12 - "Inventories" paragraph 9 which requires items that meet the definition of inventory to be recognised in the financial statements. Had the Council recognised the stands inventory, medical drugs and building materials, the amounts disclosed in the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1- "Presentation of Financial Statements" and International Public Sector Accounting Standard (IPSAS) 18- "Segment Reporting"

The Council did not recognise the revenue, expenses, receivables and payables of its six (6) Schools in the financial statements for fair presentation. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. In addition, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 12, which requires an entity to identify and disclose its separate segments. Had the Council complied with IPSAS 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting" in accounting for its Schools, the financial statements would have been materially different.

Qualified Opinion 2022

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material aspects, the financial position of Karoi Town Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis of Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not recognise revenue, expenses, assets and liabilities for its six (6) Schools in the financial statements for fair presentation. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 12, which requires an entity to identify and disclose its separate segments. Had the Council complied with IPSAS 1- "Presentation of Financial Statements" and IPSAS 18- "Segment Reporting" in accounting for its schools, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

The Council did not carry out a revaluation of its property, plant and equipment since 2013 contrary to IPSAS 17 - "Property, Plant and Equipment", paragraphs 44 and 49 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount of assets do not differ materially from those which would be determined using fair value at the reporting date. In addition, the Council did not account for land on which its buildings are situated contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 14 which requires an asset that meets the definition criteria of property, plant and equipment to be recognised in the financial statements.

The Council did not also carry out an assessment of the residual values and useful lives of its property, plant and equipment contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 67 which requires the residual values and useful lives of assets to be assessed at least at each reporting date. Had the Council accounted for land, carried out a revaluation and an assessment of residual values and useful lives of its property, plant and equipment, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23 - "Revenue from Non-Exchange Transactions"

The Council did not recognise revenue from six (6) base stations built on Council land. This was contrary to IPSAS 23 - "Revenue from Non-Exchange Transactions" paragraph 31 which requires an inflow of resources to be recognised when it is probable that future economic benefits will flow to the entity and the fair value of the asset can be measured reliably. Had the Council recognise base station fees, the revenue reported would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council's property, plant and equipment was last revalued in 2013 resulting in the carrying amount being materially different with the fair values at the reporting date. This was contrary to IPSAS 17 – "Property, Plant and Equipment", paragraph 44 which requires revaluation to be made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the reporting date.

In addition, the Council did not carry out an assessment of the residual values and did not review useful lives of its property, plant and equipment contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 67 which requires the residual values and the useful lives of assets to be reviewed at least at each annual reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should comply with the requirements of IPSAS 17 - "Property, Plant and Equipment" in accounting for its assets.

Management response

Council noted the highlighted understatement of property, plant and equipment balance disclosed in financial statements. In response to the fact, Council has developed an Implementation Matrix and Action Plan for the IPSAS road map to address the same. Thereto the misstatements in property, plant and equipment will be attended to accordingly.

1.2 Inventories

Finding

The Council had stands for sale, medical drugs and building materials on hand as at December 31, 2021 which were not accounted for in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 12 - "Inventories" paragraph 9 which requires such items to be recognised in the financial statements since they meet the definition of inventory.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise its stands, medical drugs and building materials as inventory in the financial statements.

Management response

The stands inventory, medical drugs, office supplies and building material were not included in the financial statements due to oversight on the part of Council. However, going forward, Council will ensure that land inventory available for sale are captured by finance in ERP as inventory.

The Council indeed used manual record to capture its stands which were being disposed over time. The housing module housed in our ERP was not operationalized due to network connectivity challenge with our housing office. The entity is in the process of acquiring network fiber, to ensure satisfactory connectivity and operation of the housing module.

1.3 Accounting for Schools

Finding

The Council did not recognise the revenue, expenses, receivables and payables of its six (6) Schools in the financial statements for fair presentation. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. In addition, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 12, which requires an entity to identify and disclose its separate segments.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should account for its Schools in accordance with IPSAS 1 and 18.

Management response

Council will include Schools' transactions starting 2024 financial period.

1.4 Enforcement of by-laws

Finding

The Council was not enforcing environmental management laws and its by-laws against illegal sand extractors abstracting sand within its jurisdiction. As a result, Council was fined ZWL$100 000 for non-enforcement of by laws.

Risk / implication

Financial loss due to fine and penalties.

Recommendation

Council should enforce its by-laws to ensure protection of its environment.

Management response

The observed penalties where Council paid ZWL$100 000 was in respect of land

degradation that was performed by illegal pit sand extractors. However, going forward, Council will enforce its by-laws and ensure non recurrence of future penalties from EMA.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Base stations

Finding

The Council did not have valid lease agreements with network service operators. As a result, Council did not recognise revenue from six (6) base stations built on Council land. This was contrary to International Public Sector Accounting Standard (IPSAS) 23- "Revenue from Non-Exchange Transactions" paragraph 31 which requires revenue to be recognised when it is probable that future economic benefits will flow to the entity and the fair value of the asset can be measured reliably.

Risk / implication

Misstatement of financial statements.

Revenue collection may be compromised.

Recommendation

Council should engage the telecom companies and regularise the leasing arrangement.

Management response

Indeed, Council did not account for the base station rentals on accrual basis on account of not having valid lease agreements with the lessees. Going forward, Council will engage the network service providers for lease agreement signing. This initiative will sum up to the accounting of the annual lease rentals.

3. PROCUREMENT OF GOODS AND SERVICES

3.1 Direct procurement

Finding

The Council procured a motorised grader for US$168 000, backhoe loader for US$69 061 and tipper truck for US$51 950 using the direct procurement method contrary to Procurement Regulatory Authority of Zimbabwe directive which had prohibited the use of the direct procurement method on this purchase. In addition, I was not availed with the invoices supporting the procurement of the equipment.

Risk / implication

Financial loss due to irregular procurement.

Recommendation

The Council should comply with Procurement Regulatory Authority of Zimbabwe (PRAZ) directives on procurement related matters.

Management response

The Council reconsidered for direct procurement to hedge against the prevailing price variations, Direct procurement method was conducted in line with section 33 of the Public Procurement and Disposal of Public Assets Act.

4. MANAGEMENT OF ASSETS

4.1 Digitization of Council operations

Finding

The Council was partially utilizing the PROMUN system to process its transactions due to staff shortages, poor network connectivity and incomplete training of staff on ERP. As a result, the Council's operations with respect to customer payments, sharing of statements, application of customers on to the housing waiting list, follow up of outstanding balances, integration of receipts and services applications were largely manual.

Risk / implication

Reliability of financial information may be compromised.

Recommendation

Council should train its staff fully utilize the PROMUN system to process transaction.

Management response

The reason for manual use of operations was largely due to incomplete trainings performed for the ERP, staff shortages, and poor network connectivity to the remote sight of its sub office. To this end capturing of financial information was left in the backlog mode. Therefore, for the Council to perform real transactions, the existing backlog should be cleared first. During the 2024 financial year Council budgeted to install its own fibre with a bid to connect 2 of its remote sites.

5. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings raised in my 2023 annual audit report. I raised fifteen (15) audit findings, two (2) were addressed, two (2) were partially addressed and eleven (11) were not addressed as indicated below;

5.1 Council Schools

The finding was not addressed. The Schools operations were not recognised in the financial statements.

5.2 Valuation of property, plant and equipment

The finding was not addressed. The Council did not revalue its assets.

5.3 Registration of vehicles

The finding was not addressed. The five (5) vehicles are not yet registered in the Council's name.

5.4 Fuel for roads projects

The finding was addressed. A fuel record is now being maintained.

5.5 Valuation roll

The finding was partially addressed. The valuation roll was not yet complete.

5.6 Billing of properties

The finding was not addressed. Council have not identified and corrected stands not yet in the system.

5.7 Beerhall procurement and sales

The finding was not addressed. The Council have not put in place adequate controls.

5.8 Asset management policy

The finding was not addressed. The asset management policy is not yet in place.

5.9 Revenue from stand sales

The finding was not addressed. The database was not updated and receipts from stands sales receivables are not yet linked to the respective debtors' accounts.

5.10 Beer levy

The finding was addressed. The Council has engaged the breweries and is now receiving sales schedules from the brewers.

5.11 Assets with nil values

The finding was not addressed. Council did not perform a revaluation exercise.

5.12 Council clinics

The finding was partially addressed. The construction of Chiedza clinic is now in progress and the Construction of Kubatana clinic has not commenced.

5.13 Termination of Clyna Trading (Private) Limited contract

The finding was not addressed. A mutual agreement on termination of the traffic operations has not been reached by both parties.

5.14 Delivery of refuse compactor truck

The finding was not addressed. Refuse truck was not delivered.

5.15 Delivery of goods

The finding was not addressed. Council did not apply for condonation with the Procurement Regulatory Authority of Zimbabwe (PRAZ).

MVURWI TOWN COUNCIL 2022

I have audited the financial statements of Mvurwi Town Council for the year ended December 31, 2022, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of the Mvurwi Town Council as at December 31, 2022 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council did not apply the principles of International Public Sector Accounting Standard (IPSAS) 41 - Financial Instruments" in calculating the allowance for credit losses. The allowance for credit losses amounting to ZWL$177.24 million was determined by applying a rate of 20% on gross receivables. This was contrary to the requirements of IPSAS 41 paragraph 81 which requires the Council to assess whether the credit risk of a financial instrument has increased significantly since recognition. I could therefore not determine the necessary adjustments on the allowance for credit losses recognised in the financial statements.

ii. Receivables balances

Receivables amounting to ZWL$189.80 million that were included in the total receivables of ZWL$357.76 million could not be traced to the receivables age analysis. Due to limitation of scope, I could not ascertain the completeness and valuation of the receivables. In addition, the trade and other receivables balance included other receivables amounting to ZWL$5.8 million, presented as unallocated balance and was not adequately supported. I could not ascertain the occurrence and accuracy of transactions in this account.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates" and IPSAS 3 - "Accounting Policies, Changes in Accounting Estimates and Errors"

The prior year financial statements did not comply with the requirements of IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" as the Council did not use an appropriate rate on change of functional currency. The Council did not restate the 2022 opening balances to address the prior year error contrary to the requirements of IPSAS 3 – "Accounting Policies, Changes in Accounting Estimates and Errors". Had the Council applied the requirements of IPSAS 4 – "The Effects of Changes in Foreign Exchange Rates" and IPSAS 3 – "Accounting Policies, Changes in Accounting Estimates and Errors" many elements in the financial statements would be materially impacted.

iv. Revenue

The Council recognised beer levy on a cash basis. The Council did not obtain beer sales schedules in order to reconcile the levy to sales hence no reconciliation were performed for the year ended December 31, 2022.

In addition, the Council recognised revenue from stand sales upon allocation rather than when the applicant had satisfied the stated requirements and the Council's obligation to refund the applicant had been extinguished. This was contrary to of International Public Sector Accounting Standard (IPSAS) 9 – "Revenue from Exchange Transactions" which requires revenue to be recognised when the Council has transferred to the purchaser the significant risks and rewards of ownership of the goods. Had Council recognised beer levy on accrual basis and stand sales in accordance with IPSAS 9, revenue disclosed in the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 REVENUE COLLECTION AND DEBT RECOVERY

1.1 Allowance for credit losses

Finding

The Council did not maintain an updated receivables age analysis. As a result, the allowance for credit losses amounting to ZWL$177.24 million was determined by applying a rate of 20% on gross receivables. This was contrary to the requirements of IPSAS 41 paragraph 81 which requires the Council to assess whether the credit risk of a financial instrument has increased significantly since recognition.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should recognise allowance for credit losses on receivables in line with IPSAS 41.

Management response

Observation noted. Council will amend its allowance for credit loss policy and align it to IPSAS 41.

1.2 Receivables

Finding

Receivables amounting to ZWL$189.80 million that were included in the total receivables of ZWL$357.76 million could not be traced to the receivables age analysis. Due to limitation of scope, I could not ascertain the completeness and valuation of the receivables. In addition, the trade and other receivables balance included other receivables amounting to ZWL$5.8 million, presented as unallocated balance and was not adequately supported.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should maintain a complete receivable's age analysis.

Management response

All our debtors billed in MLS and are being maintained through an aged analysis in our PROMUN system except land sales debtors billed in USD which are being currently maintained on a spreadsheet to preserve value since our current ERP can only maintain debtors in the local currency. Council is currently working on modalities to strengthen our internal controls so as to avoid cases of misstatement.

1.3 Revenue

Finding

The Council recognised beer levy on a cash basis. The Council did not obtain beer sales schedules in order to reconcile the levy to sales hence no reconciliation were performed for the year ended December 31, 2022. In addition, the Council recognised revenue from stand sales upon allocation rather than when the applicant had satisfied the stated requirements and the Council's obligation to refund the applicant had been extinguished. This was contrary to of International Public Sector Accounting Standard (IPSAS) 9 – "Revenue from Exchange Transactions" which requires revenue to be recognised when the Council has transferred to the purchaser the significant risks and rewards of ownership of the goods.

Risk / implication

Misstatement of financial statements.

Financial loss due to lost revenue.

Recommendation

The Council should obtain beer sales information, calculate and reconcile the levy receivable from the brewers.

Management response

Noted. Engagements with Delta Beverages are still underway so that Council gets beer sales information for it to calculate and reconcile the levy receivable from brewers.

All our debtors billed in local currency are being maintained through an aged analysis in our PROMUN system except land sales debtors which are billed in USD. As such, the debtors are being maintained on a spreadsheet to preserve value since our current ERP can only maintain debtors in the local currency. Internal controls have been strengthened so as to avoid cases of misstatement. Management is contemplating adoption of LADS ERP for the management of land sales.

2 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing audit findings and recommendations raised in my 2023 audit report. I raised nine (9) audit findings, three (3) were addressed and six (6) were not addressed as indicated below;

2.1 Fire service vehicles

The finding was not addressed. The Council still had no fire tenders.

2.2 Receivables

The finding was not addressed. The Council still does not maintain a complete age analysis.

2.3 Supporting documents

The finding was addressed. The Council now attach tax invoices on all payments.

2.4 Business licenses

The finding was addressed. The Council now has a data base.

2.5 Beer levy

The finding was not addressed. Engagements with Delta Beverages are still underway to obtain returns.

2.6 Property, plant and equipment

The finding was addressed. Council has conducted the revaluation exercise.

2.7 Wastewater management

The finding was not addressed. Council target to complete and operationalise Kurai Sewer Stabilisation ponds.

2.8 Dump site

The finding was not addressed. Council is awaiting availability of funds.

2.9 Stands files

Finding address not addressed. Files not yet created.

I have audited the financial statements of Norton Town Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Norton Town Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs)

Basis for Qualified Opinion

i. Non-compliance with International Accounting Standard (IAS) 16 - "Property, Plant and Equipment" and (IAS) 36 - "Impairment of Assets"

The Council did not depreciate its property, plant equipment disclosed at a carrying amount of ZWL$15.66 billion in the financial statements. Items of property, plant and equipment were not depreciated contrary to the requirements of IAS 16 - "Property, Plant, and Equipment". The Council did not also assess assets for impairment even though there was evidence of impairment on some vehicles and equipment.

In addition, the Council did not review the residual values and useful lives of property, plant, and equipment at reporting date in accordance with IAS 16 - "Property, Plant, and Equipment". Had the Council applied the requirements of IAS 16 - "Property, Plant, and Equipment", items of property, plant and equipment in the financial statements would be materially different.

ii. Non-compliance with International Financial Reporting Standards (IFRS) 9 - Financial Instruments

The Council disclosed receivables amounting to ZWL$18 billion in the financial statements. The Council did not provide for expected credit loss as required by IFRS 9, paragraph 5.5.1 which requires an entity to recognise a loss allowance for expected credit losses on a financial asset. Had the allowance for credit loss been provided, financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Valuation of assets

Finding

The policies of the Council were not aligned to the requirements of International Financial Reporting Financial Standards (IFRS). As a result, the Council did not depreciate property, plant and equipment contrary to paragraph 43 of International Accounting Standard (IAS) 16 - "Property, Plant, and Equipment" which requires that each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item shall be depreciated separately. In addition, the Council did not carry out an impairment test of its property, plant and equipment as required by IAS 36 - "Impairment of Assets" even though there were indicators of impairment on some vehicles and equipment. The Council did not also review the residual values and useful lives of property, plant, and equipment at reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Depreciation and Impairment charges should be provided for in line with IAS 16 and IAS 36.

Management response

Accounting policy has now been updated to take into account the requirements of IAS 16 - "Property, Plant and Equipment".

1.2 Information and Communication Technology strategic plan

Finding

The Council did not have an ICT Strategic Plan to set out a clear focus on using Information Communication Technology for better service delivery and achieving a better value of ICT investments which ultimately helps the Council achieve its set objectives.

Risk / implication

Investments on ICT may not contribute towards service delivery.

Recommendation

Council should develop an ICT Strategy aligned with the Council's overall strategic objectives.

Management response

In light of the directive to develop an ICT Strategy aligned with the Council's Overall Strategic Objectives, we recognize the importance of establishing a robust framework that not only meets our current technological needs but also anticipates future developments and challenges. The strategy is aimed for Strategic Planning 2025.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Non-compliance with International Financial Reporting Standards (IFRS) 9 - Financial Instruments

The Council disclosed receivables amounting to ZWL$18 billion in the financial statements. The Council did not provide for expected credit loss as required by IFRS 9, paragraph 5.5.1 which requires an entity to recognise a loss allowance for expected credit losses on a financial asset.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should make assessment for credit losses to comply with the requirements of IFRS 9.

Management response

The observation is noted.

3 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS.

The Council made progress in addressing findings that I raised in my 2023 report. I raised two (2) findings, one (1) was addressed and one (1) not addressed.

3.1 Revaluation of assets

The finding was not addressed. Council did not depreciate and assess for impairment.

3.2 Beer levy computation

The finding was addressed. The brewer now avails the statements.

I have audited the financial statements of Plumtree Town Council for the year ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Plumtree Town Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 - "Revenue"

The Council recognised revenue from land sales before the applicant had satisfied the stated requirements in the offer letter. This was contrary to paragraph 56 of International Public Sector Accounting Standards (IPSAS) 47 - "Revenue" which requires revenue to be recognised when the Council had satisfied its compliance obligations. Included in revenue from exchange transactions was revenue of ZWL$1.1 billion from the sale of stands. Had the Council complied with the requirements of IPSAS 47, revenue from transactions with binding arrangements would have been materially different.

ii. Suspense account

The statement of financial performance had a suspense amount of ZWL$723 million which could not be cleared by Council. Council did not maintain adequate records and was not practicing the principle of double entry. As a result, I was unable to determine the extent to which other accounts on the financial statements may be misstated. The effect of this misstatement is therefore considered material.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 - "Segment Reporting"

The Council did not disclose segments information contrary to International Public Sector Accounting Standard (IPSAS) 18 - "Segment Reporting" paragraph 52 which requires the Council to disclose segments financial information. Had the Council made adequate disclosures, the financial statements would have been useful to users.

iv. Unsupported expenditure

Expenditure amounting to ZWL$60.79 million disclosed in the financial statements was not supported with the requisite documents such as delivery notes, supplier invoices and receipts. As a result, I could not satisfy myself on the accuracy and validity of expenditure reported in the financial statements.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21- "Impairment of Non-Cash Generating Assets"

The Council did not assess its assets for impairments in terms of (IPSAS) 21 - "Impairment of Non-Cash Generating Assets" despite the assets having indicators of impairment. This was contrary to International Public Sector Accounting Standard (IPSAS) 21- "Impairment of Non-

Cash Generating Assets" which requires entities to assess at the reporting date whether there is any indication that an asset is impaired. Had Council assessed the property, plant and equipment for impairment the carrying amounts would have been materially different.

vi. Property, plant and equipment

There was an unreconciled variance of ZWL$176 million between the asset register and the amount disclosed in the financial statements. The value of property, plant and equipment in the asset register was greater than the value of property plant and equipment reported in the financial statements. I therefore could not obtain reasonable assurance on the valuation of property, plant and equipment.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Double entry bookkeeping

Finding

The Council was not applying proper double entry principles while recording transactions as a result the financial statements had a suspense account balance of ZWL$723 million.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should investigate and clear the suspense account.

Management response

Council has been investigating the cause of the suspense account and the service provider for the ERP highlighted that the software had been understating revenues by posting some revenues to a zero code. Council has since made a decision to migrate to another ERP during the year 2024.

1.2 Segment reporting

Finding

The Council did not disclose segments information contrary to International Public Sector Accounting Standard (IPSAS) 18 - "Segment Reporting" paragraph 52 which requires the Council to disclose segments financial information.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should disclose segment information as required by IPSAS18.

Management response

The observation is noted.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Sale of land

Finding

The Council recognised revenue from land sales before the applicant had satisfied the stated requirements in the offer letter. This was contrary to paragraph 56 of International Public Sector Accounting Standards (IPSAS) 47 - “Revenue” which requires revenue to be recognised when the Council had satisfied its compliance obligations. Included in revenue from exchange transactions was revenue of ZWL$1.1 billion from the sale of stands.

Risk / implication

Misstatement of the financial statements.

Recommendation

The Council should recognize revenue in line with the requirements of IPSAS 47.

Management response

The Council has begun the processes of acquiring a new ERP, which is aimed to separate deferred income from land sale at set up.

3 PROCUREMENT OF GOODS AND SERVICES

3.1 Expenditure supporting documents

Finding

Expenditure amounting to ZWL$60.79 million was not supported with the requisite documents such as delivery notes, supplier invoices and receipts.

Risk / implication

Misstatement of financial statements.

Recommendation

All expenditure transactions should be adequately supported.

Management response

The observation is appreciated and acknowledged; Council will ensure all payment vouchers are furnished with supporting documentation in future.

4 MANAGEMENT OF ASSETS

4.1 Property, plant and equipment

Finding

The Council did not reconcile its asset register and figures in the financial statement, as a result, there was a variance of ZWL$176 million.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should carry out reconciliations of asset register to trial balance and investigate and clear all variances.

Management response

Noted a reconciliation shall be conducted, Council intends to conduct an asset revaluation exercise during the year 2024.

4.2 Impairment of assets

Finding

The Council did not assess its assets for impairments in terms of (IPSAS) 21 - “Impairment of Non-Cash Generating Assets” despite the assets having indicators of impairment. This was contrary to International Public Sector Accounting Standard (IPSAS) 21- “Impairment of Non-Cash Generating Assets” which requires entities to assess at the reporting date whether there is any indication that an asset is impaired.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment at the end of each reporting period in compliance with IPSAS 21.

Management response

The observation is acknowledged; impairment tests will be conducted at the end of each financial year in compliance with the standard.

5 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised six (6) findings, one (1) finding was addressed, two (2) were partially addressed and three (3) were not addressed as indicated below;

5.1 Policies and procedures manual

The finding was not addressed. Council is yet to comply with the requirements of International Public Sector Accounting Standard (IPSAS) 29 - “Financial Instruments” on the recognition of receivables.

5.2 Revenue recognition

The finding was not addressed. The Council did not comply with the requirements of International Public Sector Accounting Standard (IPSAS) 47 - “Revenue”

5.3 Value Added Tax

The finding was addressed. Council is now complying with the VAT Act.

5.4 Suspense account

The finding was not addressed. The imbalance was not corrected.

5.5 Water works

The finding was partially implemented. Meter acquired, only installation is outstanding.

5.6 Schools’ infrastructure

The finding was partially implemented. A new primary school and a secondary school are being constructed at Mathendele to ease the pressure on the existing educational infrastructure.

I have audited the financial statements of Rusape Town Council for the year ended December 31, 2022 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Rusape Town Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates" and IPSAS 10 - "Financial Reporting in Hyperinflationary Economies"

The opening balances of Council's foreign currency denominated transactions and balances were translated into ZWL$ using interbank exchange rates. The exchange rates used did not meet the definition of spot exchange rates in accordance with IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" due to non-availability of foreign currency for immediate delivery at the interbank exchange rates. In addition, the misstatements were not corrected in the financial statements for the year ended December 31, 2022. Had the Council used the correct spot rates, the inflation adjusted financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS 17) - "Property, Plant and Equipment" and IPSAS 16 - "Investment Property"

Included in the balance of property, plant and equipment of ZWL$199.1 million are Council beerhalls and houses that are leased out for rental income. The Council did not separately categorize and disclose the beerhall and the Council houses as investment property contrary to IPSAS 16 - "Investment Property" paragraph 7 which defines such properties as investment property. Had the Council complied to the requirements of IPSAS 16 - "Investment Property" and IPSAS 17 -"Property, Plant and Equipment" the carrying amount of property, plant and equipment and investment property would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Beerhalls and Council houses

Finding

Included in the balance of property, plant and equipment of ZWL $199.1 million are Council beerhalls and houses that are leased out for rental income. The Council did not separately categorize and disclose the beerhall and the Council houses as investment property contrary to IPSAS 16 - "Investment Property" paragraph 7 which defines such properties as investment property.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should classify Council houses and beerhalls as investment property.

Management response

We take note of the recommendation. The exercise to separately categorise and disclose the beerhalls and the Council house as investment property will be done in the future period.

2. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised three (3) findings that were not addressed as indicated below;

2.1 The Effects of Changes in Foreign Exchange Rates

The finding was not addressed. Foreign currency denominated transactions and balances of the Council were translated into ZWL using the interbank exchange rates.

2.2 Financial Reporting in Hyperinflationary Economies

The finding was not addressed. The Council used inappropriate base numbers.

2.3 Property, plant and equipment and investment property

The finding was not addressed. Council did not separately recognise beerhalls and houses as investment property.

SHURUGWI TOWN COUNCIL 2023

I have audited the financial statements of Shurugwi Town Council for the year ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Shurugwi Town Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 - "Financial Reporting in Hyperinflationary Economies"

The Council did not prepare inflation adjusted financial statements. This was contrary to the provisions of IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" which requires entities operating in hyperinflationary economies to prepare inflation adjusted financial statements. Had the Council adjusted its financial statements for hyper-inflation, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not include its land reserve in the asset register. As a result, the Council did not account for land reserve in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 50 which requires land to be disclosed as a separate class where there is a deed of grant by the state, title deeds, permit, cession or warrant.

iii. Expenditure

Expenditure amounting to ZWL$340.01 million was not supported by the requisite documentation such as supplier invoices and receipts. I therefore could not satisfy myself as to the accuracy and validity of expenditure balances disclosed in the financial statements

iv. Employment costs

There was an unresolved variance of ZWL$0.55 billion between employee costs as per payroll summaries of ZWL$4.66 billion and the balance disclosed in the financial statements of ZWL$5.21 billion. I therefore could not satisfy myself on the validity, completeness and accuracy of the employee costs disclosed in the financial statements.

Below are other material issues noted during the audit

1. GOVERNANCE ISSUES

1.1 Hyperinflationary accounting

Finding

The Council's accounting staff had a skills gap on preparation of inflation adjusted financial statements. As a result, the Council did not prepare inflation adjusted financial statements. This

was contrary to the provisions of International Public Sector Accounting Standard (IPSAS) 10 - "Financial Reporting in Hyperinflationary Economies" which requires entities operating in hyperinflationary economies to prepare inflation adjusted financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should capacitate accounting personnel with the requisite skills.

Management response

The observation is noted and agreed. We hope to get all our accounting staff to get comprehensive IPSAS training this year in 2024 and thereafter start to hyperinflate the accounts going forward.

1.2 Land reserve

Finding

The Council's land reserve was not valued and incorporated in the fixed assets register resulting in the land not being accounted for in the financial statements contrary to International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" paragraph 50 which requires land to be disclosed as a separate class where there is a deed of grant by the state, title deeds, permit, cession or warrant.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for its land reserve in the financial statements in line with the requirements of IPSAS 45.

Management response

Observation noted. Council will engage an independent valuer to perform the entire valuation process.

1.3 Expenditure

Finding

Expenditure amounting to ZWL$340.01 million was not supported by the requisite documentation such as supplier invoices and receipts. This was contrary to the Council's accounting procedure manual which requires all expenditure to be supported with the requisite payment vouchers, supplier invoices, receipts and goods received vouchers.

Risk / implication

Misstatement of financial statements.

Financial loss due to unauthorized expenditure.

Recommendation

Council should avail the supporting documentation for the expenditure.

Management response

Observation noted. In future Council will ensure that all required documentation is availed through improving poor filing system and the issue of personnel shortage will be addressed.

2. EMPLOYMENT COSTS

2.1 Payroll reconciliations

Finding

The Council was not carrying out monthly payroll to ledger reconciliations for the year under review due to shortage of staff. As a result, there was an unresolved variance of ZWL$0.55 billion between employee costs as per payroll summaries of ZWL$4.66 billion and the balance disclosed in the financial statements of ZWL$5.21 billion.

Risk / implication

Misstatement of financial statements.

Fraudulent payments may go undetected.

Recommendation

Council should perform monthly payroll reconciliations and investigate noted variances.

Management response

We acknowledge the importance of timely and accurate payroll reconciliations. Monthly payroll reconciliations will be performed by the Finance and HR department. Investigations are currently underway to resolve the variances noted.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing audit findings and recommendations raised in my 2023 annual report. I raised fourteen (14) audit findings, six (6) were addressed and eight (8) were not addressed as indicated below;

3.1 Financial Reporting in Hyperinflationary Economies

The finding was not addressed. Council did not adjust its financial statements for inflation.

3.2 Cash and cash equivalents

The finding was not addressed. Council is yet to resolve the variances between cash book and bank reconciliations.

3.3 Unsupported expenditure

The finding was not addressed. The Council did not provide supporting documents for expenditure.

3.4 Payroll reconciliations

The finding was not addressed. Council is yet to prepare monthly payroll reconciliations.

3.5 Fuel benefit

The finding was addressed. The fuel benefit is now being processed through payroll.

3.6 Land

The finding was not addressed. The Council did not put a comprehensive register in place to account for land.

3.7 Sewerage reticulation

The finding was not addressed. The Council is yet to rehabilitate its water infrastructure.

3.8 Segregation of duties

The finding was addressed. System administration and payroll functions are now being done by different personnel.

3.9 Procurement of generator

The finding was not addressed. The generator paid for in January 2022 is yet to be delivered.

3.10 Non-revenue water

The finding was not addressed. The Council is yet to rehabilitate its water infrastructure.

3.11 Business licence

The finding was addressed. A database of all businesses within its jurisdiction now in place.

3.12 Beer levy

The finding was addressed. Council engaged the brewer and obtained beer levy statistics.

3.13 Stand sale

The finding was addressed. The Council accounted for revenue from stand sales in accordance with IPSAS.

3.14 Estate fund

The finding was addressed. The Council is no longer utilising estate funds for recurrent expenditure.

ZVISHAVANE TOWN COUNCIL 2023

I have audited the financial statements of Zvishavane Town Council for the year ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Zvishavane Town Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Receivables

There was an unresolved variance of ZWL$4.28 billion between the receivables amount disclosed in the financial statements amounting to ZWL$25.30 billion and the balance as per supporting receivables listing of ZWL$21.02 billion. I therefore could not satisfy myself as to the valuation and completeness of the receivables disclosed in the financial statements.

ii. Expenditure

Included in total expenditure of ZWL$26.34 billion disclosed in the financial statements is an unsubstantiated suspense account balance of ZWL$1.64 billion. As a result, I could not satisfy myself as to the validity and accuracy of expenses disclosed in the financial statements.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 – "Revenue"

The Council recognised for business licence fees, lease rentals and beer levy income on cash basis. This was contrary to IPSAS 47 – "Revenue" paragraph 3 which requires revenue to be accounted for on an accrual's basis. In addition, the Council disclosed an unsubstantiated foreign exchange gain of ZWL$477.72 million. I was unable to satisfy myself on the accuracy of the revenue disclosed in the financial statements.

iv. Payables

There was an unresolved variance of ZWL$1.62 billion between payroll payable listing of ZWL$1.09 billion and the balance disclosed in the financial statements of ZWL$2.71 billion. I was unable to satisfy myself as to the validity, accuracy and completeness of payables disclosed in the financial statements.

v. **Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"**

The Council did not account for revenue, expenses, receivables and payables of its three (3) schools in its financial statements for fair presentation. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 12, which requires an entity to identify and disclose its separate segments. Had the Council complied with IPSAS 1 - "Presentation of

Financial Statements" and IPSAS 18 - "Segment Reporting" in accounting for its schools, the financial statements would have been materially different.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council last revalued its property, plant and equipment in 2017 contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29, which requires revaluation to be made with sufficient regularity to ensure that the carrying amount does not differ materially from the fair values at the reporting date.

In addition, the Council did not recognize the donations received during the period under review, contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 12 which requires donated assets to be recognised. Had the Council revalued the property, plant and equipment and recognised the donated assets, the financial statement would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Accounting for schools

Finding

The Council did not account for revenue, expenses, receivables and payables of its three (3) schools in its financial statements for fair presentation. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 12, which requires an entity to identify and disclose its separate segments. Had the Council complied with IPSAS 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting" in accounting for its schools, the financial statements would have been materially different.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should account for its Schools in the financial statements.

Management response

The Council notes the observation and will implement the audit recommendation. The issue is still work in progress. The school Bursars did not have the training expertise to produce IPSAS compliant financial statements. However, the Council is going to send school staff for IPSAS training workshops so that reports produced are IPSAS compliant.

1.2 Foreign exchange gain

Finding

The Council disclosed an unsubstantiated foreign exchange gain of ZWL$477.72 million. I was unable to satisfy myself on the accuracy of the revenue disclosed in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

Foreign exchange gains and losses should be adequately supported.

Management response

The observation is noted; the Council did not have a foreign currency module during the year 2023. Going forward the Council will ensure that it purchases the foreign currency module and implements the audit recommendation.

1.3 Asset revaluation

Finding

The Council last revalued its property, plant and equipment in 2017 due to financial constraints. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29, which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially from the fair values at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should revalue its assets with sufficient regularity to comply with IPSAS 45.

Management response

The observation is noted, asset revaluation was last done in 2017 due to financial constraints being experienced by the Council.

1.4 Donated assets

Finding

The Council did not recognize donated assets received from a local mining company in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 12 which requires such assets to be recognised. The Council also did not recognise the corresponding revenue arising from the donation in kind contrary to the requirements of IPSAS 47 – "Revenue" which requires an entity to recognise as income assets received from non-exchange transactions. The Council did not obtain supporting invoices or receipts of the water pumps received which could have been used to determine the value on the date of the donations.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should obtain formal valuation report, supplier invoices and receipts for the donated assets and recognise them in the financial statements.

Management response

The Council notes the observation and will implement the audit recommendations. The Council was having challenges in obtaining documentation of the donated assets with cost prices from a local mining company for accounting purposes. However, the Council will continue engaging the company to provide the documentation.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Accounts receivables

Finding

There was an unresolved variance of ZWL$4.28 billion between the receivables amount disclosed in the financial statements amounting to ZWL$25.30 billion and the balance as per supporting receivables listing of ZWL$21.02 billion. I could not satisfy myself as to the valuation and completeness of the receivables disclosed in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should investigate the variances and take corrective action.

Management response

The Council notes the observation. However, Promun produces debtors age reports at the end of each month such that by the time the system was rectified the listing could not be produced in retrospect but only the trial balance figures could be corrected. Hence the variance is system related.

3. PROCUREMENT OF GOODS AND SERVICES

3.1 Payables

Finding

There was an unresolved variance of ZWL$1.62 billion between payroll payable listing of ZWL$1.09 billion and the balance disclosed in the financial statements of ZWL$2.71 billion. I was unable to satisfy myself as to the validity, accuracy and completeness of payables disclosed in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should investigate and resolve the variances.

Management response

Observation is noted. Management will implement the audit recommendations. Going forward reconciliations will be performed on a monthly basis.

3.2 Suspense account balance

Finding

Included in expenditure amount of ZWL$26.33 billion reported in the financial statements was an unsubstantiated suspense account balance of ZWL$1.64 billion with no supporting information.

Risk / implication

Misstatement of financial statements.

Financial loss due to irregular transactions.

Recommendation

Council should investigate and clear the suspense account balance.

Management response

Observation is noted. The Council will investigate the suspense balance noted and ensure that corrective action is taken, and it does not recur in future.

4. EMPLOYMENT COSTS

4.1 Taxation of allowances and benefits

Finding

The Council processed allowances amounting to ZWL$2.59 billion outside payroll. As a result, the allowances were not taxed contrary to the Income Tax Act [Chapter 23.06] which requires all benefits and allowances granted to employees to be subjected to income tax.

Risk / implication

Financial loss due to fines and penalties.

Recommendation

Council should process all employee benefits through the payroll and subject them to tax.

Management response

The Council notes the observation. Going forward, the Council will ensure that all employee costs are processed through the payroll and taxed. In addition, the Council will engage the tax authorities on how to resolve the issue.

5. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing audit findings and recommendations raised in my 2023 annual report. I raised twenty-three (23) audit findings, two (2) were addressed, three (3) were partially addressed and eighteen (18) were not addressed as indicated below;

5.1 Inventory management

The finding was partially addressed. Promun training for inventory module was done.

5.2 Estate funds reconciliation

The finding was not addressed. Council did not reimburse estate funds.

5.3 Accounting for Schools

The finding was not addressed. The Council did not account for its Schools.

5.4 Beer levy

The finding was not addressed. The Council did not obtain sales schedules from brewer.

5.5 Lease and house rentals

The finding was not addressed. Council accounted for rentals on cash basis.

5.6 Fuel allowances

The finding was addressed. Fuel benefits were incorporated in the payroll.

5.7 Title deeds

The finding was partially addressed. The Council applied for title deeds at the Deeds Office.

5.8 Accounting policies, changes in accounting estimates and errors

The finding was not addressed. The Council did not correct the errors.

5.9 Property, plant and equipment

The finding was not addressed. The Council did not have a detailed asset register.

5.10 Inventory valuation and ageing report

The finding was not addressed. The Council did not use the inventory module on Promun.

5.11 Dumpsite

The finding was not addressed. Council is using a temporary dumpsite.

5.12 Public lighting

The finding was not addressed. The Council did not fix the streetlights and tower lights.

5.13 Provision of health facilities

The finding was not addressed. Council did not construct the clinic.

5.14 Partial utilization of PROMUN system and data integrity

The finding was not addressed. Council did not fully utilise the PROMUN system.

5.15 Purchase of goods and services

The finding was not addressed. Council did not avail supporting documents for goods purchased.

5.16 Lease and house rentals

The finding was partially addressed. Some of the properties now have lease agreements.

5.17 Service level agreements

The finding was not addressed. Council did not have service level agreements.

5.18 Water leakages

The finding was not addressed. Council did not put in place a rehabilitation plan for the water distribution system.

5.19 Employment costs not processed through the payroll

The finding was not addressed. Council did not process allowances through payroll.

5.20 Payroll reconciliations

The finding was not addressed. Council did not investigate the variances and make necessary adjustments.

5.21 Fire protection

The finding was not addressed. Council has only managed to apply for a toll-free line.

5.22 Water supply

The finding was not addressed. Council did not service non-functional meters.

5.23 Provision of public sewer

The finding was partially addressed. Council is working on project of public sewer.

LOCAL BOARDS

CHIRUNDU LOCAL BOARD 2022

I have audited the financial statements of Chirundu Local Board for the year ended December 31, 2022 and I have issued a qualified opinion.

Qualified Opinion

In my opinion, excepts for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chirundu Local Board as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

Council's foreign currency denominated transactions and balances were translated into ZWL$ using interbank exchange rates. The exchange rates used did not meet the definition of spot exchange rate in accordance with (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates". IPSAS 4 requires foreign currency denominated balances and transactions to be translated into functional currency using spot rates. Had the financial statements been translated into functional currency using spot rates some elements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, plant and equipment"

The Council did not revalue the assets contrary to International Public Sector Accounting Standard (IPSAS)17- "Property, Plant and Equipment" which requires revaluations to be carried out regularly, so that the carrying amount of an asset does not differ materially from its fair value at the reporting date.

In addition, Council did not account for the value of land separately from buildings resulting in land being depreciated. This was contrary to IPSAS 17 which requires land to be accounted for separately and not to be depreciated. Had the Council accounted for property, plant and equipment in accordance with IPSAS 17, the financial statements would have been materially different.

iii. Revenue completeness

The business licences were not updated annually to include new businesses. The Board invoiced business licences revenue amounting to ZWL$11.16 million using an outdated customer database. I was not provided with supporting evidence that all business operators were invoiced during the year under review. As a result, I could not satisfy myself regarding the completeness of revenue and trade receivables.

1 GOVERNANCE ISSUES

1.1 Land and buildings

Finding

The Council did not revalue the assets contrary to International Public Sector Accounting Standard (IPSAS)17- "Property, Plant and Equipment" which requires revaluations to be carried out regularly, so that the carrying amount of an asset does not differ materially from its fair value at the reporting date.

In addition, Council did not account for the value of land separately from buildings resulting in land being depreciated. This was contrary to IPSAS 17 which requires land to be accounted for separately and not to be depreciated.

Risk / implication

Misstatement of financial statements.

Recommendation

The Board should adhere to the provisions of IPSAS 17 and record land separately from buildings.

Management response

Assets to be revalued to separate land and buildings.Council to engage a valuer with technical expertise, currently Council do not have staff with requisite knowledge to carry out a proper valuation.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue completeness

Finding

The business licences were not updated annually to include new businesses. The Board invoiced business licences revenue amounting to ZWL$11.16 million using an outdated customer database. I was not provided with supporting evidence that all business operators were invoiced during the year under review.

Risk / implication

Misstatement of financial statements.

Recommendation

The Local Board to conduct a district-wide exercise to verify the completeness of the customer database.

Management response

A database for business licence is available in Pastel, with each business operator having a ledger account. Council to continuously update its data base on business licences, property stock, builders and introduce a new system on plan approval and use of resources.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2023 annual report. I raised two (2) findings, one (1) finding was addressed and one (1) finding was not addressed as indicated below;

3.1 Alignment of accounting processes to the reporting framework

The finding was not addressed Council did not align its accounting processes and did not perform a valuation to separate its land and buildings.

3.2 Receivables

The finding was addressed. The Council assessed the recoverability of its in line with financial reporting standards.

EPWORTH LOCAL BOARD 2022

I have audited the financial statements of Epworth Local Board for the year ended December 31, 2022 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Epworth Local Board as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard (IAS) 21 – "The Effects of Changes in Foreign Exchange Rates" and IAS 29 – "Financial Reporting in Hyperinflationary Economies"

The Council did not translate foreign currency transactions at the date of transaction. Instead, the Council maintained the transactions in foreign currency up to the year-end when the balances were translated using the closing rate as at December 31, 2022. This was contrary to IAS 21 – "The Effects of Changes in Foreign Exchange Rates" paragraph 21 which requires transactions to be translated using the spot exchange rate at the date of the transaction.

In addition, although the Council applied the requirements of IAS 29-"Financial Reporting in Hyperinflationary Economies", its application was based on financial information, which was not in compliance with IAS 21 – "The Effects of Changes in Foreign Exchange Rates". Had the Council translated foreign currency transactions at the date of transaction and applied the correct base numbers, the financial statements would have been materially different.

ii. Non-compliance with International Financial Reporting Standard (IFRS) 15 – "Revenue from Contracts with Customers"

The Local Board recognised stands sales revenue on cash basis. This was contrary to IFRS 15- "Revenue from Contracts with Customers" paragraph 31 which requires revenue to be recognised when performance obligations are satisfied. Had the Local Board recognised stands sales revenue on accrual basis, the financial statements would have been materially different.

iii. Non-compliance with International Accounting Standard (IAS) 16 – "Property, Plant and Equipment" and IFRS 13- "Fair Value Measurement"

The Council did not appropriately perform the valuation of its property, plant and equipment as the values were determined in United States Dollars (USD) and then translated to Zimbabwe Dollars (ZWL$) using the interbank rate as at December 31, 2022. The translated property, plant and equipment values in Zimbabwean dollar could not meet the fair value requirement of IFRS 13- "Fair Value Measurement" as they could not reflect the assumptions that market participants would apply in valuing similar items of property, plant and equipment in Zimbabwe dollars. I could not determine the extent of the adjustments that were necessary.

iv. Non-compliance with International Accounting Standard (IAS) 20 – "Accounting for Government Grants and Disclosure of Government Assistance."

The Council recognised government grants revenue before satisfying the conditions of the grants. This was contrary to IAS 20- "Accounting for Government Grants and Disclosure of Government Assistance" paragraph 39 which requires grants to be recognised in profit or loss on a systematic basis over the periods in which the entity recognises as expenses the related costs for which the grants are expected to compensate. Had the Council recognised grants revenue in accordance with IAS 20- "Accounting for Government Grants and Disclosure of Government Assistance", revenue would have been materially different

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Estate Funds

Finding

The Council did not reimburse the Estate Fund money that was used for vehicles loans for management amounting to USD$ 93 400. This was contrary to section 300 (2) of the Urban Councils Act [*Chapter 29:15*] which requires Estate funds to be utilized for related capital expenditure.

Risk / implication

Service delivery may be compromised.

Recommendation

The Council should reimburse the estate fund account of the borrowed funds and utilise in line with the Urban Councils Act [*Chapter 29:15*].

Management response

Authorization was sought before transfer from estate account and use of the funds. Management to reimburse USD93 400.00 to Estate Fund.

1.2 Stand sales

Finding

The Local Board recognised stands sales revenue on cash basis. This was contrary to IFRS 15- "Revenue from Contracts with Customers" paragraph 31 which requires revenue to be recognised when performance obligations are satisfied. This was due to absence of coordination between departments.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognize stands sales revenue on accrual basis.

Management response

Well, noted, all stand sales are now being accrued in the system. Housing and Finance departments will be collaborating.

1.3 Property, plant and equipment

Finding

The Council did not appropriately perform the valuation of its property, plant and equipment as the values were determined in United States Dollars (USD) and then translated to Zimbabwe Dollars (ZWL$) using the interbank rate as at December 31, 2022. The translated property, plant and equipment values in Zimbabwean dollar could not meet the fair value requirement of IFRS 13- “Fair Value Measurement” as they could not reflect the assumptions that market participants would apply in valuing similar items of property, plant and equipment in Zimbabwe dollars.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should revalue its assets in line with accounting standards.

Management response

Management will comply with the requirements of IAS 16 and IAS 21.

1.4 Grants

Finding

The Council recognised government grants revenue before satisfying the conditions of the grants. This was contrary to IAS 20- “Accounting for Government Grants and Disclosure of Government Assistance” paragraph 39 which requires grants to be recognised in profit or loss on a systematic basis over the periods in which the entity recognises as expenses the related costs for which the grants are expected to compensate.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognize grants revenue in line with accounting standards.

Management response

Management will comply with the requirements of IAS 20.

2. PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing audit findings and recommendations raised in my previous management letter. I raised one (1) audit finding and it was partially addressed.

2.1 Revaluation of property, plant and equipment

The issue was partially addressed. The Council used USD values and translated to ZWG

HWANGE LOCAL BOARD 2020, 2021 AND 2022

I have audited the financial statements of Hwange Local Board for the year ended December 31, 2020, 2021 and 2022 and I issued an adverse opinion for all the years.

Adverse Opinion 2020

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Hwange Local Board as at December 31, 2020 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1- "Presentation of Financial Statements" and International Public Sector Accounting Standard (IPSAS) 18- "Segment Reporting"

The Local Board did not recognise revenue, expenses, receivables, and payables of its three (3) schools in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52 to 57, which requires an entity to identify and disclose its separate segments. Had the Board complied with IPSAS 1 and IPSAS 18 in accounting for its schools, the financial statements would have been materially different.

ii. Suspense account

The Council's financial statements had a suspense amount of ZWL$14.69 million included in payables which could not be cleared by management. The Council did not maintain adequate records and was not practicing the principle of double entry. As a result, I was unable to determine the extent to which other accounts on the financial statements may be misstated. Had the Council resolved the suspense account balance, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4- "The Effects of Changes in Foreign Exchange Rates"

The prior year financial statements did not comply with the requirements of IPSAS 4- "The Effects of Changes in Foreign Exchange Rates", as the Council had been unable to use an appropriate exchange rate on change of functional currency. The Council translated its comparative financial statements using the interbank rate which came into existence on February 22, 2019 through Exchange Control Directive RU 28 of 2019 issued by the Reserve Bank of Zimbabwe.

The Council used February 22, 2019 as the date of change in functional currency and translated its foreign denominated balances to ZWL at a rate of 1:1 per Statutory Instrument 33 of 2019 which prescribed that all assets and liabilities that were denominated in US$ before 22, February 2019 be deemed to be RTGS dollars at a rate of 1:1 and all transactions subsequent to February 22, 2019 at interbank rate. The Council's inability to assess the appropriateness of using the interbank rate in achieving fair presentation was primarily due to the need to comply with SI 33 and the fact that there were no official exchange rates between

October 2018 and February 2019 due to lack of an observable foreign exchange market. In that regard the Council's 2019 opening balances misstatements have an impact on the current year financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23- "Revenue from Non-Exchange Transactions"

The Council did not maintain a database of businesses operating within its jurisdiction for billing of business license fees. As a result, Council was recognizing revenue from business licenses on cash basis contrary to (IPSAS) 23 - "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognized on accrual basis. Had Council accounted for its business licenses on accrual basis, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment"

The Council did not carry out a revaluation of its property, plant and equipment since 2009. This was contrary to IPSAS 17 – "Property, plant and equipment" paragraph 44 which requires assets to be revalued with sufficient regularity so that the carrying amounts of assets do not differ materially from the fair values at the reporting date.

Adverse Opinion 2021

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Hwange Local Board as at December 31, 2021 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1- "Presentation of Financial Statements" and International Public Sector Accounting Standard (IPSAS) 18- "Segment Reporting"

The Local Board did not recognise revenue, expenses, receivables, and payables of its three (3) schools in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52 to 57, which requires an entity to identify and disclose its separate segments. Had the Board complied with IPSAS 1 and IPSAS 18 in accounting for its schools, the financial statements would have been materially different.

ii. Suspense account

The Council's financial statements had a suspense amount of ZWL$14.64 million included in receivables which could not be cleared by management. The Council did not maintain adequate records and was not practicing the principle of double entry. As a result, I was unable to determine the extent to which other accounts on the financial statements may be misstated. Had the Council resolved the suspense account balances, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment"

The Council did not carry out a revaluation of its property, plant and equipment since 2009. This was contrary to IPSAS 17 – "Property, plant and equipment" paragraph 44 which requires assets to be revalued with sufficient regularity so that the carrying amounts of assets do not differ materially from the fair values at the reporting date. In addition, the Council did not separate land and building with a carrying amount of ZWL$22.1 million in its financial statements. As a result, land was depreciated contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 74 which requires land and buildings to be accounted for separately. Had the Council carried out a revaluation exercise and separated land from buildings, the amounts disclosed in the financial statements would have been materially different.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Hwange Local Board as at December 31, 2022 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1- "Presentation of Financial Statements" and IPSAS 18- "Segment Reporting"

The Local Board did not recognise revenue, expenses, receivables, and payables of its three (3) schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52 to 57, which requires an entity to identify and disclose its separate segments. Had the Board complied with IPSAS 1 and IPSAS 18 in accounting for its schools, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment"

The Council did not carry out a revaluation of its property, plant and equipment since 2009. This was contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 44 which requires assets to be revalued with sufficient regularity so that the carrying amounts of assets do not differ materially from the fair values at the reporting date. In addition, the Council did not separate land and buildings with a carrying amount of ZWL$75.7 million in its financial statements. As a result, land was depreciated contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 74 which requires land and buildings to be accounted for separately. Had the Council carried out a revaluation exercise and separated land from buildings, the amounts disclosed in the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12- "Inventories"

The Council did not recognise stands inventory in its financial statements. This was contrary to IPSAS 12 "Inventories" paragraph 11 which requires stands held for sale to be recognised as inventory in the financial statements. Had the Council recognised stands inventory, the financial statements would have been materially different.

iv. Suspense account

The Council's financial statements had a suspense account amount of ZWL$ 66.01 million included in receivables. As a result, I was unable to determine the extent to which other accounts in the financial statements may be misstated. In addition, the opinion for prior year financial statements was modified due to a suspense balance of ZWL$14.69 million reported under payables. Had the Council resolved the suspense account balance on prior and current year, the financial statements would have been materially different.

v. Unsupported expenditure

Expenditure amounting to ZWL$16,9 million disclosed in the financial statements was not supported with the requisite documents such as quotations, invoices, goods received notes and payment vouchers. As a result, I could not satisfy myself on the accuracy and validity of expenditure reported in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1. Accounting procedures manual

Finding

Council was operating without an accounting procedures manual to provide guidance to employees. As a result, bank reconciliations were not accurately prepared and Council had reconciling items dating as far back as 2016.

Risk / implication

Inconsistencies in the handling of operational issues.

Recommendation

Council should have an accounting policy and procedures manual in place.

Council should investigate and clear the outstanding reconciling items.

Management response

Accounting policy and procedures manual are at draft stage and will be sent to Council for adoption. Council shall investigate in attempt to clear outstanding reconciliation items.

1.2. Suspense account

Finding

The Council did not maintain adequate records and was not practicing the principle of double entry. As a result, the 2022 financial statements had an unresolved suspense account balance of ZWL$ 66.01 million included in receivables. In addition, the opinion for prior year financial statements was modified due to a suspense balance of ZWL$14.69 million reported under payables.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should investigate and clear the suspense account balance.

Management response

The observation is noted. This was mainly due to a dysfunctional accounting system. To resolve this Board has initiated the procurement process of an Enterprise Resource Planning (ERP) system as directed by the Minister. The situation was further worsened by the staffing shortages with the accounts department. The Council has however been ceased with the capacitation of the department in both human capital terms and by acquiring and installing a new accounting system.

1.3. Estate funds

Finding

Council utilised estate account funds amounting to ZWL$4.94 million for recurrent expenditure mainly salaries and allowances. This was contrary to section 300 (2) of the Urban Councils Act [Chapter 29:15] which requires estate funds to be utilized for capital expenditure. The Council did not refund the estates account as it was facing financial challenges.

Risk / implication

Service delivery may be compromised.

Recommendation

Estate funds should be utilised for the intended purposes in compliance with the Urban Councils Act.

Management response

Council was using estate funds for recurrent expenditure due to financial challenges. The account was last used in December 2022, as from January 2023 to date it has not been used.

1.4. Accounting for Schools

Finding

The Board did not account for revenue, expenses, receivables and payables for its three (3) Schools in the financial statements for the years ended December 31, 2020 - 2022. This was contrary to IPSAS 1- “Presentation of Financial Statements” paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity and IPSAS 18- “Segment Reporting” paragraphs 52-57, which requires Council to disclose assets, liabilities, revenue, and expenses for each segment.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should account for revenue, expenses, receivables and payables for its Schools in the financial statements.

Management response

Noted, Board working on capacitating the accounting functions in the Schools, these functions will be required to report to the Board accountant. The exercise is expected to be complete by 30th of June 2025.

1.5. Expenditure

Finding

Expenditure amounting to ZWL$16,9 million disclosed in the 2022 financial statements was not supported with the requisite documents such as quotations, invoices, goods received notes and payment vouchers. This was contrary to Statutory Instruments 144 of 2019 (Treasury Instructions) section 53 (1) which requires all expenditures to be supported by adequate documentation.

Risk / implication

Financial loss due to payments for goods or services not received.

Recommendation

Board should ensure that all payments are supported by relevant documentation.

Management response

The observation is noted, compliance is being ensured on all payments conducted from January 2024 onwards. The matter was partly due to manpower shortages within the accounts department to the extent that payments were at some point processed by non-accounting staff who did not maintain proper records. This has however improved and the gaps have been closed.

1.6. Governance structure

Finding

The Local Board had fourteen (14) wards. Out of the fourteen (14), eight (8) wards are representing three concession areas which were not financial contributing to Council revenues despite the Council paying Councilors allowances and benefits to the respective Councilors.

Risk / implication

Decision making and service delivery may be compromised.

Recommendation

The Council should engage relevant authorities to address the issue.

Management response

The recommendation is noted and steps are being taken to follow up on the issue with the parent Ministry.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1. Business licenses

Finding

The Council did not maintain a database of businesses operating within its jurisdiction for billing of business license fees. As a result, Council was recognizing revenue from business licenses on cash basis contrary to (IPSAS) 23 - “Revenue from Non-Exchange Transactions” paragraph 2 which requires revenue to be recognized on accrual basis.

Risk / implication

Misstatement of financial statements.

Financial loss due to fraud.

Recommendation

Council should regularly update its business licenses database and recognise revenue from business licenses on accrual basis.

Management response

Council will maintain the database manually whilst engaging the ERP service provider on billing business licences on the system.

2.2. Councilors’ stands

Finding

Council allocated stands to Councilors who had benefited from previous allocations. As at the end of their term of office, the full purchase prices for the stands had not been paid. This was contrary to the Ministerial circular 12 of 2020 which permitted the Council to allocate only one residential stand to a Councilor and to ensure payment of the full purchase price before expiry of the Councilor’s term of office.

Risk / implication

Financial loss due to irregular allocation of stands.

Recommendation

Council should comply with the requirements of Government circulars.

Management response

The observation is noted, and acknowledged. Due processes will be followed to rectify the wrong. A comprehensive list of all Councilors allocated stands in contravention with the provisions of the statutes will be produced, tabled before council and a

resolution will be made. This will then be forwarded to ministry for guidance.

3. PROCUREMENT OF GOODS AND SERVICES

3.1. Undelivered goods

Finding

The Council procured a grader at a cost of USD$146 050 in September 2018 which was not yet delivered as at December 31 2023. The Council approached the courts to recover the amount paid. In addition, Council did not recover USD 6 620 paid for the purchase of emulsion tar in 2011.

Risk / implication

Financial loss due to non-delivery of procured goods.

Compromise in service delivery.

Recommendation

Council should continue to pursue the matter with the court to recover the amounts paid.

Management responses

Council shall pay the Messenger of Court fees to facilitate the recovery of the amount paid for the purchase of the grader. Council to make a follow up with the supplier of the tar to recover the amount paid.

4. MANAGEMENT OF ASSETS

4.1. Property, plant and equipment revaluation

Finding

The Council did not carry out a revaluation of property, plant and equipment since 2009. This was contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 44 which requires assets to be revalued with sufficient regularity so that the carrying amounts of assets do not differ materially with their fair values at the reporting date. In addition, the Council did not separate land and buildings with a carrying amount of ZWL$75.7million (2021: ZWL$22.1 million) in the financial statements. As a result, land was depreciated contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 74 which requires land and buildings to be accounted for separately.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should revalue its assets with sufficient regularity and separate its land and buildings.

Management response

Council to engage a consultant to evaluate land, buildings and infrastructure assets.

Movable assets will be done internally.

5. SERVICE DELIVERY

5.1. Waste management

Finding

The Council's Empumalanga sewer treatment plant was not operating well as components such as motors and rollers were not working. In addition, Council did not have a landfill, and was using a dumpsite for solid waste management. As a result, the Council was charged fines amounting to ZWL$149 847 by the Environmental Management Authority (EMA) for disposing partially treated sewer into the environment. This was contrary to the requirements of the Environmental Management Act [*Chapter 20:27*] section 70 (1) which prohibits the disposal of waste in a manner that causes environmental pollution.

Risk / implication

Financial loss due to penalties and fines.

Health hazard to the community.

Recommendation

Council should rehabilitate its sewer treatment plant to comply with Environmental Management Act.

Management response

Rehabilitation of Empumalanga Sewer is part of the Empumalanga West scope ongoing project, which is funded by the Ministry of National Housing and Council will follow up with the Ministry.

6. PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing findings that I raised in my 2023 annual report. I raised seventeen (17) findings, three (3) were addressed, one (1) was partially addressed and thirteen (13) were not addressed as indicated below;

6.1. Estate funds

The finding was not addressed as the Council was still utilizing estate funds for recurrent expenditure.

6.2. Supporting documentation

The finding was not addressed as the Council was still incurring expenditure without supporting documentation.

6.3. Inventory

The finding was not addressed as the Council was still to clear the inventory variances noted.

6.4. Cash book differences

The finding was addressed. The Council was cleared the differences.

6.5. Accounting for effects of inflation

The finding was addressed as the Council presented inflation adjusted financial statements in 2020.

6.6. Payables

The issue was not addressed as the Council did not clear the suspense account balance

6.7. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 – "The Effects of Changes in Foreign Exchange Rates"

The finding was not addressed as the Council did not correct the effect of IPSAS 4 on opening balances.

6.8. Property, plant and equipment

The issue was not addressed as the Council avail supporting documentation for the assets.

6.9. Cash and cash equivalents

The finding was not addressed. The Council did not perform bank reconciliations.

6.10. Inventory

The finding was addressed. The Council produced inventory valuation reports.

6.11. Receivables

The finding was not addressed. Council cleared the variances.

6.12. Stand sales

The finding was not addressed. Council is yet to follow conditions set for stand sales.

6.13. Acquisition of motor vehicles

The finding was not addressed. The Council did not comply with prescribed governance in relation to procurement of motor vehicles.

6.14. Purchase of equipment (motorised grader and ambulance)

The finding was not addressed. The Council did not receive the purchased equipment.

6.15. Taxation of employee benefits

The finding was not addressed. The Council did not tax employee benefits.

6.16. Property, plant and equipment

The finding was partially addressed. The Council now have an asset register in place although

it was incomplete.

6.17. Sale of un-serviced stands

The finding was not addressed. The Council did not comply with the provision of the Urban Councils Act and ring fence estate funds for servicing of stands.

LUPANE LOCAL BOARD 2022 AND 2023

I have audited the financial statements of Lupane Local Board for the year ended December 31, 2022 and 2023 and I issued a qualified opinion for 2022 and an adverse opinion for 2023.

Qualified Opinion 2022

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Lupane Local Board as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments"

The Local Board did not recognise allowance for credit losses on receivables balance disclosed in the financial statements. This was contrary to IPSAS 41- "Financial Instruments" paragraph 73 which requires an entity to recognise allowance for credit losses on financial assets. Had the Council recognised allowance for credit losses, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment".

The Local Board did not recognise land in the financial statements. This was contrary to IPSAS 17- "Property, Plant and Equipment" paragraph 14 which requires an item of property, plant and equipment that satisfies the definition of an asset to be recognised. Had the Local Board recognised land, the financial statements would have been materially different.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Lupane Local Board as at December 31, 2023 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment."

The Local Board did not recognise land in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" paragraph 6, which requires land to be recognised as an asset as it satisfies the recognition criteria of an asset. In addition, the Local Board did not perform a revaluation of its property, plant and equipment since its establishment. This was contrary to IPSAS 45 - "Property Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the fair values at the reporting date. Had the Local Board revalued property, plant and equipment, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property."

The Local Board incorrectly classified investment property as property, plant and equipment. This was contrary to IPSAS 16 paragraph 7 which requires properties held to earn rentals or for capital appreciation or both to be classified as investment property. Had the Local Board correctly classified investment property, the financial statements would have been materially different.

iii. Opening balances

The financial statements had an unresolved variance between 2022 audited closing balances and the 2023 opening balances for accumulated funds amounting to ZWL$ 4 billion.

Below are other material issues noted during the year;

1. GOVERNANCE ISSUES

1.1 Opening balances

Finding

The financial statements had an unresolved variance between 2022 audited closing balances and the 2023 opening balances for accumulated funds amounting to ZWL$ 4 billion. The variance was reported on the statement of changes in net assets.

Risk/ implication

Misstatement of financial statements.

Recommendation

The Local Board should investigate the variances and take corrective measures.

Management response

Noted, the accumulated funds variance will be cleared in the 2024 financial statements.

2. REVENUE COLLECTION AND DEBT RCOVERY

2.1. Allowance for credit losses

Finding

The Local Board did not recognise allowance for credit losses on receivables balance disclosed in the financial statements due to absence of a receivables age analysis. This was contrary to IPSAS 41- "Financial Instruments" paragraph 73 which requires an entity to recognise allowance for credit losses on financial assets.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should implement a robust system for maintaining an ageing analysis of receivables and recognise allowance for credit losses in line with IPSAS 41.

Management response
Noted, with the Introduction of ERP we are able to generate proper ageing analysis.

3. MANAGEMENT OF ASSETS

3.1. Investment property

Finding

The Local Board incorrectly classified investment property as property, plant and equipment. This was contrary to IPSAS 16 paragraph 7 which required properties held to earn rentals or for capital appreciation or both to be classified as investment property.

Risk/ implication

Misstatement of financial statements.

Recommendation

Investment property should be reported separately in compliance with IPSAS 16.

Management response

Noted, however the investment property register is now in place as at March 31, 2025 though the values to be included in the financial statements will have to be determined by the revaluation of assets so that the investment property can be separated from other assets.

3.2. Revaluation of assets

Finding

The Local Board did not recognise land in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 - “Property, Plant and Equipment” paragraph 6, which requires land to be recognised as an asset as it satisfies the recognition criteria of an asset. In addition, the Local Board did not perform a revaluation of its property, plant and equipment since its establishment. This was contrary to IPSAS 45 - “Property Plant and Equipment” paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the fair values at the reporting date.

Risk/ implication

Misstatement of financial statements.

Recommendation

The Local Board should revalue its assets and account for its land in compliance with IPSAS 45.

Management response

Noted, the re-valuation of assets will be done in year 2025. The revaluation has been outstanding due to financial constraints.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Local Board made progress in addressing findings that I raised in my previous report. I raised six (6) findings, two (2) were addressed, four (4) were not addressed as indicated below;

4.1. Completeness and existence of property, plant and equipment

The finding was not addressed. The Local Board is yet to recognise investment property.

4.2. Land and buildings

The finding was not addressed. The Local Board is yet to start recognising land and buildings separately.

4.3. Payables

The finding was addressed. Payables listing is now available.

4.4. Revenue recognition

The finding was addressed. Revenue was correctly adjusted.

4.5. Deferred income

The finding was not addressed.

4.6. Valuation of receivables

The finding was not addressed. Policy was adopted in 2024

RUWA LOCAL BOARD 2022 and 2023

I have audited the financial statements of Ruwa Local Board for the year ended December 31, 2022 and 2023 and I issued a qualified opinion for both years.

Qualified Opinion 2022

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Ruwa Local Board as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23 – "Revenue from Non-Exchange Transactions''

The Local Board recognised beer levy revenue amounting to ZWL$4.64 million on cash basis. This was contrary to IPSAS 23 - "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognised on accrual basis. Had the Board recognised beer levy on accrual basis, revenue would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1- "Presentation of Financial Statements" and International Public Sector Accounting Standard (IPSAS) 18- "Segment Reporting"

The Local Board did not recognise revenue, expenses, liabilities, furniture and fittings and current assets of its ten (10) Schools in the financial statements. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52 to 57, which requires an entity to identify and disclose its separate segments. Had the Board complied with IPSAS 1 and IPSAS 18 in accounting for its Schools, the financial statements would have been materially different.

Qualified Opinion 2023

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Ruwa Local Board as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 – "Revenue''

The Local Board recognised beer levy revenue amounting to ZWL$ 32.5 million on cash basis. This was contrary to IPSAS 47 - "Revenue" paragraph 3 which requires revenue to be recognised on accrual basis. Had the Board recognised beer levy on accrual basis, the financial statements would have been materially different.

iv. Non-Compliance with International Public Sector Accounting Standard (IPSAS) 1- "Presentation of Financial Statements" and IPSAS 18- "Segment Reporting"

The Local Board did not account for the revenue, expenses and liabilities of its ten (10) schools in its financial statements. The Local Board only accounted for the school buildings leaving out other assets such as furniture and fittings and current assets. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Local Board's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 12, which requires an entity to identify and disclose its separate segments. Had the Local Board complied with IPSAS 1- "Presentation of Financial Statements" and IPSAS 18- "Segment Reporting" in accounting for its schools, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1. Accounting for schools

Finding

The Local Board did not account for the revenue, expenses and liabilities of its ten (10) schools in its financial statements. The Local Board only accounted for the school buildings leaving out other assets such as furniture and fittings and current assets. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Local Board's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 12, which requires an entity to identify and disclose its separate segments.

Risk / implication

Misstatement of financial statements.

Recommendation

The Local Board should account for its schools in the financial statements.

Management response

The Local Board did not consolidate the accounts from its ten schools because of absence of prepared annual financial statements from the schools. The schools submitted to Board incomplete accounts, which could not be consolidated. The Board has trained the school authorities including bursars to produce IPSAS compliant financial statements. We hope 2024 financial statements will incorporate schools' financial statements.

1.2. Board of enquiry

Finding

The Council did not convene boards of enquiry for the nine (9) vehicle accidents that occurred during the year under review. This was in contravention of the Council's transport policy

section 10.9.8 which requires the board of inquiry to meet within 14 working days of the offence/ accident/ misuse happening.

In addition, I was not availed with evidence that police reports were made on five (5) accidents contrary to the Council's transport policy section 10.9.4 which requires accidents to be reported to the police within 24hours.

Risk / implication

Financial loss due to failure to recover the vehicle accident costs.

Recommendation

All accidents should be handled in accordance with the Council policies and good corporate governance practises.

Management response

All outstanding matters before the Board of enquiry will be finalized. A training for all drivers and vehicle users will be conducted to equip employees with knowledge and procedures on incident and accident processes, to ensure compliance with the Council's Transport policy.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1. Beer levy

Finding

The Local Board did not obtain sales schedules from the brewer. As a result, the Local Board recognised beer levy revenue amounting to ZWL$32.5 million on cash basis for the year under review. This was contrary to IPSAS 47 - "Revenue" paragraph 3 that requires revenue to be recognised on accrual basis.

Risk / implication

Misstatement of financial statements.

Recommendation

The Local Board should obtain sales schedules from the brewer and account for beer levy revenue on accrual basis.

Management response

We have never received any co-operation from the breweries. They will not share such information as sales schedule. We have as a fraternity engaged Ministry of Local Government to assist, as on this case but currently there is no joy.

3. SERVICE DELIVERY

3.1 Solid waste management

Finding

The Local Board did not have a landfill as a result the Board was using a dumpsite which was not fenced. This was contrary to the Environmental Management Act [*Chapter 20:27*], which requires the Council to have a landfill.

Risk / implication

Financial loss due to fines and penalties.

Health hazards to the community.

Recommendation

The Local Board should mobilise funds to establish a landfill in compliance with environmental laws and regulations.

Management response

The Local Board dumpsite is not an engineered land fill site and hence it's not in compliance with the provisions of the Environmental Management Act (Chapter 20:27). Land question has affected solid waste investments. Efforts are being made to continue follow ups on the land issue with the Ministry of Lands and the engagement with the minister of state.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2023 annual report. I raised nine (9) findings, five (5) were addressed, one (1) was partially addressed and three (3) were not addressed as indicated below;

4.1 Internal audit reports

The finding was addressed. Internal audit reports are now being responded to.

4.2 Non-revenue water

The finding was addressed. The Council received 3000 new water metres.

4.3 Water purchases

The finding was addressed. The Local Board reviewed its tariffs to cater for the cost of recovery.

4.4 Schools

The finding was not addressed. The Local Board did not account for the revenue, expenses and liabilities of its ten (10) schools in its financial statements.

4.5 Sewer blockages and spillage

The finding was addressed. The sewer was repaired through Zim fund who brought pipes and did the repair works.

4.6 Beer levy

The finding was not addressed. Council is yet to receive beer schedules.

4.7 Cell phones

The finding was partially addressed. The issue was reported to the police.

4.8 Functional meters and water consumed

The finding was not addressed. Council is yet to replace non-functional water meters.

4.9 Fire department

The finding was addressed. Council now have a fire tender and 12 people will go for training at Harare City.

RURAL DISTRICT COUNCILS

BEITBRIDGE RURAL DISTRICT COUNCIL 2022

I have audited the financial statements of Beitbridge Rural District Council for the year ended December 31, 2022 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, in all material respects, the financial position of Beitbridge Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard (IAS) 21 – "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency transactions and balances into ZWL$ using the interbank exchange rates which did not meet the definition of a spot exchange rate as foreign currency was not available for immediate delivery at these rates. This was contrary to IAS 21 - "The Effects of Changes in Foreign Exchange Rates" paragraph 21 which requires foreign currency transactions to be translated using spot exchange rates. Had the financial statements been prepared in accordance with the requirements of the IAS 21 – "The Effects of Changes in Foreign Exchange Rates" some elements would have been materially different.

ii. Non-compliance with International Accounting Standard (IAS) 16 – "Property, Plant and Equipment"

The Council did not depreciate its property, plant and equipment contrary to IAS 16 – "Property, Plant and Equipment" paragraph 43 which requires assets to be depreciated. In addition, the Council did not revalue its property, plant and equipment despite changes in the operating environment which affected the fair values. This was contrary to IAS 16 "Property, Plant and Equipment" paragraph 31 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount of assets do not differ materially with the fair values at the reporting date. Had the Council depreciated its assets and revalued its property, plant and equipment, the financial statements would have been materially different.

iii. Non-compliance with International Accounting Standard (IAS) 40 – "Investment Property"

The Council classified assets that meet the definition criteria of investment property as property, plant and equipment. This was contrary to IAS 40 – "Investment Property" paragraph 5 which requires property held to earn rentals or for capital appreciation or both to be classified as investment property. Had the Council correctly classified investment property the financial statements would have been materially different.

iv. Receivables

Included in the Council's receivables was an unsubstantiated amount of ZWL$8.91 million which emanated from an un-cleared payroll control debit entry in the prior year. I could not satisfy myself on the existence of the receivable.

v. Non-compliance with International Financial Reporting Standard (IFRS) 9 – "Financial Instruments"

The Council did not assess whether there is any objective evidence that receivables were impaired at the reporting date. This was contrary to IFRS 9 – "Financial Instruments" paragraph 5(5)(9) which requires determination of expected credit losses to consider changes in credit risk of financial assets. Had the Council complied with the requirements of IFRS 9 – "Financial Instruments", the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Investment property

Finding

The Council classified assets that meet the definition criteria of investment property as property, plant and equipment. This was contrary to IAS 40 – "Investment Property" paragraph 5 which requires property held to earn rentals or for capital appreciation or both to be classified as investment property.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should classify property held to earn rentals or for capital appreciation as investment property.

Management response

The investment property has been recognised under property plant and equipment. Compliance will be done on IPSAS 2023 accounts.

1.2 Property, plant and equipment

Finding

The Council did not depreciate its property, plant and equipment contrary to IAS 16 – "Property, Plant and Equipment" paragraph 43 which requires assets to be depreciated. In addition, the Council did not revalue its property, plant and equipment despite changes in the operating environment which affected the fair values. This was contrary to IAS 16 "Property, Plant and Equipment" paragraph 31 which requires revaluation to be made with sufficient regularity to ensure that the carrying amount of assets do not differ materially with the fair values at the reporting date.

Risk/ implication

Misstatement of financial statements.

Recommendation

Council should revalue and depreciate its property, plant and equipment in accordance with

financial reporting standards.

Management response

Noted, revaluation will be done and Council assets will be depreciated as per standards and a policy will be developed in 2025.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Expected credit losses

Finding

The Council did not assess whether there is any objective evidence that receivables were impaired at the reporting date. This was contrary to IFRS 9 – "Financial Instruments" paragraph 5(5)(9) which requires determination of expected credit losses to consider changes in credit risk of financial assets.

Risk/ implication

Misstatement of financial statements.

Recommendation

Council should assess the credit risk of its receivables at each reporting date in determining allowance for credit losses.

Management response

Noted, credit risk will be taken into account when reporting the accounts receivable.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2022 annual report. I raised seven (7) findings, one (1) was addressed and six (6) were not addressed as indicated below;

3.1 Debit balances in the payables

The finding was not addressed. The debit balances in payables were not cleared.

3.2 Revenue recognition

The finding was addressed. The Council recognised revenue on accrual basis.

3.3 Staff receivables

The finding was not addressed. The unsubstantiated payroll debit balances remained uncleared.

3.4 Allowance for credit losses

The finding was not addressed. The Council did not make an assessment for allowance for credit loss.

3.5 Councillor allowances

The finding was not addressed. The Council did not seek Ministerial approval on providing housing to the Councillors.

3.6 Property, plant and equipment

The finding was not addressed. Council did not revalue its property, plant and equipment.

3.7 Residential properties database

The finding was not addressed. The Council did not update its residential properties database.

I have audited the financial statements of Bikita Rural District Council for the year ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Bikita Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS)10– "Financial Reporting in Hyperinflationary Economies"

The Council applied the requirements of IPSAS 10 – "Financial Reporting in Hyperinflationary Economies", however, its application was based on prior period financial information which was not in compliant with IPSAS 10 – "Financial Reporting in Hyperinflationary Economies". Had the correct base numbers been used the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments"

The Council did not recognise an allowance for credit losses on its receivables contrary to IPSAS 41 – "Financial Instruments" paragraph 73 which requires recognition of a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance of ZWL$2.47 billion would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 - "Impairment of Non-Cash Generating Assets"

The Council did not assess its assets for impairment at the reporting date despite the assets having indicators of impairment. This was contrary to IPSAS 21- "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an assessment at each reporting date whether there is any indication that an asset may be impaired. Had the Council assessed its assets for impairment, the carrying amounts would have been materially different from the amounts disclosed in the financial statements.

iv. Hanyanya Investments (Private) Limited

The Council transferred its revenue collection function to Hanyanya Investments (Private) Limited. However, I was not availed with documentation such as incorporation certificates, resolution for its establishment and share certificates. As a result, I could not determine the accounting treatment that could have been reported regarding Bikita Hanyanya Investments. I was unable to determine by alternative means whether any adjustments to the financial statements were necessary.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment"

The Council did not separate its land and buildings resulting in buildings not being depreciated.

This was contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 50, which requires separation of land and buildings and depreciation of buildings. Had the Council separated land and buildings and depreciated buildings, financial statements would have been materially different.

Below are other material issues noted during the audit;

1. REVENUE COLLECTION AND DEBT RECOVERY

1.1 Allowance for credit losses

Finding

The Council did not recognise an allowance for credit losses on receivables contrary to IPSAS 41 – "Financial Instruments" paragraph 73 which requires an entity to recognise a loss allowance for expected credit losses on financial assets.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should make an assessment for allowance for credit losses in accordance with IPSAS 41 – "Financial Instruments".

Management response

Observation has been noted, the Council do have a Debt Management policy in place and issues to do with credit losses will be added.

2. MANAGEMENT OF ASSETS

2.1 Impairment of assets

Finding

The Council did not assess its assets for impairment at the reporting date despite the assets having indicators of impairment. This was contrary to IPSAS 21- "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an entity to assess at each reporting date whether there is any indication that an asset may be impaired.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should carry an impairment assessment of its assets in compliance with IPSAS 21.

Management response

The observation is noted, Council is in the process of revaluing its assets, and the subjection of the assets to impairment testing will be done in subsequent years.

2.2 Property, plant and equipment

Finding

The Council did not separate its land and buildings resulting in buildings not being depreciated. This was contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 50, which requires separation of land and buildings and depreciation of buildings.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should separate land and buildings and depreciate its buildings in compliance with IPSAS 45 – "Property, Plant and Equipment".

Management response

The Council has not yet achieved full IPSAS compliance and in preparing Financial Statements certain transaction were treated as correction of prior period errors and some will be corrected in year 2024.

Buildings were included in Land and Buildings that's why no depreciation was not charged and we are in the process to separate so as to comply with IPSAS 45.

2.3 Hanyanya Investments (Private) Limited

Finding

The Council transferred its revenue collection function to Hanyanya Investments (Private) Limited. However, I was not availed with documentation such as incorporation certificates, resolution for its establishment and share certificates. As a result, I could not determine the accounting treatment that could have been reported regarding Bikita Hanyanya Investments.

Risk / implication

Financial loss due to irregular transactions.

Recommendation

The Council should avail documentation supporting the formation, transfer and ownership of Hanyanya Investments.

Management response

The ownership of Hanyanya Investment Private Limited was raised in the investigation Audit report instituted by the Ministry of Local Government and Public Works in February 2024. The Ministry came up with directives to Bikita Rural District Council on the formulation, legality and operations of Bikita Hanyanya Pvt Ltd. The Council then, upon receiving the investigation report and its recommendation took it upon itself to get clarity on the issue raised as regards ownership and registration of Bikita Hanyanya Investments Private Limited with the Registrar of Companies.

The Council team comprised of Council Chairperson, Human Resources Committee

Chairperson, Finance Committee Chairperson, Acting Chief Executive Officer and District Development Coordinator. The team was informed that Bikita Hanyanya Investments Private Limited was a registered legal entity.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing the finding that I raised in my 2023 annual report. The finding was partially addressed as indicated below;

3.1 Accounting in hyperinflationary economies

The finding was partially addressed. The Council accounted for hyperinflation using incorrect base numbers.

I have audited the financial statements of Bindura Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly in all material respects, the financial position of Bindura Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not revalue of its property, plant and equipment since 2016. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29, which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the fair values at the reporting date. Had the Council carried out a revaluation exercise on its assets, the carrying amount of property, plant and equipment could have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 - "Revenue"

The Council recognized revenue from sale of stands amounting to ZWL$1.70 billion and rental income amounting to ZWL$50.92 million on a cash basis. This was contrary to IPSAS 47 "Revenue" which requires revenue to be recognised on accrual basis. Had the Council recognised revenue from sale of stands and rental income on accrual basis, revenue and receivables disclosed in the financial statements would have been materially different.

Below are the material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Property plant and equipment

Finding

The Council did not revalue of its property, plant and equipment since 2016. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29, which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the fair values at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should revalue its property, plant and equipment in line with International Public Sector Accounting Standard (IPSAS) 45.

Management response

Observation noted. The valuation of property plant and equipment was concluded in 2024 and the new asset values will affect 2024 financial statements.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue

Finding

The Council recognized revenue from sale of stands amounting to ZWL$1.70 billion and rental income amounting to ZWL$50.92 million on a cash basis. This was contrary to IPSAS 47 - "Revenue" which requires revenue to be recognised on accruals basis.

Risk / implication

Misstatement of financial statements.

Recommendation
Council should recognize stand sales revenue and rental income on accruals basis as required by International Public Sector Accounting Standard (IPSAS) 47 – "Revenue".

Management response

Observation noted. Council will recognize stand sales revenue and rental income on accrual basis. For stand sales, once beneficiaries have paid 80% such will be treated as debtors for the balance outstanding.

3 MANAGEMENT OF ASSETS

3.1 Asset register

Finding

The Council was not utilising the asset module in the Sage Pastel system. The register was availed for audit did not have asset numbers and details of asset disposals. This was contrary to section 120 (3) of the Rural District Councils Act [*Chapter 29:13*] which requires Council to maintain a permanent record of all Council assets. In addition, laptops were not assigned a unique asset number contrary to section 5C of the Council's asset management policy.

Risk / implication

Misappropriation of Council assets.

Management and accounting for assets may be compromised.

Recommendation

Council should engage the service provider for assistance.

Management response

Observation noted. There is an asset register in excel. The asset register was once uploaded in the Pastel system and could not compute depreciation due to limitations in the system. The asset module in evolution had fields locked and could not adjust for depreciation and other adjustments. We are engaging our service provider to fix the issue and input our asset register into the system.

4 SERVICE DELIVERY

4.1 Dumpsite

Finding

The Council did not have a landfill as per the requirements of the Environmental Management Act [*Chapter 20:27*]. The Council was making use of a dumpsite which was not fenced and as a result was accessible by livestock and the community. This was contrary to section 70 of the Environmental Management Act which prohibit disposal of waste in a manner that causes pollution to the environment.

Risk / implication

Health hazard to the community.

Financial loss due to fines and penalties.

Recommendation

The Council should establish a landfill in compliance with environmental legislation.

Management response

We acknowledge that the dumpsite in question was established without the necessary licences and did not meet environmental standards. We are committed to collaborating with the EMA and other relevant stakeholders to rectify this situation and prevent similar occurrences in the future.

5 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my previous audit report. I raised twelve (12) audit findings, eight (8) was addressed and four (4) were not addressed as indicated below;

5.1 Property, plant and equipment

The finding was not addressed. The Council did not revalue its property plant and equipment during the period under review.

5.2 Inventory

The finding was addressed. The Council disclosed the value of all inventories.

5.3 Councilors allowances

The finding was addressed. Ministerial approval now being sought.

5.4 Board of inquiries

The finding was not addressed. The Council did not conduct board of inquiries.

5.5 Bank reconciliations

The finding was addressed. Bank reconciliations are now being done on time.

5.6 Lease agreements for base stations

The finding was addressed. Lease agreements are now in place.

5.7 Land development levy

Communal database now in place.

5.8 Recognition of sale of stands

The finding was not addressed. Council did not update its accounting procedure manual.

5.9 Inventory

Finding not addressed. Expired inventories still in stock.

5.10 Beer levy.

Finding was addressed. Schedules from the brewer now in place.

5.11 Devolution fuel.

Finding was addressed. Devolution fuel register now in place.

5.12 Allowance for credit losses

Finding was addressed. An assessment for credit losses was performed.

I have audited the financial statements of Binga Rural District Council for the year ended December 31, 2023 and I have issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Binga Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

Non-compliance with International Accounting Standard (IAS) 16 – "Property, Plant and Equipment"

The Council did not depreciate its property, plant and equipment contrary to IAS 16 - "Property, Plant and Equipment" paragraph 43, which requires property, plant and equipment to be depreciated except for land. Had the Council depreciated property, plant and equipment, financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council did not depreciate its property, plant and equipment contrary to IAS 16 – "Property, Plant and Equipment" paragraph 43, which requires property, plant and equipment to be depreciated except for land.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should depreciate its property, plant and equipment.

Management response

Council will ensure that its assets are depreciated in line with applicable accounting standards. All due processes will be followed in instituting depreciation of assets.

2. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2023 annual report. I raised three (3) findings which were addressed as indicated below;

2.1 Accounting for hyperinflation

The finding was addressed. The Council produced inflation adjusted financial statements.

2.2 Completeness of receivables

The finding was addressed. A complete database is now in place.

2.3 Beer levy

The finding was addressed. The Council obtained beer sales schedules from the brewers and accounted for beer levy on accrual basis.

BUBI RURAL DISTRICT COUNCIL 2022 AND 2023

I have audited the financial statements of Bubi Rural District Council for the years ended December 31, 2022 and 2023 and I issued an adverse opinion for 2022 and a qualified opinion for 2023.

Adverse opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Bubi Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 - "Reporting in Hyper-Inflationary Economies"

The Council did not comply with the provisions of IPSAS 10 – "Reporting in Hyperinflationary Economies" as it restated its financial statements using average conversion factors instead of applying the change in general price index from date of transaction. Had the Council restated its financial statements in accordance with IPSAS 10, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, plant and equipment".

Council infrastructure assets such as roads and bridges were not recorded in the fixed asset register, and were not accounted for in the financial statements. In addition, Council last revalued its assets in 2009. This was contrary to IPSAS 17 which requires infrastructure assets to be accounted for in the financial statements and revaluations to be performed with sufficient regularity to ensure that the carrying amount does not differ materially to the fair value at the reporting date. As a result, I could not satisfy myself on the completeness, accuracy and valuation of property, plant and equipment reported in the financial statements.

iii. Inventories

The Council disclosed inventories amounting to ZWL$25.85 million as at December 31, 2022 which was not supported by verification. As a result, I could not satisfy myself on the existence and valuation of inventory reported in the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 - "Segment Reporting"

The Council did not disclose segment information in the financial statements. This was contrary to IPSAS18 – "Segment Reporting" which requires the Council to disclose segment revenue, segment expenses, segment assets and segment liabilities. Had the Council disclosed segment information, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 29 - "Financial Instruments"

Council did not provide for allowance for credit losses on receivables. This was contrary to the provisions of IPSAS 29 - "Financial Instruments" which requires entities to carry out an

impairment assessment every financial year and recognise a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses on its receivables, the financial statements would have been materially different.

Qualified Opinion 2023

In my opinion, except for the effects of the matters discussed in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Bubi Rural District Council as at December 31, 2023, and of its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, plant and equipment".

The Council did not separate land from buildings in the financial statements and therefore land was depreciated contrary to the requirements of IPSAS 17 – "Property, Plant and Equipment" which prohibits the depreciation of land. As a result, I could not satisfy myself on the completeness, accuracy and valuation of property, plant and equipment reported in the financial statements.

ii. Receivables

The amount disclosed in the financial statements did not agree with the amount as per receivables listing by ZWL$9.96 billion. No reconciliations were performed by the Council between the receivables carried in the financial statements and receivables listing. As a result I could not satisfy myself on the completeness, accuracy and valuation of receivables reported in the financial statements.

Below are material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Reporting in Hyper-Inflationary Economies

Finding

The Council did not comply with the provisions of IPSAS 10 – "Reporting in Hyperinflationary Economies" as it restated its financial statements using average conversion factors instead of applying the change in general price index from date of transaction.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should restate its financial statements for hyperinflation.

Management response

The Council has drafted a road map to adopting IPSAS accounting including IPSAS 10 (Financial Reporting in Hyper inflationary Economies).

1.2 Infrastructure assets

Finding

Council infrastructure assets such as roads and bridges were not recorded in the fixed asset register, and were not accounted for in the financial statements. In addition, Council last revalued its assets in 2009. This was contrary to IPSAS 17 which requires infrastructure assets to be accounted for in the financial statements and revaluations to be performed with sufficient regularity to ensure that the carrying amount does not differ materially to the fair value at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should revalue all assets and account for infrastructure assets in the financial statements.

Management response

All Council assets have been valued. Roads and bridges will be incorporated in the Asset register.

1.3 Segment reporting

Finding

The Council did not disclose segment information in the financial statements. This was contrary to IPSAS18 – "Segment Reporting" which requires the Council to disclose segment revenue, segment expenses, segment assets and segment liabilities.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should disclose segment information.

Management response

The Council has adopted the new chart of accounting system which aligns, budget, income and expenses according to segments or programmes (Program Based Accounting).

1.4 Land and buildings

Finding

The value of Council land is not separated from the value of buildings in the financial statements and was therefore depreciated contrary to the requirements of IPSAS17 – Property, Plant and Equipment which stipulates that land has an unlimited useful life and therefore is not depreciated. As a result, I could not satisfy myself on the completeness,

accuracy and valuation of property, plant and equipment reported in the financial statements.

Risk / implication

Financial statements may be materially misstated.

Recommendation

The Council should separate the value of land from buildings to correct the error.

Management response

Management has started the identification and classification of assets.

1.5 Inventory

Finding

The Council disclosed inventories amounting to ZWL$25.85 million as at December 31, 2022 which was not supported by verification.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should investigate the amount reported as inventory and effect appropriate journals.

Management response

The Council's inventory management processes were not adequate. As a result, the Council reported ZWL$25.85 million for the year 2021 which could not be physically verified. In the year 2023, Council has passed resolution to write off the inventory from the books of Accounts. Resolution number FC2595.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Receivables

Finding

The Council did not perform receivables reconciliations and as a result, there was a variance of ZWL$9.96 billion between the receivables listing balance and the receivables balance disclosed in the financial statements.

Risk / implication

Financial statements may be materially misstated.

Recommendation

The Council should carry out debtors' reconciliation on a monthly basis and ensure discrepancies are timely resolved.

Management response

Council is doing month on month debtors' reconciliation.

3 SERVICE DELIVERY

3.1 Dumpsite

Finding

The Council did not have a landfill as per the requirements of the Environmental Management Act [*Chapter 20:*27]. The Council was making use of a dumpsite which was not fenced and as a result, was accessible by livestock and community.

Risk / implication

Health hazard to the community.

Recommendation

Council should establish a landfill.

Management response

Council has cited a new landfill. Council will erect a perimeter fence at the current dumpsite and also engage a security guard to man the area. Council will sensitise the community on sustainable waste disposal.

4 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing findings that I raised in my previous report. I raised four (4) findings, one (1) was addressed, one (1) has been partially addressed and two (2) were yet to be addressed as indicated below;

4.1 Financial Reporting in Hyper-inflationary Economies

The finding was not addressed. Council has drafted a road map to adopting IPSAS accounting including IPSAS 10

4.2 Property, plant and equipment

The finding was partially addressed. Council has conducted a valuation for other infrastructure assets, save for bridges.

4.3 Inventory management

Finding was addressed. Council passed a resolution to write off non-existent inventory.

4.4 Taxation of employee benefits

Finding was not addressed. Council is still looking for a formula to calculate taxes.

BUHERA RURAL DISTRICT COUNCIL 2023 AND 2024

I have audited the financial statements of Buhera Rural District Council for the year ended December 31, 2023 and 2024 and I issued a qualified opinion for both years.

Qualified Opinion 2023

In my opinion, except for the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly in all material respects the financial position of Buhera Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23- "Revenue from Non-Exchange Transactions"

The Council billed thirty-five (35) mining operators for development levy out of a total of two hundred and thirty-four (234) mining operators within its jurisdiction. As a result, mining levy revenue from one hundred and ninety-nine (199) mining operators was not recognised in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 23- "Revenue from non-exchange transactions" which requires revenue to be recognised when it is probable that economic benefits or service potential will flow to the entity. Had Council invoiced all miners operating within its jurisdiction, revenue would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments".

The Council recognised an allowance for credit losses amounting to ZWL$182.2 million in the financial statements based on a Council policy which requires a fixed expected credit loss allowance of 5% of the gross receivables. This was contrary to International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments" paragraph 81 which requires the Council to assess whether the credit risk of a financial instrument has increased significantly since initial recognition. I could therefore not determine the necessary adjustments on the allowance for expected credit losses recorded in the financial statements.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 31- "Intangible assets".

The Council did not amortize its intangible assets with a carrying amount of ZWL$82.6 million. This was contrary to International Public Sector Accounting Standard (IPSAS) 31- "Intangible Assets" paragraph 96 which requires that the depreciable amount of an intangible asset with a finite useful life be allocated systematically over its useful life. Had the Council amortized its intangible assets, the financial statements would have been materially different.

Qualified Opinion 2024

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Buhera Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" and (IPSAS) 21 - "Impairment of Non-Cash Generating Assets"

The Council did not carry out an assessment of the residual values and useful lives of its property, plant and equipment contrary to IPSAS 45 - "Property, Plant and Equipment", paragraph 48 which requires the residual values and the useful lives of assets to be reviewed at each reporting date. In addition, the Council did not carry out an impairment assessment on its assets contrary to IPSAS 21- "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an impairment assessment to be carried out at each reporting date. I could not satisfy myself on the valuation of property, plant and equipment disclosed in the financial statements.

ii. Non-compliance to International Public Sector Accounting Standard (IPSAS) 47- "Revenue"

The Council recognised revenue from business licences on cash basis contrary to IPSAS 47- "Revenue" paragraph 3 which requires revenue to be recognised on accruals basis. In addition, Council did not recognise revenue and assets from donations in kind during the year ended December 31, 2024. This was contrary to IPSAS 47 - "Revenue" paragraph 30 which requires revenue inflows to be measured at current value. Had the Council recognised business licence fees and donations in line with IPSAS 47, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Intangible assets

Finding

The Council accounting processes were not aligned with financial reporting standards on treatment of intangible assets. As a result, the Council did not amortize its intangible assets with a carrying amount of ZWL$82.6 million. This was contrary to International Public Sector Accounting Standard (IPSAS) 31- "Intangible Assets" paragraph 96 which requires that the depreciable amount of an intangible asset with a finite useful life be allocated systematically over its useful life.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should come up with appropriate policies and procedures to account for intangible assets that are in line with International Public Sector Accounting Standard (IPSAS).

Management response

Council will amend its asset management, disposal and replacement policy in line with IPSAS 31 to incorporate amortization of its intangible assets. Amortisation of intangible assets to be accounted for in the 2024 financial statements.

1.2 Estate funds

Finding

The Council used Estates funds amounting to ZWG695 556 to fund payroll costs as the Council was not generating enough funds to meet recurrent expenditure. This was contrary to section 86 of the Rural District Council Act [*Chapter 29:13*] which requires the Estate funds to be used for capital expenditure only.

Risk / implication

Service delivery may be compromised.

Recommendation

The Council should put in place strategies to generate sufficient funds to fund its recurrent expenditure.

Management response

Council was facing financial challenges thereby resorting to use of Estate funds.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Expected credit loss

Finding

The Council did not apply the principles of IPSAS 41 on an allowance for credit losses amounting to ZWL$182.2 million. The amount was obtained by applying 5% to the gross receivables in calculating the allowance for credit losses. This was contrary to International Public Sector Accounting Standard (IPSAS) 41- “Financial Instruments” paragraph 81.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for credit losses on its receivables in line with IPSAS 41.

Management response

In future the Council will ensure compliance with IPSAS 41 on treatment of receivables by classifying, recognising and measuring all financial instruments to estimate expected credit losses in line with the standard.

2.2 Mining claims

Finding

The Council billed thirty-five (35) mining operators for development levy out of a total of two hundred and thirty-four (234) mining operators within its jurisdiction. As a result, mining levy revenue from one hundred and ninety-nine (199) mining operators was not recognised in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 23- "Revenue from non-exchange transactions" which requires revenue to be recognised when it is probable that economic benefits or service potential will flow to the entity.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should bill all miners for development levy and recognize the revenue on accrual basis.

Management response

Continuous engagement to be done. Going forward the Council will engage the Ministry and ensure all mining claims in the district are billed fully.

2.3 Business licences

Finding

The Council did not maintain a database of businesses operating within its jurisdiction. As a result, business licence revenue was recognised on cash basis instead of accruals basis. This was contrary to IPSAS 47- "Revenue" paragraph 3 which requires revenue to be recognised on accruals basis.

Risk / implication

Misstatements of financial statements.

Recommendation

The Council should maintain a business licence database and appropriately recognise revenue in line with IPSAS 47.

Management response

There were prevalent business type changes, which made it difficult to have a reasonable database of operations to bill for business licences.

2.4 Donations

Finding

The Council did not assign values to donations in kind received in the form of medical drugs, stationery and sanitary materials during the year ended December 31, 2024. As a result, the

Council did not recognise the assets and corresponding revenue in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 47 paragraph 170 which requires recognition of revenue and assets arising from donations.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should assign values to donations received and recognize such donations in line with IPSAS 47.

Management response

Council faced challenges in getting values for medical supplies from pharmacies.

3 PROCUREMENT OF GOODS AND SERVICES

3.1 Procurement methods

Finding

The Murambinda Town Board and Magwedegwe Investment did not provide evidence to support that at least three (3) quotations were being sourced before procuring goods for procurement of construction materials and services. The entities incurred expenditure amounting to US$16 894 using direct method without sourcing for at least three (3) competitive quotations. This was contrary to section 34(1) of the Public Procurement and Disposal of Public Assets Act *[Chapter 22:23]* which requires a procuring entity to source at least three competitive quotations.

Risk / implication

Financial loss due to irregular procurement.

Recommendation

The Murambinda Town Board and Magwedegwe Investment should follow procurement procedures as prescribed by the Public Procurement and Disposal of Public Assets Act *[Chapter 22:23]*.

Management response

There was failure to follow procedures.

3.2 Undelivered equipment

Finding

The Council had a long outstanding prepayment of US$122 000 which was paid to local supplier in 2023 for the purchase of a new CAT 140 G model motorised grader. The council was not furnished with a guarantee by the supplier contrary to Public Procurement and Disposal of Assets Act [*Chapter 22:23*] section 82(5)(ii) which prohibits advance payment unless supplier furnishes an advance payment guarantee covering the amount of the advance payment. The supplier has however not delivered the motorized grader at the date of my report

in May 2025. The Council has since engaged its lawyers to pursue the matter with the supplier.

Risk / implication

Financial loss due to non-delivery of goods.

Recommendation

The Council should put effort to recover the outstanding balance.

Council should make advance payment after receiving bank guarantee from the supplier.

Management response

Proper procurement procedures were not followed. Council has so far recovered US$16 874 and has reported the matter to law enforcement agencies. The issue is now before the courts.

4 EMPLOYMENT COSTS

4.1 Segregation of duties

There was no segregation of duties as the senior accounts clerk was performing incompatible duties of finance and the system administration functions, which included creating databases and user profiles for the Sage evolution system due to Council's shortage of manpower with essential skills. This was contrary to section 45(a) of the Public Finance Management Act [*Chapter 22:19*] which requires Council to establish strong system of financial management and internal controls.

Risk / implication

Irregular transactions that may be difficult to detect due to overriding of controls.

Recommendation

Management should separate the incompatible roles and responsibilities of accounting and systems administration functions.

Management response

Council had a shortage of manpower with requisite skills except the senior accounts clerk.

5 MANAGEMENT OF ASSETS

5.1 Accounting for inventories

Finding

The Council did not recognise medical drugs inventory received from donors in its financial statements. The Council did not obtain supporting invoices or receipts from the donor and could not assign values to the inventory for accounting purposes. This was contrary to IPSAS 12 - "Inventories" paragraph 9, which requires assets held for sale or distribution in the ordinary course of business to be accounted for as inventory.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise medical drugs inventory in the financial statements.

Management response

Management has noted this and are making efforts to conduct Natpharm so that at least we get unit prices and invoices of donations to Council which we have not received. Prices of most drugs donated are not available over the counter. The drugs inventory is being looked into urgently and the issue will be resolved.

5.2 Property, plant and equipment

Finding

The Council did not perform an assessment of the residual values and useful lives of property, plant and equipment items reported in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" which requires review of the residual values and the useful lives of assets at each reporting date. In addition, the Council did not assess assets for impairment indicators contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" which requires an assessment of whether there is any indication that assets may be impaired to be done at each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should review residual values and useful lives of its asset and assess for indicators of impairment at each reporting date.

Management response

Observation has been noted. In future Council will ensure that regular assessment of impaired assets is done.

6 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my previous audit report. I raised seven (7) audit findings, two (2) were addressed and five (5) were not addressed as indicated below;

6.1 Operating of private company by Council

The finding was not addressed. The Council is yet to obtain ministerial approval for operating the private company.

6.2 Council accounting system

The finding was not addressed. The Council accounting processes not yet aligned to the financial reporting framework.

6.3 Revenue and trade receivables

The finding was addressed. Revenue and receivables are now being accounted for correctly.

6.4 Mining claims

The finding was not addressed. The Council not yet billing all miners for development levy.

6.5 Incomplete asset register

The finding was not addressed. The Council is in the process of consolidating the asset register.

6.6 Asset management policy

The finding was not addressed. The Council is yet to craft the asset management policy.

6.7 Revaluation of property, plant and equipment

The finding was addressed. The Council revalue its assets with the assistance of the Government departments.

I have audited the financial statements of Bulilima Rural District Council for the year ended December 31, 2022 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Bulilima Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

i. Non-compliance with International Financial Reporting Standard (IFRS) 9 – "Financial Instruments"

The Council did not provide for expected credit loss on total receivables amounting to ZWL$ 319.23 million. This was contrary to International Financial Reporting Standard (IFRS) 9 – "Financial Instruments" paragraph 5.5.1 which requires recognition of a loss allowance for expected credit losses. Had Council provided for expected credit losses on the receivables balance, the financial statements would have been materially different.

ii. Non-compliance with International Accounting Standard (IAS) 16- "Property, Plant and Equipment" and (IAS) 36 - "Impairment of Assets"

The Council did not perform an assessment of the residual values and useful lives of property, plant and equipment reported in the financial statements. This was contrary to the requirements of International Accounting Standard (IAS) 16 - "Property, Plant and Equipment "paragraph 51, which requires the residual values and useful lives of assets to be reviewed at each reporting date.

In addition, the Council did not assess its property plant and equipment for impairment contrary to the requirements of International Accounting Standard (IAS) 36 - "Impairment of Assets" paragraph 9 which requires an assessment to be carried out at the end of each reporting period whether there is any indication that an asset may be impaired.

Had the Council complied with the requirements of International Accounting Standard (IAS) 16 – "Property, Plant and Equipment" and IAS 36 – "Impairment of Assets" in accounting for its property plant and equipment, the financial statements would have been materially different.

Below are material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Submission of financial statements for audit

Finding

The Council did not submit financial statements for the year ended December 31, 2022 for audit within the statutory deadline. The financial statements were submitted for audit on February 26, 2024 contrary to the Public Finance Management Act [*Chapter 22:19*] section 49 (1)(c) which requires public entities to submit the financial statements for audit within two months after the end of the financial year.

Risk / implication

Transparency and accountability may be compromised.

Recommendation

Council should submit financial statements within the statutory deadline.

Management response

There were challenges of migrating from Pastel 18 to Sage evolution. The service provider had technical challenges involved and that took time to be rectified. The Council is targeting to have the audit conducted in August 2024. For the year 2023, Council will comply to the audit deadline.

1.2 Receivables

Finding

The Council did not provide for expected credit loss on total receivables amounting to ZWL$ 319.23 million. This was contrary to International Financial Reporting Standard (IFRS) 9 – "Financial Instruments" paragraph 5.5.1 which requires recognition of a loss allowance for expected credit losses.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should perform assessment of expected credit losses at each reporting date as required by IFRS 9 "Financial instruments".

Management response

The Council does not have a debt management policy, management shall produce a draft and present it to the Full Council by October 2024.

1.3 Non-compliance with International Accounting Standard (IAS) 16 - "Property, Plant and Equipment" and (IAS 36) – "Impairment of Assets"

Finding

The Council did not perform an assessment of the residual values and useful lives of property, plant and equipment items reported in the financial statements. This was contrary to the requirements of IAS 16 - "Property, Plant and Equipment "paragraph 51, which requires the residual values and useful lives of assets to be reviewed at each annual reporting date.

In addition, the Council did not assess its property plant and equipment for impairment contrary to the requirements of IAS 36 - "Impairment of Assets" paragraph 9 which requires an entity to assess at the end of each reporting period whether there is any indication that an asset may be impaired.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should review the residual values and useful lives and carry out impairment assessment for its property, plant and equipment.

Management response

The observation is noted. Council is in the process of migrating from IFRS to reporting in IPSAS, a roadmap has been done and a property evaluator is being engaged. The impairments shall be addressed once Council migrate to IPSAS.

1.4 Statutory deductions

Finding

The Council cashflows were not sufficient, as a result, statutory deductions were not remitted as per statutory requirement. The Council is required to remitt all statutory deductions on a monthly basis. As at December 31, 2022, the Council was owing an amount of ZWL$40.16 million.

Outstanding statutory deductions as at December 31, 2022

Statutory deduction	**Amount ZWL$**
VAT and Withholding Tax	33 762 454
NSSA	836 829
PAYE	935 036
UCPF	4 622 282
Grand total	**40 156 601**

Risk / implication

Financial loss due to penalties and fines.

Recommendation

The Council should remit statutory deductions.

Management response

Noted, Council will make effort to clear the debt.

2. PROCUREMENT OF GOODS AND SERVICES

2.1 Procurement of building materials

Finding

The Council procured one thousand one hundred and ninety (1190) bags of cement from two suppliers during the year under review. However, a total of three hundred and fifty (350) bags of cement were not yet delivered at year end.

Risk / implication

Financial loss due to undelivered goods.

Service delivery may be compromised.

Recommendation

Council should take the necessary steps to have the cement delivered.

Management response

Noted, Council has not received 350 bags of cement from the suppliers. Council has resorted to taking legal action against the suppliers.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my previous reports. I raised two (2) findings, one (1) was addressed and one (1) was not addressed as indicated below;

3.1 Procedures and policies

The finding was addressed. The Council have approved the Information Communication Technology, Asset management and Housing policy and are now in place.

3.2 Assessment of residual value, useful lives and impairment

The finding was not addressed. Council did not carry out assessment of residual value, useful lives and impairment of its property, plant and equipment.

I have audited the financial statements of Chaminuka Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chaminuka Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment"

The Council translated the property, plant and equipment values initially determined in USD as of December 31, 2022 to ZWL using the interbank foreign exchange rate applicable on December 31, 2023. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment" paragraph 27 which requires assets to be carried at current values at the measurement date.

The amounts used in determining the ZWL values does not meet the definition criteria of current values as they were determined over a year from the reporting date. Had the Council carried assets at current values at the measurement date the values of property, plant and equipment disclosed in the financial statements would have been materially different.

Below are material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Internal Audit function

The Council's internal audit function was not adequately resourced with sufficient manpower and operational vehicles. As a result, internal audit was not able to carry out all assignments scheduled on the annual internal audit plan. The function only managed to produce two (2) internal audit reports for the year under review and was not able to follow up on the implementation of the internal audit recommendations.

Risk/ implication

Material irregularities may not be detected and corrected on time.

Recommendation

The Council should provide the internal audit function with adequate resources to carry out its mandate.

Management response

Noted. There is however need for capacitation of the Internal Audit section in terms of mobility, training for the staff and the audit committee as well as filling of vacant posts. For example, the auditing of budgets and payroll could not be done because of lack of

training on both the Quantrix system and payroll system. The Audit department was not trained well on Pastel and the system has been upgraded several times. The Internal Audit managed to conduct Due Diligence reports for devolution funding and did some investigations as well. There was need for an Assistant Auditor and Audit Clerk as well for segregation of duties.

1.2 Property, plant and equipment

Finding

The Council translated the property, plant and equipment values initially determined in USD as of December 31, 2022 to ZWL using the interbank foreign exchange rate applicable on December 31, 2023. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment" paragraph 27 which requires assets to be carried at current values at the measurement date. The amounts used in determining the ZWL values does not meet the definition criteria of current values as they were determined over a year from the reporting date.

Risk/ implication

Misstatement of the financial statements

Recommendation

Council should revalue its assets in line with the requirements of IPSAS 45.

Management response

Revaluation of assets was done end of year 2022 and assets were valued and maintained in United States Dollars equivalent. The Council will do the revaluation of assets in ZIG for the year ending 2024.

2 PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing the findings that I raised in my 2023 annual report. I raised four (4) findings, one (1) finding was addressed, one (1) was partially addressed and two (2) were not addressed as indicated below.

2.1 Property, plant and equipment

The finding was not addressed.

2.2 Stand sales

The finding was partially addressed. A Stands Allocation Committee was put in place.

2.3 Contract management

The finding was not addressed. The matter is still pending in the courts.

2.4 Vehicle registration

The finding was addressed. The vehicle was registered in Council name.

CHEGUTU RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Chegutu Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chegutu Rural District Council as at December 31, 2023, and of its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45- "Property, Plant and Equipment"

The Council's infrastructure assets such as road networks, sewer reticulation systems and bridges amongst others were not valued and accounted for in the financial statements, contrary to International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" paragraph 6 which requires the Council to recognise infrastructure assets if it is probable the service potential associated with the item will flow to the Council and if it can be reliably measured. The Council did not also revalue property, plant, and equipment as of December 31, 2023 contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 48 which requires revaluation shall be made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using current value at the reporting date.

In addition, the Council did not review the residual values and useful lives of property, plant, and equipment as of the reporting date contrary to IPSAS 45 – "Property, Plant, and Equipment" paragraph 48 that requires the residual value and the useful life of an assets shall be reviewed at least at each annual reporting date.

Had the Council accounted for infrastructure assets, revalued its assets, reviewed the residual values and useful lives of property plant and equipment, the amount disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments"

The Council did not conduct an assessment of its expected credit losses contrary to IPSAS 41 paragraph 73 which requires the Council to recognise expected credit losses on receivables. Receivables were disclosed at ZWL$18 billion in the financial statements. Had the Council made an assessment and recognise expected credit losses, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 REVENUE COLLECTION AND DEBT RECOVERY

1.1 Allowance for credit losses

Finding

The Council did not conduct an assessment of its expected credit losses contrary to IPSAS 41 - “Financial Instruments” paragraph 73 which requires the Council to recognise expected credit losses on receivables. Receivables were disclosed at ZWL$18 billion in the financial statements.

Risk / implication

Financial statements may be materially misstated.

Recommendation

The Council should conduct an assessment of expected credit losses on its receivables.

Management response

Noted. The Council will conduct an assessment of expected credit losses for its accounts receivables.

2 MANAGEMENT OF ASSETS

2.1 Valuation of property, plant and equipment

Finding

The Council’s infrastructure assets such as road networks, bridges amongst others were not recorded in the asset register and were not accounted for in the financial statements. This was contrary to IPSAS 45 - "Property, Plant, and Equipment," paragraph 6 which requires the Council to recognise infrastructure assets if it’s probable the service potential associated with the item will flow to the Council and if it can be reliably measured.

The Council did not revalue property, plant, and equipment as of December 31, 2023 contrary to IPSAS 45 – “Property, Plant and Equipment” paragraph 29 which requires revaluation shall be made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using current value at the reporting date
.
In addition, the Council did not review the residual values and useful lives of property, plant, and equipment as of the reporting date contrary to IPSAS 45 – “Property, Plant, and Equipment” paragraph 48 that requires the residual value and the useful life of an assets shall be reviewed at least at each annual reporting date. The Council did not also conduct an impairment review of their assets at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should conduct the year-end revaluation exercise and impairment reviews of its property, plant, and equipment in accordance with IPSAS 45.

Management response

Noted. The Council will promptly conduct the year-end revaluation and impairment reviews of its property, plant, and equipment in accordance with IPSAS 45.

3 PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing the finding that I raised in my previous report. I raised one (1) finding and it was not addressed as indicated below.

3.1 Allowances for credit losses.

The finding was not addressed. During the year ended December 31, 2023.The Council still did not correct this error since the assessment for credit losses was not carried out for the year ended December 31, 2023.

I have audited the financial statements of Chikomba Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chikomba Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

i. Non-compliance with International Accounting Standard (IAS) 16 - "Property, Plant and Equipment"

The Council did not recognise land in the financial statements contrary to IAS 16 – "Property, Plant and Equipment" paragraph 15 which requires an item of property, plant and equipment that qualifies for recognition as an asset to be recognised. In addition, the Council did not revalue its assets despite changes in the operating environment which affected their fair values. This was contrary to IAS 16 - "Property Plant and Equipment" paragraph 31 which requires revaluation to be made with sufficient regularity to ensure that the carrying amount do not differ materially with fair values at the reporting date. Had Council recognised land and revalued its property, plant and equipment, the financial statements would have been materially different.

ii. Non-compliance with International Accounting standard (IAS) 2 – "Inventories"

The Council did not account for its stands inventory in its financial statements contrary to IAS 2- "Inventories" paragraph 8 which defines inventories as all Council assets held for sale or distribution in the ordinary course of business. Had Council recognised stands inventory, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Inventories

Finding

The Council did not account for its stands inventory in its financial statements contrary to International Accounting Standard (IAS) 2- "Inventories" paragraph 8 which defines inventories as all Council assets held for sale or distribution in the ordinary course of business.

Risk / implication

Financial statements may be materially misstated.

Recommendation

The Council should recognise stands inventory in the financial statements.

Management response

The process is budgeted for in the 2025 annual budget.

1.2 Property, plant and equipment

The Council did not recognise land in the financial statements contrary to International Accounting Standard (IAS) 16 – "Property, Plant and Equipment" paragraph 15 which requires an item of that qualifies for recognition as an asset such as land to be recognized as property, plant and equipment. In addition, the Council did not revalue its assets despite changes in the operating environment which affected the fair values. This was contrary to IAS 16 - "Property Plant and Equipment" paragraph 31 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount do not differ materially with fair values at the reporting date.

Risks / implication

Misstatement of financial statements.

Recommendations

The Council should revalue and account for all its assets in accordance with accounting standards.

Management response

Noted. Council will promptly conduct the year-end revaluation of its property, plant, and equipment in accordance with IAS 16.

2. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised two (2) findings that were not addressed as indicated below;

2.1 Valuation of property, plant and equipment

The finding was not addressed. The Council did not revalue its assets.

2.2 Northwood primary school inadequate infrastructure

The finding was not addressed. The classrooms are yet to be constructed.

I have audited the financial statements of Chimanimani Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chimanimani Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments"

The Council did not recognise an allowance for expected credit losses on its receivables. This was contrary to IPSAS 41- "Financial Instruments" paragraph 73 which requires a loss allowance for expected credit losses to be recognised on receivables. Had the Council recognised allowance for expected credit losses, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45- "Property, Plant and Equipment"

The Council did not recognise infrastructure assets such as road networks and bridges in the financial statements. This was contrary to IPSAS 45- "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised as property, plant and equipment. Had the Council recognised infrastructure assets, the financial statements would have been materially different.

Below are the other matters noted during the audit;

1. GOVERNANCE ISSUES

1.1. Allowance for credit loses

Finding

The Council did not recognise an allowance for expected credit losses on its receivables. This was contrary to IPSAS 41- "Financial Instruments", paragraph 73 which requires an entity to recognize a loss allowance for expected credit losses on its receivables.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should asses its receivables for impairment at each reporting date and recognise allowance for expected credit losses.

Management response

Council has noted the recommendation and it will do assessment on receivables at each reporting date.

1.2. Infrastructure assets

Finding

The Council did not recognise infrastructure assets such as road networks and bridges in the financial statements. This was contrary to IPSAS 45- "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised as property, plant and equipment.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise infrastructure assets in its financial statements.

Management response

Noted, council will do valuation on all its infrastructure assets so that we will be able to observe the values of these assets in the Council's future financial statements.

2. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2023 annual report. I raised five (5) findings, three (3) were addressed, one (1) was partially addressed and one (1) was not addressed as indicated below;

2.1. Housing allowances

The finding was addressed. The Council taxed housing allowances.

2.2. Revenue

The finding was addressed. The Council has an updated database for rate payers.

2.3. Inventories

The finding was addressed. Council accounted for its stands.

2.4. Debt management policy

The finding was partially addressed. The Council has a draft debt management policy.

2.5. Nhedziwa sub office

The finding was not addressed. Council did not put in place a policy to assist displaced families and enhance Council's expansion drive.

CHIPINGE RURAL DISTRIST COUNCIL 2023

I have audited the financial statements of Chipinge Rural District Council for the year ended December 31, 2023 and I issued an adverse opinion

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the accompanying financial statements do not present fairly the financial position of Chipinge Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 – "The Effects of Changes in Foreign Exchange Rates"

During the financial year ended December 31, 2023, the foreign currency denominated transactions and balances were translated into ZWL using the interbank exchange rates. The interbank exchange rates did not meet the definition of spot exchange rate in accordance with IPSAS 4 – "The Effects of Changes in Foreign Exchange Rates" as foreign currency was not available for immediate delivery at interbank rates. Had the Council used the correct spot rates, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment"

The Council did not account for land and infrastructure assets such as road networks and bridges. In addition, the Council did not revalue its property, plant and equipment. This was contrary to IPSAS 45, - "Property, Plant and Equipment" which requires revaluations to be carried out with sufficient regularity and infrastructure assets to be accounted for as property plant and equipment. Had the Council revalued its property, plant and equipment, and accounted for its infrastructure assets, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property"

The Council did not disclose the fair value of its investment property with a carrying amount of ZWL$48.2million. This was contrary to IPSAS 16 – "Investment Property" paragraph 41 which requires that fair values of its investment property be disclosed at the reporting date. Had the Council disclosed the fair values of its investment property, the financial statements would have been materially different.

iv. Salary advances

The Council did not avail supporting documents such as listing, staff loan agreements and salary advances applications for ZWL$1.62 billion disbursed to staff. As a result, I could not satisfy myself with the accuracy of the receivable balance in the financial statements.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 – "Revenue"

The Council did not update the customer database which forms the basis for invoicing the customers. As a result, revenue from leases, levies, licences and permits amounting to ZWL$3.30 billion were invoiced based on an outdated database. I could not satisfy myself regarding the completeness of the revenue and receivables.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments"

The Council did not make an assessment for allowance for expected credit losses on receivables amounting to ZWL$1.06 billion. This was contrary to IPSAS 41 – "Financial Instruments" paragraph 81 which requires an assessment of allowance for credit losses at each reporting period. Had the Council made an assessment of allowance for credit losses, the receivable balance would have been materially different.

Below are material issues noted during the audit;

1. REVENUE COLLECTION AND DEBT RECOVERY

1.1 Allowance for expected credit losses

Finding

The Council did not make an assessment for allowance for expected credit losses on receivables amounting to ZWL$1.06 billion. This was contrary to International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments" paragraph 81 which requires an assessment of allowance for credit losses at each reporting period.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should make an assessment of allowance for credit losses.

Management response

Observation noted. The provision for doubtful debtors has been approved by Council hence we will implement in our 2024 financial statements.

1.2 Customer database

Finding

The Council did not update its customer database which forms the basis for invoicing the customers. As a result, revenue from leases, levies, licences and permits amounting to ZWL$3.30 billion was invoiced based on an outdated database.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should update its customer database regularly.

Management response

Observation noted. Council shall ensure that it creates a data base of all its customers as recommended. Council has already started data collection in some business centres and it shall cascade to other Rural Service centres and Growth Points.

2. MANAGEMENT OF ASSETS

2.1 Property, plant and equipment

The Council did not account for land and infrastructure assets such as road networks and bridges. In addition, the Council did not revalue its property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 45, - "Property, Plant and Equipment" which requires revaluations to be carried out with sufficient regularity and infrastructure assets to be accounted for as property plant and equipment.

Risk / implication

Misstatement of financial statements.

Recommendations

Council should revalue its property plant and equipment on a regular basis.

Council should account for land and infrastructure assets.

Management response

Observation noted. Revaluation exercise was expensive to Council due to poor budget performance. Council has engaged our insurance broker which is going to do the recommended valuation exercise.

The infrastructure assets were not yet included in the Council's financial statements because their fair values were not yet known. The revaluation exercise which shall be done after engaging the Ministry of Public Works shall help us to come up with correct values for reporting.

2.2 Investment property

Finding

The Council did not disclose the fair value of its investment property with a carrying amount of ZWL$48.2million. This was contrary to International Public Sector Accounting Standard

(IPSAS) 16 – “Investment Property” paragraph 41 which requires an entity to disclose the fair value of its investment property at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should disclose the fair value of its investment property at each reporting date.

Management response

Observation is noted. The revaluation exercise which shall be done after engaging the Ministry of Public Works shall help us to come up with correct values for reporting.

3. EMPLOYMENT COST

3.1 Salary advances

Finding

The Council did not avail supporting documents such as listing, staff loan agreements and salary advances applications for ZWL$1.62 billion disbursed to staff.

Risk / implication

Misstatement of financial statements.

Risk of fraud.

Recommendation

Management must ensure all transactions and balances are adequately supported.

Management response

Observation noted. Council shall ensure all advances are supported by listings and signed loan agreements for loans provided to staff.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing findings that I raised in my 2023 annual report. I raised five (5) findings, two (2) were addressed and three (3) were not addressed as indicated below;

4.1 Property, plant and equipment

The finding was not addressed. The Council did not revalue its assets.

4.2 Investment property

The finding was not addressed. The Council did not disclose the fair value of investment property.

4.3 Fringe benefits

The finding was addressed. Fringe benefits are now being taxed.

4.4 Backhoe and front-end loader

The finding was not addressed. The backhoe and front-end loader were not yet delivered.

4.5 Beer Levy

The finding was addressed. The Council is now receiving beer levy schedules from brewers.

I have audited the financial statements of Chiredzi Rural District Council for the years ended December 31, 2022 and 2023 and I issued an adverse opinion for both years.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Chiredzi Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency transactions and balances into ZWL$ using interbank rates. The interbank rates did not meet the definition of spot exchange rate as per IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" as foreign currency was not available for immediate delivery at these rates. Had the Council translated foreign currency transactions using appropriate spot rates, the financial statements would have been materially different.

ii. Valuation of property, plant and equipment

In the prior year, the Council revalued its property, plant and equipment using inappropriate inputs and assumptions. The Council translated the USD values in the 2019 valuation report to determine the ZWL values using the closing interbank exchange rate as at December 31, 2021. The opinion in the prior period financial statements was modified in respect of this matter. The Council did not make an adjustment to the 2022 opening balances contrary to the requirements of IPSAS 3 - "Accounting Policies, Changes in Accounting Estimates and Errors". Had the Council restated its 2022 opening balances to correct the prior year error, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - Financial Instruments

The Council did not recognise an allowance for credit losses on its receivables contrary to IPSAS 41 - "Financial Instruments" paragraph 73 which requires an entity to recognise a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance of ZWL$2.46 billion would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 - "Financial Reporting in Hyperinflationary Economies"

The Council applied the requirements of IPSAS 10 - "Financial Reporting in Hyperinflationary Economies, however its application was based on current and prior period financial information which was not in compliance with IPSAS 10 - "Financial Reporting in Hyperinflationary Economies". Had the correct base numbers been used most elements of the financial statements including monetary gain or loss would have been materially different. The impact of the departure from the requirements of this standard was considered material to the financial statements for the year ended December 31, 2022.

Adverse opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Chiredzi Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency transactions and balances into ZWL$ using interbank rates. The interbank rates did not meet the definition of spot exchange rate as per IPSAS 4 – "The Effects of Changes in Foreign Exchange Rates" as foreign currency was not available for immediate delivery at these rates. Had the Council translated foreign currency transactions using appropriate spot rates, the financial statements would have been materially different.

ii. Valuation of property, plant and equipment

The Council did not provide valuation report to substantiate the fair values of property, plant and equipment amounting to ZWL$320.90 billion which were recognised for the first time. These assets had been previously omitted from the financial statements. I could therefore not satisfy myself on the valuation of property, plant and equipment disclosed in the financial statements.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council did not recognise an allowance for credit losses on its receivables contrary to IPSAS 41 - "Financial Instruments" paragraph 73 which requires an entity to recognise a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance of ZWL$21.88 billion would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23 - "Revenue from Non-Exchange Transactions"

The Council recognised beer levy revenue amounting to ZWL$108.25 million on a cash basis contrary to IPSAS 23 – "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognised on accruals basis. Had the Council complied with the requirements of IPSAS 23 – "Revenue from Non-Exchange Transactions", the revenue disclosed in the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Valuation of property, plant and equipment

Finding

The Council did not provide a valuation report to substantiate the fair values of property, plant and equipment amounting to ZWL$320.90 billion which were recognised for the first time. These assets had been previously omitted from the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

The avail should avail a valuation report to support asset values reported in the financial statements.

Management response

The fair value of fixed assets was reached at after considering the current market value of the said asset. Management had aggregated the total cost without classifying the cost build up and assumptions used. Management is working on disaggregating the cost build up and detailing the assumptions, this will be provided once finalised.

1.2 Financial Reporting in Hyperinflationary Economies

Finding

The Council applied the requirements of IPSAS 10 - "Financial Reporting in Hyperinflationary Economies, however its application was based on current and prior period financial information which was not in compliance with IPSAS 10 - "Financial Reporting in Hyperinflationary Economies". Had the correct base numbers been used most elements of the financial statements including monetary gain or loss would have been materially different. The impact of the departure from the requirements of this standard was considered material to the financial statements for the year ended December 31, 2022.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should adjust the opening balances in line with IPSAS 3.

Management response

Management decided to comply with SI33 of 2019 issued by the Reserve Bank of Zimbabwe in prior periods which resulted in the use of wrong base numbers.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Beer levy revenue

Finding

The Council recognised beer levy revenue amounting to ZWL$108.25 million on a cash basis contrary to IPSAS 23 - "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognised on accruals basis. I was not provided with evidence of reconciliation or verification of the brewer's sales supporting remitted amount received. This was contrary to section 15 of the Traditional Beer Act [*Chapter 14:24*], which requires local authorities to request production of records/accounts related to controlled liquor funds in order to verify the accuracy of the remitted amount.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should obtain beer sales schedule and reconcile to confirm the accuracy of the remitted amount.

Management response

Reconciliations between the disbursements received and beer sales from Delta Corporation are currently being conducted to validate the revenue recognized. However, the Council is facing challenges in obtaining detailed supplier schedules from Delta, which limits the completeness of the verification process. Delta is now accompanying disbursement schedules with sales schedules as from 01st of January 2025 hence reconciliations are now being done on periodic basis.

2.2 Assessment of expected credit losses

Finding

The Council did not recognise an allowance for credit losses on its receivables amounting to ZWL$2.46 billion and ZWL$21.88 billion in 2022 and 2023 respectively. This was contrary to IPSAS 41 - “Financial Instruments” paragraph 73 which requires an entity to recognise a loss allowance for expected credit losses on financial assets.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise allowance for expected credit losses in accordance with IPSAS 41.

Management response

Credit losses are assessed upon invoicing for each group of receivables such as unit taxes, levies, licenses with similar characteristics and analysis of history of default is conducted and this is presented to council by year end. In 2022 Council erroneously omitted providing provision of credit losses to its debtors and will in future provide for them.

3. SERVICE DELIVERY

3.1 Refuse disposal services

Finding

The Council did not have an approved landfill for proper solid waste management. This was contrary to Environmental Management Act [Chapter 20:27], (Effluent and Solid waste management) Regulations, 2007 which Council to have an approved landfill.

Risk / implication

Service delivery may be compromised.

Recommendation

The Council should have an approved landfill.

Management response

This was mainly due to financial constrains to construct a land fill. A refuse disposal site was identified in Rupangwana Rural service centre on the 27th of May 2023.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION RECOMMENDATIONS

The Council did not make significant progress in addressing findings that I raised in my previous report. I raised eight (8) findings, three (3) were addressed, one (1) was partially addressed and four (4) were yet to be addressed as indicated below;

4.1 Separation of land and buildings

The finding was addressed. Council separated its land from buildings.

4.2 Valuation of property, plant and equipment

The finding was addressed. Council revalued its assets.

4.3 Supporting documents

The finding was not addressed. Council did not avail the supporting documents.

4.4 Allowance for credit losses

The finding was not addressed. The Council did not assess its receivables for allowance for credit losses.

4.5 Procurement method

The finding was not addressed. Council did not source three (3) quotations on procurement.

4.6 Fire services

The finding was not addressed. Council had no fire brigade.

4.7 Base minerals levy

The finding was addressed. Council put in place a data base of all miners.

4.8 Delivery of assets

The finding was partially addressed. Council engaged a Lawyer to enforce delivery of the motor vehicle and recovered ZWL$1.00 million. The ruling was that Council was to be paid at the current interest rate however, the supplier closed and no further follow-ups were done.

I have audited the financial statements of Chirumanzu Rural District Council for the years ended December 31, 2021 and 2022 and I issued an adverse opinion in 2021 and qualified opinion in 2022.

Adverse Opinion 2021

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the statement of financial position of the entity as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard (IAS) 21 – "The Effects of Changes in Foreign Exchange Rates" and (IAS) 29 - "Financial Reporting in Hyperinflationary Economies"

During the prior and current financial years, the foreign currency denominated transactions and balances of the Council were translated into ZWL$ using the interbank exchange rates/foreign currency auction rates which were not considered appropriate spot rates for translations as required by IAS 21.

In addition, the effects on not complying with IAS 21 resulted in restatement of financial statements for hyperinflation being done on misstated amounts. Had the Financial statements been prepared in accordance with IAS 21 many elements of the financial statements would have been materially different.

ii. Non-compliance with International Accounting Standard (IAS) 16 - "Property, Plant and Equipment" and IAS 36 – "Impairment of Assets"

The Council did not revalue its assets. This was contrary to paragraph 31 of IAS 16 – "Property, Plant and Equipment" which requires revaluations to be done with sufficient regularity to ensure that the carrying amount does not differ materially from that which will be determined using fair value at the end of the reporting period.

In addition, Council did not assess its property plant and equipment for indications of impairment. This was contrary to IAS 36 - "Impairment of Assets" paragraph 9 which requires an entity to assess at the end of each reporting period whether there is any indication that an asset may be impaired. Had Council accounted for its property, plant and equipment in accordance with IAS 16 and IAS 36, the financial statements would have been materially different.

iii. Non-compliance with International Financial Reporting Standard (IFRS) 10 – "Consolidation of Financial Statements"

Council did not consolidate its wholly owned subsidiary Msena Chirumanzu Investments (Private) Limited. This was contrary to International Financial Reporting Standard IFRS 10- "Consolidated Financial Statements" paragraph 19 which requires a parent to prepare consolidated financial statements.

In addition, the investment in subsidiary was not accounted for in the separate financial statements. This was contrary to IAS 27 "Separate Financial Statements" paragraph 10 which

requires an entity to account for investment in subsidiary in the separate financial statements. Had the Council Accounted for its investment in subsidiary in accordance with IAS 27 and IFRS 10 the financial statements would have been materially different.

iv. Non-compliance with International Financial Reporting Standard (IFRS) 9 – "Financial Instruments"

The Council did not perform an assessment of allowance for credit losses on its receivables of ZWL$270.15 million disclosed in the financial statements. This was contrary to the requirements of IFRS 9- "Financial Instruments", which requires that an entity shall recognise a loss allowance for expected credit losses on financial assets. Had the Council assessed and provided for allowance for expected credit loss, the financial statements would have been materially different.

Qualified Opinion 2022

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, the financial position of Chirumanzu Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

i. Non-compliance with International Accounting Standard (IAS) 16 - "Property, Plant and Equipment" and Equipment" and IAS 36 – "Impairment of Assets".

The Council did not revalue its assets. This was contrary to paragraph 31 of IAS 16 – "Property, Plant and Equipment" which requires revaluations to be done with sufficient regularity to ensure that the carrying amount does not differ materially from that which will be determined using fair value at the end of the reporting period.

In addition, Council did not assess its property plant and equipment for indications of impairment. This was contrary to IAS 36 - "Impairment of Assets" paragraph 9 which requires an entity to assess at the end of each reporting period whether there is any indication that an asset may be impaired. Had Council accounted for its property, plant and equipment in accordance with IAS 16 and IAS 36, the financial statements would have been materially different.

ii. Non-compliance with International Financial Reporting Standard (IFRS) 9 – "Financial Instruments"

The Council did not perform an assessment of allowance for credit losses on its receivables of ZWL$2.03 billion (ZWL$207.15 million: 2021) disclosed in the financial statements. This was contrary to the requirements of IFRS 9- "Financial Instruments", which requires that an entity shall recognise a loss allowance for expected credit losses on financial assets. Had the Council assessed and provided for allowance for expected credit loss, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council did not revalue its assets. This was contrary to paragraph 31 of IAS 16 – "Property, Plant and Equipment" which requires revaluations to be done with sufficient regularity to ensure that the carrying amount does not differ materially from that which will be determined using fair value at the end of the reporting period.

In addition, Council did not assess its property plant and equipment for indications of impairment. This was contrary to IAS 36 - "Impairment of Assets" paragraph 9 which requires an entity to assess at the end of each reporting period whether there is any indication that an asset may be impaired.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should conduct regular revaluations of asset in order to achieve fair presentation.

Council should assess at the end of each reporting period whether there is any indication that an asset may be impaired.

Management response

Noted, revaluation exercise is in process.

1.2 Consolidation of Msena Investments

Finding

Council did not consolidate its wholly owned subsidiary Msena Chirumanzu Investments (Private) Limited. This was contrary to International Financial Reporting Standard IFRS 10- "Consolidated Financial Statements" paragraph 19 which requires a parent to prepare consolidated financial statements.

In addition, the investment in subsidiary was not accounted for in the separate financial statements. This was contrary to IAS 27 "Separate Financial Statements" paragraph 10 which requires an entity to account for investment in subsidiary in the separate financial statements.

Risk/ implication

Misstatement of financial statements.

Recommendation

The Council should consolidate the operations and financial results of its subsidiaries.

Management response

The operations and financial results of the investments will be consolidated in future.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Allowance for credit loss

Finding

The Council did not perform an assessment of allowance for credit losses on its receivables of ZWL$2.03 billion (ZWL$207.15 million: 2021) disclosed in the financial statements. This was contrary to the requirements of IFRS 9- “Financial Instruments”, which requires that an entity shall recognise a loss allowance for expected credit losses on financial assets.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for allowance for credit losses on its receivables to comply with IFRS 9.

Management response

When it comes to debt cancellation or allowance for credit losses we are guided by Section 133 subsection 2 of the Rural District Council Act [Chapter 29:13] which states that (2), a Council shall not write off a charge as defined in section ninety-five unless it has been in arrear for five years or more.

CHIVI RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Chivi Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chivi Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

Non-compliance with International Financial Reporting Standard (IFRS) 9 – "Financial Instruments"

Council did not recognise an allowance for credit losses on receivables contrary to the IFRS 9 – "Financial Instruments", paragraph 5.5.1, which requires an entity to recognise a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance of ZWL$10.4 billion would have been materially different.

Below are other material issues noted during the audit;

1. REVENUE COLLECTION AND DEBT RECOVERY

1.1 Allowance for credit losses

Finding

Council did not recognise an allowance for credit losses on receivables contrary to the International Financial Reporting Standard (IFRS) 9 – "Financial Instruments", paragraph 5.5.1, which requires allowance for expected credit losses on financial assets to be recognised.

Risk / implication

Financial statements may be materially misstated.

Recommendation

The Council should provide sufficient guidance to staff on accounting for allowance for credit losses.

Management response

Management will provide guidance as per the recommendation.

2. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing findings that I raised in my previous report. I raised five (5) findings, three (3) were addressed and two (2) were not addressed as indicated below;

2.1 Depreciation and amortisation

The finding was addressed. Council depreciated its assets.

2.2 Procedure manual

The finding was addressed. Council now has procedure manuals for its departments.

2.3 Revenue collection

The finding was addressed. Council updated its customer database.

2.4 Receivables

The finding was not addressed. The Council did not provide for allowance for credit losses.

2.5 Council ambulances

The finding was not addressed. The Council clinics still has no ambulances.

GOKWE NORTH RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Gokwe North Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Gokwe North Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

i. Non-compliance with International Accounting Standard (IAS) 16 - "Property, Plant and Equipment"

The Council did not assess the residual value and useful life of its property, plant and equipment disclosed at a carrying amount of ZWL$3,94 billion. This was contrary to IAS 16 paragraph 51 which requires the residual value and useful life of an asset to be reviewed at least at each annual reporting date. Had the Council assessed the residual value and useful life of its property, plant and equipment, the carrying amounts disclosed in the financial statements would have been materially different.

ii. Completeness of revenue

The Council did not have a complete database for its rates paying residents, rentals from tenants for investment properties and unit tax from mining operators. Accordingly, my verification of these revenues was limited to the incomplete database. As a result, I could not satisfy myself on the completeness and accuracy of revenue from rates, rent income and unit taxes disclosed in the financial statements. I was unable to determine any adjustments which might be necessary.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Valuation of property, plant and equipment

The Council did not assess the residual values and useful lives of its property, plant and equipment disclosed at a carrying amount of ZWL$3,94 billion. This was contrary to IAS 16 – "Property, Plant and Equipment" paragraph 51 which requires the residual value and useful life of an asset to be reviewed at least at each annual reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should assess the residual values and useful lives of its property, plant and equipment in accordance with the requirements of accounting standards.

Management response

Noted. Council will assess the useful life of its property, plant and equipment. Council`s assets were not assessed for their useful life for a long period and the majority are now aging and others are under renovation. As a result, management could not be able to estimate the useful life unless Council engages an expert valuer.

1.2 Income tax obligations

Finding

The Council cashflow were not sufficient as a result, the income tax obligations (PAYE) were not being remitted. This was contrary to Income Tax Act [*Chapter 23:06*] section 37 which requires Pay As You Earn (PAYE) remittance to be done on or before the 10th of the subsequent month.

Risk / implication

Financial loss due to penalties.

Service delivery may be compromised.

Recommendation

The Council should remit its tax obligations within the statutory deadlines.

Management response

Noted. Council is working flat out in ensuring that there is always a running payment plan which is complied with. Council is also ensuring that statutory returns are submitted in time to avoid penalties and garnishes.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Completeness of revenue

The Council did not have a complete database for its rates paying residents, rentals from tenants for investment properties and unit tax from mining operators. Accordingly, my verification of these revenues was limited to the incomplete database. As a result, I could not satisfy myself on the completeness and accuracy of revenue from rates, rent income and unit taxes disclosed in the financial statements. I was unable to determine any adjustments which might be necessary.

Risk/ Implication

Financial loss due to unbilled revenue.

Financial statements may be materially misstated.

Recommendation

Council should have a system which will assist in management of database.

Management response

Observation is noted.

3 PROCUREMENT OF GOODS AND SERVICES

3.1 Advance payments

Finding

The Council made advance payments amounting to US$ 17 000 to a construction company without a bank guarantee for the construction of 1km stretch of road. This was contrary to section 82(5)(ii) of the Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*] which requires an advance payment to be made after a bank guarantee covering the advance payment amount has been submitted.

Risk / implication

Financial loss due to non-performance compromising service delivery.

Recommendation

Council should obtain an advance payment guarantee before making an advance payment to the suppliers in compliance with Public Procurement and Disposal of Public Assets Act.

Management response

Noted. Council will comply with the audit observation.

3.2 Payments on quotations

Finding

The Council made payments amounting to ZWL$ 24.87 million to a service provider for grader repairs based on quotations. This was contrary to Statutory Instrument 144 of 2019 Treasury Instructions Section 59(3) (c) which requires payments to be supported by an invoice and forbids processing of payment based on quotations only.

Risk / implication

Financial loss due to irregular purchases.

Recommendation

The Council should make payments based on tax invoices.

Management response

Noted. Council will comply with the audit recommendation as stated above. The payments were done with the expectation that the invoices will be delivered through PMU follow-up as these payments were urgently required to address grader repairs to facilitate service delivery

4 PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made no progress in addressing findings that I raised in my 2023 report. I raised two (2) findings and they were not addressed as indicated below.

4.1 Property, plant and equipment

The issue was not addressed. Council did not assess useful lives of its property, plant and equipment.

4.2 Debt collection

The issue was not addressed. I was not availed with the debt collection strategies.

I have audited the financial statements of Gokwe South Rural District Council for the year ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Gokwe South Rural District Council as at December 31, 2023 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45- "Property, Plant and Equipment" and IPSAS 21 – "Impairment of Non-cash Generating Assets"

Council did not recognise infrastructure assets such as roads and bridges in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment" which requires infrastructure assets to be recognised.

In addition, Council did not depreciate property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment", which requires an item property, plant and equipment to be depreciated.

The Council also did not assess whether assets had any indication of impairment as at the reporting date. This was contrary to International Public Sector Accounting Standard (IPSAS) 21 - "Impairment of Non-cash Generating Assets" paragraph 26 which requires an entity to assess at each reporting date whether there is any indication that an asset may be impaired. Had the Council recognised infrastructure assets, depreciated property, plant and equipment and assessed for impairment indicators in accordance with IPSAS 45 and IPSAS 21, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments"

Council did not provide for allowance for credit losses on receivables. This was contrary to International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments" which requires recognition of allowance for credit losses on receivables. Had Council recognised allowance for credit losses, the carrying amount of receivables would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property"

The Council classified its investment properties as property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property" which requires properties held to earn rentals to be classified as investment property. Had the Council classified properties held to earn rentals as investment property, the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 – "Segment reporting"

The Council did not disclose segment information in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 18 – "Segment Reporting" which requires the Council to disclose segment revenue, expenses, assets and liabilities for each segment. Had the Council made adequate disclosures the financial statements would have been useful to users.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Policies and procedure manuals

Finding

The Council did not have a risk management policy and information technology (IT) policy. This was contrary to section 44 of the Public Finance Management Act [*Chapter 22:19*] which requires a public entity to ensure that it establishes and maintains effective, efficient and transparent systems of financial, risk management and internal controls.

Risk / implication

Service delivery may be compromised.

Recommendation

The Council should put in place the risk and IT policies.

Management response

Council had draft IT and Risk Management policy. These policies will be adopted in 2024.

1.2 Depreciation of property, plant and equipment

Finding

Council did not depreciate property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment", which requires an item property, plant and equipment to be depreciated.

Risk / implication

Misstatement of financial statements.

Recommendation

Property, plant and equipment should be depreciated in compliance with IPSAS 45.

Management response

Noted, valuations of assets are in progress. The exercise is expected to be completed before December 31, 2024.

1.3 Allowance for credit losses

Finding

Council did not provide for allowance for credit losses on receivables. This was contrary to International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments" which requires recognition of allowance for credit losses on receivables.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should carry recognise an allowance for credit losses in compliance with IPSAS 41.

Management response

Noted, allowance for credit losses will be recognised in compliance with the standard.

1.4 Segment reporting

Finding

The Council did not disclose segment information in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 18 – "Segment Reporting" which requires the Council to disclose segment revenue, expenses, assets and liabilities for each segment.

Risk / implication

Transparency and accountability may be compromised

Recommendation

The Council should disclose segment information in the financial statements in compliance with IPSAS 18.

Management response

Management would provide the segment reports to the audit.

1.5 Impairment

Finding

The Council also did not assess whether assets had any indication of impairment as at the reporting date. This was contrary to International Public Sector Accounting Standard (IPSAS) 21 - "Impairment of Non-cash Generating Assets" paragraph 26 which requires an entity to assess at each reporting date whether there is any indication that an asset may be impaired.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment in compliance with IPSAS 21.

Management response

Noted, Council first wanted to establish the value of assets before carrying out an impairment assessment hence the engagement of valuer to do the valuation.

2 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised four (4) findings; one (1) partially addressed and three (3) that were yet to be addressed as indicated below;

2.1 Provision for expected credit losses

The finding was partially addressed; draft policy is already in place awaiting approval.

2.2 Non-current assets

The finding was not addressed. Council is yet to depreciate assets after conducting a revaluation of assets.

2.3 Income generating projects

The finding was not addressed. Council is yet to have a signed agreement with tenants.

2.4 Policies

The finding was not addressed. Risk management, procurement and IT policies are yet to be adopted.

GOROMONZI RURAL DISTRICT 2023

I have audited the financial statements of Goromonzi Rural District Council for the year ended December 31, 2023 and I have issued an unmodified / clean opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects the financial position of Goromonzi Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Below are other material issues noted during the audit;

1 PROCUREMENT OF GOODS AND SERVICES

1.1 New engine

Finding

The Council made a prepayment towards the payment of a new engine for a T-35 truck amounting to ZWL$6.4 million without an advance payment guarantee on January 24, 2023. This was contrary to Statutory Instrument 144 of 2019 section 18 which requires an advance payment to be made after a bank guarantee has been furnished covering the advance payment amount. The payment was processed in January 2023 with delivery expected in March 2023, however as at December 31, 2023 the engine was still not delivered. The engine was supposed to be delivered within seven (7) weeks.

Risk / implication

Financial loss due to non-delivery of the engine.

Recommendation

Council should follow-up with the supplier for delivery.

Council should obtain an advance payment guarantee before making an advance payment to suppliers in compliance with Statutory Instrument 144 of 2019.

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Management response

Council escalated the matter to its legal practitioners for a court recovery process.

2 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings and recommendations I raised in my previous reports. I raised five (5) audit findings, three (3) were addressed, one (1) was partially addressed and one (1) was not addressed as indicated below;

2.1 Parking fees collection

The finding was not addressed. Council was yet to formalise the employment of the receipting officer.

2.2 Business licensing

The finding was partially addressed. Council was in the process of recruiting a debt collection officer.

2.3 Billboards

The finding was addressed. The Council is now billing the billboard owners.

2.4 Contract workers

The finding was addressed. The Council implemented the casual work status.

2.5 Revenue from unit taxes

The finding was addressed. Unit taxes has since been billed.

I have audited the financial statements of Guruve Rural District for the year ended December 31, 2022 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Guruve Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard (IAS) 16 - "Property Plant and Equipment" and IAS 36 - "Impairment of Assets"

The Council did not depreciate its assets which are available for use contrary IAS 16 – "Property, Plant and Equipment" paragraph 43 which requires items of property, plant and equipment to be depreciated except for land. In addition, there was no evidence that the Council assessed its assets for any indicators of impairment. This was contrary to IAS 36 - "Impairment of assets" paragraph 9 which requires assessment for indictors of impairment at each reporting date. Had the Council depreciated and assessed its assets for impairment indicators, the financial statements would have been materially different.

ii. Non-compliance with International Financial Reporting Standard (IFRS) 9 - "Financial Instruments"

The Council did not recognise an allowance for credit losses on its receivables contrary to IFRS 9 - "Financial Instruments" paragraph 5.5.1 which requires an entity to recognise a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance of ZWL$186.2 million would have been materially different.

iii. Non-compliance with International Financial Reporting Standard (IFRS 15) - "Revenue from Contracts with Customers"

The Council recognized beer levy, stand sales and business leases revenue amounting to ZWL$82.85 million on a cash basis instead of accrual basis. This was contrary to IFRS 15 - "Revenue from Contracts with Customers" paragraph 31 which requires revenue to be recognized when performance obligation is satisfied which is accrual basis. Had Council recognised revenue on accruals basis, the financial statements would have been materially different.

iv. Non-compliance with International Accounting Standard (IAS 37) - "Provisions, Contingent Liabilities and Contingent Assets"

The Council did not recognise provision for leave pay in the financial statements despite having outstanding leave days as at year end. This was contrary to IAS 37- "Provisions, Contingent Liabilities and Contingent Assets", paragraph 14 which requires a provision to be recognized if the recognition criteria for a provision is met. Had the Council recognised the provision, the financial statements would have been materially different.

Below are other material noted during the audit;

1. GOVERNANCE ISSUES

1.1 Non-current assets

Finding

The Council did not depreciate its assets which are available for use contrary International Accounting Standard (IAS) 16 - “Property, Plant and Equipment” paragraph 43 which requires items of property, plant and equipment to be depreciated except for land. In addition, there was no evidence that the Council assessed its assets for any indicators of impairment contrary to IAS 36 - “Impairment of assets” paragraph 9 which requires assessment for indicators of impairment at each reporting date.

Risk / implication

Misstatements of financial statements.

Recommendation

Management should ensure that they comply with the provisions of IAS 16 and 36.

Management response

Management takes note. There were delays in the adoption of the policy that deals with impairment of assets and as a result management could not impair the assets. A policy has however been crafted and will be used in future draft financial statements.

1.2 Allowances for credit losses

Finding

The Council did not recognise an allowance for credit losses on its receivables balance of ZWL$186.2 million contrary to IFRS 9 - “Financial Instruments” paragraph 5.5.1 which requires an entity to recognise a loss allowance for expected credit losses on financial assets.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise allowance for credit losses on its receivables.

Management response

The observation is noted. There was no policy in place to deal with the provision of credit losses. A policy is being crafted and credit losses will be provided for once the policy is in place.

1.3 Provisions

Finding

The Council did not recognise provision for leave pay despite having outstanding leave days as at year end. This was contrary to International Accounting Standard (IAS) 37- “Provisions,

Contingent Liabilities and Contingent Assets", paragraph 14 which requires a provision to be recognized if the recognition criteria for a provision is met.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should recognise provision for leave pay to comply with accounting standards.

Management response

Management will work on its payroll system to make sure we print provision for leave day's schedule. Management has already begun addressing this area and this would be fully addressed starting from the financial statements ending 31 December 2023.

1.4 Revenue recognition

Finding

The Council recognized beer levy, stand sales and business leases revenue amounting to ZWL$82.85 million on a cash basis instead of accrual basis. This was contrary to International Financial Reporting Standard (IFRS) 15 - "Revenue from contracts with customers" paragraph 31 which requires revenue to be recognized when the performance obligation is satisfied.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should recognise revenue on accruals basis in line with the accounting standards.

Management response

We encountered some challenges with the pastel accounting system which was posting transactions into the wrong class of account "error of principle". We have however raised the issue with the software supplier who rectified the issue.

2. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2022 annual report. I raised five (5) findings, one (1) finding was partially addressed and four (4) findings were not addressed as indicated below;

2.1 Impairment of assets

The finding was not addressed. The Council did not test its assets for impairment.

2.2 Depreciation of assets

The finding was not addressed. Council did not depreciate its assets.

2.3 Provision for expected credit losses

The finding was not addressed. The Council did not provide for expected credit losses.

2.4 Revaluation of assets

The finding was not addressed. Council did not revalue its property, plant and equipment.

2.5 Drilling rig

The finding was partially addressed. The Council pursued the case through the courts.

GUTU RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Gutu Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Gutu Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standards (IPSAS) 4 – "The Effects of Changes in Foreign Exchange Rates"

During the prior and current financial year, the foreign currency transactions and balances were translated into ZWL$ using interbank exchange rates which did not meet the definition of spot exchange rate as foreign currency was not available for delivery at these rates. This was contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" paragraph 24, which requires foreign currency transactions to be translated using spot exchange rates. Had the financial statements been prepared in accordance with the requirements of IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", some elements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment"

The Council did not revalue its assets despite changes in the operating environment which affected the assets fair values. This was contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 29, which requires revaluation to be made with sufficient regularity to ensure that the carrying amount of an asset does not differ materially from its fair value at the reporting date. Had the Council revalued its assets, the property, plant and equipment carrying amount of ZWL$832.16 million disclosed in the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standards (IPSAS) 12 – "Inventories"

The Council did not recognise stands inventory in the financial statements contrary to IPSAS 12 – "Inventories" paragraph 11 which requires stands held for sale to be recognised as inventory. I could not satisfy myself on the adjustments that could have been necessary.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments"

The Council did not recognise an allowance for credit losses on its receivables contrary to IPSAS 41- "Financial Instruments" paragraph 73, which requires recognition of an allowance for expected credit losses on financial assets. Had the Council recognised an allowance for credit losses, the receivables balance of ZWL$3.97 billion would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Valuation of property, plant and equipment

Finding

The Council did not revalue its assets despite changes in the operating environment which affected the assets fair values. This was contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 29, which requires revaluation to be made with sufficient regularity to ensure that the carrying amount of an asset does not differ materially from its fair value at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should revalue its property, plant and equipment with sufficient regularity.

Management response

Noted, the revaluation of assets will be done during the second quarter of 2025.

1.2 Allowance for credit losses

Finding

The Council did not recognise an allowance for credit losses on its receivables balance of ZWL$3.97 billion contrary to IPSAS 41- "Financial Instruments" paragraph 73, which requires an entity to recognise an allowance for expected credit losses on financial assets.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise an allowance for credit losses on its receivables balance in line with IPSAS 41- "Financial Instruments".

Management response

Most Council revenues emanate from contracts that exist between Council and its customers. For example, sale of land and its lease rent. Under these contracts the contract terms and conditions give no room for such as the Council recovers the property where the client is in default.

1.3 Inventory valuation

Finding

The Council did not recognise stands inventory in the financial statements contrary to IPSAS 12 – "Inventories" paragraph 11 which requires stands held for sale to be recognised as inventory.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise stands inventory in the financial statements.

Management response

Noted. We are still on IPSAS transition and not yet fully IPSAS compliant. We expect to be fully compliant by 2025.

2. PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made little progress in addressing findings that I raised in my 2023 annual report. I raised four (4) findings, one (1) was addressed and four (4) were not addressed as indicated below;

2.1 Inventory valuation

The finding was not addressed. The Council did not account for stands inventories.

2.2 Revaluation of assets

The finding was not addressed. The Council did not perform an asset valuation.

2.3 Allowance for credit losses

The finding was not addressed. The Council did not recognise allowance for credit losses on receivables.

2.4 Revenue from business license

The finding was addressed. The Council now has a database for business license customers.

GWANDA RURAL DISTRICT COUNCIL 2022 AND 2023

I have audited the financial statements of Gwanda Rural District Council, for the years ended December 31, 2022 and 2023 and I issued a qualified opinion for both years.

Qualified Opinion 2022

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Gwanda Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment"

Council did not depreciate its property, plant and equipment contrary to IPSAS 17- "Property, Plant and Equipment", which require assets to be depreciated over their useful lives. Had the Council depreciated its property, plant and equipment, the carrying amount disclosed in the financial statements would have been materially different.

Qualified Opinion 2023

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly in all material respects the financial position of Gwanda Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property"

The Council did not recognise houses held to earn rentals in the financial statements. This was contrary to IPSAS 16 - "Investment Property" paragraph 7 which requires properties held to earn rentals or for capital appreciation or both to be recognised as investment property. Had Council recognised the houses as investment property, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12- "Inventories"

The Council did not recognise stands inventory in the financial statements contrary to IPSAS 12 - "Inventories" paragraph 12, which requires stands held for sale to be accounted for as inventory. Had Council recognised stands inventory, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not depreciate its Information Communication Technology (ICT) equipment contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 41 which requires items of

property, plant and equipment to be depreciated. Had Council depreciated its ICT equipment, the carrying amount of property, plant and equipment would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 27 - "Agriculture"

The Council did not revalue its biological assets to obtain fair values. This was contrary to IPSAS 27 – "Agriculture" paragraph 16 which requires biological assets to be measured at fair value less costs to sell. Had Council revalued its biological assets to fair values, the amounts disclosed would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council did not depreciate its Information Communication Technology (ICT) equipment contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 41 which requires items of property, plant and equipment to be depreciated.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should depreciate its ICT equipment in accordance with IPSAS 45.

Management response

This was an oversight that occurred. Council will comply with IPSAS 45.

1.2 Investment property

Finding

The Council did not recognise houses held to earn rentals in the financial statements. This was contrary to IPSAS 16 - "Investment Property" paragraph 7 which requires properties held to earn rentals or for capital appreciation or both to be recognised as investment property.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should recognise the properties as investment property.

Management response

Well noted, the properties will be recognized as Investment property in 2024 Financial statements. The properties were included in the valuation roll that was conducted in 2024.

1.3 Inventories

Finding

The Council did not recognise stands inventory in the financial statements despite the Council holding stands for sale as at year end. This was contrary to IPSAS 12 - “Inventories” paragraph 12, which requires stands held for sale to be accounted for as inventory.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise stands held for sale as inventory in its financial statements.

Management response

Council will comply with IPSAS 12 and ensure that stands held for sale are recognised as inventory as this was an oversight that had occurred.

1.4 Biological assets

The Council did not revalue its biological assets to obtain fair values. This was contrary to IPSAS 27 – “Agriculture” paragraph 16 which requires biological assets to be measured at fair value less costs to sell. Had Council revalued its biological assets to fair values, the amounts disclosed would have been materially different.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should depreciate its ICT equipment in accordance with IPSAS 45.

Management response

Noted, this was because we could not access the biological assets due to disagreements with the operator.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Receivables

Finding

The Council did not reconcile its receivable to the underlying records. As a result, there was an unresolved variance of ZWL$400 million between the financial statements of ZWL$2.9 billion and the age analysis of ZWL$2.5 billion.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should reconcile its receivables balances to the underlying records.

Management response

Council was using sage evolution for the first time and there were system errors and teething problems. We acknowledge the problem and have since engaged the service provider to rectify the issue. The variance is due to technical issues which we are currently working on.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised seven (7) findings, four (4) were partially addressed and three (3) were not addressed as indicated below;

3.1 Depreciation of property, plant and equipment

The finding was partially addressed. Council did not depreciate its ICT equipment.

3.2 Policies and procedure manuals

The finding was partially addressed. Council put in place some key policies.

3.3 Dump site

The finding was partially addressed. The dumpsite fencing is now in progress.

3.4 Valuation of property, plant and equipment

The finding was not addressed. Council did not revalue its property, plant and equipment.

3.5 Valuation of biological assets

The finding was not addressed. Council did not value its biological assets as per IPSAS 27 – “Agriculture”.

3.6 Rental income

The finding was not addressed. The Council did not put in place lease agreements.

3.7 Beer levy

The finding was partially addressed. Management was finalising the design of the policy to accrue beer levy.

HWANGE RURAL DISTRICT COUNCIL 2019 AND 2020

I have audited the financial statements of Hwange Rural District Council for the years ended December 31, 2019 and 2020 and I issued a disclaimer of opinion for both years.

Disclaimer of Opinion 2019

I do not express an opinion on the financial statements of Hwange Rural District Council. Because of the significance of the matters described in the Basis for Disclaimer of Opinion section of my report, I have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements.

Basis for Disclaimer Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10- "Financial Reporting in Hyperinflationary Economies"

The Council did not comply with the provisions of International Public Sector Accounting Standard (IPSAS 10) – "Reporting in Hyperinflationary Economies". Zimbabwean entities were operating in an environment in the period under review, which has witnessed significant monetary and exchange control policy changes since the beginning of the 2019. The changes were a result of continued economic challenges faced by the Country that resulted in the liquidity crisis and high inflation rates. On the 11th of October 2019, the Public Accountants and Auditors Board (PAAB) issued pronouncement 01/2019, which highlighted a general consensus within the accounting and audit profession that the factors and characteristics to apply the IPSAS 10 in Zimbabwe had been met and the standard should be applied from July 1, 2019 and accounts of entities with year-end on or after this date should be hyper inflated. Had the Council applied the requirements of IPSAS10- "Reporting in Hyperinflationary Economies", many elements of the financial statements would have been materially impacted.

ii. Revenue

The financial statements include revenue of ZWL$15.5 million which did not have supporting documentation to substantiate the revenue recognised. I could not obtain sufficient appropriate evidence on the occurrence, completeness and accuracy of the revenue disclosed in the financial statements.

iii. Expenditure

The Council had unsupported expenditure amounting to ZWL$4.5 million in the financial statements. I could not satisfy myself on the occurrence, accuracy and completeness of expenditure incurred and disclosed in the financial statements.

iv. Cash and cash equivalents

The Council did not avail USD cashbook. I was therefore unable to obtain sufficient appropriate audit evidence to satisfy myself on the occurrence and completeness of the USD bank balance.

v. Capital expenditure

The Council had unsupported asset additions amounting to ZWL$0.93 million in the financial statements. I could not satisfy myself on the accuracy and validity of expenditure incurred and

disclosed in the financial statements.

vi. Receivables

Included in the financial statements are receivables of ZWL$16.4 million without supporting documentation. I could not satisfy myself on the accuracy and valuation of receivables accounted for in the financial statements.

vii. Payables

Included in the financial statements are trade payables amounting to ZWL$0.69 million without supporting documentation. I could not satisfy myself on the valuation, accuracy and completeness of payables accounted for in the financial statements.

Disclaimer of Opinion 2020

I do not express an opinion on the financial statements of Hwange Rural District Council. Because of the significance of the matters described in the Basis for Disclaimer of Opinion section of my report, I have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements

Basis for Disclaimer of Opinion

i. Revenue

The financial statements include revenue of ZWL$597.9 million which did not have supporting documentation to substantiate the revenue recognised. I could not obtain sufficient appropriate evidence on the occurrence, completeness and accuracy of the revenue disclosed in the financial statements.

ii. Expenditure

The Council had unsupported expenditure amounting to ZWL$0.11 million in the financial statements. I could not satisfy myself on the occurrence, accuracy and completeness of expenditure incurred and disclosed in the financial statements.

iii. Capital expenditure

The Council had unsupported capital expenditure amounting to ZWL$3.77 million in the financial statements. I could not satisfy myself on the accuracy and validity of expenditure incurred and disclosed in the financial statements.

iv. Receivables

Included in the financial statements are receivables of ZWL$41.49 million without supporting documentation. I could not satisfy myself on the accuracy and valuation of receivables accounted for in the financial statements.

v. Payables

Included in the financial statements are payables amounting to ZWL$0.95 million without supporting documentation. I could not satisfy myself on the valuation, accuracy and completeness of payables accounted for in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Financial Reporting in Hyperinflationary Economies

Finding

The Council did not comply with the provisions of International Public Sector Accounting Standard (IPSAS 10) – "Reporting in Hyperinflationary Economies". Zimbabwean entities were operating in an environment in the period under review, which has witnessed significant monetary and exchange control policy changes since the beginning of the 2019 year. The changes were a result of continued economic challenges faced by the country that resulted in the liquidity crisis and high inflation rates. On the 11th of October 2019, the Public Accountants and Auditors Board (PAAB) issued pronouncement 01/2019, which highlighted a general consensus within the accounting and audit profession that the factors and characteristics to apply the IPSAS 10 in Zimbabwe had been met and the standard should be applied from 1 July 2019 and accounts of entities with year-end on or after this date should be hyper inflated.

Risk / implication

Misstatements of financial statements.

Recommendation

Council should adjust its financial statements for inflation.

Management response

Management did not respond

2. MANAGEMENT OF ASSETS

2.1 Lease agreements

Finding

There were no lease agreements for Council beerhalls and other investment property. In addition, lease agreements for four (4) telecom operators' base stations were not updated.

Risk / implication

Lack of recourse in the event of disputes.

Recommendation

Council should have lease agreements for its properties.

Management response

Management did not respond to finding.

2.2 Asset additions

Finding

The Council had unsupported asset additions amounting to ZWL$ 2.37 million (2019: ZWL$

0.93 million) in the financial statements. I could not satisfy myself on the accuracy and validity of expenditure incurred and disclosed in the financial statements

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should support all its assets additions with relevant documents.

Management response

Management did not respond to finding.

3. REVENUE AND DEBT COLLECTION

3.1 Revenue

Finding

The financial statements included revenue of ZWL$597.9 million (2019: ZWL$15.5 million) which had no supporting documentation. I could not obtain sufficient appropriate evidence on the occurrence, completeness and accuracy of the revenue.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should provide supporting documents for revenue accounted for in the financial statements.

Management response

Management did not respond to finding.

3.2 Receivables

Finding

The Council recognized receivables of ZWL$597.9 million (2019: ZWL$16.4 million) without supporting documentation. I could not satisfy myself on the accuracy and valuation of receivables accounted for in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should support all receivable transactions with relevant documentation.

Management response

Management did not respond to finding.

4. PROCUREMENT OF GOODS AND SERVICES

4.1 Expenditure

Finding

The Council made payments amounting to ZWL$0.116 million (2019: ZWL$4.5 million) without supporting documentation such as invoices or receipts. This was contrary to Statutory Instrument 144 of 2019 paragraph 59 (2) which requires all expenditure to have supporting documents.

Risk / implication

Misstatement of financial statements.

Financial loss due to fraud.

Recommendation

Council should adequately support expenditure transactions.

Management response

Management did not respond to finding.

4.2 Payables

Finding

Included in the financial statements are payables amounting to ZWL$597.9 million (2019: ZWL$0.69 million) without supporting documentation.

The Council recognized payables amounting to ZWL$ 597.9 million (2019: ZWL$ 0.69 million) without supporting documentation. I could not satisfy myself on the valuation, accuracy and completeness of payables accounted for in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should be adequately support all payables transactions.

Management response

Management did not respond to finding.

5. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2020 annual report. I raised six (6) findings and six (6) were not addressed as indicated below;

5.1 Cash and cash

The finding was not addressed. The Council did not avail the usd cashbook.

5.2 Payables

The finding was not addressed. The Council did not provide supporting documentation.

5.3 Unsupported expenditure

The finding was not addressed. The Council did not provide supporting documentation for expenditure.

5.4 Receivables

The finding was not addressed. The Council did not provide supporting documents.

5.5 Revenue

The finding was not addressed. Revenue was not accounted for in line with IPSAS 23.

5.6 Policy and procedure manuals

The finding was not addressed. The Council did not have the policies and procedure manual in place.

I have audited the financial statements of Hwedza Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Hwedza Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

i. Non-compliance with International Accounting Standard (IAS) 21 – "The Effects of Changes in Foreign Exchange Rates"

During the year, the foreign currency denominated transactions and balances of the Council were translated into ZWL$ using inter-bank rates. The interbank rates did not meet the definition of spot rate as defined by International Accounting Standard (IAS 21) - "The Effects of Changes in Foreign Exchange Rates". I was unable to quantify the impact of using interbank rates on the translation of the foreign currency transactions to ZWL$ in the financial statements. Had the financial statements been prepared in accordance with the requirements of IAS 21- "The Effects of Changes in Foreign Exchange Rates", many elements would have been materially different.

ii. Non-compliance with International Accounting Standard (IAS) 16 – "Property, plant and Equipment"

The Council did not revalue its property, plant and equipment contrary to International Accounting Standard (IAS)16 – "Property, Plant and Equipment", paragraph 31 which requires revaluations to be carried out with sufficient regularity to ensure that the carrying amount does not differ materially from that which will be determined using fair value at the end of the reporting period.

In addition, the Council did not depreciate items of property, plant and equipment. This is contrary to International Accounting Standards (IAS) 16 - "Property, Plant and Equipment", paragraph 43, which requires assets to be depreciated over their useful lives. Had the Council revalued and depreciated its property, plant and equipment, the carrying amount disclosed would have been materially different.

iii. Non-compliance with International Financial Reporting Standard (IFRS) 9 – "Financial Instruments"

The Council did not provide for allowance for credit loss on receivables balance with a carrying amount of ZWL$2.1 billion. This was contrary to International Financial Reporting Standard (IFRS) 9 – "Financial Instruments" paragraph 5.5.1 which requires the recognition of an allowance for credit losses in the financial statements. Had the allowance for credit losses been provided for, financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Statutory audit deadline

Finding

The Council did not submit financial statements for the year ended December 31, 2022 within the statutory deadline. The financial statements were submitted for audit in May 2024, two (2) year and two (2) months after the statutory deadline contrary to the Public Finance Management Act [*Chapter 22:19*] section 49, which requires financial statements to be submitted for audit within two (2) months after the end of the financial year.

Risk / implication

Accountability, transparency and decision making may be compromised.

Recommendation

Council should submit financial statements for audit within statutory deadline.

Management response

The recommendation by the Auditors is noted. Council will ensure audits are conducted as per the requirements of the Public Finance Management Act [*Chapter 22:19*] section 49.

1.2 Property, plant and equipment

Finding

The Council did not revalue its property, plant and equipment contrary to International Accounting Standard (IAS)16 – "Property, Plant and Equipment", paragraph 31 which requires revaluations to be carried out with sufficient regularity to ensure that the carrying amount does not differ materially from that which will be determined using fair value at the end of the reporting period.

In addition, the Council did not depreciate items of property, plant and equipment. This is contrary to International Accounting Standards (IAS) 16 - "Property, Plant and Equipment", paragraph 43, which requires assets to be depreciated over their useful lives.

Risk / implication

Misstatement of the financial statements.

Recommendation

Council should revalue and depreciates its assets in line with IAS 16.

Management response

The Council will engage the assets valuer. A depreciation policy is being crafted in accordance with IPSAS guidelines as guided by the Zimbabwe Financial Reporting Manual and to be implemented in 2024.The policy is at draft stage.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Allowance for credit losses

Finding

The Council did not provide for allowance for credit loss on receivables balance with a carrying amount of ZWL$2.1 billion. This was contrary to International Financial Reporting Standard (IFRS) 9 – "Financial Instruments" paragraph 5.5.1 which requires the recognition of an allowance for credit losses in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should carry out an assessment of expected credit losses in line with applicable financial reporting standards.

Management response

The recommendation by auditors is noted. A debt management policy is being crafted and would be implemented in 2024.

3 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings raised in my 2023 annual report. I raised two (2) findings, one (1) was addressed and one (1) was not addressed as indicated below;

3.1 Policies and procedures

The finding was addressed. The policies are now in place.

3.2 Beer levy

The finding was not addressed. Council has not established the basis for calculating beer levy due to them.

I have audited the financial statements of Insiza Rural District Council for the years ended December, 31, 2022 and 2023 and I issued qualified opinion for both years.

Qualified Opinion 2022

In my opinion, except for the effect of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Insiza Rural District Council as at December 31, 2022, and its statement of profit and loss and other comprehensive income and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

i. Non-compliance with International Accounting Standard (IAS) 16 – "Property, Plant and Equipment"

The Council did not depreciate its property, plant and equipment. This was contrary to International Accounting Standard (IAS) 16, - "Property, Plant and Equipment", paragraph 43 which requires property, plant and equipment to be depreciated over their useful lives. Had the Council charged depreciation, the carrying amount of property, plant and equipment would have been materially different.

ii. Non-compliance with International Accounting Standard (IAS) 41 – "Agriculture"

The Council did not recognise livestock which were procured in 2016 despite having met the definition of biological assets. This was contrary to IAS 41 – "Agriculture" paragraph 10 which requires the recognition of a biological assets. Had the Council recognised the biological assets, the financial statements would have been materially different.

iii. Non-compliance with International Accounting Standard (IAS) 40 – "Investment Property"

The Council classified its investment properties as property, plant and equipment. This was contrary to International Accounting Standard (IAS) 40 - "Investment Property" which requires properties held to earn rentals to be classified as investment property. Had the Council classified properties held to earn rentals as investment property, the financial statements would have been materially different.

iv. Non-compliance with International Financial Reporting Standard (IFRS) 9 – "Financial Instruments"

The Council did not recognise an allowance for credit losses on receivables. This was contrary to the IFRS 9 – "Financial instruments", paragraph 5.5.1 which requires recognition of an allowance for credit losses on receivables. Had the Council recognised an allowance for credit losses, the receivables disclosed would have been materially affected.

v. Non-compliance with International Financial Reporting Standard (IFRS) 8 – "Operating Segments"

The Council did not disclose segment information in the financial statements. This was contrary to International Financial Reporting Standard (IFRS) 8 – "Operating Segments" which requires the Council to disclose segment revenue, segment expenses, segment assets and

segment liabilities. Had the Council disclosed operating segments, the financial statements would have been materially different.

Qualified Opinion 2023

In my opinion, except for the effect of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Insiza Rural District Council as at December 31, 2023, and its statement of profit and loss and other comprehensive income and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

i. Non-compliance with International Accounting Standard (IAS) 16 – "Property, Plant and Equipment"

The Council did not depreciate its property, plant and equipment. This was contrary to International Accounting Standard (IAS) 16, - "Property, Plant and Equipment", paragraph 43 which requires property, plant and equipment to be depreciated over their useful lives. Had the Council charged depreciation, the carrying amount of property, plant and equipment would have been materially different.

ii. Non-compliance with International Financial Reporting Standard (IFRS) 9 – "Financial Instruments"

The Council did not recognise an allowance for credit losses on receivables. This was contrary to the IFRS 9 – "Financial instruments", paragraph 5.5.1 which requires recognition of an allowance for credit losses on receivables. Had the Council recognised an allowance for credit losses, the receivables disclosed would have been materially affected.

iii. Non-compliance with International Financial Reporting Standard (IFRS) 8 – "Operating Segments"

The Council did not disclose segment information in the financial statements. This was contrary to International Financial Reporting Standard (IFRS) 8 – "Operating Segments" which requires the Council to disclose segment revenue, segment expenses, segment assets and segment liabilities. Had the Council disclosed operating segments, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Statutory audit deadline

Finding

The Council did not submit financial statements for the year ended December 31, 2022 within the statutory deadline. The financial statements were submitted for audit in August 2024, five (5) months after the statutory deadline contrary to the Public Finance Management Act [*Chapter 22:19*] section 49, which requires financial statements to be submitted for audit within two (2) months after the end of the financial year.

Risk / implication

Accountability, transparency and decision making may be compromised.

Recommendation

Council should submit financial statements for audit within statutory deadline.

Management response

Council had been on a robust exercise of updating its financial statements and availing them for external audit in accordance with the Public Finance Management Act (Chapter 22:19). These delays in submitting financial statements in prior years were caused by Council operating a manual accounting system with ever-growing transactions. Council is now operating at an up-to-date financial data inputting program and will henceforth submit financial statements within the stipulated timeframe.

1.2 Property, plant and equipment

Finding

The Council did not depreciate its property, plant and equipment. This was contrary to International Accounting Standard (IAS) 16, - "Property, Plant and Equipment", paragraph 43 which requires property, plant and equipment to be depreciated over their useful lives.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should depreciate property, plant and equipment in accordance with IAS 16.

Management response

Council is in the process of adopting International Public Sector Accounting Standards and is adhering to an IPSAS implementation Matrix. Council has a fixed asset policy which provides detects on depreciation methods on its various classes of assets. To effect depreciation on these assets Council needed to ensure that the values of these assets were reliably measured at the time of adopting IPSAS as a reporting framework. Council has in that regard engaged an asset valuer who has completed the process of assets valuation and these assets values will be inputted into the accounting system and depreciation will be thus be charged in accordance to IPSAS.

1.3 Investment property

Finding

The Council classified its investment properties as property, plant and equipment. This was contrary to International Accounting Standard (IAS) 40 - "Investment Property" which requires properties held to earn rentals to be classified as investment property.

Risk / implication

Misstatement of financial statements.

Recommendation

Properties held to earn rentals as stipulated in IAS 40 should be treated as Investment Property.

Management response

Council will reclassify the rented-out properties from PPE to Investment Property and treat them accordingly.

1.4 Biological assets

Finding

The Council did not recognise livestock which were procured in 2016 despite having met the definition of biological assets. This was contrary to IAS 41 – "Agriculture" paragraph 10 which requires the recognition of a biological assets.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should recognise biological assets in the financial statements in accordance with IAS 41.

Management response

Council has since captured all the biological assets and a stock management register is now in place. Council will engage experts to undertake the valuations.

1.5 Segment reporting

Finding

The Council did not disclose segment information in the financial statements. This was contrary to International Financial Reporting Standard (IFRS) 8 – "Operating Segments" which requires the Council to disclose segment revenue, segment expenses, segment assets and segment liabilities.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should disclose segment information in accordance with IFRS 8.

Management response

Council captures financial related information on sage evolution according to the programmes. However, there is need to properly prepare year end segment reports and ensure that they agree to the consolidated financial statements.

1.6 Statutory deductions

Finding

Council was not up to date with its payments of statutory deductions of ZWL$ 686.96 million (NSSA ZWL$81.71 million; PAYE ZWL$605.25 million) due to cash flow challenges.

Risk / implication

Financial loss due to penalties and interest.

Recommendation

Council should strategise to clear its outstanding debts with statutory bodies.

Management response

Council did not to meet its obligations when they were due owing to financial constraints in that financial year. Council will scale up its revenue collection strategies and improve its liquidity position so that it will timely meet is financial obligations. However, there are payment plans in place to avoid garnishes.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Allowance for credit losses

Finding

The Council did not recognise an allowance for credit losses on receivables. This was contrary to the IFRS 9 – "Financial instruments", paragraph 5.5.1 which requires recognition of an allowance for credit losses on receivables. The Council disclosed receivables of ZWL$686.49 million for the year under review. The Council did not have a policy which guides them on the method to use when assessing allowance for credit losses.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should recognise allowance for credit losses on receivables in accordance with IFRS 9.

Management response

The Allowance for credit losses policy was crafted and presented to the Finance Committee in May 2024 and awaits Council Resolution.

3 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised seven (7) findings, one (1) finding was addressed and six (6) were not addressed as indicated below;

3.1 Property, plant and equipment

The finding was not addressed. Council did not depreciate its property, plant and equipment.

3.2 Accounting for biological assets

The finding was not addressed. Biological assets were not recognised in the financial statements.

3.3 Receivables

The finding was addressed. The policy has been drafted and adopted by Council. Going forward, allowance will be provided on credit losses.

3.4 Intangible assets

The finding was not addressed. Council did not account for intangible assets.

3.5 Leases

The finding was not addressed. Council did not account for its leases.

3.6 Weak inventory system

The finding was not addressed. Council has not updated the system to include inventory module.

3.7 Refuse removal equipment

The finding was not addressed. Council is still using a tractor with a trailer as a refuse truck.

KUSILE RURAL DISTRICT COUNCIL 2020, 2021, 2022 AND 2023

I have audited the financial statements of Kusile Rural District Council for the years ended December 31, 2020, 2021, 2022 and 2023 and I issued a disclaimer of opinion for 2020 and Adverse opinion for the other years.

Disclaimer of Opinion 2020

I do not express an opinion on the financial statements of Kusile Rural District Council. Because of the significance of the matters discussed in the Basis for Disclaimer of Opinion section of my report, I have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on the financial statements.

Basis for Disclaimer of Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 – "The Effects of Changes in Foreign Exchange Rates"

The prior year financial statements did not comply with the requirements of IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", as the Council was unable to use an appropriate exchange rate on change of functional currency. The Council translated its comparative financial statements using the inter-bank rate which came into existence on February 22, 2019 through Exchange Control Directive RU 28 of 2019. Council used February 22, 2019 as the date of change in functional currency and translated its foreign denominated balances to ZWL$ at a rate of 1:1 per Statutory Instrument 33 of 2019 which prescribed that all assets and liabilities that were denominated in US$ before February 22, 2019 be deemed to be RTGS dollars at a rate of 1:1 and all transactions subsequent to February 22, 2019 at inter-bank rate. The exchange rate used did not meet the definition of spot rate as defined by IPSAS 4 – "The Effects of Changes in Foreign Exchange Rates". In that regard, the Council's 2020 opening balances misstatements had a material impact on the accuracy of current year financial statements.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 – "Financial Reporting in Hyper- Inflationary Economies"

The Council was operating in a hyperinflationary environment in the period under review, which had significant monetary and exchange control policy changes since the beginning of the 2019 year. On October 11, 2019, Public Accountants and Auditors Board (PAAB) issued pronouncement 01/2019, which highlighted a general consensus within the accounting profession that the factors and characteristics to apply the IPSAS 10 – "Financial Reporting in Hyper-Inflationary Economies" in Zimbabwe had been met and the standard should be applied from July 1, 2019. Had the Council applied the requirements of IPSAS 10 – "Financial Reporting in Hyper-inflationary Economies", the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment"

Infrastructure assets such as road networks, bridges and culverts were not recognised in the financial statements contrary to IPSAS 17 – "Property, Plant and Equipment" which requires infrastructure assets to be recognised. Had the Council recognized infrastructure assets, the financial statements would have been materially different.

In addition, Council did not revalue its property, plant and equipment during the year under review and the last revaluation was carried out in 2009. This was contrary to the requirements

of IPSAS 17 - “Property, Plant and Equipment” paragraph 44, which requires revaluations to be carried out regularly, so that the carrying amount of an asset does not differ materially from its fair value at the reporting date. Had the Council revalue property, plant and equipment, the financial statements would have been materially different.

iv. Payables

The Council had an unresolved variance of ZWL$2.07 million between the trade payables listing of ZWL$11.63 million and the balance disclosed in the financial statements of ZWL$9.56 million. Included in the ZWL$9.56 million is an unsubstantiated suspense account balance of ZWL$3.48 million. As a result, I was unable to satisfy myself as to the completeness and validity of trade and other payables disclosed in the financial statements.

v. Cash and cash equivalents

There were no supporting cash books and bank reconciliation statements for bank balances amounting to ZWL$2.64 million reported in the financial statements. In addition, there was an unresolved variance of ZWL$0.44 million between the cashbook balances of ZWL$4.07 million and cash and cash equivalents balances disclosed in the financial statements as ZWL$3.63 million. As a result, I was unable to satisfy myself on the accuracy of cash and cash equivalents reported in the financial statements.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23- “Revenue from Non-Exchange Transactions”

The Council was not maintaining comprehensive database of the businesses operating within its jurisdiction. As result, business license fees were being recognized on cash basis. This was contrary to IPSAS 23- “Revenue from Non-Exchange Transactions” paragraph 2 which requires revenue to be recognized on accrual basis. Had Council accounted for business licences on accruals basis, the financial statements would have been materially different.

vii. Unsupported expenditure

The Council did not provide supporting documentation such as quotations, delivery notes and supplier invoices for expenditure amounting to ZWL$9.87 million. As a result, I could not ascertain the validity and accuracy of the expenditure balances reported in the financial statements.

viii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 - “Inventories”

Council did not recognise stands and medical drugs inventory in the financial statements. This was contrary to IPSAS 12 – “Inventories”, paragraph 11 which requires items that meet the definition of inventory to be recognised. Consequently, I could not satisfy myself of the valuation and completeness of inventory disclosed in the financial statements.

Adverse Opinion 2021

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Kusile Rural District Council as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment"

The Council did not perform a revaluation of its property, plant and equipment since 2009. This was contrary to IPSAS 17- "Property Plant and Equipment" paragraph 44 and 49 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the fair values at the reporting date. In addition, the Council did not carry out an assessment of the residual value and useful life of its property, plant and equipment as required by IPSAS 17 - "Property Plant and Equipment" paragraph 67. Had the Council revalued and assessed residual values of its property, plant and equipment, the carrying amounts disclosed in the financial statements would have been materially different.

ii. Suspense account balance

The Council's financial statements had a suspense amount of ZWL$31.4 million included in payables which was not cleared by management. Had Council resolved the suspense account balance, the financial statements would have been materially different.

iii. Receivables

There was an unresolved variance of ZWL$8.1 million between receivables balance amounting to ZWL$58.2 million and the age analysis which had a balance of ZWL$50.6 million. I could not satisfy myself on the accuracy of receivables reported on the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 - "Reporting in Hyper-Inflationary Economies"

The Council did not comply with the requirements of IPSAS 10 - "Reporting in Hyper-Inflationary Economies" as the Council applied yearly average conversion factors instead of changes in General Price Index from the date when the assets were acquired. Had Council applied correct conversion factors, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 29 - "Financial Instruments"

The Council did not assess its receivables with a carrying amount of ZWL$58.2 million for allowance for credit losses. This was contrary to IPSAS 29 - "Financial Instruments" paragraph 67 which requires the assessment of receivable recoverability at the end of each reporting period. Had the Council complied with the requirements of IPSAS 29 – "Financial Instruments", the financial statements would have been materially different.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 20 – "Related Party Disclosures"

The Council did not disclose related party transactions and balances for key management personnel. This was contrary to IPSAS 20- "Related Party Disclosures" paragraph 34 requires disclosure of transactions with related parties.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Kusile Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment"

The Council did not perform a revaluation of its property, plant and equipment since 2009. This was contrary to IPSAS 17- "Property Plant and Equipment" paragraph 44 and 49 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the fair values at the reporting date. In addition, the Council did not carry out an assessment of the residual value and useful life of its property, plant and equipment as required by IPSAS 17 - "Property Plant and Equipment" paragraph 67. Had the Council revalued and assessed residual values of its property, plant and equipment, the carrying amounts disclosed in the financial statements would have been materially different.

ii. Suspense account balance

The Council's financial statements had a suspense amount of ZWL$8.47 million included in payables which was not cleared by management. Had Council resolved the suspense account balance, the financial statements would have been materially different.

iii. Receivables

There was an unresolved variance of ZWL$82 million between receivables balance amounting to ZWL$164.6 million and the age analysis which had a balance of ZWL$82 million. I could therefore not satisfy myself on the accuracy of receivables reported on the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 - "Reporting in Hyper-Inflationary Economies"

The Council did not comply with the requirements of IPSAS 10 - "Reporting in Hyper-Inflationary Economies" as the Council applied yearly average conversion factors instead of changes in General Price Index from the date when the assets were acquired. Had Council applied correct conversion factors, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 29 - "Financial Instruments"

The Council did not assess its receivables with a carrying amount of ZWL$165 million for allowance for credit losses. This was contrary to IPSAS 29 - "Financial Instruments" paragraph 67 which requires the assessment of receivable recoverability at the end of each reporting period. Had the Council complied with the requirements of IPSAS 29 – "Financial Instruments", the financial statements would have been materially different.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 20 – "Related Party Disclosures"

The Council did not disclose related party transactions and balances for key management personnel. This was contrary to IPSAS 20- "Related Party Disclosures" paragraph 34 which requires disclosure of transactions with related parties.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Kusile Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment"

The Council did not perform a revaluation of its property, plant and equipment since 2009. This was contrary to IPSAS 45- "Property Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the fair values at the reporting date. In addition, the Council did not carry out an assessment of the residual value and useful life of its property, plant and equipment as required by IPSAS 45 - "Property Plant and Equipment" paragraph 48. Had the Council revalued and assessed residual values of its property, plant and equipment, the carrying amounts disclosed in the financial statements would have been materially different.

ii. Suspense account balance

The Council's financial statements had a suspense amount of ZWL$1.23 billion included in payables which was not cleared by management. Had Council resolved the suspense account balance, the financial statements would have been materially different.

iii. Receivables

There was an unresolved variance of ZWL$216.4 million between receivables balance amounting to ZWL$1.1 billion and the age analysis which had a balance of ZWL$887.22 million. I could not satisfy myself on the accuracy of receivables reported on the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 - "Reporting in Hyper-Inflationary Economies"

The Council did not comply with the requirements of International Public Sector Accounting Standard (IPSAS) 10 - "Reporting in Hyper-Inflationary Economies" as the Council applied yearly average conversion factors instead of changes in General Price Index from the date when the assets were acquired. Had Council applied correct conversion factors, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council did not assess for allowance for credit loss on its receivables with a carrying amount of ZWL$1.1 billion disclosed in its financial statements. This was contrary to IPSAS 41 - "Financial Instruments" paragraph 81 which requires the assessment of receivable recoverability at the end of each reporting period. Had the Council complied with the requirements of IPSAS 41 – "Financial Instruments", the financial statements would have been materially different.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 20 – "Related Party Disclosures"

The Council did not disclose related party transactions and balances for key management personnel. This was contrary to International Public Sector Accounting Standards (IPSAS) 20- "Related Party Disclosures" paragraph 34 requires disclosure of transactions with related parties.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Hyperinflationary accounting

Finding

The Council had no expertise in preparation of inflation adjusted financial statements. As a result, they did not prepare inflation adjusted financial statements for the 2020 financial year contrary to International Public Sector Accounting Standard (IPSAS) 10- "Financial Reporting in Hyperinflationary Economies", paragraph 1A which requires entities operating in hyperinflationary economies to prepare inflation adjusted financial statements.
In addition, Council did not comply with the requirements of IPSAS 10 - "Reporting in Hyper-Inflationary Economies" for the years ending December 31, 2021 to 2023 as it applied yearly average conversion factors instead of changes in General Price Index from the date when the assets were acquired.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should capacitate accounting personnel with the requisite skills.

Management response

Observation is noted. This was caused by lack of technical expertise in IPSAS. The staff is still in the transitional mode, and in the process of understanding IPSAS. The Treasurer has been sent to study the Public Sector Professional Accountants, so as to assist in preparation of IPSAS compliant financial statements. Then after training the Treasurer will conduct several training sessions to ensure that the finance department staff fully understands IPSAS.

1.2 Suspense account

Finding

The Council's financial statements had a suspense amount of ZWL$31.4 million in 2021, ZWL$8.47 million in 2022 and ZWL$1.23 billion in 2023 included in payables which was not cleared by management.

Risk/ implication

Misstatement of financial statements.

Recommendation

The Council should investigate and resolve the suspense account.

Management response

Council will investigate the causes of variations that gave rise to suspense account, and close the suspense account after correcting the errors.

1.3 Related parties

Finding

The Council did not disclose related party transactions and balances for key management personnel. This was contrary to International Public Sector Accounting Standards (IPSAS) 20- "Related Party Disclosures" paragraph 34 which requires disclosure of transactions with related parties.

Risk/ implication

Misstatement of financial statements.

Recommendation

The Council should disclose transactions involving key management personnel.

Management response

The Council will make sure that salaries and benefits of key management personnel are disclosed.

1.4 Inventory management

Finding

Council did not recognise stands and medical drugs inventory in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 12 – "Inventories", paragraph 11 which requires items that meet the definition of inventory to be recognised. In addition, inventory balance of ZWL$34 310 disclosed in the financial statements was not supported by a valuation report.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should recognise all inventory items in the financial statements.

Management response

Observation is noted. A perpetual inventory system will be employed through the use of PROMUN System and the Council will also ensure that all the other recommendations made by Audit are implemented. Stands register has now been put in place along with verification list for previous allocations.

1.5 Cash and cash equivalents

Finding

The Council was under staffed and operating using a manual system. As a result, the Council was not maintaining a separate cash book for the Administration bank account with a balance of ZWL$0.43 million as per bank statement. There was no evidence that bank reconciliations were being performed on eleven (11) bank accounts with a total cashbook balance of ZWL$2.64 million reported in the financial statements. In addition, there was an unresolved variance of ZWL$0.44 million between the cashbook balances of ZWL$4.07 million and cash and cash equivalents balances disclosed in the financial statements of ZWL$3.63 million.

Risk / implication

Fraud and error may go undetected.

Misstatement of financial statements.

Recommendation

Council should maintain cash books and perform monthly bank reconciliations for all bank accounts.

Management response

Observation is noted. The Finance Department has engaged staff to clear bank reconciliation back log. The Council was facing challenges as a result of under staffing and use of manual accounting system. Going forward, cash books are going to be maintained for all bank accounts.

1.6 Property, plant and equipment

Finding

The Council had financial constraints during the years under review. As a result, Council did not recognise infrastructure assets such as road networks, bridges and culverts. This was contrary to International Public Sector Accounting Standard (IPSAS) 17 – “Property, Plant and Equipment” which requires infrastructure assets to be recognised.

In addition, Council did not revalue its property, plant and equipment during the year under review and the last revaluation was carried out in 2009. This was contrary to the requirements of International Public Sector Accounting Standard (IPSAS) 17 - “Property, Plant and Equipment” paragraph 44, which requires revaluations to be carried out regularly, so that the carrying amount of an asset does not differ materially from its fair value at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should revalue its property, plant and equipment with sufficient regularity and recognise infrastructure assets to achieve fair presentation.

Management response

Observation noted. This was due to financial constraints. Financial resources permitting, management is going to engage an external valuer to carry out revaluation of all the Council assets and this has been budgeted for in 2024.

1.7 Payables

Finding

There was an unresolved variance of ZWL$2.07 million between the trade payables listing of ZWL$11.63 million and the balance disclosed in the financial statements of ZWL$9.56 million. Included in the ZWL$9.56 million is an unsubstantiated suspense account balance of ZWL$3.48 million. As a result, I was unable to satisfy myself as to the completeness and validity of trade and other payables disclosed in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should investigate the variances and take corrective action.

Council should assign the responsibility of creditors' reconciliations to a dedicated employee.

Management response

Observation is noted. The Council will investigate the variance noted and ensure that corrective action is taken. And also, the Council has now an employee responsible for carrying out reconciliations. Going forward, reconciliations will be done on a monthly basis. In addition, some creditors are reluctant to send statements despite numerous follow up, however, the Council will continue engaging them to ensure that either statements are availed or they confirm their balances.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Business licence fees

Finding

The Council was not maintaining a complete database of the businesses operating within its jurisdiction. As result, business license fees were being recognized on cash basis. This was contrary to International Public Sector Accounting Standard (IPSAS) 23- "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognized on accrual basis.

Risk/ implication

Misstatement of financial statements.

Loss of revenue.

Recommendation

Council should maintain a comprehensive database of the businesses operating within its jurisdiction and recognize revenue on an accrual basis in line with IPSAS 23.

Management response

Council takes note of the recommendation to maintain a comlete database of traders and operators in the district. The Council has been capacitated with ICT equipment to facilitate ease of keeping records and improve on the comprehensiveness of the database.

2.2 Receivables

Finding

There were unresolved variances between receivables balance on the financial statements and the age analysis for the years ending December 31, 2021 to 2023. This was contrary to Rural District Councils Act [*Chapter* 29:13] section120(1) which requires Council to keep books of accounts as may be necessary to maintain a true and proper record of all matters relating to financial transactions.

Risk/ implication

Misstatement of financial statements.

Recommendation

Trade receivables should clear the variances noted.

Management response

Council to improve filling system and issuing of monthly statements to clients.

2.3 Allowance for credit losses

Finding

The Council did not assess for allowance for credit loss on its receivables disclosed in the financial statements. This was contrary to IPSAS 41 - “Financial Instruments” paragraph 81 which requires the assessment of receivable recoverability at the end of each reporting period.

Risk/ implication

Misstatement of financial statements.

Recommendation

Council should make an assessment on the recoverability of its receivables at the end of each reporting period.

Management response

The Council will implement a policy position on allowance of credit losses for 2024 at a rate of 5% of trade receivables.

3. PROCUREMENT OF GOODS AND SERVICES

3.1 Unsupported expenditure

Finding

The Council did not provide supporting documentation such as quotations, delivery notes and supplier invoices for expenditure amounting to ZWL$9.87 million. As a result, I could not ascertain the validity and accuracy of the expenditure balances reported.

Risk/ implication

Misstatement of financial statements.

Financial loss due to fraud.

Recommendation

All expenditure transactions should be adequately supported.

Management response

Observation noted, Council to improve on its filing system. Follow-up to be done for the issuing of receipts and invoices from suppliers, and also labelled storage boxes are now in place for keeping all tender documents related to purchases for each year. Going forward, the Council will ensure that all supporting documents are provided for audit for review.

4. EMPLOYEMENT COSTS

4.1 Payroll taxation

Finding

From June 2020, Council employees were paid their monthly salary partly in USD and ZWL$. The Council was using income tax rates from ZWL$ tax tables instead of USD tax tables in computing tax payable on the USD component. This was in contravention of Section 4A of the Finance Act [*Chapter 23:04*], which requires tax on taxable income earned in a foreign currency to be paid in the same or another specified foreign currency.

Risk/ implication

Financial loss due to penalties for non-compliance with the Finance Act *[Chapter 23:04].*

Recommendation

Council should compute tax in compliance with the Finance Act [*Chapter 23:04]*.

Management response

Observation is noted. Going forward, management will ensure that HR personnel are trained in tax issues so that they can handle the payroll function.

5. PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised seven (7) findings, one (1) was addressed and six (6) findings were not addressed as indicated below;

5.1 Infrastructure assets

The finding was not addressed. The Council did not account for its infrastructure assets.

5.2 Inventory

The finding was not addressed. The Council did not account for stands inventory.

5.3 Payables

The finding was not addressed. The Council is still investigating the variances.

5.4 Revenue recognition

The finding was not addressed. The Council did not recognize stand sales on accrual basis.

5.5 Receivables

The finding was not addressed. The Council was yet to resolve the variances noted.

5.6 Payroll

The finding was addressed. Payroll reconciliations are now being done.

5.7 Auctioned motor vehicles and equipment

The finding was not addressed. Council is yet to update its asset register.

MAKONDE RURAL DISTRICT COUNCIL 2021 AND 2022

I have audited the financial statements of Makonde Rural District Council for the year ended December 31, 2021 and 2022 and I issued a qualified opinion for both years.

Qualified Opinion 2021

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Makonde Rural District Council, as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-Compliance with International Public Sector Accounting Standards (IPSAS) 17- "Property, Plant and Equipment"

The Council did not revalue its property, plant and equipment despite changes in the operating environment which affected the fair values of assets. This as contrary to IPSAS 17- "Property, Plant and Equipment" paragraph 44 which requires revaluation of assets to be carried out with sufficient regularity to ensure that the carrying amount does not differ materially from the fair values at the reporting date.

In addition, the Council did not recognize land reserve in its financial statements and did not review the residual values and useful lives of its assets at the reporting date. This was contrary to IPSAS 17 paragraph 14 which requires land to be recognized as an asset and paragraph 67 which requires the residual values and useful lives of assets to be reviewed at each reporting date. Had the Council accounted for its property, plant and equipment in line with IPSAS 17, the financial statements would have been materially different.

ii. Non-Compliance with International Public Sector Accounting Standard (IPSAS) 10 – "Financial Reporting in Hyperinflationary Economies"

The Council adjusted its financial statements for hyperinflation. However, they did not provide evidence of the validity of price indexes, conversion factors and judgements used in converting the historical figures in the financial statements for the year ended December 31, 2021 into applicable measurement base at the date of reporting. I could not satisfy myself on the accuracy of the hyperinflation adjustments made to the financial statements.

Qualified Opinion 2022

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Makonde Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-Compliance with International Public Sector Accounting Standards (IPSAS) 17- "Property, Plant and Equipment" and IPSAS 26- "Impairment of Cash Generating Assets"

The Council did not revalue its property, plant and equipment despite changes in the operating environment which affected the fair values of assets. This was contrary to IPSAS 17- "Property, Plant and Equipment" paragraph 44 which requires revaluation of assets to be carried out with sufficient regularity to ensure that the carrying amount does not differ materially from the fair values at the reporting date.

In addition, the Council did not review the residual values and useful lives of its assets and assess its assets for indications of impairment. This was contrary to IPSAS 17 paragraph 67 which requires the residual values and useful lives of assets to be reviewed at each reporting date and IPSAS 26 paragraph 22 which requires an entity to assess whether there is any indication that assets may be impaired at each reporting date. Had the Council accounted for property, plant and equipment in line with IPSAS 17 and 26, the financial statements would have been materially different.

ii. Non-Compliance with International Public Sector Accounting Standards (IPSAS) 41- "Financial Instruments"

The Council did not recognise allowance for credit losses on its receivables contrary to International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments" paragraph 73 which requires an entity to recognise an allowance for credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance of ZWL$113 million would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Policies

Finding

The Council was operating without key policies such as the risk management policy, asset management policy and human resources policy. This was contrary to Public Finance Management Act section 44 of SI 144 of 2019 (Treasury Instructions) which requires establishment of a system of financial management and internal controls.

Risk / implication

Inconsistences in the handling of operational issues.

Recommendations

The Council should put in place key policies and procedures to govern Council operations.

Management response

We agree with the observation that the council did not have the policies. Council was working on developing policies during that period.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Allowance for credit loss

Finding

The Council did not recognise allowance for credit losses on its receivables contrary to International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments" paragraph 73 which requires an entity to recognise an allowance for credit losses on financial assets.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should recognize allowance for credit losses to comply with IPSAS 41.

Management response

Council agrees with the observation and will implement assessment for allowance for credit losses in 2024.

2.2 Lease rentals

Finding

The Council did not have a lease register in place, which shows details of all the leased properties, names of tenants and duration of the leases, as a result, I could not verify the completeness of lease agreements provided.

Risk / implication

Financial loss due to misappropriation of Council funds.

Recommendation

The Council should maintain a complete register of leased properties.

Management response

Noted, the lease register has since been introduced and is now being maintained by the housing officer.

3. MANAGEMENT OF ASSETS

3.1 Property, plant and equipment

Finding

The Council did not revalue its property, plant and equipment despite changes in the operating environment which affected the fair values of assets. This was contrary to IPSAS 17- "Property, Plant and Equipment" paragraph 44 which requires revaluation of assets to be carried out with sufficient regularity to ensure that the carrying amount does not differ materially from the fair values at the reporting date.

In addition, the Council did not review the residual values and useful lives of its assets and assess its assets for indications of impairment. This was contrary to IPSAS 17 paragraph 67 which requires the residual values and useful lives of assets to be reviewed at each reporting date and IPSAS 26 paragraph 22 which requires an entity to assess whether there is any indication that assets may be impaired at each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should account for property, plant and equipment in accordance with IPSAS 17 and 26.

Management response

Council has since started the revaluation exercise.

3.2 Land reserve

Finding

The Council did not maintain a record in relation to its land reserve. As a result, the Council did not recognise land reserve in the financial statements. This was contrary to the Public Finance Management Act [Chapter 22:19] section 3 which requires a public entity to ensure transparency, accountability and sound management of its assets and International Public Sector Accounting Standard 17 paragraph 14 which requires land to be recognized as an asset.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should account for land reserve in accordance with the Public Finance Management Act [Chapter 22:19] and IPSAS 17.

Management response

The council did not have the register at that time. This will be worked on.

4. EMPLOYMENT COSTS

4.1 Housing benefit

Finding

Some council employees either occupied council housing premises or occupied outsourced private premises of which the council payed out lease rentals, which is deemed a housing benefit attributable to their taxable Gross Income. On the other hand, the payroll revealed that the same employees were also receiving a housing allowance resulting in double housing

benefit expenditure at the cost of the council. As such, the benefit was not being taxed as stipulated in the Income Tax Act.

Risk / implication

Financial Loss due to double housing benefit expenditure and penalties from the tax authority.

Recommendation

The council should ensure its employees are subject to a single allocation of the housing benefit.

Management response

The issue has been noted and will be rectified since it involves engagement of stakeholders.

5. SERVICE DELIVERY

5.1 Murereka dumpsite

Finding

The Murereka Township open dumpsite is situated close to a primary school football field and a homestead. There is no fencing to safeguard livestock and humans from direct exposure. This is in contradiction with the Statutory Instrument 6 of 2007 Environmental Management (Effluent and Solid Waste Disposal) which requires Council to promote a healthy, clean and safe environment.

Risk/ implication

The community will be exposed to pollution and health hazards.

Financial loss due to fines from Environmental Management Agency (EMA).

Recommendation

Council should relocate the dumpsite to a landfill.

Management response

Council is in the process of identifying a suitable location for the dumpsite.

6. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing audit findings and recommendations I raised in my previous annual report. I raised four (4) audit findings, two (2) were addressed and two (2) were not addressed as indicated below;

6.1 Suspense Account

The finding was addressed. The suspense account balance was resolved.

6.2 Income Generating Project (IGP)

The finding was addressed. The project was disbanded in 2021.

6.3 Receivables

The finding was not addressed. Council did not recognize allowance for credit losses.

6.4 Property, plant and equipment

The finding was not addressed. Council did revalue its assets.

I have audited the financial statements of Makoni Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Makoni Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

i. Non-compliance with International Accounting Standard (IAS) 16 – "Property, Plant and Equipment"

The Council did not perform a revaluation of property, plant and equipment during the year. This was contrary to International Accounting Standard (IAS) 16 - "Property, Plant and Equipment" which requires revaluations to be carried out with sufficient regularity so that the carrying amount of an asset does not differ materially from its fair value at the reporting date. Had Council revalued property, plant and equipment, the carrying amount disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Accounting Standard (IAS) 2 - "Inventories"

The Council did not recognise construction materials inventory in its financial statements. This was contrary to International Accounting Standard (IAS) 2 - "Inventories", paragraph 6 which requires material or supplies to be consumed in the production process or in the rendering of services to be recognized as inventories. Had the Council recognized construction materials in the financial statements, the carrying amount of inventory disclosed in the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Payment of statutory obligations

Finding

The Council was not remitting statutory obligations such as NSSA and PAYE on time due to cash flow challenges. As a result, as at December 31, 2023 the Council had an accrual of ZWL$386 million for PAYE and ZWL$18.83 million for NSSA.

Risk / implication

Financial loss due to penalties and interest.

Recommendation

The Council should mobilise funds and negotiate payment plans with the relevant statutory bodies to enable payment of the obligations.

Management response

We are on payment plan with ZIMRA. We shall however clear all our dues when our cash inflows improve.

1.2 Revaluation of property plant and equipment

Finding

The Council did not perform a revaluation of property, plant and equipment during the year. This was contrary to International Accounting Standard (IAS) 16 - "Property, Plant and Equipment" which requires revaluations to be carried out with sufficient regularity so that the carrying amount of an asset does not differ materially from its fair value at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should revalue property, plant and equipment with sufficient regularity to comply with IAS 16.

Management response

Management to undertake a revaluation of assets in 2025.

1.3 Inventory

Finding

The Council did not recognise inventories of building materials and groceries that was stored at the Headlands sub office and Mapere Clinic. This was contrary to International Accounting Standard (IAS) 2- "Inventories", paragraph 6 which requires material or supplies to be consumed in the production process or in the rendering of services to be recognized as inventories.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise all its inventories in the financial statements.

Management response

Observations noted we shall include all inventories in our financial statements.

2 SERVICE DELIVERY

2.1 Ambulance services

Finding
The Council had no functional ambulance serving the twenty-three (23) clinics in the district. This was contrary to First Schedule, item 35 of the Rural District Councils Act [*Chapter 29:13*] which requires the Council to provide and operate an ambulance service inside the Council area.

Risk / implication

Service delivery may be compromised.

Recommendation

Council should consider procuring or repairing the current ambulance.

Management response

A provision to acquire a new ambulance was done in the 2024 budget to be purchased either from devolution funds or our own sources of revenue.

3 PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing audit findings and recommendations I raised in my 2023 annual report. I raised two (2) audit findings, one (1) was addressed, and two (1) was not addressed as indicated below.

3.1 Revaluation of property, plant and equipment

The finding was not addressed. The Council did not revalue property, plant and equipment.

3.2 Beer levy computation

The finding was addressed. The Council obtained sales schedules from commercial brewers.

MANGWE RURAL DISTRICT COUNCIL 2021 AND 2022

I have audited the financial statements of Mangwe Rural District Council for the years ended December 31, 2021 and 2022 and I issued a qualified opinion for both years.

Qualified Opinion 2021

In my opinion, except for the effects of the matters described in the basis for Qualified Opinion section of my report, the financial statements present fairly in all material respects the financial position of Mangwe Rural District Council as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23 – "Revenue from Non-Exchange Transactions"

The Council billed only five (5) mining operators for development levy out of a total of seventy-two (72) operators operating within its jurisdiction. As a result, development levy revenue from sixty-seven (67) operators was not recognised in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 23 - "Revenue from Non-Exchange Transactions" which requires revenue to be recognised when it is probable that economic benefits or service potential will flow to the entity. Had the Council billed all mining claims operators for development levy the revenue would have been materially different. I could not satisfy myself on the completeness of revenue.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment" and (IPSAS) 16 – "Investment Property"

The Council did not account for infrastructure assets such as road network, bridges and drainage systems in the financial statements. This was contrary to IPSAS 17 – "Property, Plant and Equipment" which requires assets that meets the definition criteria of property, plant and equipment to be recognised. Had the Council accounted for infrastructure assets, the financial statements would have been materially different.

Included in property, plant and equipment disclosed in the financial statements are assets that meet the definition of investment property. This was contrary to IPSAS 16 – "Investment Property" paragraph 7 which requires property held to earn rentals or for capital appreciation to be recognised as investment property. Had the assets been appropriately classified, the carrying amounts disclosed would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 29 – "Financial Instruments"

The Council did not carry out an assessment of allowances for credit losses, despite there being objective evidence of impairment for some of the receivables. This was contrary to IPSAS 29 – "Financial Instruments" which requires that an assessment of allowance for credit losses. Had Council carried out an assessment on its receivables, the balance of ZWL$33.70 million disclosed in the statement of financial position would have been materially different.

Qualified Opinion 2022

In my opinion, except for the effects of the matters described in the basis for Qualified Opinion section of my report, the financial statements present fairly, the financial position of Mangwe

Rural District Council at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 9 – "Revenue from Exchange Transactions" and IPSAS 4 – "Effects of Changes in Foreign Exchange Rates"

The Council did not appropriately account for exchange gains and losses arising from translation of receivable balances from ZWL$ to USD made in pursuant of a Council resolution effective July 01, 2022. The Council did not immediately translate receivable balances at July 1, 2022, instead translation was effected on settlement of bills with the outstanding balances being translated on December 31, 2022. As a result, translating receivables at settlement and at reporting date resulted in misstatement of exchange gains and losses which would have been realised during the year had translation been done on July 01, 2022. This was contrary to the requirements of IPSAS 4 "Effects of Changes in Foreign Exchange Rates" paragraph 24 which require a foreign currency transaction to be recorded, on initial recognition in the functional currency, using the spot exchange rate. Had the translation been effected on July 1, 2022, the exchange gains and losses recognised would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 29 – "Financial Instruments"

The Council did not carry out an assessment of impairment of receivables, despite there being objective evidence of impairment for some of the receivables. This was contrary to IPSAS 29 – "Financial Instruments" which requires that an assessment of receivables recoverability be done at the end of each reporting period. Had Council carried out an impairment assessment of its receivables, the balance of ZWL$258.28 million disclosed in the statement of financial position would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 – "Presentation of Financial Statements"

Council understated Value Added Tax (VAT) liability by ZWL$9.61 million during the year under review as it did not recognise VAT output on shop licences. This was contrary to IPSAS 1 – "Presentation of Financial Statements", paragraph 27 which requires faithful presentation of the effects of transactions, other events and conditions. Had the Council recognised the VAT liability, the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23 – "Revenue from Non-Exchange Transactions"

The Council billed only five (5) mining operators for development levy out of a total of seventy-two (72) operators operating within its jurisdiction. As a result, development levy revenue from sixty-seven (67) operators was not recognised in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 23- "Revenue from Non-Exchange Transactions" which requires revenue to be recognised when it is probable that economic benefits or service potential will flow to the entity.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Statutory audit deadline

Finding

The Council did not submit its financial statements for the year ended December 31, 2022 within the statutory deadline. The financial statements were submitted in February 2024, one (1) year after the statutory deadline contrary to section 49(c) of the Public Finance Management Act [*Chapter 22:19*], which requires financial statements to be submitted for audit within two months after the end of the financial year.

Risk / implication

Transparency and decision making may be compromised.

Recommendation

Council should submit financial statements for audit within the statutory deadline.

Management response

Noted, efforts are being made to ensure that Council accounts are audited within the statutory limits. The efforts are yielding positive results and Council is striving to have 2024 accounts audited within the timelines set out in the Public Finance Management Act.

1.2 Property, plant and equipment

Finding

The Council did not account for infrastructure assets such as road network, bridges and drainage systems in the financial statements. This was contrary to IPSAS 17 – "Property, Plant and Equipment" which requires assets that meet the definition criteria of property, plant and equipment to be recognised.

Included in property, plant and equipment disclosed in the financial statements are assets that meet the definition of investment property. This was contrary to IPSAS 16 – "Investment Property" paragraph 7 which requires property held to earn rentals or for capital appreciation to be recognised as investment property.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for its non-current assets in accordance with International Public Sector Accounting Standards.

Management response

Noted, Council has drawn up a list of assets in preparation for a valuation exercise which will enable us to correctly classify and measure all assets including investment properties. The valuation exercise has been budgeted for.

1.3 Value added tax

Finding

Council understated Value Added Tax (VAT) liability by ZWL$9.61 million during the year under review as it did not recognise VAT output on shop licences. This was contrary to IPSAS 1 – "Presentation of Financial Statements", paragraph 27 which requires faithful presentation of the effects of transactions, other events and conditions.

Risk/ implication

Misstatement of financial statements.

Financial loss due to penalties that may be levied for under declaration.

Recommendation

Council should determine output tax taking into account all taxable supplies.

Management response

Council used to charge VAT on licence fees until introduction of national chart of accounts which categorises licences under taxes. It is against the understanding that a tax cannot be taxed that Council stopped charging VAT on licences.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Mining levy

Finding

The Council record showed that it had seventy-two (72) mining operators conducting mining activities wihin its jurisdiction. During the year ended December 31, 2021, levy from sixty-seven (67) operators was not recognised in the financial statements. For the year 2022, the Council billed only ten (10) mining operators for development levy out of a total of seventy-two (72) operators operating within its jurisdiction. As a result, development levy revenue from sixty-two (62) operators was not recognised in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 23- "Revenue from Non-Exchange Transactions" which requires revenue to be recognised when it is probable that economic benefits or service potential will flow to the entity.

Risk/ implication

Misstatement of financial statements.

Recommendation

The Council should bill claimholders fees annually from all claimholders.

Management response

Council had an exercise which included data verification of miners in the district. The exercise did not yield much fruit and bills could not be generated without verification of ownership as chances are high that some of the claims were forfeited. Engagement with Ministry of Mines will continue being done but so far the engagements have been fruitless.

2.2 Allowance for credit losses

Finding

The Council did not carry out an assessment of impairment on receivables disclosed at an amount of ZWL$258.28 million (ZWL$33.69 million: 2021), despite there being objective evidence of impairment as significant portion of receivables were over 180 days. This was contrary to IPSAS 29 – "Financial Instruments" which requires that an assessment of receivables recoverability be done at the end of each reporting period.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for credit losses in line with IPSAS.

Management response

Noted, Council commits to setting the Allowance for Credit Losses Policy in 2024.

2.3 Lease agreements

Finding

The Council owned buildings which were leased out to third parties who were operating the buildings as beer halls and grocery stores. The lease agreements between the Council and the lessee could not be availed upon request. I was also not availed with a detailed schedule of the rented properties.

Risk/ implication

Lack of recourse in the event of disputes with tenants.

Recommendation

The Council should put in place lease agreements for all leased out properties.

Management response

Noted, going forward Council will ensure that all lease documents are properly filed and copies kept in more than one place for back up.

2.4 Revenue billing

Finding

The Council did not appropriately account for exchange gains and losses arising from translation of receivable balances from ZWL$ to USD made in pursuant of a Council resolution effective July 01, 2022. The Council did not immediately translate receivable balances at July 1, 2022, instead translation was made on settlement of bills with the outstanding balances being translated on December 31, 2022. As a result, translating receivables at settlement and at reporting date resulted in misstatement of exchange gains and losses which would have been realised during the year had translation been done on July 01, 2022. This was contrary to the requirements of IPSAS 4 “Effects of Changes in Foreign Exchange Rates” paragraph 24 which require a foreign currency transaction to be recorded, on initial recognition in the functional currency, using the spot exchange rate. Had the translation been affected on July 1, 2022, the exchange gains and losses recognised would have been materially different.

Risk/ implication

Misstatement of financial statements.

Recommendation

Council should recognise exchange gains and losses in accordance with IPSAS 4.

Management response

The observation was noted.

3 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMANTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my previous reports. I raised five (5) findings which were not addressed as indicated below;

3.1 Assessment for allowance for credit losses

The finding was not addressed. Council did not assess for allowance for credit losses.

3.2 Property, plant and equipment

The finding was not addressed. Council did not revalue its assets.

3.3 Investment property

The finding was not addressed. Council did not reclassify its assets.

3.4 Cattle project management

The finding was not addressed. The Council livestock register was not properly maintained.

3.5 Beer levy

The finding was not addressed. Council has not yet obtained statistics from brewers.

I have audited the financial statements of Manyame Rural District Council for the year ended December 31, 2023 and I have issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly in all material respects, the financial position of Manyame Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

i. Non-compliance with International Accounting Standard (IAS) 21 – "The effects of Changes in Foreign Exchange Rates"

The Council translated its foreign currency transactions and balances using interbank exchange rates which did not meet the definition of spot exchange rates. This was contrary to International Accounting Standard (IAS) 21 – "The Effects of Changes in Foreign Exchange Rates" which requires foreign currency transactions and balances to be translated using spot exchange rates. Had the financial statements been prepared in accordance with IAS 21, the financial statements would have been materially different.

ii. Non-compliance with International Accounting Standard (IAS) 16 – "Property, Plant and Equipment"

The Council recognised property, plant and equipment amounting to ZWL$45.70 billion. However, the property, plant and equipment was last revalued in 2019. This was contrary to International Accounting Standard (IAS) 16 – "Property, Plant and Equipment" paragraph 31 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially with the fair values as at reporting date. Had the Council revalued its property, plant and equipment in accordance with IAS 16, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Valuation of property, plant and equipment

Finding

The Council disclosed property, plant and equipment at a carrying amount amounting to ZWL$45.70 billion. However, the property, plant and equipment were last revalued in 2019. This was contrary to International Accounting Standard (IAS) 16 – "Property, Plant and Equipment" paragraph 31 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially with the fair values as at reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should revalue its property, plant and equipment with sufficient regularity in accordance with IAS 16 to achieve fair presentation.

Management response

The recommendation has been noted. Though the valuation of assets could not be completed in the year 2023, we have managed to carry out the exercise and the valuation report is now in place.

2 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing the finding that I raised in my 2023 annual report. I raised two (2) findings and both were not addressed as indicated below;

2.1 Property, plant and equipment

The finding was not addressed. The Council did not revalue its property, plant and equipment

2.2 Beer levy

The finding was not addressed. The Council did not obtain beer sales schedules from the brewer.

MARONDERA RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Marondera Rural District Council for the year ended December 31, 2023 and I issued an unmodified/ clean opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of Marondera Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Below are other material issues noted during the audit;

1. SERVICE DELIVERY

1.1 Ambulance

Finding

The Council did not have an ambulance to service its area. This was contrary to First Schedule, item 35 of the Rural District Act *[Chapter 29:13]* which requires Council to provide and operate an ambulance service inside the Council area or any portion thereof or outside Council area.

Risk / implication

Service delivery may be compromised.

Recommendation

The Council should consider having an ambulance in its District.

Management response

The ambulance was budgeted for in the FY2023 under devolution funds, and the Council even proceeded to tender for the equipment. However, its procurement could not be done since the funds were not disbursed.

Again, the ambulance was included in the FY2024 budget under devolution, and the Council went to tender. As of the 2nd of September 2024, the Council is waiting for the disbursements for the procurement to be concluded.

2. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my 2023 annual report. I raised three (3) audit findings which were not addressed as indicated below;

2.1 Offer of house to senior official

The finding was not addressed. The house offer to the senior official was not cancelled.

2.2 Funeral grants and life assurance for Councillors

The finding was not addressed. The Council paid funeral assistance and life assurance for Councillors without Ministerial approval.

2.3 Supply and delivery of equipment

The finding was not addressed. The tipper truck and tractor loader backhoe which was paid for in 2018 have not been delivered.

I have audited the financial statements of the Masvingo Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report the financial statements present fairly the financial position of Masvingo Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

i. Non-compliance with International Accounting Standard (IAS) 21 – "The Effects of Changes in Foreign Exchange Rates"

The foreign currency denominated transactions and balances were translated into ZWL$ using interbank exchange rates. The exchange rates did not meet the definition of spot rates as defined in (IAS) 21 because foreign currency was not available for immediate delivery at these rates. Had the financial statements been prepared in accordance with the requirements of (IAS) 21, some elements would have been materially different.

ii. Mining levy

The Council did not obtain a list of all mining claims and permits from the Ministry of Mines and Mining Development to update its customer database which forms the basis for invoicing. As a result, Council did not invoice all small-scale miners for mining levy. Had Council used an updated mining claims database, the revenue of ZWL$251 million would have been materially different. I could not satisfy myself regarding the completeness of revenue and trade receivables

iii. Non-compliance with International Financial Reporting (IFRS) 9 – "Financial Instruments"

The Council did not apply the requirements of IFRS 9 - "Financial Instruments" on the recognition of an allowance for credit losses of ZWL$588.51 million based on the incurred loss model. This was contrary to International Financial Reporting Standard (IFRS) 9 - "Financial Instruments" which requires assessment of credit losses. Had the Council recognised allowance for credit losses in line with IFRS 9, the financial statements would have been materially different.

iv. Valuation of Property, Plant and Equipment

Included in the Council's non-current assets was property, plant and equipment carried at revalued amount of ZWL$ 26.19 billion (2021: ZWL$ 11. 69 billion) which constitutes 46% of total assets. I was not availed with documentation to support the valuation method used, assumptions and judgments made. As such, I was unable to obtain sufficient appropriate evidence to support the appropriateness of the values of property, plant and equipment in the financial statements.

In addition, the Council did not account for the value of land and buildings separately. As a result, the Council did not depreciate buildings. This was contrary to International Accounting

Standard (IAS) 16 paragraph 58 which requires land to be separately presented and buildings to be depreciated.

v. Valuation of investment property

The Council recognised the fair value of its investment property valued at ZWL$ 5.24 billion. I was not availed with documentation to support the valuation method used, assumptions and judgments made. As such, I was unable to obtain sufficient appropriate evidence to support the appropriateness of the fair values of investment property in the financial statements.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Valuation of property, plant and equipment

Finding

The Council revalued its property, plant and equipment, carried at revalued amount of ZWL$ 26.19 billion (2021: ZWL$ 11. 69 billion) however, there was insufficient documentation to support the valuation method used, assumptions and judgments made.

In addition, did not account for the value of land and buildings separately. As a result, the Council did not depreciate buildings. This was contrary to International Accounting Standard (IAS) 16 “Property, Plant and Equipment” paragraph 58 which requires land to be separately presented and buildings to be depreciated.

Risk / implication

Misstatement of financial statements.

Recommendation

Management must document all data sources, relevant data, assumptions and methods used to perform the revaluation.

Council should value its land separately to enable it to comply with the requirements of International Accounting Standard (IAS) 16.

Management response

Observation noted, in future all the supporting documentation will be kept and put in writing. Management has documented the assumptions that were used when evaluating the assets.

Recommendation shall be looked at with a view to provide mechanisms for depreciating buildings according to International Accounting Standard (IAS) 16. Going forward depreciation shall be as enunciated in the Zimbabwe Financial Reporting Manual.

1.2 Valuation of investment property

Finding

The Council recognised investment property fair value of ZWL$ 5.24 billion. However, there was insufficient documentation available to support their methods, assumptions and judgments in arriving at the fair value.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should sufficiently document methods, assumptions and judgments used to determine the fair values of investment property.

Management response

Observation noted, in future all the supporting documentation will be kept and put in writing. Management has documented the assumptions that were used when evaluating the assets.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Assessment of expected credit losses

Finding

Council recognised an allowance for credit losses of ZWL 588.52 million as at December 31, 2023. However, management was unable to provide sufficient documentation to support the assessment. Consequently, I was unable to obtain reasonable assurance on the appropriateness and accuracy of the allowance.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should align its processes for accounting for receivables to financial reporting standards.

Management response

Going forward the Council will weigh the option of providing allowance for credit losses. Council has provided for bad debts provision.

2.2 Mining levies

Finding

The Council did not obtain a list of all mining claims and permits from the Ministry of Mines and Mining Development to update its customer database which forms the basis for invoicing.

As a result, Council recognised mining levy revenue amounting to ZWL$ 251 million from small scale mining operators based on an outdated customers' database.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should update customers database for small scale miners.

Management response

Noted, Council was still working on the database at the time of the audit which is now available. This will be an ongoing exercise

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS.

The Council made some progress in addressing audit findings and recommendations raised in my previous audit report. I raised six (6) audit findings, three (3) were addressed and the other three (3) were not addressed as indicated below;

3.1. Revaluation of land and buildings

The finding was addressed. The valuation was done.

3.2. Valuation of property, plant and equipment

The finding was addressed. The valuation was done.

3.3. Alignment of accounting processes with the reporting framework

The finding was not addressed. Council is still reporting under IFRS.

3.4. Assessment of expected credit losses

The finding was not addressed. Assessment of credit losses was based on an incurred loss model.

3.5. Useful lives of capital grant funded assets

The finding was addressed. Council determined useful life according to the Zimbabwe Financial Reporting Manual (ZFRM) in 2023.

3.6. Revenue from mining claims

The finding was not addressed. Database was not updated.

MATOBO RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Matobo Rural District Council for the year ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Matobo Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment" and IPSAS 21 - "Impairment of Non-Cash Generating Assets"

The Council did not recognise land in the financial statements contrary to IPSAS 17 – "Property, Plant and Equipment" which requires land to be accounted for as property, plant and equipment. In addition, the Council did not perform an assessment for indicators of impairment of its assets. This was contrary to IPSAS 21- "Impairment of Non-Cash Generating Assets" which requires an assessment at each reporting date of indications that an asset is impaired. Had Council recognise land and assessed its assets for impairment indicators, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council incorrectly classified investment properties as property, plant and equipment. This was contrary to IPSAS 16 - "Investment Property" which requires properties held to earn rental or for capital appreciation to be classified as investment property. Had Council correctly classified investment property, the financial statements would have been materially different.

iii. Receivables

There was an unresolved variance of ZWL$8.01 billion between receivables disclosed in the financial statements of ZWL$12.81 billion and the underlying record of ZWL$4.80 billion. The Council could not resolve the variance and I could therefore not satisfy myself on the accuracy of the receivables balance disclosed in the financial statements.

iv. Payables

There was an unresolved variance of ZWL$2.27 billion between payables as per the age analysis of ZWL$2.30 billion and payables disclosed in the financial statements amounting to ZWL$0.03billion. The Council did not perform payables reconciliations to clear the variances. I could not satisfy myself on the completeness and accuracy of payables disclosed in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Receivables

Finding

There was an unresolved variance of ZWL$8.01 billion between receivables disclosed in the financial statements of ZWL$12.81 billion and age analysis balance of ZWL$4.80 billion. The Council did not perform receivables reconciliations to clear the variances.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should perform receivables reconciliations and reconcile the noted variances.

Management response

The difference was a result of system revaluation of receivables balances.

1.2 Payables

Finding

There was an unresolved variance of ZWL$2.27 billion between payables as per the age analysis of ZWL$2.30 billion and payables disclosed in the financial statements amounting to ZWL$0.03 billion. The Council did not perform payables reconciliations to clear the variances. I could not satisfy myself, on the completeness and accuracy of payables disclosed in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should perform payables reconciliations monthly and reconcile the variance.

Management response

Noted, payables reconciliations will be done monthly.

1.3 Investment property

Finding

The Council classified investment properties as property, plant and equipment. This was contrary to IPSAS 16 “Investment Property” which requires properties held to earn rental or for capital appreciation to be classified as investment property.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise properties held to earn rentals as investment property.

Management response

Noted however, take note that this non-compliance was voluntarily disclosed as an exemption based on IPSAS 33 and this was because assets had not been revalued then. We shall however, separate the assets going into 2024 to show investment properties as a separate line.

1.4 Property, plant and equipment

Finding

The Council did not recognise land in the financial statements contrary to the requirements of IPSAS 17 – "Property, Plant and Equipment" which requires land to be accounted for as property, plant and equipment. In addition, the Council did not perform an assessment for indicators of impairment of its assets contrary to IPSAS 21- "Impairment of Non-Cash Generating Assets" which requires an assessment of impairment indicators at each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for its land and carry out an impairment assessment at the end of each reporting period in compliance with IPSAS 21 – "Impairment of Non-Cash Generating Assets".

Management response

Noted, an impairment test and valuation of land will be carried out and will be reflected in the 2024 financial statements.

2. SERVICE DELIVERY

2.1 Landfill

Finding

The Council did not have a landfill and was making use of a dumpsite. This was contrary to Environmental Management Act [Chapter 20:27] which requires the Council to have an approved landfill.

Risk / implication

Financial loss due to fines and penalties.

Health hazard to the community.

Recommendations

Council should establish a landfill in compliance with environmental legislation.

Management response

The audit observation is noted. Council is in the process of siting an engineered landfill as the current dumpsite has been overtaken by the growth of Maphisa Growth point. However, since a landfill is a capital-intensive project and might take some time to complete, Council will work on the fencing of the current dumpsite as a temporary measure.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised four (4) findings, one (1) was addressed, one (1) was partially addressed and two (2) were not addressed as indicated below;

3.1 Statutory obligations

The finding was partially addressed. The Council made payment plans for clearing the arrears with the Statutory bodies.

3.2 Bank reconciliation

The finding was addressed. The Council prepared bank reconciliations.

3.3 Investment property

The finding was not addressed. The Council did not reclassify investment property from property, plant and equipment.

3.4 Repair of motor vehicles

The finding was not addressed. The two vehicles sent repairs were not yet recovered.

I have audited the financial statements of Mazowe Rural District Council for the year ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Mazowe Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

The Council did not depreciate its property, plant and equipment contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 43 which requires items of property, plant equipment to be depreciated. Had the Council depreciated its assets, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 29 - "Financial Instruments"

The Council did not recognise allowance for credit losses for its receivables. This was contrary to IPSAS 29 – "Financial Instruments" paragraph 67 which requires an entity to recognise an allowance for credit losses on its receivables. Had the Council recognised an allowance for credit losses, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 – "Impairment of Non-Cash Generating Assets"

The Council did not carry out an impairment assessment on its property, plant and equipment as at December 31, 2023. This was contrary to the requirements of IPSAS 21- "Impairment of Non-Cash Generating Assets", paragraph 26 which requires assessment of assets for impairment indicators. I could not satisfy myself on the valuation of property, plant and equipment.

iv. Opening balances

The Council made an unsubstantiated adjustment amounting to ZWL$14.71 billion to its 2023 opening balances for accumulated funds and reserves. As a result, the 2022 audited accounts had an accumulated funds and reserves figure of ZWL$1.5 billion which was restated to ZWL$16.22 billion for the 2023 opening balances. I could not satisfy myself on the accuracy of accumulated funds disclosed in the financial statements.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 – "Inventories"

The Council did not recognise stands inventory in the financial statements. This was contrary to IPSAS 12 – "Inventories" paragraph 11 which requires stands held for sale to be recognised as inventory. I could not satisfy myself on the adjustments that would have been necessary.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Stands inventory

Finding

The Council did not recognise stands inventory in the financial statements despite there being a Council resolution that directed that all stands held for sale should be recorded as inventory. This was contrary to IPSAS 12 – "Inventories" paragraph 11 which requires stands held for sale to be recognised as inventory.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise stands inventory in compliance with IPSAS 12 – "Inventories".

Management response

The Council have since started implementing the Council resolution to start with Nzvimbo Township and Dandamera Township stands.

1.2 Allowance for credit losses

Finding

The Council did not recognise allowance for credit losses for its receivables. This was contrary to IPSAS 29 – "Financial Instruments" paragraph 67 which requires an allowance for credit losses to be recognised on receivables.

Risk / implication

Misstatement of financial statements.

Recommendation

The council should recognise an allowance for credit losses in compliance with financial reporting standards.

Management response

Noted. Council will assess its debtors for recognition of an allowance for credit losses.

1.3 Reserves opening balance

Finding

The Council made an unsubstantiated adjustment amounting to ZWL$14.71 billion to its 2023 opening balances for accumulated funds and reserves. As a result, the 2022 audited accounts had an accumulated funds and reserves figure of ZWL$1.5 billion which was restated to ZWL$16.22 billion for the 2023 opening balances.

Risk / implication

Misstatements of financial statements.

Recommendation

The Council should avail sufficient documentation to substantiate the adjustments.

Management response

Noted, the differences will be investigated and corrected.

2. MANAGEMENT OF ASSETS

2.1 Property, plant and equipment

Finding

The Council did not depreciate its property, plant and equipment. This was contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 43 which requires items of property, plant equipment to be depreciated.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should depreciate its assets.

Management response

Noted. Complying, now that there is a depreciation policy.

2.2 Impairment assessment

Finding

The Council did not carry out an impairment assessment on its property, plant and equipment as at December 31, 2023. This was contrary to the requirements of IPSAS 21- "Impairment of Non-Cash Generating Assets" paragraph 26 which requires assessment of assets for impairment indicators.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment at the end of each reporting period in compliance with IPSAS 21 – "Impairment of Non-Cash Generating Assets".

Management response

Noted, Council will in future impair its assets as per recommendation.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2023 annual report. I raised five (5) findings, three (3) findings were addressed and two (2) were not addressed as indicated below;

3.1 Lease management

The finding was not addressed. Council did not have lease agreement with the tenant.

3.2 Completeness of revenue

The finding was addressed. The Council updated its customer database.

3.3 Stands sales and registers

The finding was addressed. Council allocated stands based on waiting list.

3.4 Property, plant and equipment

The finding was not addressed. Council did not depreciate and assess for impairment items of property, plant and equipment.

3.5 Ward levy and revenue

The finding was addressed. Council updated its business operators database.

MBERENGWA RURAL DISTRICT COUNCIL 2022 AND 2023

I have audited the financial statements of Mberengwa Rural District Council for the years ended December 31, 2022 and 2023, and I issued a qualified opinion for both years.

Qualified Opinion 2022

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mberengwa Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis of Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standards (IPSAS) 17– "Property, Plant and Equipment"

The Council did not maintain an updated asset register as some assets were not recorded. As a result, these assets were excluded from the property, plant and equipment balance of ZWL$88.6 million disclosed in the financial statements. In addition, the Council did not depreciate its assets as required by IPSAS 17 – "Property, Plant and Equipment" paragraph 66 which requires the Council to depreciate its assets over their useful lives. Had the Council updated its assets register and depreciated its assets the property plant and equipment balance disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standards (IPSAS) 41 – "Financial Instruments"

The Council did not make an assessment for allowance for expected credit losses on its receivables. This was contrary to IPSAS 41- "Financial Instruments" paragraph 81 which requires an assessment of allowance for credit losses at each reporting period. Had the Council made an assessment of allowance for credit losses, the receivable balance would have been materially different.

Qualified Opinion 2023

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mberengwa Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis of Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standards (IPSAS) 45– "Property, Plant and Equipment"

The Council did not review the residual values and useful lives of property, plant, and equipment as at the reporting date. This was contrary to IPSAS 45 – "Property, Plant, and Equipment" paragraph 48 which requires a review of residual values and useful lives of property, plant and equipment at least at each annual reporting date.

In addition, the Council did not also assess for indicators of impairment on property, plant and equipment for the year under review. This was contrary to IPSAS 21 – "Impairment of Non-

Cash Generating Assets", paragraph 26 which requires an assessment for indicators of impairment on items of property, plant and equipment to be performed at the end of each reporting date. Had the Council recognized property, plant and equipment in accordance with IPSAS 45 and IPSAS 21, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standards (IPSAS) 41 – "Financial Instruments"

The Council did not make an assessment for allowance for expected credit losses on its receivables. This was contrary to IPSAS 41- "Financial Instruments" paragraph 81 which requires an assessment of allowance for credit losses at each reporting period. Had the Council made an assessment of allowance for credit losses, the receivable balance would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Completeness of asset register

Finding

The Council did not maintain an updated asset register as infrastructure assets were not recorded. As a result, these assets were excluded from the property, plant and equipment balance of ZWL$88.6 million disclosed in the financial statements. In addition, the Council did not depreciate its assets as required by (IPSAS) 17 – "Property, Plant and Equipment" paragraph 66 which requires the Council to depreciate its assets over their useful lives.

Risk / implication

Misstatement of financial statements.

Misappropriation of assets.

Recommendation

Management should update its asset register and depreciate its asset.

Management response

The observation is quite true. Council resolved on the depreciation policy in December 2021 per resolution number FC7/56/21 and this has to be implemented after assets verification and valuation. The verification and valuation of assets is in progress.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Receivables and allowance for credit losses

Finding

The Council did not make an assessment for allowance for expected credit losses on its receivables of ZWL$10.41 billion (2022: ZWL$1.14 billion). This was contrary to (IPSAS) 41-

"Financial Instruments" paragraph 81 which requires an assessment of allowance for credit losses at each reporting period.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should make an assessment of allowance for credit losses.

Management response

The observation is noted and appreciated. The policy will be put in place in order to comprehend all accounting procedures in order to cater for the credit losses.

3. SERVICE DELIVERY

3.1 Street lighting

Finding

The Council planned to install street lighting covering 700m stretch on all public areas for the year ended December 31, 2022. However, no work was done despite the fact that the Council was billing for such specific service.

Risk/ Implication

Compromised service delivery.

Reputational damage to the Council.

Recommendation

Management should consider installing street lights as planned.

Management response

Whilst the observation is quite true, Council is seized with provision of services including public lighting to enhance public safety. The funds that were collected from businesses and residents could not suffice to install the street lights. Council has since stopped collecting the fees and has budgeted to get grants for funding the facility and the grants are not forthcoming. A new street lighting model will be incorporated in 2025.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council addressed all the findings that I raised in my 2023 annual report. I raised three (3) findings, which were all addressed as indicated below;

4.1 Bank reconciliations

The finding was addressed. The Council performed bank reconciliations for all its bank accounts.

4.2 Revenue

The finding was addressed. The Council recognised revenue on an accrual basis.

4.3 Receivables

The finding was addressed. The Council matched the receipts and invoices in individual customer accounts.

I have audited the financial statements of Mbire Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mbire Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

i. Non-compliance with International Financial Reporting Standard (IFRS) 9 - "Financial Instruments"

The Council did not recognise an allowance for credit losses on its receivables contrary to IFRS 9 – "Financial Instruments" paragraph 5.5.1 which requires an entity to recognise a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance of ZWL$2.3 billion would have been materially different.

ii. Non-compliance with International Financial Reporting Standard (IFRS) 15 - "Revenue from Contracts with Customers"

Included in revenue recognised in the financial statements amounting to ZWL$8.3 million was output Value Added Tax (VAT) which was not revenue to the Council. This was contrary to IFRS 15 – "Revenue from Contracts with Customers" paragraph 47 which requires Council to recognize revenue to the extent of the portion to which it is entitled to. In addition, revenue from leases, permits and levies was recognised on a cash basis contrary to IFRS 15 – "Revenue from Contracts with Customers" paragraph 31 which requires revenue to be recognised on an accrual basis. Had Council recognised revenue in line with IFRS 15 – "Revenue from Contracts with Customers" the financial statements would have been materially different.

iii. Value Added Tax (VAT) liability

There was a variance of ZWL$11.3 million relating to Value Added Tax (VAT) liability disclosed in the financial statements of ZWL$7.6 million and ZWL$18.9 million confirmed by Zimbabwe Revenue Authority. I was therefore not able to satisfy myself on the accuracy and completeness of the VAT liability disclosed in the financial statements.

iv. Unsupported journal

The Council posted a journal entry amounting to ZWL$293.6 million increasing the fuels and oils ledger balance. The journal was not supported by documentation, such as payment vouchers or supplier invoices. I was therefore unable to verify the validity of the journal entry.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Value added tax

Finding

There was a variance of ZWL$11.3 million relating to Value Added Tax (VAT) liability disclosed in the financial statements of ZWL$7.6 million and ZWL$18.9 million confirmed by Zimbabwe Revenue Authority. I was therefore not able to satisfy myself on the accuracy and completeness of the VAT liability disclosed in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should investigate and reconcile the VAT liability variance.

Management response

Council is going to do investigations and adjust the discrepancy in the year 2024 so that input and output tax is corrected in the financial records in accordance with the VAT Act [*Chapter 23:12*].

1.2 Journals

Finding

The Council posted a journal entry in the ledger amounting to ZWL$293.6 million which was not supported by documentation, such as payment vouchers or supplier invoices. This was contrary to SI 144 of 2019 paragraph 59 (2) which requires all expenditure to have supporting documents such as supplier invoices and receipts.

Risk / implication

Misstatement of financial statements.

Irregular transactions may go undetected.

Recommendation

Journal entries should be adequately supported.

Management response

Investigations and follow ups are being done on the journal. Going forward all journals shall be posted after review and ensure that all adequate documents, approved by senior personnel are available and filed for audit trail.

2. REVENUE MANAGEMENT AND DEBT RECOVERY

2.1 Allowance for expected credit losses

Finding

The Council did not have a policy to provide sufficient guidance on accounting for allowance for credit losses on its receivables. As a result, the Council did not recognise an allowance for credit losses on its receivables contrary to International Financial Reporting Standard (IFRS) 9 – "Financial Instruments" paragraph 5.5.1 which requires allowance for expected credit losses to be recognised in financial assets.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise allowance for expected credit losses.

Management response

Council is formulating a policy which provides for expected credit losses in accordance with IPSAS 41: Financial instruments.

2.2 Revenue

Finding

Included in revenue recognised in the financial statements amounting to ZWL$8.3 million was output Value Added Tax (VAT) which was not revenue to the Council. This was contrary to International Financial Reporting Standard (IFRS) 15 – "Revenue from Contracts with Customers" paragraph 47 which requires Council to recognize revenue to the extent of the portion to which it is entitled to. In addition, revenue from leases, permits and levies was recognised on a cash basis contrary to IFRS 15 – "Revenue from Contracts with Customers" which requires revenue to be recognised on accrual basis.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should recognise revenue on accrual basis.

Management response

Some of the revenue lines were recorded on cash basis when they were supposed to be recorded on accrual basis therefore Council is going to recognise revenue on accrual basis.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my previous report. I raised eight (8) findings, three (3) were addressed, five (5) were yet to be addressed as indicated below;

3.1 Allowance for credit losses

The finding was not addressed. The Council did not assess and adjust its receivables for allowance for credit losses.

3.2 Journal entries posted against accumulated funds

The finding was not addressed. The Council posted journals without supporting documentation.

3.3 Rebilling of revenue

The finding was addressed. A multi- currency module is now in place and will be used to bill and maintain customer balances in their respective currency starting 2024.The Council is waiting for approvals.

3.4 Revenue recognition for carbon credits

The finding was addressed. The Council recognised revenue from carbon credits on accrual basis.

3.5 Income source documents

The finding was not addressed. The Council did not maintain complete source records relating to stand sales, including stand allocation fees and stand applications.

3.6 Ecocash reconciliations

The finding was not addressed. The Council did not reconcile its Ecocash transactions with the bank account.

3.7 Beer levy statistics

The finding was addressed. The Council obtained beer levy statistics from the brewer and accounted for beer levy on accrual basis.

3.8 Road account receipt books

The finding was not addressed. The missing receipt books were not availed for audit verification.

I have audited the financial statements of Mhondoro Ngezi Rural District Council for the year ended December 31, 2022, and I have issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the statement of financial position of Mhondoro Ngezi Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

The Council last revalued its property, plant and equipment in 2011. This was contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 44 which requires revaluations to be carried out with sufficient regularity to ensure that the carrying amount does not differ materially from fair value. Had the Council revalued its property, plant and equipment, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 - "Inventories"

The Council did not account for stands inventory in Turf Township. This was contrary to IPSAS 12- "Inventories" paragraph 12, which requires land held for sale to be accounted for as inventory. I could therefore not determine the adjustments which were necessary.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 27 - "Agriculture"

The Council owns a gum plantation in Turf location where it grows gum trees for sale. However, these were not valued and accounted for in the financial statements contrary to the requirements of IPSAS 27 – "Agriculture". As a result, I was unable to satisfy myself on the completeness, accuracy and valuation of biological assets reported in the financial statements.

iv. Expenditure

The Council disclosed expenditure amounting to ZWL$ 53.7 million in the financial statements, for which there was no supporting documentation in the form of suppliers' invoices and receipts. As a result, I could not satisfy myself on the accuracy and validity of expenditure disclosed.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 9 – "Revenue from Exchange Transactions" and (IPSAS) 23 - "Revenue from Non-Exchange Transactions"

The Council recognised revenue amounting to ZWL$ 105.2 million from stand sales and business licenses amounting to ZWL$ 49.6 million on a cash basis. This was contrary to IPSAS 9 - "Revenue from Exchange Transactions" paragraphs 14 and 15 and IPSAS 23 - "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognised on an accrual basis. Had the Council accounted for revenue from stand sales and business

licenses on accruals basis, the financial statements would have been materially different.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 – "Presentation of Financial Statements" and IPSAS 18 – "Segment Reporting"

The Council did not recognise revenue, expenses, assets and liabilities of its ninety-two (92) Schools in the financial statements. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52, which requires an entity to identify and disclose its separate segments. Had the Council complied with IPSAS 1- "Presentation of Financial Statements" and IPSAS 18- "Segment Reporting" in accounting for its Schools, the financial statements would have been materially different.

Below are other matters noted during the audit;

1. GOVERNANCE ISSUES

1.1 Estate funds

Finding

The Council used funds amounting to ZWL$66 million and US$224 864 (ZWL$ 228 million) from the Estates account to finance recurrent expenditure through interfund borrowings which was not aligned with the intended purpose of the account. This was contrary to Section 128 of the Rural District Councils Act [Chapter 29:13], which requires Estate funds to be utilized for related capital expenditure.

Risk / implication

Service delivery may be compromised.

Recommendation

Estate funds should be used for intended purposes.

Management response

Noted, we will ensure usage is as per the Rural District Councils Act [Chapter 29:13] .

1.2 Property, plant and equipment

Finding

The Council last revalued its property, plant and equipment in 2011. This was contrary to International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment" paragraph 44 which requires revaluations to be carried out with sufficient regularity to ensure that the carrying amount does not differ materially from fair value.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should revalue its assets in line with IPSAS 17.

Management response

The Council engaged the Ministry of Local Government to carry out an assets revaluation exercise and is still waiting for their availability to carry out the exercise.

1.3 Council Schools

Finding

The Council did not recognise revenue, expenses, assets and liabilities of its ninety-two (92) Schools in the financial statements. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52, which requires disclosure of separate segments.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for the revenue, expenses, assets and liabilities of schools in its financial statements.

Management response

Observation is noted. The Council did not include the operations of the schools due to lack of technical expertise on IPSAS. However, there is need for the Council to undergo IPSAS training, and management has prepared a comprehensive IPSAS Training Matrix road-map, where all the Council's finance staff and schools will be accorded the opportunity to attend IPSAS training. The planned training will have been done by 31 December 2025.

1.4 Stands inventory

Finding

The Council did not account for stands inventory in Turf Township. This was contrary to International Public Sector Accounting Standard (IPSAS) 12- "Inventories" paragraph 12, which requires land held for sale to be accounted for as inventory.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should maintain stands register and account for stands in the financial statements.

Management response

Management did not respond to this issue.

1.5 Biological assets

Finding

The Council owns a gum plantation in Turf location where it grows gum trees for sale. However, these were not valued and accounted for in the financial statements contrary to the requirements of International Public Sector Accounting Standard (IPSAS) 27 – "Agriculture".

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should value and account for the gum plantation.

Management response

Council is consulting entities carrying out similar business to see the best practices in carrying out the revaluation.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Stand sales and business licenses

Finding

The Council recognised revenue amounting to ZWL$ 105.2 million from stand sales and business licenses amounting to ZWL$ 49.6 million on a cash basis. This was contrary to (IPSAS) 9 - "Revenue from Exchange Transactions" paragraphs 14 and 15 and (IPSAS) 23 - "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognised on an accrual basis.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise stand sales and business licenses on an accrual basis.

Management response

Management did not respond to this issue.

3. PROCUREMENT OF GOODS AND SERVICES

3.1 Expenditure

Finding

The Council disclosed expenditure amounting to ZWL$53.7 million in the financial statements, for which there was no supporting documentation in the form of suppliers' invoices and receipts.

Risk / implication

Misstatement of financial statements

Financial loss due to fraud.

Recommendation

All expenditure should be adequately supported with relevant documentation.

Management response

Noted we will ensure all documentation is filed.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised eight (8) findings, one (1) finding was addressed and seven (7) findings were not addressed as indicated below;

4.1 Inventory management

The finding was not addressed. The Council did not account for all unsold stands.

4.2 Infrastructure assets

The finding was not addressed. The Council has not performed revaluation of assets yet.

4.3 Valuation of biological assets

The finding was not addressed. The Council did not value and account for biological assets.

4.4 Unsupported expenditure

The finding was not addressed. The Council still has unsupported expenditure. Payments are still being made without supporting documents.

4.5 Revenue

The finding was not addressed. The Council did not perform the reconciliation in 2022.

4.6 Cash and cash equivalents

The finding was not addressed. Bank confirmation responses were still outstanding.

4.7 Motor cycles

The finding was not addressed. The council did not register the motor cycles.

4.8 Beer levy

The finding was addressed. The Council obtained beer sales schedules from brewer.

MUDZI RURAL DISTRICT COUNCIL 2022 AND 2023

I have audited the financial statements of Mudzi Rural District Council for the years ended December 31, 2022 and 2023 and I issued an adverse opinion in both years.

The Council transitioned from International Financial Reporting Standards (IFRSs) reported in 2022 to International Public Sector Accounting Standards (IPSASs) in 2023.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of the Mudzi Rural District Council as at December 31, 2022 and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard (IAS) 16 – "Property, Plant and Equipment"

Council did not depreciate its property, plant and equipment. This was contrary to the provisions of IAS 16 - "Property, Plant and Equipment" which requires that property, plant and equipment be depreciated over their useful life. Had the Council depreciated its property, plant and equipment, the financial statements would have been materially different.

ii. Non-compliance with International Accounting Standard (IAS) 36 – "Impairment of Assets"

Council did not carry out an impairment assessment of non-current assets as at December 31, 2022 contrary to the requirements of International Accounting Standards (IAS) 36– "Impairment of Assets" paragraph 9 which requires an assessment for indicators of impairment to be performed at the end of each reporting period. Had the Council performed an assessment for indicators of impairment, the financial statements would have been materially different.

iii. Non-compliance with International Accounting Standard (IAS) 40 – "Investment Property"

The Council accounted for investment properties which were leased out for rental purposes as property, plant and equipment. This was contrary to the requirements of International Accounting Standard (IAS) 40 - "Investment Property" paragraph 5 which requires that property held to earn rentals or for capital appreciation rather than use in the production or supply of goods or services or for administration purposes to be classified as investment property. Had the Council correctly classified the rented-out properties as investment properties, the financial statements would have been materially different.

iv. Non-compliance with International Financial Reporting Standard (IFRS) 9 – "Financial Instruments"

The Council disclosed receivables at a carrying amount of ZWL$10.68 million for the year under review. However, the Council did not recognise an allowance for credit losses. This was contrary to the requirements of IFRS 9 – "Financial Instruments", which requires recognition of a loss allowance for credit losses on financial assets.

In addition, the Council was not performing receivables reconciliations during the period under review. As a result, there was an unreconciled variance of ZWL$60.73 million between the receivables balance of ZWL$10.68 million disclosed in the financial statements and age analysis with a balance of ZWL$71.41 million. Had the Council recognised an allowance for credit losses and performed receivables reconciliations, the financial statements would have been materially different.

v. Non-compliance with International Financial Reporting Standard (IFRS) 8 – "Operating Segments"

The Council did not disclose segment information in its financial statements. This was contrary to the requirements of International Financial Reporting Standard 8 – "Operating Segments" which requires the Council to disclose segment revenue, segment expenses, segment assets and segment liabilities for each segment. Had the Council disclosed segment information, the financial statements would have been materially different.

vi. Non-compliance with International Accounting Standard (IAS) 29 - "Financial Reporting in Hyper-Inflationary Economies"

The Council restated for hyperinflation all items in the Statement of Profit or Loss and Other Comprehensive Income by applying yearly average conversion factors. This was contrary to IAS 29 - "Financial Reporting in Hyper-Inflationary Economies" paragraph 37 which requires applying the change in general price index from the dates when the items of revenue and expenses were initially recorded. Had the Council restated the statement of financial performance items in accordance with IAS 29 - "Financial Reporting in Hyper-Inflationary Economies" the financial statements would have been materially different.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of the Council as at December 31, 2023 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council did not perform an assessment of allowance for credit losses on its receivables amounting to ZWL$5.84billion disclosed in the financial statements. This was contrary to the requirements of IPSAS 41- "Financial Instruments", which requires the Council to recognise a loss allowance for expected credit losses on financial assets. Had the Council assessed and provided for allowance for expected credit loss, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 – "Segment Reporting"

The Council did not disclose its segments information contrary to IPSAS 18 – "Segment Reporting" paragraph 52 which requires the Council to disclose segment financial information. Had the Council disclosed its segments, the disclosures to the financial statements would have been materially different.

iii. Opening balance

The Council made an adjustment of ZWL$9.32 billion to the accumulated fund opening balance. However, I was not availed with sufficient appropriate audit evidence to support the adjustment.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 "Reporting in Hyper-Inflationary Economies".

The Council restated all items in the Statement of Financial Performance by applying yearly average conversion factors. This was contrary to IPSAS 10- "Reporting in Hyper-Inflationary Economies" paragraph 27 which requires applying the change in general price index from the dates when the items of revenue and expenses were initially recorded. Had the Council restated the statement of financial performance items in accordance with IPSAS 10, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45- "Property, Plant and Equipment".

Council did not depreciate its property, plant and equipment. This was contrary to IPSAS 45 - "Property, Plant and Equipment", which requires that property, plant and equipment be depreciated over their useful life. Had the Council depreciated its property, plant and equipment, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Investment property

Finding

The Council accounted for investment properties which were leased out for rental purposes as property, plant and equipment. This was contrary to the requirements of International Accounting Standard 40 paragraph 5 which requires that property held to earn rentals or for capital appreciation rather than use in the production or supply of goods or services or for administration purposes to be classified as investment property.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for properties held for rentals as investment property in accordance with IAS 40.

Management response

Council had no updated asset register. Following the valuation of Council properties in 2023 there has been a categorization of the assets into different classes and as such Investment Property has been identified. Going forward Investment Property shall be treated according to provisions of IAS 40.

1.2 Impairment of assets

Finding

Council did not carry out an impairment assessment of non-current assets as at December 31, 2022 contrary to the requirements of International Accounting Standards (IAS) 36– "Impairment of Assets" paragraph 9 which requires an assessment for indicators of impairment to be performed at the end of each reporting period.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment at the end of each reporting period in compliance with IAS 36.

Management response

Council did not have an updated asset register but has since carried out an asset valuation exercise in November 2023 which would allow for correct recognition and classification of assets as well as subsequent subjection of the same to impairment tests.

1.3 Property, plant and equipment

Finding

Council did not depreciate its property, plant and equipment. This was contrary to IPSAS 17- "Property, Plant and Equipment", which requires that property, plant and equipment be depreciated over their useful life.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should depreciate its non-current assets in compliance with IPSAS 17.

Management response

Asset revaluation carried out will allow Council to appropriately charge depreciation going forward.

1.4 Segment reporting

Finding

The Council did not disclose its segment information contrary to IPSAS 18 - "Segment Reporting" paragraph 52 which requires the Council to disclose segment financial information.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should disclose segment financial information in compliance with IPSAS 18.

Management response

Observation Noted. Council could not do Segment reporting in the 2023 Financial Statements as the process of configuring the Programme Based segment reporting in the acquired SAGE accounting system took longer. Segment reporting will be implemented without fail in the 2024 Financial Statements in line with the requirement of IPSAS 18.

1.5 Trade receivables

Finding

The Council was not performing receivables reconciliations during the period under review. As a result, there was an unreconciled variance of ZWL$60.73 million between the receivables balance of ZWL$10.68 million disclosed in the financial statements and age analysis balance of ZWL$71.41 million.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should perform receivables reconciliations at least every month.

Management response

The debtors listing as per debtors' age analysis could not be used for reporting purposes as they were not accurately reconciled due to the use of multi-currencies and lack of assigned personnel. A debtors' clerk has since been assigned to take the responsibility of debtors' reconciliation and an accounting package which can cater for use of multi-currencies and instant updating of receivables accounts.

1.6 Allowance for credit losses

Finding

The Council did not perform an assessment of allowance for credit losses on its receivables amounting to ZWL$5.84billion ((2022: ZWL$10.68 million) disclosed in the financial statements. This was contrary to the requirements of IPSAS 41- "Financial Instruments", which requires that an entity shall recognise a loss allowance for credit losses on receivables.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should assess for a loss of allowance of the receivables in accordance with International Public Sector Accounting Standard (IPSAS) 41.

Management response

Allowances for credit losses will be done for financial year 2024

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Opening balances

Finding

The opening accumulated funds was not reconciled to the closing balance. There was a variance of ZWL$1.93billion. Council attributed the adjustments to misstatements made the prior year which Council wanted to correct taking advantage of IPSAS 33 - “First time Adoption of Accrual Basis”.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should disclose nature of adjustments in the financial statements in accordance with IPSAS 33.

Management response

Council is transitioning from a manual system of reporting and the Asset Valuation figures were critical in correcting previous misstatements and Council took advantage of relief allowed by IPSAS 33 (First time adoption) for restating correctly the asset values through valuation. Balances have since been restated as per Asset Valuation report.

2.2 Statutory deductions

Finding

The Council was facing cash flow challenges. As a result, statutory deductions were not being remitted to the relevant authorities. The Council accrued a total of ZWL$74.62 million in statutory payables. The table below refers.

Statutory deductions	**Amount (ZWL$)**
Standard Development Levy	7 225 046
NSSA	6 797 378
PAYE	37 719 266
NEC	3 269 278
ZRDCWU	3 008 532
ZIMDEF	1 833 530
UCPF	14 767 797
TOTAL	**74 620 827**

Risk / implication

Financial loss due to fines and penalties.

Recommendation

Council should come up with strategies to mobilise funds and make payment plans with the authorities to clear outstanding balances.

Management response

Council has been experiencing poor revenue inflows and could not keep up to date with the payment of statutory obligations. Measures and strategies have been put in place for revenue mobilization and Council is looking forward to settle off its outstanding obligations in the near future. Payment plans are to be made where possible.

3 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make some progress in addressing audit findings and recommendations I raised in my 2023 report. I raised seven (7) audit findings, three (3) were addressed, two (2) were partially addressed and two (2) were not addressed as indicated below;

3.1 Payables

The finding was partially addressed. The Council now has a creditor's clerk and reconciliations of creditors is underway.

3.2 Receivables

The finding was partially addressed. A debtors' clerk has since been assigned to take the responsibility of debtors' reconciliation and an accounting package which can cater for use of multi-currencies and instant updating of receivables accounts

3.3 Impairment of assets

The finding was not addressed. The Council did not perform an assessment for impairment of its property, plant and equipment.

3.4 Depreciation of property, plant and equipment

The finding was not addressed. The Council did not depreciate its property, plant and equipment during.

3.5 Beer levy revenue

The finding was addressed. The Council is now obtaining records of actual traditional beer sales made by commercial traditional beer brewers.

3.6 Procurement of backhoe loader

The finding was addressed. The backhoe loader was delivered in June 2024.

3.7 Refuse collection and waste management.

The finding was addressed. The Council through the Environment section identified a central place for Kotwa and Nyamapanda as a designated refuse dumping site. Community engagement was done as well as raised a request for the procurement of fencing material.

MUREWA RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Murewa Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Murewa Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 – "Revenue"

Billboards revenue

The Council did not invoice all bill boards. Only twelve (12) out of ninety (90) bill boards amounting to ZWL$1.6 million were invoiced. Had the Council invoiced all the billboards, revenue recognised would have been materially different.

Below are other material issues noted during the audit;

1. REVENUE COLLECTION AND DEBT RECOVERY

1.1 Billboards

Finding

The Council did not invoice all its bill boards as the Council was not maintaining a record with full details to enable billing. As a result, only twelve (12) out of ninety (90) bill boards amounting to ZWL$1.6 million were invoiced.

Risk / implication

Misstatement of financial statements.

Financial loss of potential revenue.

Recommendation

The Council should invoice all billboards within its jurisdiction.

Management response

The database was initiated in 2023, however we had a challenge of immediately locating the owners for details required. However, efforts were made and we are still updating billboard register. A reconciliation will be done to that effect.

2. SERVICE DELIVERY

2.1 Ambulances and mothers' shelters

Finding

The Council had no functioning ambulance to service its clinics covering a radius averaging 30kms from the District hospital. In addition, all the three clinics had no mothers' shelter. This was contrary to Rural District Councils Act [Chapter 29:13] section 38 of the first schedule which requires Council to provide, operate and carry on services for the care and welfare of patients.

Risk / implication

Service delivery may be compromised.

Recommendation

Council should procure Ambulances to service its clinics and construct mothers' shelters at all its clinics for maternal emergencies.

Management response

Limited financial ability at Council level hinders the implementation of projects and programmes at Council clinics including acquisition of ambulances and construction of waiting mothers' shelters.

2.1. Sewer systems

Finding

The Council did not install the sewer systems in Mapako and part of Magamba high density areas. These areas require the use of sewer systems as per Council's housing plan. The residents relied on the use of septic tanks and pit latrines which are not sustainable and healthy due to the high number of people living in these areas. This was contrary to Environment Management Act [*Chapter 20:27*] regulations of 2007 section 12.2 which requires the safe transportation and disposal of the wastes.

Risk / implication

Outbreak of diseases.

Recommendation

Council should install sewer reticulation systems to all high density areas.

Management response

Servicing of all areas that do not have critical infrastructure is being done in phases with water services taking precedence due to financial constraints. We started with Magamba and Mapako, we are now moving to other areas. Thereafter we will work on the sewer reticulation systems of these areas. In the interim we purchased a total station and await delivery of the requisite equipment as preparatory works.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made significant progress in addressing audit findings and recommendations raised in my 2022 audit report. I raised eleven (11) audit findings, eight (8) were addressed, and three (3) were not addressed as indicated below;

3.1. Accounting for property, plant and equipment

The finding was addressed. The Council is now accounting for land.

3.2. Consolidation of schools

The finding was addressed. The schools are no longer consolidated in Council accounts.

3.3. Beer levy

The finding was addressed. The Council is now obtaining beer sales schedules from commercial brewers.

3.4. Investment properties

The finding was addressed. The Council accounted for industrial hub and shell buildings.

3.5. Landfill

The finding was not addressed. The Council is yet to cover the waste and no compaction was done.

3.6. Streetlights

The finding was addressed. The street lights are now secured to prevent them from being vandalised.

3.7. Motor vehicles

The finding was not addressed. Vehicle logbooks were not completed.

3.8. Project management

The finding was addressed. The Council discontinued the project.

3.9. Obsolete materials

The finding was addressed. The obsolete timber was sold.

3.10. Council house

The finding was addressed. The tenant was evicted from the Council house.

3.11. Delivery of materials

The finding was not addressed. The quarry stones are yet to be delivered.

I have audited the financial statements of Mutare Rural District Council for the year ended December 31,2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mutare Rural District Council as at December 31, 2023 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23 – "Revenue from Non-Exchange Transactions"

The Council billed only seventy-one (71) mining operators for development levy out of a total of one thousand and forty-six (1046) mining operators within its jurisdiction. As a result, mining levy revenue from nine hundred and seventy-five (975) mining operators was not recognised in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 23 – "Revenue from Non-Exchange Transactions" which requires revenue to be recognised when it is probable that economic benefits or service potential will flow to the entity. Had the Council invoiced all miners operating within its jurisdiction, revenue would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant, and Equipment"

The Council did not account for infrastructure assets such as road network, bridges and drainage systems in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant, and Equipment" which requires assets that meet the definition criteria of property, plant and equipment to be recognised in the financial statements. Had the Council accounted for infrastructure assets, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16- "Investment Property"

The Council did not determine the fair value of its investment property disclosed in the financial statements at ZWL$1.34 million since 2019. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property" paragraph 47 which requires the Council to ensure the fair value of investment property reflects market conditions at the reporting date. Had the Council determined the fair value of its investment property, the carrying amount disclosed in the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 31- "Intangible Assets"

The Council did not value its intangible assets recognised in the financial statements at ZWL$2.42 million since 2019. This was contrary to International Public Sector Accounting Standard (IPSAS) 31- "Intangible Assets" paragraph 78 which requires revaluation of intangible assets to be performed with sufficient regularity so that the carrying amounts does

not materially differ from its fair values at the reporting date. Had the Council revalued its intangible assets, the carrying amount would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments"

The Council did not carry out an assessment for allowance for credit losses. This was contrary to International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments" paragraph 73 requires the Council to recognise an allowance for expected credit loss at the reporting date. Had an assessment for allowance for credit losses been carried out, the receivable balance of ZWL$12.95 billion disclosed in the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Infrastructure assets

Finding

The Council did not value its infrastructure assets. As a result, infrastructure assets such as road network, bridges and drainage systems were not recognised in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant, and Equipment" which requires assets that meet the definition criteria of property, plant and equipment to be recognised in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council value and account for its infrastructure assets in the financial statements in line with IPSAS 17.

Management response

The bulk of the procurement process for a valuer has since been completed. Contract signing is still outstanding.

1.2 Valuation of Investment Property and Intangible Assets.

Finding

The Council did not determine the fair value of its investment property disclosed in the financial statements at ZWL$1.34 million since 2019. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property" paragraph 47 which requires the Council to ensure the fair value of investment property reflects market conditions at the reporting date. In addition, the Council did not perform a revaluation of its intangible assets disclosed in the financial statements at ZWL$2.42 million since 2019. This was contrary to International Public Sector Accounting Standard (IPSAS) 31- "Intangible Assets" paragraph 78 which requires revaluation of intangible assets to be performed with sufficient regularity so that the carrying amounts do not materially differ from its fair values at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should revalue its investment property and intangible assets in line with IPSAS.

Management response

Observation noted. Council will carry out a valuation of its intangible assets and investment properties to comply with IPSAS 31 and IPSAS 16 respectively.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Mining claims

Finding

The Council billed seventy-one (71) mining operators for development levy out of a total of one thousand and forty-six (1046) mining operators within its jurisdiction. As a result, mining levy revenue from nine hundred and seventy-five (975) mining operators was not recognised in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 23 – "Revenue from Non-Exchange Transactions" which requires revenue to be recognised when it is probable that economic benefits or service potential will flow to the entity.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should bill development levy on all mining operators within its jurisdiction.

Management response

Council will request the Ministry of Mines, through the District Development Coordinator's Office, to provide the full contact details of all claim holders since previous direct engagement has failed to produce results.

4 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2023 annual report. I raised four (4) findings, two (2) were addressed and two (2) were partially addressed as indicated below;

4.1 Motor vehicle loan scheme

The finding was partially addressed. Procurement process to engage qualified and experienced tax consultants in progress.

4.2 Revenue recognition

The finding was addressed. The brewer is now providing returns and beer levy income is

now being done on accrual basis.

4.3 Policies

The finding was partially addressed. The policies are now in draft form.

4.4 Unverified unallocated receipts

The finding was addressed. Council is cleared the unallocated receipts.

MUTASA RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Mutasa Rural District Council for the year ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Mutasa Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Unallocated receipts.

Included in current liabilities are unallocated receipts amounting to ZWL$361.2 million. The Council's billing system was not interfaced with the accounting system as a result staff were manually posting the balances to the respective accounts. This resulted in un-cleared deposits and cash balance reported as unallocated receipts. Had Council cleared these, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 – "The Effects of Changes in Foreign Exchange Rates"

The Council did not recognise exchange gains on its foreign currency receivables disclosed at a carrying amount of ZWL$7.15 billion. This was contrary to International Public Sector Accounting Standard (IPSAS) 4 – "The Effects of Changes in Foreign Exchange Rates", paragraph 27(a) which requires foreign currency monetary items to be translated using the closing rate at reporting date. Had Council accounted for exchange gains on its foreign currency receivables, the financial statements would had been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments"

Council did not carry out an assessment of allowance for credit losses as required by International Public Sector Accounting Standard (IPSAS). I was unable to satisfy myself by alternative means the recoverability and valuation of receivables. This was contrary to IPSAS 41 – "Financial instruments" paragraph 73 which requires allowance for credit losses to be assessed at each reporting date. Had an assessment for allowance for credit losses been carried out, the receivables balance presented on the statement of financial position of ZWL$ 7.15 billion would have been materially different.

iv. Payroll transactions

The Council did not perform reconciliations between the payroll system and the accounting system. Payroll liabilities amounting to ZWL$ 58 million could not be verified against balances from the payroll system. I could not therefore confirm the accuracy and existence of payroll liabilities amounting to ZWL$58 million.

Below are other material issues noted during the audit;

1 REVENUE COLLECTION AND DEBT RECOVERY

1.1 Receivables

Finding

The Council did not recognise exchange gains on its foreign currency receivables disclosed at a carrying amount of ZWL$7.15 billion. This was contrary to International Public Sector Accounting Standard (IPSAS) 4 – "The Effects of Changes in Foreign Exchange Rates", paragraph 27(a) which requires foreign currency monetary items to be translated using the closing rate at reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should make use of the multi-currency module which will facilitate the recognition of exchange gains on foreign currency receivables.

Management response

Council has already procured the Sage Evolution multi-currency module which will be installed this month of July 2024 to resolve the challenges. We expect this problem to be a thing of the past.

1.2 Allowance for expected credit losses

Finding

Council did not carry out an assessment of allowance for credit losses as required by International Public Sector Accounting Standard (IPSAS). This was contrary to IPSAS 41 – "Financial instruments" paragraph 73 which requires allowance for credit losses to be assessed at each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should make an assessment for allowance for credit loss.

Management response

We are working towards improving our collection efficiency and reduce our debtor's collection period. Credit losses will be provided for in future.

2 EMPLOYMENT COSTS

2.1 Payroll reconciliations

Finding

The Council did not perform reconciliations between the payroll system and the accounting system. As a result, payroll liabilities amounting to ZWL$58 million could not be verified against balances from the payroll system.

Risk / implication

Failure to reconcile transactions may result in errors not being detected early.

Misstatement of financial statement.

Recommendation

Council should follow its policy on preparation of reconciliations of all payroll transactions posted in the accounting system and Belina balances monthly.

Management response

Council has a policy that makes it mandatory for reconciliations of payroll transactions to be done monthly. In future we shall ensure that the policy is adhered to, and reconciliations are done monthly. Supervision of the personnel responsible for the reconciliations shall be done monthly without fail.

3 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

Council made progress in addressing findings that I raised in my 2023 annual report. I raised ten (10) findings, five (5) were addressed, one (1) was partially addressed and four (4) were yet to be addressed as indicated below;

3.1 Unsupported year end journals

The finding was not addressed. The Council did not support journal entries posted.

3.2 Foreign currency cash receipts

The finding was addressed. All USD cash transactions were accounted for in the system.

3.3 Banking

The finding was addressed. All USD cash transactions were accounted for.

3.4 Bank accounts

The finding was addressed. All bank accounts were included in the system in 2023.

3.5 Communal land layout plan

The finding was not addressed. The Council did not put in place a layout plan for communal land.

3.6 Tariffs

The finding was not addressed. Council shall ensure billing is done using the correct tariffs. Any variances to the approved tariffs shall have the appropriate authorisations. Periodic reviews of billings shall be done so as to curb occurrence of such incidents in future.

3.7 Receivables

The finding was not addressed. The Council did not assess and adjust its receivables for allowance for credit losses.

3.8 Unsupported expenditure

The finding was addressed. The Council put measures to ensure all expenditure has supporting documents.

3.9 Salaries contributions

The finding was addressed. Year-end journals were done during 2023 audit.

3.10 Depreciation and valuation of assets

The finding has been partially addressed. The Council has adopted a policy to ensure that depreciation is charged. Assets not yet revalued.

MUTOKO RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Mutoko Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mutoko Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

i. Non–compliance with International Accounting Standard (IAS) 2 - "Inventories"

The Council did not recognise stands inventory in its financial statements despite having a total of one hundred and forty-two (142) serviced stands on hand as at year end. This was contrary to International Accounting Standard (IAS) 2 - "Inventories" which requires items such as stands held for sale to be accounted for as inventory. Had the Council recognized stands inventory, the financial statements would have been materially different.

ii. Non-compliance with the Conceptual Framework for Financial Reporting

The Council was accounting for beer levy revenue on cash basis. This was contrary to the Conceptual Framework for Financial Reporting which requires revenue to be recognized on accrual basis. Had the Council accounted for beer levy on an accrual basis, the revenue disclosed as ZWL$809.70 million would have been materially different.

Below are material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Submission of financial statements

Finding

Council did not submit financial statements for the year ended December 31, 2023 for audit within the statutory deadline. The financial statements were submitted for audit in June, 2024 contrary to the requirements of Public Finance Management Act [*Chapter 22:19*] section 49 which requires public financial statements to be submitted within two months after the end of the financial year.

Risk / implication

Transparency and accountability may be compromised.

Recommendation

Council should submit financial statements for audit within the statutory deadline.

Management response

We were moving to the new accounting system Sage Pastel.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Beer Levy

Finding

The Council recognized its beer levy revenue amounting to ZWL$809.70 on a cash basis. This was contrary to the Conceptual Framework for Financial Reporting which requires revenue to be recognized on accrual basis. In addition, there was no supporting evidence of how the brewer arrived at the remitted amount contrary to the provisions of the Traditional Beer Act [*Chapter 14:24*] section 15 which empowers local authorities demand production of records/ accounts of controlled liquor monies to verify the accuracy of the amount remitted.

Risk / implication

Potential loss of revenue and beer levy could be misstated.

Recommendation

Council should obtain beer schedules from brewers to substantiate beer levy.

Management response

Observation has been noted. However, engagements with Delta were done although not yielding desired results.

3 MANAGEMENT OF ASSETS

3.1 Stands inventory

Finding

The Council did not recognise stands inventory in its financial statements despite having a total of one hundred and forty-two (142) serviced stands on hand as at year end. This was contrary to International Accounting Standard (IAS) 2 - “Inventories” which requires items such as stands held for sale to be accounted for as inventory.

Risk / implication

Misstatements of financial statements.

Recommendation

The Council should account for all stands in line with requirements of the accounting framework.

Management response

The exercise is now 70% complete.

4 SERVICE DELIVERY

4.1 Ambulances

Finding

The Council did not have any ambulance servicing Council clinics in the district as required by first schedule, item 35 of the Rural District Council Act [*Chapter 29:13*].

Risk / implication

Service delivery may be compromised.

Recommendation

The Council should acquire ambulances to service the district clinics.

Management response

Council has procured a vehicle and is in the process of equipping it to be an ambulance.

5 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing audit findings and recommendations raised in my previous audit reports. I raised four (4) audit findings, one (1) was addressed, one (1) partially addressed while two (2) were not addressed as indicated below;

5.1 Devolution funds

The finding was addressed**.** The Council now uses funds in line with the regulations.

5.2 Stands inventory

The finding was not addressed. The Council did not account for stands inventory.

5.3 Beer levy

The finding was not addressed. Council was still accounting for beer levy on cash basis.

5.4 Procurement and contract management

The finding was partially addressed. There was evidence follow ups by the Council to recover the items from suppliers, the backhoe loader and a roller was delivered.

I have audited the financial statements of Muzarabani Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly in all material respects, the financial position of Muzarabani Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standards (IPSAS) 45 – "Property, plant and equipment"

The Council did not recognise infrastructure assets such as roads and bridges in its financial statements This was contrary to International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment", which requires infrastructure assets to be recognized in the financial statements.

In addition, the Council did not review the residual values and useful lives of property, plant, and equipment as at the reporting date. This was contrary to IPSAS 45 – "Property, Plant, and Equipment" paragraph 48 which requires a review of residual values and useful lives of property, plant and equipment at least at each annual reporting date.

The Council did not also assess for indicators of impairment on property, plant and equipment for the year under review. This was contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets", paragraph 26 which requires an assessment for indicators of impairment on items of property, plant and equipment to be performed at the end of each reporting date. Had the Council recognized property, plant and equipment in accordance with IPSAS 45 and IPSAS 21, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 – "Inventories"

The Council did not disclose the carrying amount for inventories at the lower of cost and net realisable value as required by IPSAS 12 paragraph 15. The financial statements include inventories carried at revalued amounts as at December 31, 2022, without the cost for comparison. I could not determine by alternative means whether any adjustments necessary.

Below are material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Accounting for inventories

Finding

The Council did not disclose the carrying amount for inventories at the lower of cost and net realisable value as required by IPSAS 12 paragraph 15. The financial statements include inventories carried at revalued amounts as at December 31, 2022, without the cost for comparison. I could not determine by alternative means whether any adjustments necessary.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should recognise inventories at the lower of cost and net realizable value.

Management response

Management to review the stock valuation method in line with the IPSAS12.

2 MANAGEMENT OF ASSETS

2.1 Infrastructure assets

Finding

The Council did not recognise infrastructure assets such as roads and bridges in its financial statements This was contrary to International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment", which requires infrastructure assets to be recognized in the financial statements.

In addition, the Council did not review the residual values and useful lives of property, plant, and equipment as at the reporting date. This was contrary to IPSAS 17 – "Property, Plant, and Equipment" paragraph 67 which requires a review of residual values and useful lives of property, plant and equipment at least at each annual reporting date.

The Council did not also assess for indicators of impairment on property, plant and equipment for the year under review. This was contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets", paragraph 26 which requires an assessment for indicators of impairment on items of property, plant and equipment to be performed at the end of each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognize infrastructure assets and assess residual values, useful lives and impairment indicators on property, plant and equipment in accordance with IPSAS 17 and 21.

Management response

The management upholds the recommendation to recognize all the infrastructure in accordance with IPSAS 45 during the transitioning period.

3 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing audit findings that I raised in my 2023 annual report. I raised four (4) findings, two (2) were addressed and two (2) were not addressed as indicated below;

4.1 Key vacant posts

The finding was addressed. The Council had recruited IT personnel.

4.2 Stands repossession

The finding was addressed. The variance was reconciled to the underlying records.

4.3 Centenary dumpsite

The finding was not addressed. Council is still using a dumpsite and is not fenced.

4.4 Beer levy

The finding was not addressed. The Council did not comply with the Traditional Beer Act [*Chapter 14:24*] in obtaining beer sales schedules from the brewer.

MWENEZI RURAL DISTRICT COUNCIL 2021, 2022 AND 2023

I have audited the financial statements of Mwenezi Rural District Council for the years ended December 31, 2021-2023 and I issued an adverse opinion for 2021-2022 and a qualified opinion for 2023.

Adverse Opinion 2021

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, in all material respects the financial position of Mwenezi Rural District Council as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates" and IPSAS 3 – "Accounting Policies, Changes in Accounting Estimates and Errors"

The prior year financial statements did not comply with the requirements of IPSAS 4 - "Effects of Changes in Foreign Exchange Rates", as the Council was not able to use an appropriate exchange rate on change of functional currency. The Council translated its comparative financial statements using the interbank rate which came into existence on February 22, 2019 through Exchange Control Directive RU 28 of 2019 issued by the Reserve Bank of Zimbabwe.

The Council used January 1, 2019 as the date of change in functional currency and translated its foreign denominated balances to ZWL$ at a rate of 1:1 per statutory instrument 33/2019 which prescribed that all assets and liabilities that were denominated in USD before February 22, 2019 be deemed to be RTGS dollars at a rate of 1:1 and all transactions subsequent to February 22, 2019 at interbank rate. The Council's inability to assess the appropriateness of using the interbank rate in achieving fair presentation was primarily due to the need to comply with Statutory Instrument (SI) 33 and the fact that there were no official exchange rates between October ,2018 and February, 2019 due to lack of an observable foreign exchange market. In that regard the misstatement on the opening balances have an impact on the current year financial statements and the Council did not correct this prior period error as required by IPSAS 3 – "Accounting Policies, Changes in Estimates and Errors". Had Council applied the requirements of IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" and IPSAS 3 – "Accounting Policies, Changes in Accounting Estimates and Errors", many elements in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment"

The Council did not revalue its property, plant and equipment since 2009 despite significant changes in fair values. This was contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 44, which requires assets to be revalued with sufficient regularity. In addition, Council did not review the useful lives and residual values of its assets in line with IPSAS 17 - "Property, Plant and Equipment" paragraph 67 which requires the useful lives and residual values of assets to be reviewed at least once at each reporting date.

Had the Council revalued and assessed useful lives of its assets, the property plant and equipment balance disclosed in the financial statements at a carrying amount of ZWL$432.23 million would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 9 – "Revenue from Exchange Transactions"

Council recognised stand sales revenue amounting to ZWL$0.61 million on a cash basis. This was contrary to International Public Sector Accounting Standards (IPSAS) 9 - "Revenue from Exchange Transactions" paragraphs 14 and 15 which requires revenue to be measured at the fair value of consideration received or receivable. Had the Council complied with the requirements of IPSAS 9, revenue and the corresponding receivables disclosed in the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standards (IPSASs) Conceptual Framework for Financial Reporting

The Council recognised beer levy amounting to ZWL$4.49 million on cash basis. This was contrary to the IPSAS Conceptual Framework for Financial Reporting which requires revenue to be recognized on accrual basis. Had the Council recognised beer levy on an accrual basis, the revenue disclosed would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 – "Inventories"

The Council did not recognise stands inventory in the financial statements. This was contrary to IPSAS 12 "Inventories" paragraph 12 which requires stands to be recognised as inventory.

In addition, Council did not measure its inventories at the lower of cost and net replacement cost contrary to IPSAS 12 paragraph 15 and 16. Had the Council recognised inventory in accordance with IPSAS 12 - "Inventories", the carrying amount of inventory would have been materially different.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Mwenezi Rural District Council as at December 31, 2022 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

The Council last revalued its property, plant and equipment in 2009 despite significant changes in the operating environment which affected fair values. This was contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 44, which requires assets to be revalued with sufficient regularity. In addition, Council did not review the useful lives of its assets in line with IPSAS 17 - "Property, Plant and Equipment" paragraph 67 which requires the useful life of assets to be reviewed at least once at each reporting date. Had the Council revalued its assets and assessed useful lives, the property plant and equipment balance disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 9 – "Revenue from Exchange Transactions" and IPSAS 23 – "Revenue from Non-Exchange Transactions"

Council recognised revenue from stand sales and beer levy on cash basis instead of accruals basis. This was contrary to IPSAS 9 - "Revenue from Exchange Transactions" paragraph 14 and IPSAS 23- "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognized on accrual basis. Had the Council recognised beer levy and stand sales revenue on accrual basis, the revenue and receivables disclosed in the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 29 – "Financial instruments"

Included in the receivables balance were receivables with credit balance amounting to ZWL$31.9 million due to absence of reconciliations. In addition, the Council provided allowance for credit losses at a flat rate of 5% contrary to paragraph 67 of (IPSAS) 29- "Financial Instruments" which requires entities to assess at the end of each reporting period whether there is any objective evidence that a financial asset is impaired. Had the Council carried out an impairment assessment, the balance of receivables disclosed in the financial statements would have been materially different.

iv. Payables

Included in the payables balance of ZWL$52.6 million disclosed in the financial statements were unsubstantiated balances amounting to ZWL$26.8 million and ZWL$15.1 million disclosed as inter-fund and temporary deposits respectively. As a result, I was unable to satisfy myself on the accuracy and validity of the payables disclosed in the financial statements.

Qualified Opinion 2023

In my opinion, except for the effects of the matters described in the Basis for Qualified opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mwenezi Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment"

The Council last revalued it property, plant and equipment in 2009 despite significant changes in the operating environment which affected fair values. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment" paragraph 29, which requires assets to be revalued with sufficient regularity. In addition, the Council did not review the useful lives of its assets in line with IPSAS 45 - "Property, Plant and Equipment" paragraph 48 which requires the useful lives of assets to be reviewed at each reporting date. Had the Council revalued its assets and assessed useful lives, the property plant and equipment balance disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial instruments"

The Council applied an arbitrary rate of 5% in determining determine expected credit losses. This was contrary to International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments" paragraph 81 which requires entities to assess whether the credit risk on a financial instrument has increased significantly since the initial recognition. The Council also did not make necessary adjustments to correct the prior period error as required by IPSAS 3. Had the Council carried out an assessment of credit risk on receivables the balance of ZWL$19.6 billion disclosed in the financial statements would have been different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Valuation of property, plant and equipment

Finding

The Council last revalued it property, plant and equipment in 2009 despite significant changes in the operating environment which affected fair values. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment" paragraph 29, which requires assets to be revalued with sufficient regularity. In addition, the Council did not review the useful lives of its assets in line with IPSAS 45 - "Property, Plant and Equipment" paragraph 48 which requires the useful lives of assets to be reviewed at each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should revalue its property, plant and equipment and carry out an assessment of useful lives in compliance with IPSAS 45.

Management response

Noted. Council will make sure that it carries out revaluation exercise, assessments of residual values and review useful lives of its Property, Plant and Equipment in line with the IPSAS guidelines.

1.2 Expected credit loss

Finding

The Council applied an arbitrary rate of 5% in determining determine expected credit losses. This was contrary to International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments" paragraph 81 which requires entities to assess whether the credit risk on a financial instrument has increased significantly since the initial recognition.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should perform an assessment of credit losses at each reporting period as required by IPSAS 41.

Management response

Noted. Management made a judgmental accounting estimate of 5% to recognize potential losses on accounts receivables. There is no provable procedure undertaken to come up with the estimated 5%. In future the Council will undertake procedures to estimate potential losses embedded in accounts receivables through studying historical data disaggregated by accounts receivables ageing.

1.3 Payables

Finding

The Council's system migration from Pastel partner to evolution was not smooth. As a result, the payables balance reported in the 2022 financial statements had an unsubstantiated balance of ZWL$15.1 million reported as temporary deposits. In addition, there were unreconciled inter-fund variance amounting to ZWL$26.8 million reported in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should investigate these balances and make corrective action.

Management response

The figures came from migration from Pastel partner to evolution. We therefore propose to close the continuous appearance of the temporary deposits which were not supposed to be there from the beginning.The inter-fund variances were from prior years which was caused by mis-postings that occurred during migration from partner to Sage Evolution. However, the Council is going to address the variances so that in future the inter-fund matrixes will be in balance.

1.4 Stand sales revenue

Finding

The Council recognized stand sales revenue on cash basis contrary to International Public Sector Accounting Standard (IPSAS) 9 - "Revenue from Exchange Transactions" paragraphs 14 and 15 which requires revenue to be measured at the fair value of the consideration receivable.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognize revenue on an accrual basis in line with IPSAS.

Management response

Agreed to the observation. We will make sure that in 2023 and future periods, all stand sales are recognized on accrual basis.

1.5 Beer levy revenue

Finding

The Council recognised beer levy revenue received from commercial traditional beer brewers on cash basis. This was contrary to the International Public Sector Accounting Standard (IPSAS) 23- "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognized on accrual basis. In addition, the Council did not obtain sales schedules from the breweries contrary to the Traditional Beer Act [*Chapter 14:24*] section 15(2) which requires the Council to obtain beer sales schedules.

Risk / implication

Misstatement of financial statements.

Potential loss due to under declarations by the breweries.

Recommendation

Management should obtain sales schedules from brewers and appropriately account for beer levy revenue.

Management response

Noted. The Council accounted the beer levy on cash basis despite the efforts made to the brewery to get the schedules. However, the brewery started furnishing the schedules to the Local Authority in November 2023.

1.6 Valuation of receivables

Finding

The Council disclosed a receivables credit balance amounting to ZWL$31.9 million in the 2022 financial statements. This was as a result of the Council not performing receivables reconciliations. This was contrary to Rural District Councils Act [*Chapter* 29:13] section120(1) which requires Council to keep books of accounts as may be necessary to maintain a true and proper record of all matters relating to financial transactions.

In addition, the Council used a flat rate of 5% to provide for credit loss allowance on receivables which was not supported by a risk matrix showing the assumptions, judgements and models to determine allowances for credit losses. This was contrary to International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments" paragraph 81 which requires entities to assess whether the credit risk on a financial instrument has increased significantly since the initial recognition.

Risk / implication

Misstatement of financial statements.

Recommendation

Management should regularly reconcile receivables.

Management should come up with an impairment risk matrix and avail observable inputs for coming up with the allowance for credit loss rate.

Management response

Noted. The Council in future will address the anomaly by doing debtor reconciliations on monthly basis. Management also made a judgmental accounting estimate of 5% to recognize potential losses on accounts receivables. There is no provable procedure undertaken to come up with the estimated 5 %. In future the Council will undertake a scientific procedure to estimate potential losses embedded in accounts receivables through studying historical data disaggregated by accounts receivables ageing.

1.7 Policies

Finding

Council was operating without policies such as asset management policy, debt management policy, risk management policy and information communication technology policy. This was contrary to Public Finance Management Act [*Chapter 22:19*] section 50 which requires every public entity to adhere to and implement the principles of sound corporate governance.

Risk/ Implication

Lack of guidance and in consistency in the Council's operations.

Recommendation

Council should put in place policies to provide necessary guidance on operational issues.

Management response

Noted. It is agreed that Mwenezi RDC has no such policies in place. However, management is currently working on a number of policies including the one observed above, most of which are at draft stage. Management is committed to have an asset management policy, finance policy, ICT policy, risk management policy, recruitment of students on attachment policy and debt management policy in place.

1.8 Inventories

Finding

The Council did not recognise stands inventory in the financial statements. This was contrary to IPSAS 12 - "Inventories" paragraph 12 which requires stands to be recognised as inventory. In addition, Council did not measure its inventories at the lower of cost and net replacement cost contrary to paragraph 15 and 16 of IPSAS 12.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should recognise stands inventories and account for inventories in accordance with IPSAS 12.

Management response

Noted and agreed to the observation. In future management will account for all the inventory classes as required by IPSAS 12. Management will put in place inventory management systems that easily relate invoices to items in stock for easy referencing and validation. Management will invite the auditor to witness inventory count every year for satisfy himself with the valuation and completeness of the inventory figures. This has already been started for the year ended 2022 and 2023.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Business licenses

Finding

The Council was not billing for business licenses fees from four (4) businesses operated by Council employees. There was no evidence such as a Council resolution authorizing the businesses to operate without licenses. This was contrary to the Shop Licences Act [*Chapter* 14:17], which empowers Councils to issue licenses and collect revenue from businesses.

Risk / implication

Loss of revenue through non-billing of business licenses fees.

Recommendation

The Council should bill business license fees for all businesses operating within its jurisdiction.

Management response

Noted. The Council will ensure that all operating businesses are billed for licenses.

3. MANAGEMENT OF ASSETS

3.1. Allocation of Council motor bikes

Finding

The Council allocated a motor bike to an environmental monitor who is not an employee. There was no resolution authorizing the issuance of the motor bike. In addition, the environmental monitor did not have a driver's licence. This was contrary to Public Finance Management Act [*Chapter* 22:19] section 42 (1)(a) which requires accounting authorities to exercise the utmost care to ensure reasonable protection of the assets and records of the public entity. Management indicated that the person was assisting the Council to collect certain levies on voluntary basis.

Risk / implication

Misappropriation of Council assets.

Recommendation

The decision should be supported by a Council resolution.

Management response

Noted and agreed to the observation. Management will relook into the issue and corrective modalities will be implemented before June 30, 2024.

4. EMPLOYMENT COSTS

4.1. Taxation of benefits

Finding

The Council processed employee benefits such as school fees allowances for senior management outside payroll system. As a result, the benefits were not taxed contrary to section 8 (f) of the Income Tax Act [*Chapter* 23:06] which requires benefits accruing to employees to be taxed.

Risk / implication

Financial loss due to penalties and fines.

Recommendation

All benefits and allowances should be processed through payroll and taxed accordingly.

Management response

We have taken note as it was an oversight. We are going to include School fees benefit on the payroll starting January 2025 in terms of the Income tax Act.

4.2. Salary payables

Finding

The Council was not generating enough cashflows to cover all its financial obligations. As a result, the Council was three (3) months in arears on the payment of salaries and related deductions such as NSSA, pension, life assurance and medical aid. Out of total payables of ZWL$8.9 million, ZWL$8.2 million related to salaries.

Risk / implication

Service delivery may be compromised due to low staff morale.

Recommendation

The Council should improve its revenue collection and settle outstanding obligations.

Management response

Noted. Mwenezi RDC management will in future try to meet all salary obligations in time if funds permit.

5. SERVICE DELIVERY

5.1. Sewer and water reticulation

Finding

The Council allocated two hundred and sixty-eight (268) unserviced stands to beneficiaries in Orewood high-density suburb. As a result, residents were using septic tanks and blair latrines which was against local government regulations which prohibit the use of septic tanks in such areas. In addition, the area was not connected to water reticulation system and residents had no access to safe water.

Risk / implication

Residents may be exposed to disease outbreaks.

Recommendation

Council should service the allocated stands.

Management response

Council has allocated funds for servicing the stands. Mwenezi RDC will collaborate with ZINWA to accelerate the piped water supply to Ore wood high-density stands.

6. PROGRESS ON IMPLEMENTATION OF PRIOR YEAR AUDIT FINDINGS AND RECOMMENDATIONS

The Council made some progress in addressing findings that I raised in my 2023 annual report. I raised twelve (12) findings, three (3) were addressed, five (5) were partially addressed and four (4) were yet to be addressed as indicated below;

6.1 Cash on hand

The finding was addressed. Cash registers are now being maintained starting 1 January, Negative cash on hand balances were investigated and cleared and Year-End cash count for 2022 and 2023 was collected.

6.2 Non exchange receivables - Inter account transfers

The finding was not addressed. The inter account transfer still has a unreconciled balance of ZWL$3.3 million.

6.3 Accounting for salary arrears

The finding was not addressed. The individual creditors in relation to salaries payables could not be viewed from the evolution system.

6.4 Donations

The finding was partially addressed. The Council has since engaged ZRBF to give values for the items donated. Response has not yet been given.

6.5 Receivable balance

The finding was addressed. Receivables from age analysis and Debtors control account now agree. Receivables from sale of stands are now included in the financial statements.

6.6 Undelivered assets

Finding was partially addressed. A back hole loader procured from Pelgin Consulting services was delivered. The Council is making a follow up with the high court in respect of the delivery of Toyota Hilux double cab procured from Solution Motors.

6.7 Inventories

Finding was addressed. The Council now undertakes inventory count at the end of the year and include inventory values in its financial statements.

6.8 Effluent management – sewer ponds

Finding was not addressed. Repairs of the sewer ponds were not done.

6.9 Policies and procedure manuals

The finding was partially implemented. The housing policy was put in place whilst the asset management policy and information technology policy are now at draft stage.

6.10 Accounting for game meat revenue

The finding was not addressed. The Council will account for game meat donations in 2024 financial statements.

6.11 Rutenga dumpsite.

The finding was partially addressed. A consultant was engaged and completed the technical designs for the land fill. The Council is sourcing funds for the actual construction.

6.12 Manyuchi primary school

The finding was partially addressed. The Council constructed the ECD block and further engagements with the local community are being done for resources mobilization to construct more structures.

NKAYI RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Nkayi Rural District Council for the year ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Nkayi Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Completeness of revenue

The Council recognised revenues from rentals, fines and penalties, bus entry, beer permits and unit taxes based on an incomplete database for the rate paying residents in the district. As a result, I could not determine the completeness of income earned by the Council.

ii. Non-compliance with International Financial Reporting Standard (IFRS) – 9 "Financial Instruments"

The Council assessed allowance for credit losses based on a flat percentage of 7% on gross receivables. This was contrary to International Financial Reporting Standard (IFRS) 9 - "Financial Instruments" paragraph 5.5.17 which requires financial instruments to be measured in a way that reflects an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes, the time value of money and reasonable and supportable information. Had Council recognised allowance for credit losses in accordance with IFRS 9, the financial statements would have been materially different.

iii. Non-compliance with International Accounting Standard (IAS) 16- "Property, Plant and Equipment".

The Council did not assess the residual values and useful lives of its property, plant and equipment. This was contrary to IAS 16 paragraph 51 which requires residual values and useful lives of property, plant and equipment to be reviewed at least at each annual reporting date. Had the Council assessed residual lives and useful lives of its property, plant and equipment, the carrying amounts would have been materially different.

Below are material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Property, plant and equipment

The Council did not assess the residual values and useful lives of its property, plant and equipment with a carrying amount of ZWL$5.36 million. This was contrary to IAS 16 paragraph 51 which requires residual values and useful lives of property, plant and equipment to be reviewed at least at each annual reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should assess the residual values and useful lives of its property, plant and equipment in accordance with IAS16.

Management response

The observation is noted. The Finance Department is undergoing capacitation to carry out the valuations as per the standards.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Assessment of expected credit losses

The Council assessed allowance for credit losses based on a flat percentage of 7% on gross receivables. This was contrary to International Financial Reporting Standard (IFRS) 9 - "Financial Instruments" paragraph 5.5.17 which requires financial instruments to be measured in a way that reflects an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes, the time value of money and reasonable and supportable information.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise allowance for credit losses in accordance with IFRS 9.

Management response

Noted. Management will comply with the relevant standards in coming up with credit losses estimates.

3 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing audit findings and recommendations that I raised in my 2023 report. I raised six (6) findings, two (2) findings were addressed and four (4) were not addressed as indicated below;

3.1 Revenue

The finding was not addressed. Council did not a complete revenue database.

3.2 Fair value measurement - property, plant and equipment valuation

The finding was not addressed. The Council did not revalue its assets.

3.3 Management of stands

The finding was not addressed. The Council did not account for stands inventory.

3.4 Beer levy

The finding was not addressed. Council did not obtain beer sales schedules.

3.5 Policy documents and procedures manual

The finding was addressed. Policies are now in place.

3.6 Public Sector Investment Program (PSIP) funds

The finding was addressed. PSIP funds were utilised.

NYAMINYAMI RURAL DISTRICT COUNCIL 2021, 2022 and 2023

I have audited the financial statements of Nyaminyami Rural District Council for the years ended December 31, 2021, 2022 and 2023 and I issued an adverse opinion for all years.

Adverse Opinion 2021

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Nyaminyami Rural District Council as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10- "Reporting in Hyper Inflationary Economies"

The Council restated the Statement of Financial Performance items and non-monetary assets using the yearly average conversion factors. This was contrary to International Public Sector Accounting Standard (IPSAS) 10 - "Reporting in Hyper Inflationary Economies" which requires applying the change in general price index from the date of transaction. Had the Council restated the financial statements in accordance with IPSAS 10, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment" and IPSAS 21 – "Impairment of Non-cash Generating Assets"

Council did not recognise infrastructure assets such as roads and bridges in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment" which requires infrastructure assets to be recognised.

In addition, the Council did not assess whether assets had any indication of impairment as at the reporting date. This was contrary to International Public Sector Accounting Standard (IPSAS) 21 - "Impairment of Non-cash Generating Assets" paragraph 26 which requires an entity to assess at each reporting date whether there is any indication that an asset may be impaired. Had the Council recognised property, plant and equipment in accordance with IPSAS 17 and IPSAS 21, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16- "Investment Property".

The Council classified its investment properties as property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property" which requires properties held to earn rentals to be classified as investment property. Had the Council classified properties held to earn rentals as investment property, the financial statements would have been materially different.

iv. Opening accumulated fund

There was an unreconciled variance of ZWL$2.7 million between the opening accumulated fund and the prior year closing balance. The variance was reported as an adjustment to accumulated fund in the statement of changes in net assets. However, no disclosures were made to support the adjustment. As a result, I was unable to validate the adjustment.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 – "Segment Reporting".

The Council did not disclose segment information in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 18 – "Segment Reporting" which requires the Council to disclose segment revenue, expenses, assets and liabilities for each segment. Had the Council disclosed segment information, the financial statements would have been materially different.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Nyaminyami Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment" and IPSAS 21- "Impairment of Non-Cash Generating Assets"

Council did not recognise infrastructure assets such as roads and bridges in the financial statements contrary to IPSAS 17- "Property, Plant and Equipment" paragraph 21, which requires infrastructure assets to be recognised as property, plant and equipment.

In addition, the Council did not carry out an impairment assessment of non-current assets contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets" which requires entities to assess at the end of each reporting period whether there is any indication that any asset may be impaired. Had the Council recognised infrastructure assets and assessed its assets for impairment, the financial statements would have been materially different.

ii. Non-compliance to International Public Sector Accounting Standard (IPSAS) 23- "Revenue from Non-Exchange Transactions"

The Council did not collect beer levy from breweries in its jurisdiction contrary to IPSAS 23- "Revenue from Non-Exchange Transactions" paragraph 31 which requires an inflow of resources to be recognised when it is probable that future economic benefits will flow to the entity and the fair value of the asset can be measured reliably. Had the Council collected beer levy, the revenue reported would have been materially different.

iii. Unreconciled Inter-funds balance

The Council recognised an unsubstantiated inter-fund receivable balance of ZWL$83.1 million resulting from unreconciled inter-fund transactions. I could therefore not satisfy myself on the accuracy of the receivables disclosed in the financial statements.

iv. Unsupported expenditure

The Council did not avail supporting documentation such as invoices for expenditure amounting to ZWL$30.6 million recognised in the financial statements. I could not satisfy myself on the accuracy of expenses disclosed in the financial statements.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18- "Segment Reporting"

The Council did not disclose segment information contrary to IPSAS 18- "Segment Reporting" which requires revenue, expenses, assets and liabilities to be disclosed for each segment. Had Council disclosed segment information, the disclosures to the financial statements would have been materially different.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Nyaminyami Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

The Council did not recognise infrastructure assets such as roads and bridges in the financial statements contrary to IPSAS 17- "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised as property, plant and equipment. Had the Council recognised infrastructure assets, the financial statements would have been materially different.

ii. Non-compliance to International Public Sector Accounting Standard (IPSAS) 23 - "Revenue from Non-Exchange Transactions"

The Council did not recognise beer levy from breweries in its jurisdiction contrary to IPSAS 23- "Revenue from Non-Exchange Transactions" paragraph 31 which requires an inflow of resources to be recognised when it is probable that future economic benefits will flow to the entity and the fair value of the asset can be measured reliably. Had the Council recognised beer levy, the revenue reported would have been materially different.

iii. Unreconciled Inter-funds balance

The Council recognised an unsubstantiated inter-fund receivable balance of ZWL$198.95 million resulting from unreconciled inter-fund transactions. I could therefore not satisfy myself on the accuracy of the receivables disclosed in the financial statements.

iv. Unsupported expenditure

The Council did not avail supporting documentation such as invoices for expenditure amounting to ZWL$44.7 million recognised in the financial statements. I could not satisfy myself on the accuracy of expenses disclosed in the financial statements.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 - "Segment reporting"

The Council did not disclose its segment information contrary to IPSAS 18 - "Segment Reporting" which requires revenue, expenses, assets and liabilities to be disclosed for each segment. Had Council disclosed segment information, the disclosures to the financial statements would have been materially different.

vi. Inventories

The Council disclosed an inventory balance of ZWL$6.02 million which was not substantiated by a valuation report. I could not satisfy myself on the valuation of inventory disclosed in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Opening accumulated funds

Finding

There was an unreconciled variance of ZWL$2.7 million between the opening accumulated fund and the prior year closing balance. The variance was reported as an adjustment to accumulated fund in the statement of changes net assets. However, no disclosures were made to support the adjustment.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should investigate the variances and take corrective action.

Management response

Management has taken note of the recommendation and will ensure accurate opening balances are carried forward.

1.2 Reporting in hyperinflationary economies

Finding

The Council restated the Statement of Financial Performance items and non-monetary assets using the yearly average conversion factors. This was contrary to International Public Sector Accounting Standard (IPSAS) 10 - “Reporting in Hyper Inflationary Economies” which requires applying the change in general price index from the date of transaction.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should restate financial statements in accordance with IPSAS 10.

Management response

Council will comply with relevant accounting standards.

1.3 Investment property

Finding

The Council classified its investment properties as property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 - “Investment Property” which requires properties held to earn rentals to be classified as investment property.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should classify properties held to earn rentals as investment properties in accordance with IPSAS16.

Management response

Recommendation has been noted. A separation will be made between Property, Plant and Equipment (IPSAS) 45 and Investment Property (IPSAS) 16 as recommended.

1.4 Beer levy

Finding

The Council did not obtain beer levy schedules from the brewer. As a result, the Council did not recognise beer levy revenue contrary to International Public Sector Accounting Standard (IPSAS) 23- “Revenue from Non-Exchange Transactions” paragraph 31 which requires revenue to be recognised when it is probable that future economic benefits will flow to the entity.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise beer levy revenue in compliance with IPSASs.

Management response

Audit recommendation is noted.

1.5 Inter-funds accounting

Finding

The Council recognised an unsubstantiated inter-fund receivable balance of ZWL$198.95 million (2022: ZWL$ 83.1million) resulting from unreconciled inter-fund transactions. This was contrary to the Rural District Councils Act [*Chapter 29:13*] section (120) (1) which requires Council to keep books of accounts that are updated.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should investigate and clear the variance.

Management response

The recommendation has been noted, the difference will be investigated.

1.6 Segment reporting

Finding

The Council did not disclose its segment information contrary to International Public Sector Accounting Standard (IPSAS) 18- "Segment Reporting" which requires revenue, expenses, assets and liabilities to be disclosed for each segment.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should disclose segment information as required by IPSAS18.

Management response

Council notes the audit recommendation. The requirements of the accounting standard will be complied with.

2. MANAGEMENT OF ASSETS

2.1 Property, plant and equipment

Finding

Council did not recognise infrastructure assets such as roads and bridges in the financial statements contrary to International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised as property, plant and equipment.

In addition, the Council did not carry out an impairment assessment of non-current assets contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets**"** which requires entities to assess at the end of each reporting period whether there is any indication that an asset may be impaired.

Risk / implication

Misstatement of financial statements

Recommendation

The Council should recognise infrastructure assets and assess its assets for impairment at the end of each reporting period.

Management response

Management has noted the audit recommendation. Valuation of infrastructure assets is one of the key deliverables in terms of the IPSAS IMAP for the Council. The valuation of infrastructure has been rolled over to the 2025 financial year due to depressed revenue inflows. However, due to limited resources, this activity has been rolled over to 2025.

3. PROCUREMENT OF GOODS AND SERVICES

3.1 Expenditure supporting documents

Finding

The Council did not avail supporting documentation such as invoices for expenditure amounting to ZWL$44.7 million (2022: ZWL$30.6 million) recognised in the financial statements. This was contrary to SI 144 of 2019 paragraph 59 (2) which requires all expenditure to have supporting documents such as supplier invoices and receipts.

Risk / implication

Misstatement of financial statements.

Irregular transactions may go undetected.

Recommendation

Expenditure should be adequately supported.

Management response

Management has noted the recommendation. An analysis of each of the payment vouchers will be made to highlight the attachments thereto and the missing documents.

4. SERVICE DELIVERY

4.1 Dumpsite

Finding

The Council did not have a landfill to manage solid waste at Siakobvu township and was instead using a dumpsite, which was contrary to the Environmental Management Act [*Chapter 20:27*], First Schedule 11(a) which requires the Council to have a landfill. The dumpsite was not fenced.

Risk / implication

Financial loss due to penalties by regulatory agency.

Health hazards to the community.

Recommendation

Council should mobilise funds for the construction of a landfill.

Management response

Recommendation noted. Council has identified a site southwest of Siakobvu Growth Point for establishment of a landfill. The next step is for EMA to come and certify the site after which fencing of the area will be done in order to restrict animal and human access.

I have audited the financial statements of Nyanga Rural District Council for the year ended December 31, 2022 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Nyanga Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

The Council did not recognise infrastructure assets in the financial statements contrary to International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets such as sewer, water and road networks that meet the recognition criteria of an asset to be accounted for as property, plant and equipment.

In addition, the Council did not perform a revaluation of its property, plant and equipment since 2009 except for three (3) motor vehicles. This was contrary to IPSAS 17 paragraph 44 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the fair values at the reporting date. The Council also did not review the residual value and useful life of its property, plant and equipment as required by IPSAS 17- "Property, Plant and Equipment" paragraph 67.

Had the Council revalued its property, plant and equipment, accounted for its infrastructure assets and assessed the residual values and useful lives of its assets, the carrying amounts of items of property, plant and equipment disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standards (IPSASs) Conceptual framework

The Council was not invoicing for land levy on one hundred and eighty-two (182) mining operators within its jurisdiction. During the year ended December 31, 2022, the Council recognised land levy revenue of ZWL$2.5 million on cash basis from five (5) mining operators out of a total of mining operator on record. This was contrary to International Public Sector Accounting Standards (IPSASs) Conceptual Framework which requires accruals basis**.** Had Council invoiced one hundred and eighty-two (182) mining claims/ operators for land levy, the financial statements would have been materially different.

iii. Beer levy revenue

There was a variance of ZWL$3.5 million between beer levy revenue of ZWL$18.4 million recognised in the financial statements and a total of ZWL$21.9 million as per the traditional beer brewer's remitted schedule. Council did not reconcile to resolve the variance. Had the Council reconciled the revenue amounts, and made necessary adjustments, revenue recognised in the financial statements would have been materially different.

iv. Education levy revenue

There was an unreconciled variance of ZWL$1.7 million between the education levy revenue amount of ZWL$28.1 million recognised in the financial statements and ZWL$29.8 million as per the supporting schedules availed by school management. Council did not reconcile the figures to resolve the variance. Had the Council cleared the variances, the education levy revenue and the corresponding receivables balance disclosed in the financial statements would have been materially different.

v. Foreign exchange gains

The Council did not avail supporting computations for foreign exchange gains amounting to ZWL$43.7 million reported in the financial statements. I was therefore not able to satisfy myself as to the accuracy of the other income amount disclosed in the financial statements.

vi. Inter-funds

The Council was not reconciling inter-fund balances for Health, Housing, Roads, Water and General Purpose. As a result, there was an unreconciled debit variance of ZWL$2.1 million. Had the inter-fund balance been cleared, the payables amount recognised in the financial statements would have been materially different.

vii. Non - compliance with International Public Sector Accounting Standard (IPSAS 29) - "Financial Instruments"

The Council had receivables with a total credit balance of ZWL$24.4 million which could not be resolved contrary to accounting principles which requires receivables to have a debit balance. In addition, the Council did not assess its receivables for impairment for the year ended December 31, 2022. Instead, the Council applied a flat rate of 24% and recognised an allowance for credit losses on receivables of ZWL$59.4 million. This was contrary to the requirements of the International Public Sector Accounting Standard (IPSAS) 29 – "Financial Instruments", paragraph 67 which requires receivables to be assessed for impairment as at each reporting date. Had Council cleared the credit balances and assessed its receivables for impairment, the receivables amount disclosed would have been materially different.

viii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12- "Inventories"

The Council did not assign values to inventory items such as spare parts, maintenance materials and consumables. As a result, these inventory items were not valued and recognised in the financial statements for the year ended December 31, 2022. This was contrary to International Public Sector Accounting Standard (IPSAS) 12 – "Inventories" paragraph 12 which requires inventory items that meet the definition criteria of inventory to be recognised in the financial statements. I could not satisfy myself of the valuation and completeness of inventory of ZWL$684.3 million disclosed in the financial statements.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Bank reconciliations

Finding

The Council was not performing bank reconciliations for seven (7) of its twenty-four (24) cash books as there was staff shortages and Pastel accounting system breakdown. This was contrary to the Council's financial management guidelines which require bank reconciliations to be prepared monthly upon receipt of bank statements and must be reviewed and approved by a senior officer.

Risk / implication

Irregular transactions may be processed and not be detected on time.

Recommendation

Council should seek assistance from Information Technology (IT) Support and perform monthly bank reconciliations for all bank accounts on time.

Management response

The finding is noted and the recommendations will be implemented in future periods. Staff shortages and IT challenges experienced caused the Finance Department to fall behind in the preparation of financial statements resulting in a backlog for audits. New staff have since been recruited and a computerized accounting package was acquired. The work is now being done. However, reconciliations for all bank accounts could not be completed in time for the 2022 audit.

1.2 Inter-funds

Finding

The Council was not reconciling inter-fund balances for Health, Housing, Roads, Water and General Purpose. As a result, there was an unreconciled credit variance of ZWL$2.1 million between receivables balance of ZWL$7.4 million and payables balance of ZWL$9.5 million. Reconciliations were not performed due to staff shortages and records were not being updated to include all inter-fund transactions for the period. This was contrary to the Rural District Councils Act [*Chapter 29:13*] section (120) (1) which requires Council to keep books of accounts that are updated.

Risk / implication

Irregular transactions may not be detected on time.

Misstatement of financial statements.

Recommendation

Council should investigate and clear the variance.

Inter-funds records should be regularly updated for all transactions.

Management response

The finding is noted and the recommendations will be implemented in future periods. An inter-funds record will be maintained and updated regularly. The staff shortages and IT challenges cited above were the major causes resulting in delays in performing reconciliations.

1.3 Fuel management

Finding

The Council had no written policy or guidelines on fuel management. As a result, the Council did not maintain a fuel register with details of fuel received and issued. There was no evidence that fuel reconciliations were performed in relation to fuel which was held by the two (2) local fuel suppliers managing fuel on behalf of the Council.

Risk / implication

Irregular fuel drawdowns may not be detected on time.

Recommendation

Council should put in place fuel management policy and guidelines for effective, efficient and transparent fuel management.

Management response

There was indeed no written policy or guidelines on the management of fuel for which an improvement will be made in future periods. It is admitted that the fuel register was not maintained properly as it was not correctly updated for all fuel receipts and issues, leaving the stores requisition book as the record for fuel balances. This will be corrected in future periods.

1.4 Property, plant and equipment

Finding

The Council did not recognise infrastructure assets in the financial statements in accordance with International Public Sector Accounting Standard (IPSAS) 17 - “Property, Plant and Equipment” paragraph 21 which requires infrastructure assets such as sewer, water and road networks that meet the recognition criteria of an asset to be accounted for as property, plant and equipment.

In addition, the Council did not perform a revaluation of its property, plant and equipment since 2009 except for three (3) motor vehicles. This was contrary to IPSAS 17 paragraph 44 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the fair values at the reporting date. The Council also did not carry out an assessment of the residual value and useful life of its property, plant and equipment as required by IPSAS 17- “Property, Plant and Equipment” paragraph 67.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for property, plant and equipment in accordance with IPSAS 17.

Management response

In future, the financial management policy and the ZFRM will be used to guide accounting for infrastructure assets. An asset valuation exercise will be conducted by a professional valuation firm in 2024 which will ensure that all assets in a particular class are revalued. A record of PPE items that is temporarily idle, fully depreciated and or retired from active use will be maintained during a particular financial year will be prepared.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Education levy

Finding

There was an unreconciled variance of ZWL$1.7 million between the education levy revenue amount of ZWL$28.1 million recognised in the financial statements and ZWL$29.8 million as per the supporting schedules availed by school management. Council did not reconcile the figures to resolve the variance. This was contrary to the Rural District Councils Act [*Chapter 29:13*] section (120) (1) which requires Council to keep books of accounts as may be necessary to maintain a true and proper record of all matters relating to the financial transactions.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should investigate and clear the variances.

Council should obtain enrolment schedules on time for invoicing purposes.

Management response

The finding is noted and the recommendations will be implemented in future periods. Prior to 2022 Council was maintaining debtors' records manually. In 2022 the computerized debtors' management module was adopted which may have caused officers to make numerous mis-posts. In addition, the Government's new chart of accounts was implemented for the first time in the system which may also have contributed to mis-posts as staff were still to learn more about.

2.2 Revenue from mining claims

Finding

The Council was not invoicing for land levy on one hundred and eighty-two (182) mining claims/ operators within its jurisdiction. During the year ended December 31, 2022, the Council recognised land levy revenue of ZWL$2.5 million on cash basis from five (5) mining operators out of a total of mining claims on record. This was contrary to International Public Sector Accounting Standards (IPSASs) Conceptual Framework which requires accruals basis**.**

Risk / implication

Loss of revenue due to non-collection of land levy.

Misstatement of financial statements.

Recommendation

The Council should invoice land levy on all mining operators within its jurisdiction.

Management response

The finding is agreed to. Revenue from owners of mining claims was being accounted for on a cash basis. Following the auditors' recommendations for the previous year's audit Council engaged the Provincial Mining Director and was availed with an updated database of miners with contact details which will be used to raise invoices and to make follow ups of payments with the miners.

A meeting with miners, EMA officers and officials from the Provincial Mining Director was held in Feb 2024 at Ruwangwe DSC with a view to make the miners aware of their obligations to Council. Neighbouring Rural District Councils will also be engaged to learn from them on how they have been able to collect revenue from miners.

2.3 Beer levy revenue

Finding

There was a variance of ZWL$3.4 million between beer levy revenue of ZWL$18.4 million recognised in the financial statements and a total of ZWL$21.9 million as per the traditional beer brewer's remitted schedule. The Council accounted for beer levy on cash basis did not reconcile to resolve the variance.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should engage the brewer and reconcile the variance.

Management response

The finding is noted and the recommendations will be implemented.

2.4 Other income - foreign exchange gain

Finding

The Council did not avail supporting schedules for foreign exchange gains amounting to ZWL$43.7 million disclosed in the financial statements. The Council was not recognising foreign gains or losses at the time of recording the transactions. Instead, the Council processed a once off journal entry without a breakdown of items on which the foreign exchange gains were arising from. This was contrary to International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates" which requires foreign

exchange gains on monetary items to be recognised at the date of settlement and at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should account for exchange gains or losses in accordance with IPSAS 4.

Management response

The finding is noted, and the recommendations will be implemented in future periods. Staff in the Finance Department will be given relevant training to minimize translation errors.

2.5 Receivables

Finding

The Council had receivables with a total credit balance of ZWL$24.4 million which could not be resolved as it was not raising invoices at the time of transaction. In addition, the Council did not assess its receivables for impairment for the year ended December 31, 2022. Instead, the Council applied a flat rate of 24% and recognised an allowance for credit losses on receivables contrary to the requirements of the International Public Sector Accounting Standard (IPSAS) 29 – "Financial Instruments", paragraph 67 which requires receivables to be assessed for impairment as at each reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should invoice all its customers at the date of transaction.

The Council should account for allowance for credit losses in accordance with IPSAS.

Management response

The finding is noted and the recommendations will be implemented in future periods. The financial management policy being crafted will be carrying the assumptions, judgements and / or models to determine allowances for credit losses. Staff in the Finance Department will be trained to minimize cases of mis-posts while supervisors will be asked to be more active in checking the work of their subordinates.

3 MANAGEMENT OF ASSETS

3.1 Inventories

Finding

The Council did not assign values to inventory items such as spare parts, maintenance materials and consumables. As a result, inventory items were not valued and recognised in

the financial statements for the year ended December 31, 2022. This was contrary to International Public Sector Accounting Standard (IPSAS) 12 - “Inventories” paragraph 12 which requires inventory items that meet the definition criteria of inventory to be recognised in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for all inventory items in the financial statements.

Management response

An inventory valuation exercise will be conducted in due course and the values so determined will be attached to the inventory items and included in the financial statements.

4 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my 2023 annual audit report. I raised ten (10) audit findings, nine (9) were not addressed, and one (1) was partially implemented.

4.1 Inter-funds

The finding was not addressed. There was still an unreconciled inter-fund balance.

4.2 Revenue from mining claims

The finding was not addressed. The Council did not establish a database of mining claims for billing.

4.3 Beer levy revenue

The finding was partially addressed. Although schedules were availed, figures reported were not agreeing.

4.4 Property, plant and equipment valuation

The finding was not addressed. Revaluation of assets was still to be done.

4.5 Inventories

The finding was not addressed. The Council was yet to value inventory items for recognition in the financial statements.

4.6 Policy and accounting procedures manual

The finding was not addressed. The Polices are awaiting Full Council approval.

4.7 Asset register

The finding was not addressed. The Council did not have a complete asset register.

4.8 Fees received in advance

The finding was not addressed. Management is yet to provide supporting information for the journal passed.

4.9 Receipts from debtors or receivables

The finding was not addressed. Management is yet to investigate causes of the missing records.

4.10 Management of receipt books

The finding was not addressed. Management is yet to provide the missing receipt books for audit verification.

I have audited the financial statements of Runde Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified section of my report, the financial statements present fairly, in all material respects, the financial position of Runde Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis of Qualified Opinion

i. Completeness of revenue

The Council did not have a complete customer database, as a result, mining claims clients were not billed for the period under review. The completeness of the revenue disclosed in the financial statements could not be reliably verified as my audit was limited to the amounts recorded in the Council records. I was therefore unable to determine whether any adjustments were necessary.

ii. Non-compliance with International Accounting Standards (IAS) 16 - "Property, Plant and Equipment" and IAS 36 – "Impairment of Assets."

The Council did not account for the land on which office buildings were constructed in its financial statements, this was contrary to IAS 16 - "Property, Plant and Equipment" paragraph 15. In addition, Council did not assess its property plant and equipment for indications of impairment. This was contrary to IAS 36 - "Impairment of Assets" paragraph 9 which requires an entity to assess at the end of each reporting period whether there is any indication that an asset may be impaired. Had Council accounted for its property, plant and equipment in accordance with IAS 16 and IAS 36, the financial statements would have been materially different.

iii. Non-compliance with International Accounting Standard (IAS) 2 – "Inventories"

Council did not account for inventory of stands in the financial statements in terms of IAS 2- "Inventories" and I could not quantify the stands inventory through alternative means. As a result, I was unable to determine whether any adjustments were required to the financial statements.

Below are other material issues that were noted during the audit;

1 GOVERNANCE ISSUES

1.1 Land valuation

Finding

The Council did not account for the land on which office buildings were constructed in its financial statements, this was contrary to IAS 16 paragraph 15 which requires an item of property, plant and equipment that qualifies for recognition as an asset to be recognised.

In addition, Council did not assess its property plant and equipment for indications of impairment. This was contrary to IAS 36 - “Impairment of Assets” paragraph 9 which requires an entity to assess at the end of each reporting period whether there is any indication that an asset may be impaired. Had Council accounted for its property, plant and equipment in accordance with IAS 16 and IAS 36, the financial statements would have been materially different.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should value land on which office buildings were constructed and account for it in the financial statements to comply with IAS 16.

The Council should assess at the end of each reporting period whether there is any indication that property, plant and equipment may be impaired.

Management response

Noted, valuation is in progress

1.2 Inventory

Finding

The Council stands register was not updated for record of unsold stands as a result, the Council did not account for inventory of stands in the financial statements in terms of IAS 2- “Inventories”.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should maintain an updated stand register to enable accounting for stands inventory in the accounting system.

Management response

We are in the process of updating the stands register, Council appointed for the process of updating valuation roll.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Income collecting database

Finding

The Council did not have a complete customer database, as a result, mining claims clients were not billed for the period under review. The completeness of the revenue disclosed in the financial statements could not be reliably verified as my audit was limited to the amounts recorded in the Council records.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should ensure that the revenue database is complete and all clients are billed.

Management response

Progress has been made, still yet to access everyone.

3 SERVICE DELIVERY

3.1 Council ambulance

Finding

Council had no functional ambulance for the last two years due to breakdowns. This was contrary to section 35 of the First Schedule of the Rural District Council Act [*Chapter 29.13*] which states that the Council is required to provide and operate an ambulance service inside the Council area or any portion thereof or outside the Council area.

Risk / implication

Access to emergency services is compromised in the absence of an ambulance.

Recommendation

The Council should consider procuring or repairing the current ambulance for emergencies.

Management response

Recommendation noted.

4 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 report. I raised three (3) findings, two (2) were not addressed and one (1) was partially addressed as indicated below

4.1 Stands inventory

The finding was not addressed. Stands inventory not accounted for in the financial statements.

4.2 Completeness of revenue

The finding was not addressed. Customer database not complete.

4.3 Lease agreement

The finding was partially addressed. All leases are now in place, except for the Council farm.

I have audited the financial statements of Rushinga Rural District Council for the year ended December, 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters described in the Basis for Adverse Opinion section of our report, the financial statements do not present fairly, the financial position of Rushinga Rural District Council as at December 31, 2023, its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 33 - "First-time Adoption of Accrual Basis International Public Sector Accounting Standards."

The Council did not conduct a valuation of its property, plant and equipment to determine fair values as required by IPSAS 33 – "First-time Adoption of Accrual Basis International Public Sector Accounting Standards" paragraph 67 which requires an entity to determine deemed cost of its assets at the date of transition. I could not determine, by alternative means, adjustments necessary to state property and equipment at fair value.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments."

The Council did not recognise an allowance for credit losses on its receivables contrary to IPSAS 41 - "Financial Instruments" paragraph 73 which requires an entity to recognise a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance of ZWL$5.5 billion would have been materially different.

iii. Suspense account

Included in receivables of ZWL$5.55 billion is a suspense amount of ZWL$207.55 million related to an outstanding receipt control balance which was not cleared as at December 31, 2023. The Council used a receipt control account for posting transactions to respective cashbooks for payments made by customers in respect of several revenue heads which should be cleared. I could not ascertain the adjustments necessary to clear the suspense amount.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12- "Inventories"

The Council did not recognise inventory in the financial statements despite holding building materials as at year end which met the recognition criteria of inventory. This was contrary to IPSAS 12 – "Inventories" paragraph 12, which requires such items to be recognised as inventory in the financial statements. Had the Council recognised inventory, the financial statements would have been materially different.

Below are other material issues noted during the year;

1. REVENUE COLLECTION AND DEBT RECOVERY

1.2 Suspense account

Finding

Included in receivables of ZWL$5.55 billion is a suspense amount of ZWL$207.55 million related to an outstanding receipt control balance which was not cleared as at December 31, 2023. The Council used a receipt control account for posting transactions to respective cashbooks for payments made by customers in respect of several revenue heads which should be cleared.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should investigate and clear the suspense account.

Management response

The system was not clearing deposit cessions, this was noted in the previous audit. The inclusion of IT audit personnel in the current external audit team has helped in highlighting and recommending action to be taken on key IT audit issues.

1.3 Allowance for expected credit losses

Finding

The Council did not recognise an allowance for credit losses on its receivables contrary to IPSAS 41 - “Financial Instruments” paragraph 73 which requires an entity to recognise a loss allowance for expected credit losses on financial assets.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise an allowance for credit losses in its financial statements.

Management response

We have noted the gap and shall change to meet the dictates of statutes and standards.

2. MANAGEMENT OF ASSETS

2.2 Property, plant and equipment

Finding

The Council did not conduct a valuation of its property, plant and equipment to determine fair values as required by IPSAS 33 – “First-time Adoption of Accrual Basis International Public Sector Accounting Standards” paragraph 67 which requires an entity to determine deemed cost of its assets at the date of transition.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should have its assets revalued in compliance with IPSAS.

Management response

The Council has no funds to finance the hiring of external evaluators, while we lacked the expertise to carry out the process internally. The Council expects to source the finances for the valuation of assets by 2025.

2.1 Inventory valuation

Finding

The Council did not recognise inventory in the financial statements despite holding building materials as at year end which met the recognition criteria of inventory. This was contrary to IPSAS 12 – "Inventories" paragraph 12, which requires such items to be recognised as inventory in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should recognise inventory in its financial statements.

Management response

Due to absence of a stock management module, the Council was not able to account for inventory movements real-time. As a result, all issued materials would not be included in stock even though it has not yet been used.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made little progress in addressing findings that I raised in my 2023 annual report. I raised six (6) findings, one (1) was addressed, two (2) were partially addressed and three (3) were not addressed as indicated below;

3.1 Receivables

The finding was not addressed. The Council did not recognise an allowance for credit loss on receivables.

3.2 Revenue

The finding was partially addressed. Council updated customer databases but did not upload in ERP.

3.3 Bonus expense

The finding was addressed. Bonus was recognised on accruals basis.

3.4 Service level agreement for accounting system

The finding was not addressed. The Council is using an un-licenced accounting system.

3.5 Valuation of property, plant and equipment

The finding was not addressed. The Council did not revalue its assets.

3.6 PSIP loan

The finding was partially addressed. The Council made part payment towards the loan settlement.

SANYATI RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Sanyati Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Sanyati Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45- "Property, Plant and Equipment"

The Council did not separate its land and buildings resulting in land being depreciated. This was contrary to the requirements of IPSAS 45- "Property, Plant and Equipment" paragraph 50 which prohibits the depreciation of land. In addition, the Council did not carry out an assessment of the residual values and useful life of its property, plant and equipment contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 48 which requires the residual value and the useful life of an asset to be reviewed at least at each annual reporting date. Had the Council separated land and buildings and assessed its residual values of its assets the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standards (IPSAS) 21 - "Impairment of Non-Cash Generating Assets"

The Council did not carry out an impairment test as provided for in IPSAS 21- "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an assessment to be carried at each reporting date to determine whether there is any indication that an asset is impaired. Had the Council assessed for indicators of impairment the financial statements would have been materially affected.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments"

The allowance for credit losses on receivables was determined using a Council resolution at a rate of 2%. I was not availed with the assumptions used to determine this rate. This was contrary to IPSAS 41- "Financial Instruments" paragraph 90 which requires an entity to measure expected credit losses in a way that reflects an unbiased probability weighted amount that is determined by evaluating a range of possible outcomes, reasonable and supportable information. Had the Council assessed for an allowance for credit losses the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE SSUES

1.1 Property, plant and equipment

Finding

The Council did not separate its land and buildings resulting in land being depreciated. This was contrary to the requirements of IPSAS 45- “Property, plant and equipment”, paragraph 50 which prohibits the depreciation of land. In addition, the Council did not carry out an assessment of the residual values and useful life of its property, plant and equipment contrary to IPSAS 45 - “Property, plant and equipment”, paragraph 48 which requires the residual value and the useful life of an asset to be reviewed at least at each annual reporting date.

The Council did not also carry out an impairment test as provided for in IPSAS 21- “Impairment of Non-Cash Generating Assets” paragraph 26 which requires an assessment to be carried at each reporting date to determine whether there is any indication that an asset is impaired.

Risk / implication

Financial statements may be materially misstated.

Recommendation

Council should separate land from buildings, review residual values and useful lives of assets.

Council should annually assess its property, plant and equipment for indicators of impairment.

Management response

The observation has been noted. The issue will be addressed during the valuation exercise to be done in 2024.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Allowance for credit losses

Finding

The allowance for credit losses on receivables was determined using a Council resolution at a rate of 2%. I was not availed with the assumptions used to determine this rate. This was contrary to International Public Sector Accounting Standards (IPSAS) 41- “Financial Instruments” paragraph 90 which requires an entity to measure expected credit losses in a way that reflects an unbiased probability weighted amount that is determined by evaluating a range of possible outcomes, reasonable and supportable information.

Risk / implication

Misstatements of financial statements.

Recommendation

Council should determine allowance for credit losses in compliance with the requirements of IPSAS 41.

Management response

The 2% rate used to calculate the allowance for credit loss on all receivables was used in the previous financial statements. The use of the same 2% was due to the assessment done which pointed out that a 2% provision was reasonable in calculating the allowance for credit loss. This is in line with the Council resolution.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2023 annual report. I raised six (6) findings, three (3) were addressed and three (3) were not addressed as indicated below;

3.1 Master plan

The finding was addressed. The master plan was submitted to the parent ministry by the deadline of June 30, 2024.

3.2 Accounting for Property, plant and equipment

The finding was not addressed. The Council did not separate land from buildings.

3.3 Valuation roll and billing

The finding was addressed. The valuation exercise was done.

3.4 Segregation of duties in processing

The finding was not addressed. There is no segregation of duties in the processing of salaries.

3.5 Accounting procedure manual

The finding was not addressed. The Council did not develop an accounting procedure manual.

3.6 Beer levy

The finding was addressed. The Council now obtains sales schedules from the brewers.

TONGOGARA RURAL DISTRICT COUNCIL 2022 and 2023

I have audited the financial statements of Tongogara Rural District Council for the years ended December 31, 2022 and 2023 and I issued qualified opinion for both years.

Qualified Opinion 2022

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Tongogara Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 26 – "Impairment of Cash Generating Assets"

The Council did not assess non-current assets for impairment at the reporting date despite the assets having indicators for impairment. This was contrary to International Public Sector Accounting Standard (IPSAS) 26 – "Impairment of Cash Generating Assets", requires entities to assess at the end of each reporting period whether there is any indication that any asset may be impaired. Had the Council assessed its assets for indicators of impairment at the reporting date, the property, plant and equipment would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard 16 (IPSAS) – "Investment Property"

The Council classified its investment properties as property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property" which requires properties held to earn rentals to be classified as investment property. Had the Council classified properties held to earn rentals as investment property, the financial statements would have been materially different.

Qualified Opinion 2023

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Tongogara Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard 17 – Property, Plant and Equipment"

The Council did not separate land from buildings in the financial statements and therefore land was depreciated contrary to International Public Sector Accounting Standard 17 – Property, Plant and Equipment" paragraph 74 which requires land to be separately presented and buildings to be depreciated. Had Council separated land from buildings, the carrying amount of property, plant and equipment disclosed in the financial statements at ZWL$3.21 billion would have been materially different.

ii. Accumulated funds

The opening accumulated fund was not reconciled to the closing balance, there variance of ZWL$2.40 billion. No disclosures were made to support the adjustment. As a result, I was unable to validate the adjustment.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 - "Segment reporting"

The Council did not disclose segment information contrary to the requirements of International Public Sector Accounting Standard (IPSAS) 18 - "Segment reporting", paragraph 52 which requires the Council to disclose segment financial information. Had Council made adequate disclosures financial statements would have been useful to users.

iv. Non-compliance with Impairment International Public Sector Accounting Standard (IPSAS) 26 – "Impairment of Cash Generating Assets"

The Council did not assess non-current assets for impairment indicators at the reporting date despite the assets having indicators for impairment. This was contrary to International Public Sector Accounting Standard (IPSAS) 26 – "Impairment of Cash Generating Assets" that requires entities to assess at the end of each reporting period whether there is any indication that any asset may be impaired. Had the Council assessed its assets for indicators of impairment at the reporting date, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Impairment of non-current assets

Finding

The Council did not assess non-current assets for impairment indicators at the reporting date despite the assets having indicators for impairment. This was contrary to International Public Sector Accounting Standard (IPSAS) 26 – "Impairment of Cash Generating Assets" that requires entities to assess at the end of each reporting period whether there is any indication that any asset may be impaired.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment indicators assessment at the end of each reporting period in compliance with IPSAS 26.

Management response

Noted. Impairment of assets will be done in future.

1.2 Investment property

Finding

The Council classified its investment properties as property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 - “Investment Property” which requires properties held to earn rentals to be classified as investment property.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should classify properties held to earn rentals as investment properties in accordance with IPSAS16.

Management response

Investment property has been reported in Property, Plant and Equipment (PPE), however we are going to separate it from PPE in the following financial year financial statements.

1.3 Property, plant and equipment

Finding

The Council did not separate land from buildings in the financial statements and therefore land was depreciated contrary to International Public Sector Accounting Standard (IPSAS) 17 – Property, Plant and Equipment” paragraph 74 which requires land to be separately presented and buildings to be depreciated.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should recognise land and buildings separately in accordance with IPSAS17.

Management response

Noted. Land is going to be reported separately in the 2024 financial statements.

1.4 Segment reporting

Finding

The Council did not disclose segment information contrary to the requirements of International Public Sector Accounting Standard (IPSAS) 18 - “Segment reporting”, paragraph 52 which requires the Council to disclose segment financial information.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should disclose segment information in the financial statements, in line with IPSAS18.

Management response:

Noted. Segment information will be disclosed in the 2024 financial statements

1.5 Opening balances

Finding

The opening accumulated fund was not reconciled to the closing balance, there variance of ZWL$2.40 billion. No disclosures were made to support the adjustment. As a result, I was unable to validate the adjustment.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should investigate the variances and take corrective action.

Management response

Noted. We will investigate the issue.

2 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised four (4) findings, one (1) was addressed and three (3) were not addressed as indicated below;

2.1 Vehicle registration books

The finding was not addressed. Vehicle registration books were not availed.

2.2 Unsupported expenditure

The finding was not addressed. Council did not provide supporting documents for expenditure incurred.

2.3 Receivables

The finding was addressed. The variances were cleared.

2.4 Land fill

The finding was not addressed. The Council did not have a landfill.

TSHOLOTSHO RURAL DISTRICT COUNCIL 2021, 2022 AND 2023

I have audited the financial statements of Tsholotsho Rural District Council for the years ended December 31, 2021 to 2023 and I issued an adverse opinion for 2021 and 2022 and a qualified opinion for 2023.

Adverse Opinion 2021

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Tsholotsho Rural District Council as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Framework Standards (IFRSs).

Basis for Adverse Opinion

i. Cash and cash equivalents

The Council disclosed cash and cash equivalents of ZWL$40 million in the financial statements. Included in cash and cash equivalents was cash on hand balances amounting to ZWL$2 million which was not substantiated by underlying records such as cash certificates. I could not therefore verify the existence of the cash on hand balances as at year end without the verified cash certificates.

ii. Non-compliance with International Accounting Standards (IAS) 21 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency transactions using interbank rates which did not meet the definition of a spot exchange rate as foreign currency was not available for immediate delivery at these rates. This was contrary to IAS - 21 "The Effects of Changes in Foreign Exchange Rates" paragraph 21 which requires foreign currency transactions to be recorded at spot exchange rates. Had Council translated foreign currency transactions using spot rates, the financial statements would have been materially different.

iii. Non-compliance with International Accounting Standard (IAS) 16 - "Property, Plant and Equipment"

The Council did not review the useful lives and residual values of assets as at December 31, 2021. In addition, the Council did not depreciate property, plant, and equipment. This was contrary to IAS 16 – "Property, Plant and Equipment" paragraph 51 which requires the review of the residual values and useful lives of assets at each reporting date and paragraph 43 which requires property, plant and equipment to be depreciated except for land. Had Council reviewed the useful lives and residual values of assets and depreciated assets, the financial statements would have been materially different.

iv. Non-compliance with International Accounting Standard (IAS) 40 – "Investment Property"

The Council incorrectly classified investment property as property, plant and equipment. This was contrary to IAS 40 - "Investment Property" paragraph 5 which requires properties held to earn rentals or for capital appreciation or both to be classified as investment property. Had the Council correctly classified investment property, the financial statements would have been materially different.

v. Non-compliance with International Financial Reporting Standard (IFRS) 9 – "Financial Instruments"

The Council did not recognise an allowance for credit losses on its receivables contrary to IFRS 9 - "Financial Instruments" paragraph 5(5)(1) which requires an entity to recognise a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance of ZWL$105.4 million would have been materially different.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Tsholotsho Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Financial Reporting Framework Standard (IFRS) - 15 "Revenue from Contracts with Customers"

The Council recognised revenue from property rentals and land levy amounting to ZWL$34.2 million on cash basis. This was contrary to IFRS 15 - "Revenue from Contracts with Customers" paragraph 31 which requires revenue to be recognized when an entity satisfies its performance obligation. Had Council recognised revenue from rentals and land levy on accrual basis, the revenue amount disclosed in the financial statements would have been materially different.

ii. Cash and cash equivalents

Included in cash and cash equivalents was a cash on hand balance amounting to ZWL$3 million which was not substantiated by underlying records such as cash certificates. I was not involved in the year end cash count for the Council as at December 31, 2022. I could not therefore verify the existence of the cash on hand balances as at year end without the verified cash certificates.

iii. Non-compliance with International Accounting Standards (IAS) 21 - "The Effects of Changes in Foreign Exchange Rates" with respect to recognition of transactions denominated in foreign currency.

The Council translated foreign currency transactions using interbank rates which did not meet the definition of a spot exchange rate as foreign currency was not available for immediate delivery at these rates. This was contrary to IAS- 21 "The Effects of Changes in Foreign Exchange Rates" paragraph 21 which requires foreign currency transactions to be recorded at spot exchange rates. Had Council translated foreign currency transactions using spot rates, the financial statements would have been materially different.

iv. Non-compliance with International Accounting Standard (IAS) 16 – "Property, Plant and Equipment".

The Council did not review the useful lives and residual values of assets as at December 31,2021. In addition, the Council did not depreciate property, plant, and equipment. This was contrary to IAS 16 - "Property, Plant and Equipment" paragraph 51 which requires the review of residual values and useful lives of assets at each reporting date and paragraph 43 which requires property, plant and equipment to be depreciated except for land. Had Council reviewed the useful lives and residual values of assets and depreciated assets, the financial statements would have been

materially different.

v. Non-compliance with International Accounting Standard (IAS) 40 - "Investment property".

The Council incorrectly classified investment property as property, plant and equipment. This was contrary to IAS 40 - "Investment Property" paragraph 5 which requires properties held to earn rentals or for capital appreciation or both to be classified as investment property. Had the Council correctly classified investment property, the financial statements would have been materially different.

vi. Non-compliance with International Financial Reporting Standard (IFRS) 9 - "Financial Instruments".

The Council did not recognise an allowance for credit losses on its receivables contrary to International Financial Reporting Standard (IFRS) 9 - "Financial Instruments" paragraph 5.5.1 which requires an entity to recognise a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance of ZWL$295.5 million would have been materially different.

Qualified Opinion 2023

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Tsholotsho Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for the Qualified Opinion

i. Non-compliance with International Financial Reporting Standard (IFRS) 9 - "Financial Instruments"

The Council did not recognise an allowance for credit losses on its receivables contrary to IFRS 9 - "Financial Instruments" paragraph 5(5)(1) which requires an entity to recognise a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance of ZWL$9.3 billion would have been materially different.

Below are other material issues noted during the year;

1. GOVERNANCE ISSUES

1.1 Cash and cash equivalents

Finding

The Council disclosed cash and cash equivalents of ZWL$40 million in the financial statements. Included in cash and cash equivalents was cash on hand balances amounting ZWL$2 million (2022: ZWL$3 million) which was not substantiated by underlying records such as cash certificates. I was not involved in the year end cash count for the Council as at December 31, 2021 and without verified cash certificates, I could not verify the existence of the cash on hand balances as at year end.

Risk / implication

Misstatement of financial statements.
Irregular transactions may go undetected.

Recommendation

Cash on hand balances should be supported by underlying records such as cash certificates.

Management response

Recommendation noted. Council will improve controls around cash and banking.

1.2 Allowance for credit losses

Finding

The Council did not have a credit loss policy and guidance on how to assess the recoverability of receivables. As a result, Council did not recognise an allowance for credit losses on its receivables contrary to International Financial Reporting Standard (IFRS) 9 - "Financial Instruments" paragraph 5(5)(1) which requires recognition of a loss allowance for expected credit losses on financial assets.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should recognise an allowance for credit losses on its receivables.

Management response

The observation is noted. Council is drafting the credit loss policy which should follow the normal council processes and procedures for its adoption.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue recognition

Finding

The Council recognised revenue from property rentals and land levy amounting to ZWL$34.2 million on cash basis. This was contrary to International Financial Reporting Standard (IFRS) 15 - "Revenue from Contracts with Customers" paragraph 31 which requires revenue to be recognized when an entity satisfies performance obligation.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognize revenue on accrual basis.

Management response

The Council has adopted the Zimbabwe Financial Reporting Manual, the Council's Implementation Matrix IMAP was approved by the Ministry of Finance and Economic Development. For the Financial statements for the year ended December 31, 2023 council has partly adopted IPSAS and full implementation will be achieved by December 31, 2024.

3. MANAGEMENT OF ASSETS

3.1 Property, plant and equipment

Finding

The Council did not review the useful lives and residual values of assets as at December 31, 2021. In addition, the Council did not depreciate property, plant, and equipment. This was contrary to International Accounting Standard (IAS) 16 – "Property, Plant and Equipment" paragraph 51 which requires an entity to assess the residual values and useful lives of assets at each reporting date and paragraph 43 which requires property, plant and equipment to be depreciated except for land.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should review the residual values and useful lives of assets at each reporting date and depreciate property, plant and equipment.

Management response

The Council has engaged the services of experts, to assist with developing Transitional IPSAS compliant financial statements for the 2024 financial year. The valuation issues will be addressed in line with IPSAS 46 – "Measurement".

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised five (5) findings and one (1) finding was addressed and four (4) were not addressed as indicated below;

4.1 Depreciation of assets and asset register

The finding was not addressed. The Council did not provide for depreciation and the asset register was not updated.

4.2 Investment property

The finding was not addressed. Council did not correct the classification error.

4.3 Allowance for credit losses

The finding was not addressed. Council did not assess its receivables for allowance for credit losses.

4.4 Approved tariffs per budget

The finding was addressed. Council aligned its tariffs to the budget.

4.5 Year-end adjustments

The finding was not addressed. The Council did not investigate the year - end adjustments.

UMGUZA RURAL DISTRICT COUNCIL 2021 AND 2022

I have audited the financial statements of Umguza Rural District Council for the years ended December 31, 2021 and 2022 and I issued an adverse opinion for both years.

Adverse Opinion 2021

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Umguza Rural District Council as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 - "Financial Reporting in Hyperinflationary Economies"

The Council did not prepare inflation adjusted financial statements for the year ended December 31, 2021. This was contrary to IPSAS 10 - "Financial Reporting in Hyperinflationary Economies", which requires entities operating in a hyperinflationary economy to prepare inflation adjusted financial statements. The financial statements were prepared on a historical basis despite the Zimbabwean economy being declared an inflationary environment effective July 2019. Had the Council accounted for the effects of inflation, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 – "The Effects of Changes in Foreign Exchange Rates"

During the financial year ended December 31, 2021, the foreign currency denominated transactions and balances were translated into ZWL$ using the interbank exchange rates. The interbank exchange rates used did not meet the definition of a spot exchange rate in accordance with IPSAS 4 "The Effects of Changes in Foreign Exchange Rates". Had the Council used the appropriate spot rates, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment"

The Council last revalued its property, plant and equipment in 2009. This was contrary to IPSAS 17 - "Property, Plant and Equipment" which requires revaluations to be carried out with sufficient regularity, to ensure that the carrying amount of an asset does not differ materially from its fair value at the reporting date.

In addition, the Council did not separate land from buildings. As a result, land was depreciated contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 74" which requires land and buildings to be accounted for separately. Had the Council revalued its property, plant and equipment and separated land from buildings, the amounts disclosed in the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property"

The Council did not disclose the fair value of its investment property with a carrying amount of ZWL$0.29 million. This was contrary to IPSAS 16 - "Investment Property" paragraph 90(e) which requires an entity to disclose the fair value of its investment property at the reporting date.

v. Temporary deposits

The Council did not clear unallocated temporary deposits amounting ZWL$10.21 million due to insufficient depositor details. As a result, I was unable to ascertain the accuracy of the receivables balances reported in the financial statements. Had the Council cleared the temporary deposits, the receivables balance recognised in the financial statements would have been materially different.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 29 – "Financial Instruments"

The Council did not avail sufficient documentation to support the assumptions used in recognising an allowance for credit losses (ECL) of ZWL$17.90 million. In addition, there was no evidence that management re-assessed the collectability of its receivables. This was contrary to IPSAS 29- "Financial Instruments" which requires relative assessment of credit risk and the impact of current and future economic conditions in the determination of credit losses.

vii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 – "Inventories"

The Council did not account for stands inventory in its financial statements contrary to IPSAS 12- "Inventories" paragraph 12, which requires land held for sale to be accounted for as inventory. I was not availed with details such as land size, location or number of stands. In addition, the Council did not avail a valuation report for medical drugs inventory carried at a value of ZWL$0.16 million. Consequently, I could not satisfy myself of the valuation and completeness of inventory disclosed in the financial statements.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, in all material respects the financial position of Umguza Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange rates"

During the financial year ended December 31, 2022, the foreign currency denominated transactions and balances were translated into ZWL$ using the interbank exchange rates. The interbank exchange rates used did not meet the definition of a spot exchange rate in accordance with International Public Sector Accounting Standard (IPSAS) 4 "The Effects of Changes in Foreign Exchange Rates". Had the Council used the appropriate spots rates, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment"

The Council last revalued its property, plant and equipment in 2009. This was contrary to IPSAS 17 - "Property, Plant and Equipment" which requires revaluations to be carried out with sufficient regularity, to ensure that the carrying amount of an asset does not differ materially from its fair value at the reporting date.

In addition, the Council did not separate land from buildings. As a result, land was depreciated contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 74" which requires land and buildings to be accounted for separately. Had the Council revalued its property, plant and equipment and separated land from buildings, the amounts disclosed in the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property"

The Council did not disclose the fair value of its investment property with a carrying amount of ZWL$43.58 million. This was contrary to IPSAS 16 - "Investment Property" paragraph 90(e) which requires an entity to disclose the fair value of its investment property at the reporting date. Had the Council disclosed the fair value of its investment property, the financial statements would be materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 – "Inventories"

The Council did not account for stands inventory in the financial statements contrary to IPSAS 12- "Inventories" paragraph 12, which requires land held for sale to be accounted for as inventory. I was not availed with details such as land size, location or number of stands. Consequently, I could not satisfy myself of the valuation and completeness of inventory disclosed in the financial statements.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 29 – "Financial Instruments"

The Council did not avail sufficient documentation to support the assumptions used in recognising an allowance for credit losses (ECL) of ZWL$17.90 million. In addition, there was no evidence that management re-assessed the collectability of its receivables. This was contrary to IPSAS 29- "Financial Instruments" which require relative assessment of credit risk and the impact of current and future economic conditions in the determination of credit losses.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Reporting in hyperinflationary economies

Finding

The Council did not prepare inflation adjusted financial statements for the year ended December 31, 2021 due to lack of expertise. This was contrary to IPSAS 10 - "Financial Reporting in Hyperinflationary Economies", which requires entities operating in a hyperinflationary economy to prepare inflation adjusted financial statements. The financial

statements were prepared on a historical basis despite the Zimbabwean economy being declared an inflationary environment effective July 2019.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should capacitate staff with continuous professional development (CPD).

Management response

Observation noted. This was due to staff technical capacity issues. We will send staff for training.

1.2 Valuation of property, plant and equipment

Finding

The Council last revalued its property, plant and equipment in 2009. This was contrary to International Public Sector Accounting Standard (IPSAS) 17 “Property, Plant and Equipment” which requires revaluations to be carried out with sufficient regularity, to ensure that the carrying amount of an asset does not differ materially from its fair value at the reporting date. In addition, the Council did not separate land from buildings. As a result, land was depreciated contrary to IPSAS 17 - “Property, Plant and Equipment” paragraph 74” which requires land and buildings to be accounted for separately.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should revalue its property, plant and equipment and separate land from buildings in accordance with IPSAS 17.

Management response

Council has engaged the Ministry of Local Government and Public works to undertake the revaluation exercise.

1.3 Valuation of investment property

Finding

The Council did not disclose the fair value of its investment property. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 - “Investment Property” paragraph 90(e) which requires an entity to disclose the fair value of its investment property at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should disclose the fair value of its investment property at each reporting date.

Management response

Council has engaged the Ministry of Local Government and Public works to undertake the revaluation exercise.

1.4 Inventories

Finding

The Council did not account for stands inventory in the financial statements contrary to International Public Sector Accounting Standard (IPSAS) 12- "Inventories" paragraph 12, which requires land held for sale to be accounted for as inventory. I was not availed with details such as land size, location or number of stands. In addition, the Council did not avail a valuation report for medical drugs inventory carried at a value of ZWL$0.16 million for the year ended December 31, 2021.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should account for its inventories in line with IPSAS 12.

Management response

A correctional journal will be passed to adjust the net realizable value to zero since the drugs are not sold but given out for free. Council does maintain a register of sold stands. However, the gaps and areas of improvement recommended, will be addressed by the on-going valuation roll development exercise which among its key objectives will also enable the updating of registers of both sold and unsold stands.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Receivables

Finding

The Council did not avail documentation to support the assumptions used in recognising an allowance for credit losses (ECL) of ZWL$17.90 million. In addition, there was no evidence that management re-assessed the collectability of its receivables. This was contrary to International Public Sector Accounting Standard (IPSAS) 29- "Financial Instruments" which require relative assessment of credit risk and the impact of current and future economic conditions in the determination of credit losses.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should document the assumptions used to support the allowance for credit losses.

Management response

At the end of the reporting period Council assessed whether there was any objective evidence that any of its financial assets or group of financial assets was impaired and found none, guided by IPSAS 29(68). Unfortunately, this was not documented. Future assessments will be documented as per audit recommendation, to provide evidence of undertaking the exercise.

2.2 Temporary deposits

Finding

The Council did not clear unallocated temporary deposits amounting ZWL$10.21 million due to insufficient depositor details. As a result, I was unable to ascertain the accuracy of the receivables balances reported in the financial statements.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should obtain sufficient details from its customers to clear the unallocated deposits.

Management response

The recommendation is noted, and all unknown deposits are being cleared as they occur as we move forward.

3. EMPLOYMENT COSTS

3.1 Staff benefits

Finding

The Council did not process school fees allowance amounting to ZWL$4.09 million through payroll. As a result, the allowance was not taxed contrary to section 8(1)(f) and (g) of the Income Tax Act [*Chapter 23:06*] which requires such benefit to be taxed.

Risk / implication

Financial losses due to penalties and interest

Recommendation

Management should ensure that all benefits are taxed.

Management response

Noted, all benefits accruing to employees will be paid through the payroll.

4. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The entity made some progress in addressing audit findings and recommendations raised in my previous audit report. I raised ten (10) audit findings, three (3) were addressed, four (4) were partially addressed and three (3) were not addressed as indicated below;

4.1 Supporting documents

The finding was partially addressed. The Council has attached some of the supporting documents to the relevant vouchers.

4.2 Asset revaluation

The finding was partially addressed. Asset revaluation is in progress.

4.3 Cash and cash equivalents

The finding was addressed. The Council investigated the variances and made necessary adjustments to the financial statements.

4.4 Beer Levy

The finding was partially addressed. The Council has engaged with its brewers.

4.5 Stand sales

The finding was partially addressed. Alignment with IPSAS is in progress.

4.6 Unsupported expenditure

The finding was addressed. Expenditure adequately supported.

4.7 Public sewerage services

The finding was not addressed. The Council did not rehabilitate its sewer system as it is no longer adequate to the ever-increasing population.

4.8 Inflation adjustments

The finding was addressed. The Council prepared inflation adjusted financial statements.

4.9 Taxable benefits

The finding was not addressed. The Council did not tax the fringe benefits.

4.10 Revenue variances

The finding was not addressed. Revenue variances were not cleared.

UMZINGWANE RURAL DISTRICT COUNCIL 2022 AND 2023

I have audited the financial statements of Umzingwane Rural District Council for the years ended December 31, 2022 and 2023 and I issued an adverse opinion for both years. The Council transitioned from IFRSs to IPSASs in 2023.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Umzingwane Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard (IAS) 29 – "Financial Reporting in Hyperinflationary Economies"

The Council did not prepare inflation adjusted financial statements for the year ended December 31, 2022. This was contrary to IAS 29 - "Financial Reporting in Hyperinflationary Economies", which requires financial statements for entities operating in a hyperinflationary economy to be adjusted for inflation. Had the Council adjusted its financial statements for inflation, the financial statements would have been materially different.

ii. Non-compliance with International Accounting Standard (IAS) 16 – "Property Plant and Equipment"

The Council did not revalue its property, plant and equipment. This was contrary to IAS 16 - "Property Plant and Equipment" paragraph 31 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting period. Had the Council revalued its assets, the financial statements would have been materially different.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Umzingwane Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rate"

The foreign currency denominated transactions and balances were translated into ZWL$ using interbank exchange rates. The exchange rates used did not meet the definition of spot exchange rate in accordance with IPSAS 4 – "The Effects of Changes in Foreign Exchange Rates" because foreign currency was not available for immediate delivery at these rates. Had the foreign denominated transactions been translated using spot exchange rates, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 – "Inventories"

The Council recognised inventory amounting ZWL$171.58 million. However, was unable to verify the valuation of inventory items on hand as at December 31, 2023 in the absence of supporting inventory valuation report. I could not satisfy myself with the valuation by alternative means.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments"

The Council did not recognise allowance for credit losses on the gross receivables of ZWL$4 billion. This was contrary to IPSAS 41 - "Financial Instruments" paragraph 73, which requires credit losses to be measured and recognised on a financial asset. Had the Council recognised an allowance for credit losses, the financial statements would have been material different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Revaluation of assets

Finding

The Council did not revalue its property, plant and equipment. This was contrary to IAS 16 - "Property Plant and Equipment" paragraph 31 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting period.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should revalue property, plant and equipment on a regular basis to comply with IAS 16.

Management response

The audit recommendation is noted. The Council has since done revaluation of its properties and the 2023 financials will have Property Plant and Equipment in revalued amounts.

1.2 Inflation-adjusted financial statements

Finding

The Council did not prepare inflation adjusted financial statements for the year ended December 31, 2022. This was contrary to IAS 29 - "Financial Reporting in Hyperinflationary Economies", which requires financial statements for entities operating in hyperinflationary economies to be adjusted for inflation.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should prepare inflation adjusted financial statements to comply with IAS 29.

Management response

The audit recommendation is noted. The 2023 financial statements will be hyper inflated.

1.3 Inventories

Finding

The Council recognised inventory amounting ZWL$171.58 million. However,I was unable to verify the valuation of inventory items on hand as at December 31, 2023 in the absence of supporting inventory valuation report. I could not satisfy myself on with the valuation by alternative means.

Risk / implication

Misstatement of financial statements.

Misappropriation of inventory.

Recommendation

Prepare inventory valuation reports at year end to support financial reporting.

Management response

Currently the issuing department is using manual inventory system. We have engaged the supplier for training on how to enter inventory in the system, issues, stock-take so that we produce an inventory valuation report.

1.4 Allowance for credit losses

Finding

The Council did not recognise allowance for credit losses on the gross receivables of ZWL$4 billion. This was contrary to IPSAS 41 - “Financial Instruments” paragraph 73, which requires credit losses to be measured and recognised on a financial asset.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should regularly assess its allowance for credit losses.

Management response

Audit recommendation is noted. Council will establish a realistic timeline and allocate sufficient resources for assessment of credit losses. A policy for the allowance of credit losses will be put in place.

UZUMBA MARAMBA PFUNGWE ZVATAIDA RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Uzumba Maramba Pfungwe Zvataida Rural District Council for the year ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Uzumba Maramba Pfungwe Zvataida Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard (IAS) 21 – "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency transactions and balances using inter-bank exchange rates. These exchange rates did not meet the definition of a spot exchange rate as foreign currency was not available for immediate delivery at these rates. This was contrary to IAS 21 - "The Effects of Changes in Foreign Exchange Rates" which requires spot exchange rates to be used. Had the foreign currency transactions and balances been recognised in accordance with the requirements of IAS 21 - "The Effects of Changes in Foreign Exchange Rates", the financial statements would have been materially different.

ii. Non-compliance with International Financial Reporting Standard (IFRS) 9- "Financial instruments"

The Council did not recognise an allowance for credit losses on its receivables contrary to IFRS 9 - "Financial Instruments" paragraph 5(5)(1) which requires an entity to recognise a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance of ZWL$4.39 billion would have been materially different.

iii. Non-compliance with International Accounting Standard (IAS) 16 – "Property, Plant and Equipment"

The Council did not revalue property, plant and equipment since 2011.This was contrary to IAS 16 - "Property, plant and equipment" paragraph 31 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially from the fair value determined at the reporting date. In addition, the Council did not depreciate items of property, plant and equipment contrary to IAS 16 – "Property, Plant and Equipment" which requires assets to be depreciated except for land. Had the Council revalued its property, plant and equipment and depreciated its assets, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council did not revalue property, plant and equipment since 2011.This was contrary to IAS 16- “Property, plant and equipment” paragraph 31 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially from the fair value determined at the reporting date. In addition, the Council did not depreciate items of property, plant and equipment contrary to IAS 16 – “Property, Plant and Equipment” which requires assets to be depreciated except for land.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should depreciate its assets and revalue property, plant and equipment.

Management response

We acknowledge the observation by the auditors and the Council will ensure all the assets will be depreciated and assets are to be revalued in 2024.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Allowance for credit losses

Finding

The Council did not recognise an allowance for credit losses on its receivables contrary to IFRS 9 - “Financial Instruments” paragraph 5(5)(1) which requires an entity to recognise a loss allowance for expected credit losses on financial assets.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should recognise an allowance for credit losses on receivables.

Management’s comment

The recommendation by Auditors is noted. A debt management policy is being crafted and would be implemented in 2024.

3 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 annual report. I raised two (2) findings which were not addressed as indicated below;

3.1 Revaluation of assets

The finding was not addressed. Council did not revalue its assets

3.2 Depreciation of assets

The finding was not addressed. Council did not depreciate its assets.

VUNGU RURAL DISTRICT 2020, 2021 AND 2022

I have audited the financial statements of Vungu Rural District Council for the years ended December, 31, 2020, 2021 and 2022 and I issued an adverse opinion for the three years.

Adverse Opinion 2020

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly in all material respects, the financial position of Vungu Rural District Council as at December 31, 2020, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard (IAS) 21 – "The Effects of Changes in Foreign Exchange Rates"

The prior year financial statements did not comply with the requirements of IAS 21 – "The Effects of Changes in Foreign Exchange Rates", as the Council was unable to use an appropriate exchange rate on change of functional currency. The Council translated its comparative financial statements using the inter-bank rate which came into existence on February 22, 2019 through Exchange Control Directive RU 28 of 2019. Council used February 22, 2019 as the date of change in functional currency and translated its foreign denominated balances to ZWL$ at a rate of 1:1 per Statutory Instrument 33 of 2019 which prescribed that all assets and liabilities that were denominated in US$ before February 22, 2019 be deemed to be RTGS dollars at a rate of 1:1 and all transactions subsequent to February 22, 2019 at inter-bank rate. The exchange rate used did not meet the definition of spot rate as defined by IAS 21 – "The Effects of Changes in Foreign Exchange Rates". In that regard, the Council's 2020 opening balances misstatements have a material impact on the accuracy of current year financial statements.

ii. Non-compliance with International Accounting Standard (IAS 16) – "Property, Plant and Equipment"

The Council did not depreciate its property, plant and equipment disclosed in the financial statements at a carrying amount of ZWL$7.7 million. This was contrary to IAS 16 - "Property, Plant and Equipment" paragraph 43 which requires each item of property, plant and equipment to be depreciated separately. Had the Council depreciated its property, plant and equipment, the financial statements would have been materially different.

iii. Revenue

The Council invoiced revenue amounting to ZWL$47.70 million based on an outdated customer database. The database used was not updated with twenty-two (22) stands. As a result, I could not satisfy myself on the completeness of revenue and trade receivables.

iv. Receivables

The Council determined allowance for credit losses based on a flat rate of 10% on gross receivables of ZWL$14.73 million. This was contrary to the requirements of International Financial Reporting Standard (IFRS) 9 - "Financial Instruments", which requires credit losses of a financial instrument to be measured in a way that reflects an unbiased and probability-weighted amount, the time value of money and supportable information. Had Council

determined credit losses as per the requirements of IFRS 9 – "Financial Instruments" the receivables balance would be materially different.

v. Payables

The Council did not provide appropriate supporting documentation such as supplier confirmations and statements for 80% of reported balances of payables amounting to ZWL$1.36 million. As a result, I could not satisfy myself as to the accuracy, validity and completeness of the payables balance disclosed in the financial statements.

Adverse Opinion 2021

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Vungu Rural District Council as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard (IAS) 21 – "The Effects of Changes in Foreign Exchange Rates" and IAS 29- "Financial Reporting in Hyperinflationary Economies"

The opening balances of Council's foreign currency denominated transactions and balances were translated into ZWL$ using interbank exchange rates. The exchange rates used did not meet the definition of spot exchange rates in accordance with IAS 21- **"**The Effects of Changes in Foreign Exchange Rates" as foreign currency was not available for immediate delivery at interbank exchange rates. In addition, the Council did not use the appropriate base numbers for the inflation adjusted financial statements. These misstatements have not been corrected in the financial statements for the year ended December 31,2021. Had the Council used the correct base numbers and spot rates the inflation adjusted financial statements would have been materially different.

ii. Valuation of Property, plant and equipment

Council did not perform a revaluation of its property, plant and equipment with a carrying amount of ZWL$ 110. 2 million despite operating in a hyper-inflationary environment. This was contrary to International Accounting Standard (IAS) 16- "Property, Plant and Equipment which requires revaluation to be carried out regularly to ensure that the carrying amount does not differ materially from its fair value at the reporting date. Had the Council revalued its property, plant and equipment, the financial statements would have been materially different.

iii. Non-compliance with International Accounting Standard (IAS) 2 – "Inventories"

Council did not recognise its unsold stands in Somabula, Maboleni and Masvori in financial statement as at December 31, 2021. Management did not provide details of land size and number of available stands. As a result, I could not satisfy myself on the valuation and completeness of inventory. Had the Council recognised the stands the amount disclosed in the financial statements would have been materially different.

iv. Non-compliance with International Financial Reporting Standard (IFRS) 9- "Financial Instruments"

The Council did not assess for allowance for credit loss on its receivables with a carrying amount of ZWL$ 243.4 million disclosed in its financial statements. This was contrary to IFRS 9- "Financial Instruments", which requires credit losses to be measured and recognised using the expected credit loss (ECL) approach. Had the Council complied with the requirements of IFRS 9 – "Financial Instruments", the financial statements would have been materially different.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Vungu Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

i. Non- compliance with International Accounting Standard (IAS) 21 – "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign denominated transactions and balances to ZWL$ using the interbank exchange rates for the period. The exchange rates used for the translation did not meet the definition of spot exchange rates as per paragraph 8 of IAS 21 – "The Effects of Changes in Foreign Exchange Rates" as foreign currency was not available for immediate delivery at these rates. Had the Council applied the requirements of IAS 21 – "The Effects of Changes in Foreign Exchange Rates" many elements in the financial statements would have been materially different.

ii. Non-compliance with International Accounting Standard (IAS 16) – "Property, Plant and Equipment"

The Council did not depreciate its property, plant and equipment disclosed in the financial statements at a carrying amount of ZWL$450 million. This was contrary to IAS 16 - "Property, Plant and Equipment" paragraph 43 which requires each item of property, plant and equipment to be depreciated separately. Had the Council depreciated its property, plant and equipment, the financial statements would have been materially different.

iii. Non-compliance with International Accounting Standard (IAS) 2 – "Inventories"

Council did not recognise its unsold stands in Somabula, Maboleni and Masvori in financial statement as at December 31, 2022. Management did not provide details of land size and number of available stands. As a result, I could not satisfy myself on the valuation and completeness of inventory. Had the Council recognised the stands the amount disclosed in the financial statements would have been materially different.

iv. Non-compliance with International Accounting Standard (IAS) 40 – "Investment Property"

The Council incorrectly classified investment property such as beerhalls as property, plant and equipment this was contrary to International Accounting Standard (IAS) 40 – "Investment Property" which requires property held to earn rentals or for capital appreciation to be classified as investment property. Had the Council correctly classified investment property, the financial statements would have been materially different.

v. Non-compliance with International Financial Reporting Standard (IFRS) 15– "Revenue from Contracts with Customer"

The Council recognised revenue from education levy, development levy, business license and rental income on a cash basis instead of accruals basis. This was contrary to which IFRS 15 – "Revenue from Contracts with Customers", paragraph 31 which requires revenue to be recognised when performance obligation have been satisfied. Had the Council recognised revenue on accrual basis the financial statements would have been materially different.

vi. Non-compliance with International Financial Reporting Standard (IFRS) 9- "Financial Instruments"

The Council did not recognise an allowance for credit loss on its receivables with a carrying amount of ZWL$ 535.6 million disclosed in its financial statements. This was contrary to IFRS 9- "Financial Instruments", paragraph 5.5.1 which requires an entity to recognise a loss allowance for expected credit losses on a financial asset. Had the Council recognised an allowance for credit loss, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Depreciation

Finding

The Council did not depreciate its property, plant and equipment disclosed in the financial statements at a carrying amount of ZWL$450 million. This was contrary to International Accounting Standard (IAS) 16 - "Property, Plant and Equipment" paragraph 43 which requires each item of property, plant and equipment to be depreciated separately.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should depreciate property, plant and equipment in accordance with International Accounting Standard (IAS) 16.

Management response

Council is currently mobilizing resources to enable it to carryout assets inventory and Valuations. Once that is done Council will be able to depreciate its assets. The current assets values do not make any sense at all since these values were inherited from way back as 1980s.

1.2 Payables

Finding

The Council did not provide appropriate supporting documentation such as supplier confirmations and statements for 80% of reported balances of payables amounting to ZWL$1.36 million. In addition, the Council was not performing payables reconciliation.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should perform payables reconciliation and maintain supporting documentation.

Management response

Noted, we will start doing the reconciliations.

Some payments were made direct to our bank accounts and the respective payers failed to communicate/indicate services which they were paying. Bank statements do not indicate the depositor contact details to confirm details of payment.

1.3 Valuation of property, plant and equipment

Finding

Council did not perform a revaluation of its property, plant and equipment with a carrying amount of ZWL$ 110. 2 million despite operating in a hyper-inflationary environment. This was contrary to IAS 16- “Property, Plant and Equipment which requires revaluation to be carried out regularly to ensure that the carrying amount does not differ materially from its fair value at the reporting date.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should revalue its property, plant and equipment in accordance with IAS 16.

Management response

Council is facing financial constraints hence could not carry out asset valuation in time.

1.4 Investment property

Finding

The Council incorrectly classified investment property such as beerhalls as property, plant and equipment this was contrary to International Accounting Standard (IAS) 40 – “Investment Property” which requires property held to earn rentals or for capital appreciation to be classified as investment property.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should appropriately classify its investment property to comply with IAS 40 – "Investment Property".

Management response

Well noted. Valuation of the properties that fall under Investment Property will be conducted and the assets be reclassified.

1.5 Inventory

Finding

Council did not recognise its unsold stands in Somabula, Maboleni and Masvori in financial statement as at December 31, 2022. Management did not provide details of land size and number of available stands.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should recognize stands inventory in the financial statements.

Management response

Noted. We will take measures to rectify the situation.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Allowance for credit losses

Finding

The Council did not recognise an allowance for credit loss on its receivables with a carrying amount of ZWL$ 535.6 million disclosed in its 2022 financial statements. This was contrary to IFRS 9- "Financial Instruments", paragraph 5.5.1 which requires an entity to recognise a loss allowance for expected credit losses on a financial asset.

Risk / implication

Misstatement of financial statements

Recommendation

Council should recognise allowance for credit losses in accordance with IFRS 9.

Management response

Council to investigate an alternative solution to make sure aging is done.

2.2 Revenue recognition

Finding

The Council invoiced revenue amounting to ZWL$47.70 million in 2020 based on an outdated customer database. The database used was not updated with twenty-two (22) stands. In addition, the Council recognised revenue from education levy, development levy, business license and rental income on a cash basis instead of accruals basis. This was contrary to which IFRS 15 – “Revenue from Contracts with Customers”, paragraph 31 which requires revenue to be recognised when performance obligation have been satisfied.

Risk / implication

Misstatement of financial statements.

Financial loss due to unclaimed revenue.

Recommendation

The Council should invoice all its revenue streams that need to be recognized on an accrual basis as outlined in IFRS 15.

Management response

Council will come compile a data base of all the revenue streams above. Stand register reconciliation and updating is ongoing.

I have audited the financial statements of Zaka Rural District Council for the year ended December 31, 2022 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, in all material respects, the financial position of Zaka Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 – "The Effects of Changes in Foreign Exchange Rates"

The Council's prior year financial statements did not comply with the requirements of International Public Sector Accounting Standard (IPSAS) 4 – "The Effects of Changes in Foreign Exchange Rates" as foreign currency transactions and balances were translated to functional currency using exchange rates which did not meet the definition of spot exchange rates in accordance with IPSAS 4. As a result, opening balances for 2022 financial year had material misstatements which impacted the current year financial statements. The Council did not restate the opening balances to address the error.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment"

The Council did not depreciate its property, plant and equipment such as sewer treatment plant, motor vehicles and furniture and equipment with a carrying amount of ZWL 233.22 million contrary to International Public Sector Accounting Standard (IPSAS) 17 – "Property, Plant and Equipment" which requires property, plant and equipment to be depreciated over the estimated useful life of each asset. Had the Council depreciated its property, plant and equipment, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 – "Inventories"

The Council disclosed inventory with an amount of ZWL 20.83 million however, stores inventory was not valued and account for its in its financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 12 – "Inventories" which requires items not consumed at year end to be accounted for as inventory. Had the Council valued and accounted for stores inventory in its financial statements, the financial statements would have been materially different.

1 GOVERNANCE ISSUES

1.1 Inventory valuation

Finding

The Council disclosed inventory with an amount of ZWL 20.83 million however, stores inventory was not valued and account for its in its financial statements. This was contrary to

International Public Sector Accounting Standard (IPSAS) 12 – “Inventories” which requires items not consumed at year end to be accounted for as inventory.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should value and account for stores inventory in line with IPSAS 12.

Management response

Council to dispose obsolete stock that is unusable and those that are usable to be auctioned. Stock cards of usable are being maintained by the stores clerk. Computerisation of inventory to be put in trial.

1.2 Property, plant and equipment

Finding

The Council did not depreciate its property, plant and equipment such as sewer treatment plant, motor vehicles and furniture and equipment with a carrying amount of ZWL 233.22 million contrary to International Public Sector Accounting Standard (IPSAS) 17 – “Property, Plant and Equipment” which requires property, plant and equipment to be depreciated over the estimated useful life of each asset.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should align its accounting policies to IPSAS 17 and depreciate its property, plant and equipment.

Management response

Council policy will be updated and Council assets will be revalued to reflect the current values.

2. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing the finding that I raised in my 2023 annual report. The finding that I raised was not addressed as indicated below;

2.1 Property, plant and equipment

The finding was not addressed. The Council did not depreciate its property, plant and equipment.

ZIBAGWE RURAL DISTRICT COUNCIL 2021, 2022 and 2023

I have audited the financial statements of Zibagwe Rural District Council for the years ended December 31, 2021, 2022 and 2023, and I issued qualified opinions.

Qualified Opinion 2021

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Zibagwe Rural District Council as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 9 – "Revenue from Exchange Transactions".

The Council recognised revenue from the sale of land prematurely, on allocation. On allocation the buyer is required to pay 50% of the total cost of the land and the remaining 50% is paid within 12 months, in which case the Council retains ownership of the land. When the buyer fails to pay the full amount, the Council repossess the land. Recognition of revenue on allocation therefore does not comply with IPSAS 9 – "Revenue from Exchange Transactions" which requires revenue to be recognised when the Council has transferred to the purchaser the significant risks and rewards of ownership of the goods or the Council retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property".

The Council classified its investment properties as property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property" which requires properties held to earn rentals to be classified as investment property. Had the Council classified properties held to earn rentals as investment property, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments".

The Council did not provide for allowance for credit losses on its receivables. This was contrary to the requirements of IPSAS 41 - "Financial Instruments", which requires an entity to assess for credit losses on receivables. Had the Council complied with the requirements of IPSAS 41- "Financial Instruments", in accounting for its receivables, the carrying amount of receivables disclosed in the financial statements at ZWL$170.55 million would have been materially different.

Qualified Opinion 2022

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Zibagwe Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 9 – "Revenue from Exchange Transactions"

The Council recognised revenue from the sale of land prematurely, on allocation. On allocation the buyer is required to pay 50% of the total cost of the land and the remaining 50% is paid within 12 months, in which case the Council retains ownership of the land. When the buyer fails to pay the full amount, the Council repossess the land. Recognition of revenue on allocation therefore does not comply with IPSAS 9 – "Revenue from Exchange Transactions" which requires revenue to be recognised when the Council has transferred to the purchaser the significant risks and rewards of ownership of the goods or the Council retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property"

The Council classified its investment properties as property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property" which requires properties held to earn rentals to be classified as investment property. Had the Council classified properties held to earn rentals as investment property, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments"

The Council did not provide for allowance for credit losses on its receivables. This was contrary to the requirements of IPSAS 41 - "Financial Instruments", which requires an entity to assess for credit losses on receivables. Had the Council complied with the requirements of IPSAS 41- "Financial Instruments", in accounting for its receivables, the carrying amount of receivables disclosed in the financial statements at ZWL$697.17 million would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 – "Impairment of Non-Cash Generating Assets"

Council did not carry out an assessment for indicators of impairment of its property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 21– "Impairment of Non-Cash Generating Assets", which requires entities to assess at the end of each reporting period whether there is any indication that any asset may be impaired. Had the Council assessed for indications of impairment of its property, plant and equipment the financial statements would have been materially different.

Qualified Opinion 2023

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Zibagwe Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments"

The Council did not provide for allowance for credit losses on its receivables. This was contrary to the requirements of IPSAS 41 - "Financial Instruments", which requires an entity to assess for credit losses on receivables. Had the Council complied with the requirements of IPSAS 41- "Financial Instruments", in accounting for its receivables, the carrying amount of receivables disclosed in the financial statements at ZWL$17.37 billion would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 – "Impairment of Non-Cash Generating Assets"

Council did not carry out an assessment for indicators of impairment of its property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 21– "Impairment of Non-Cash Generating Assets", which requires entities to assess at the end of each reporting period whether there is any indication that any asset may be impaired. Had the Council assessed for indications of impairment of its property, plant and equipment the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Investment property

Finding

The Council classified its investment properties as property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property" which requires properties held to earn rentals to be classified as investment property.

Risk / implication

Misstatements of financial statements.

Recommendation

The Council should classify properties held to earn rentals as investment properties in line with IPSAS16.

Management response

This will be put in place.

1.2 Property, plant and equipment

Finding

Council did not carry out an assessment for indicators of impairment of its property, plant and equipment. This was contrary to International Public Sector Accounting Standard (IPSAS) 21– "Impairment of Non-Cash Generating Assets", which requires entities to assess at the end of each reporting period whether there is any indication that any asset may be impaired.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should assess its assets for indicators of impairment in accordance with IPSAS 21.

Management response

Council will comply with IPSAS 21 in the year 2024.

1.3 Allowance for credit losses

Finding

The Council disclosed receivables amounting to ZWL$17.37 billion, (2022: ZWL$697.17 million; 2021: ZWL$170.55 million). However, no allowance for credit losses were recognised contrary to the requirements of IPSAS 41 - “Financial Instruments”, which requires an entity to assess for credit losses on receivables.

Risk / implication

Misstatement of financial statements.

Recommendation

Council should perform an assessment for allowance for credit losses to comply with the requirements of IPSAS 41.

Management response

Noted, we will comply with the requirements of IPSAS 41. This will be addressed in the 2024 financial statements.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Recognition of revenue from sale of land

Finding

The Council recognised revenue from the sale of land prematurely, on allocation. On allocation the buyer is required to pay 50% of the total cost of the land and the remaining 50% is paid within 12 months, in which case the Council retains ownership of the land. When the buyer fails to pay the full amount, the Council repossess the land. Recognition of revenue on allocation therefore does not comply with IPSAS 9 – “Revenue from Exchange Transactions” which requires revenue to be recognised when the Council has transferred to the purchaser the significant risks and rewards of ownership of the goods or the Council retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods.

Risk / implication

Misstatements of financial statements.

Recommendation

The Council should recognise revenue after it transfers significant risks and rewards of ownership to the purchaser.

Management response

Noted, Council will implement the recommendation.

3 SERVICE DELIVERY

3.1 Sewer ponds

Finding

The Councils sewer ponds were not fenced off to protect livestock and humans from hazardous exposure. This was contrary to section 83 of the Public Health Act [*Chapter 15:09*] which requires the Council to take necessary measures for maintaining a safe environment.

Risk / implication

Health hazard to the community.

Possible financial loss due to fines and penalties.

Recommendation

The sewer ponds should be secured to prevent access by human beings and animals.

Management response

The fence is always stolen/ vandalized, considering security for the sewer ponds

3.2 No ambulances in hospitals

Finding

The Council did not have an ambulance to servicing Council clinics in the district as required by the first schedule item 35 of the Rural District Councils Act [*Chapter 29:18*] which requires the Council to provide and operate an ambulance service.

Risk / implication

Compromise in service delivery.

Recommendation

Council should mobilise funds to acquire ambulances.

Management response

Council budgeted for procurement of two ambulances, one to service the Zhombe Clinics cluster and the other one for the Silobela Clinics cluster.

4 PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing the findings that I raised in my 2023 annual report. I raised three (3) audit findings and they were all addressed as indicated below;

4.1 PAYE, AIDS levy and NSSA

The finding was addressed. System challenges have since been resolved.

4.2 Policies and procedures manual

The finding was addressed. Council has put in place the risk management, asset management, Information technology and accounting procedures manual

4.3 Beer levy

The finding was addressed. Council has engaged the commercial traditional brewers and obtaining actual sales returns

I have audited the financial statements of Zvimba Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Zvimba Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment"

The Council revalued its property, plant and equipment at US$79.7 million and translated the amounts to ZWL$486.6 billion using the interbank exchange rate as at December 31, 2023. This was contrary to IPSAS 45 – "Property, Plant and Equipment", paragraph 34, which requires an entity to revalue its assets to fair value at the date of revaluation. The use to the interbank exchange rate was not in line with the requirements of IPSAS 4, as the interbank exchange rates did not incorporate the assumptions that market participants would use when valuing similar items in ZWL$. Had the Council revalued its property, plant and equipment in accordance with IPSAS 45 and IPSAS 4, the carrying amounts disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment property"

The Council revalued its investment properties at US$2.2 million and translated the amounts to ZWL$42 billion using the interbank exchange rate as at December 31, 2023. This was contrary to IPSAS 16 – "Investment Property", "Investment Property" paragraph 19 which requires an entity to measure its investment property at fair value and the fair values to be determined by a qualified valuer. The use to the interbank rate was not in line with the requirements of IPSAS 4, as the interbank exchange rates did not incorporate the assumptions that market participants would use when valuing similar items in ZWL$. Had the Council revalued its investment property in accordance with IPSAS 16 and IPSAS 4, the carrying amounts disclosed in the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 - "Inventories"

The Council used an inappropriate method to determine the value of its stands inventory. The Council disclosed stands inventory fair valued at US$0.3 million which was translated to ZWL$1.9 billion using interbank exchange rate as at December 31, 2023. This was contrary to IPSAS 12 paragraph 26 which requires inventory to be measured at the lower of cost and net realizable value.

The use to the interbank exchange rate was not in line with the requirements of IPSAS 4, as the interbank exchange rates did not incorporate the assumptions that market participants would use when valuing similar items in ZWL$. Had the Council revalued its stands inventory in accordance with IPSAS 12 and IPSAS 4, the inventory amounts disclosed in the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Inventory valuation

Finding

The Council used an inappropriate method to determine the value of its stands inventory. The Council disclosed stands inventory fair valued at US$0.3 million which was translated to ZWL$1.9 billion using interbank exchange rate as at December 31, 2023. This was contrary to IPSAS 12 paragraph 26 which requires inventory to be measured at the lower of cost and net realizable value. The use of the interbank exchange rate was not in line with the requirements of IPSAS 4, as the interbank exchange rates did not incorporate the assumptions that market participants would use when valuing similar items in ZWL$.

Risk / implication

Misstatements of financial statements.

Recommendation

The Council should value inventories in accordance with the requirements of IPSAS 12.

Management response

Noted, the inventory module is subscribed in the current ERP and implementation to be done once training of personnel is completed. Partial training on advanced procurement was done.

1.2 Property, plant, and equipment

Finding

The Council revalued its property, plant and equipment at US$79.7 million and translated the amounts to ZWL$486.6 billion using the interbank exchange rate as at December 31, 2023. This was contrary to IPSAS 45 – “Property, Plant and Equipment”, paragraph 34, which requires an entity to revalue its assets to fair value at the date of revaluation. The use to the interbank exchange rate was not in line with the requirements of IPSAS 4, as the interbank exchange rates did not incorporate the assumptions that market participants would use when valuing similar items in ZWL$.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should value its property, plant and equipment line with IPSAS.

Management response

The recommendation has been duly noted, request for general valuation services has been initiated and staff will be trained after uploading the asset revaluations in the Asset Management module.

1.3 Investment property

Finding

The Council revalued its investment properties at US$2.2 million and translated the amounts to ZWL$42 billion using the interbank exchange rate as at December 31, 2023. This was contrary to IPSAS 16 – “Investment Property”, “Investment Property” paragraph 19 which requires an entity to measure its investment property at fair value and the fair values to be determined by a qualified valuer. The use to the interbank rate was not in line with the requirements of IPSAS 4, as the interbank exchange rates did not incorporate the assumptions that market participants would use when valuing similar items in ZWL$.

Risk / implication

Misstatement of financial statements.

Recommendation

The Council should value its property, plant and equipment line with IPSAS.

Management response

The recommendation has been duly noted, request for general valuation services has been initiated and staff will be trained after uploading the asset revaluations in the Asset Management module.

2 PROGRESS TOWARDS ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing the findings that I raised in my 2023 annual report. I raised four (4) audit findings, and all four (4) findings were addressed as indicated below;

2.1 Donated assets

The finding was addressed. Donations are now recognized in the financial statements as income.

2.2 Asset register

The finding was addressed. Infrastructure assets are now recognized in the financial statements.

2.3 Beer levy

The finding was addressed. Council had received beer sales returns.

2.4 Expected credit losses

The finding was addressed. Council had provided for an allowance for credit losses.

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
	CITY COUNCILS								
1	Bulawayo City Council	2021 2022 2023 2024	The basis of preparation was not clear on the framework used. Accounts submitted and audit in progress. Accounts not submitted Accounts not submitted	2019 2020 2021 2022 2023	The basis of preparation was not clear on the framework used. The basis of preparation was not clear on the framework used. Accounts submitted and audit in progress Accounts not submitted Accounts not submitted	-	-	-	-
2	Gweru City Council	2021	Adverse due to Non-compliance with IPSAS 10, IPSAS 35, IPSAS 17, Cash and cash equivalents, Expenditure, Grant income and Journal entries.	2020 2021	Disclaimer due to Non-compliance with IPSAS 10, Opening balances, expenditure, payables, IPSAS 17, Cash, Inventories, IPSAS 23, IPSAS 35 - Consolidated Financial Statements, Receivables	2019	Adverse due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 17, payables, receivables, expenditure, employment costs, Go Beer investment, cash, IPSAS 9 and inventories	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2022 2023 2024	Adverse due to IPSAS 10, IPSAS 35, IPSAS 17, Cash and cash equivalent, Expenditure, Grant income and Journal entries Adverse due to Non-compliance with IPSAS 10, IPSAS 35, IPSAS 17, Cash and cash equivalents, Expenditure, Grant income and Journal entries. Accounts not submitted	2022 2023	Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts submitted and audit in progress				
3	Harare City Council	2021	Adverse due to non-compliance with IPSAS 3, IPSAS 4, IPSAS 35, IPSAS 18, IPSAS 23, IPSAS 21, IPSAS 30, IPSAS 20,	2020	Adverse due to Opening balances, IPSAS 4, IPSAS 34, IPSAS 18, IPSAS17, IPSAS 16, IPSAS 27, IPSAS 12, IPSAS 30, payables, leave pay IPSAS 23, Repairs and maintenance, and IPSAS 20	2019	Disclaimer due to Financial statements not supported by underlying accounting records, IPSAS 34 Separate Financial	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2022 2023 2024	IPSAS 19 employee costs, current liabilities Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts not submitted	2021 2022 2023	Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts not submitted		Statements, IPSAS 35 Consolidated Financial Statements, IPSAS 36 Investments in Associates and Joint Ventures, IPSAS 37 Joint Arrangements and IPSAS 38 Disclosure of Interests in Other Entities, IPSAS 10 IPSAS 4, IPSAS 17, IPSAS 26 , IPSAS 16, IPSAS 12 Inventories, IPSAS 27 Agriculture, Receivables, Prepayments, Cash and bank, overdraft, Borrowings, Deferred grant, Equity/net assets, Revenue, Employment costs, expenses, Impairment loss, IPSAS 20, Provisions, Going concern.		

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
4	Kadoma City Council	2023 2024	Qualified due to non-compliance with IPSAS 1 and IPSAS 18 Accounts not submitted	2022 2023	Qualified due to Non-compliance with IPSAS 17 IPSAS 16 Investment Property, IPSAS 1, IPSAS 18 and IPSAS 23 Accounts submitted and audit in progress	2019 2020 2021	Adverse due to IPSAS 4, IPSAS 17, IPSAS 12 Inventories and IPSAS 14 Adverse due to IPSAS 4, IPSAS 17 Adverse due to IPSAS 17, IPSAS 16	2018	Adverse due to non-compliance with IPSAS 4
5	Kwekwe City Council	2021 2022 2023 2024	Qualified due to non - compliance with IPSAS 17 and IPSAS 21 Qualified due to non - compliance with IPSAS 17 and IPSAS 21 Accounts submitted and audit in progress Accounts submitted and audit in progress	2021 2022 2023	Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts submitted and audit in progress	2019 2020	Adverse due to Non-compliance with IPSAS 4 Adverse due to Non-compliance with IPSAS 4		

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
6	Masvingo City Council	2023 2024	Qualified due to non-compliance with IPSAS 47, IPSAS 16 and IPSAS 45 Accounts not submitted	2022 2023	Adverse due to non-compliance with IPSAS 35, IPSAS 17, IPSAS 12, intangible assets and revenue from non-exchange transactions Accounts submitted and audit in progress	2021	Adverse due to non-compliance with IPSAS 17 property plant and equipment, IPSAS 9 revenue from exchange transactions and IPSAS 12 inventories	2020	Adverse due to non-compliance with IPSAS 4, IPSAS 17, Valuation of construction work-in-progress, transfers from Government revenue and Land reserves.
7	Mutare City Council	2023 2024	Qualified due to schools opening balances, Schools incomplete records. Accounts submitted and audit in progress	2022 2023	Adverse due to IPSAS 35, IPSAS 17 and IAS 12 income taxes Accounts submitted and audit in progress	2021	Adverse due to non-compliance with IPSAS 17 property, plant and equipment, IPSAS 9 unreconciled variance on business licence revenue, Council subsidiary, payables, rental income and beer sales revenue.	2020	Adverse due to non-compliance with IPSAS 4 on opening balances, Consolidation of investment in subsidiary, Assessment of impairment on investment properties, Unreconciled revenue, Stands inventory, Non-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
									compliance with IPSAS 17.
8	Victoria Falls City Council	2023 2024	Qualified due to IPSAS 12, and IPSAS 47 Accounts submitted and audit in progress	2022 2023	Qualified due to IPSAS 17 Accounts submitted and audit in progress	2021	Qualified opinion due to non-compliance with IPSAS 17 property, plant and equipment	2020	Qualified due to Non-compliance with IPSAS 4 opening balances translation
	MUNICIPAL COUNCILS								
9	Beit-Bridge Municipality	2021 2022 2023 2024	Disclaimer due to Property, plant and equipment, IPSAS 10, IPSAS 41 and revenue Accounts submitted and audit in progress Accounts not submitted Accounts not submitted	2020 2021 2022 2022	Non-compliance with IPSAS 4, Valuation of Property, Plant and Equipment, Inter-fund account balances, IPSAS 10 Accounts submitted and audit in progress Accounts not submitted Account not submitted	-	-	2019	Adverse
10	Bindura Municipality	2022	Adverse due to IPSAS 18, IPSAS 17, Cash and cash equivalents, water bill, IPSAS 29,	2022 2023	Accounts submitted and audit in progress Accounts not submitted	2020	Qualified due to non-compliance with IPSAS 4 and exclusion of nostro bank balance from	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2023 2024	IPSAS 12 and IPSAS 16 Adverse due to IPSAS 45, IPSAS 18, IPSAS12 and Cash and cash equivalents Accounts not submitted			2021	cash and cash equivalents. Adverse due to non-compliance with IPSAS 4, IPSAS 17 and unreconciled variances on Property, plant and equipment, Cash, Revenue and payroll.		
11	Chegutu Municipality	2023 2024	Qualified due to non-compliance to IPSAS 45, IPSAS 16, IPSAS 41, opening balance, donation, inventories, supporting documentation Accounts not submitted	2022 2023	Non-compliance with IPSAS 17, IPSAS 1, Accounting for joint arrangement ,18 Segment Reporting and IPSAS 23 Accounts not submitted	2021	Adverse due to non-compliance with IPSAS 4, investment in joint ventures, inventories, IPSAS 17, cash and bank balances, and unreconciled variances on payables.	-	-
12	Chinhoyi Municipality	2023 2024	Adverse due to non-compliance with IPSAS 45, IPSAS 21 and shop licensing income.	2021 2022	Adverse due to IPSAS 35, IPSAS 21, IPSAS 17, Business licence Adverse due to IPSAS 21, IPSAS 16, IPSAS 17 and revenue	2020	Qualified due to non-compliance with IPSAS 4	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
			Accounts not submitted	2023	Accounts not submitted				
13	Chitungwiza Municipality	2021 2022 2023 2024	Qualified due to IPSAS 10 and payables Qualified due to non-compliance with IPSAS 17 Accounts not submitted Accounts not submitted	2020 2022 2021 2023	Disclaimer due to non-compliance with IPSAS 4, IPSAS 3, IPSAS 10, IPSAS 17, accounts payables, revenue, cash and bank balances and inventory Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts not submitted	2019	Adverse due to non-compliance with IPSAS 4, IPSAS 17, revenue, inventory and unreconciled variances on payables.	-	-
14	Gwanda Municipality	2022 2023 2024	Adverse due to IAS 16, IAS 36, IFRS 9, IAS 29. Adverse due to IAS 16, Payroll, IAS 40 and VAT Accounts not submitted	2020 2021 2022	Adverse due to non-compliance with IAS 21, IAS 8, exchange rates used in current year. Qualified due to opening balances, exchange rates used in the current year and property, plant and equipment.	-	-	2016 2017 2018	Qualified due to trade receivables Qualified due to trade receivables, Qualified due to trade receivables Adverse due to non-compliance

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
				2023	Accounts submitted and audit in progress Accounts not submitted			2019	with IAS 21 and IAS 8
15	Kariba Municipality	2022 2023 2024	Adverse due to non - compliance with IPSA 4, IPSAS 17, unsupported expenditure, inventory, IPSA 9, payables, cash and cash and inter funds. Adverse due to non - compliance with IPSA 47, IPSAS 45, expenditure, IPSAS 1, IPSAS 18 Accounts not submitted	2021 2022 2023	Qualified due to Non-compliance with IPSAS 9 IPSAS 17, Receivables, Payables, Cash, expenditure, journal entries Accounts submitted and audit in progress Accounts not submitted	2020	Adverse due to non-compliance with IPSAS 4, IPSAS 9, IPSAS 17, unsupported expenditure, payables, cash and cash equivalents and journal entries.	-	-
16	Marondera Municipality	2022	Adverse due to non-compliance with IPSAS 1, IPSAS 21, IPSAS 23, IPSAS 3,	2021	Adverse Opinion due to non-compliance with IPSAS 1, IPSAS 18 Segment Reporting, IPSAS 21 Impairment of Non-	-	-	2019 2020	Adverse due to non-compliance with IPSAS 4, date of change in

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
			investments and investment property 2023 Adverse due to non-compliance with IPSAS 1, IPSAS 18, IPSAS 45, IPSAS 21, Investment is shares and investment property 2024 Accounts submitted and audit in progress		Cash Generating asset IPSAS 23 Revenue from Non-Exchange Transactions, IPSAS 4 The Effects of Changes in Foreign Exchange Rates, Investment in shares, IPSAS 16 Investment Property 2022 Accounts submitted and audit in progress 2023 Accounts not submitted				functional currency Qualified due to `non-compliance with IPSAS 4 opening balances translated at an inappropriate exchange rate
17	Redcliff Municipality	2023 2024	Qualified due to IPSAS 21, 45 and 47 Accounts submitted and audit in progress	2022 2023	Qualified due to non-Compliance with International Accounting Standard IAS 16 Property, Plant and Equipment Accounts submitted and audit in progress	2021	Qualified due to non-compliance with IPSAS 17 property, plant and equipment.	2020	Adverse due to noncompliance with IPSAS 4 on opening balances, valuation of property, plant and equipment.
	TOWN COUNCILS								
18	Chipinge Town Council	2022	Adverse due to non-compliance with IPSAS 4, IPSAS 17, IPSAS 27, IPSAS 23 and IPSAS 1	2021	Adverse due to non-compliance with IPSAS 4, IPSAS 17, biological assets and IPSAS 23	2020	Qualified due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 17, inventories, revenue,	2018	Adverse due to non-compliance with IPSAS 4 the effects of changes in

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2023 2024	Adverse due to non-compliance with IPSAS 1, IPSAS 18, IPSAS 17, IPSAS 27, Donations and investment property Accounts not submitted	2022 2023	Accounts submitted and audit in progress Accounts not submitted		expenditure and payables.	2019	foreign exchange rate and Property plant and equipment Adverse due to non-compliance with IPSAS 4 and property, plant and equipment.
19	Chiredzi Town Council	2021 2022 2023	IPSAS 4, Receivables, Payables, Revenue, Property, plant and equipment, Cash and cash, Expenditure Adverse due to non-compliance with IPSAS 4, receivables, Payables, IPSAS 23, Cash Adverse due to non-compliance with IPSAS 47, IPSAS 18 IPSAS 9, IPSAS 45, payables, expenditure, inventory and cash	2020 2021 2022 2023	Adverse Opinion due to non - compliance with IPSAS 4, IPSAS 10, Receivables, Revenue, Unsupported expenditure, Property, plant and equipment, Payroll, Cash Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts not submitted	2019	Adverse due non-compliance with IPSAS 4, IPSAS 10, IPSAS 17, IPSAS 12, revenue and expenditure, payables.	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2024	Accounts not submitted						
20	Gokwe Town Council	2023 2024	Accounts submitted and audit in progress Accounts not yet submitted	2022 2023	Adverse due to non - compliance with foreign exchange gain, Revenue, Compensation of employees, Unsupported expenditure, IPSAS 17 Property, Plant and Equipment, Payables, IPSAS 12 Inventories Accounts not submitted	2019 2020	Adverse due non-compliance with IPSAS 4, IPSAS 12 inventories, expenditure not supported and absence of a register and investment property. Adverse due non-compliance with IPSAS 4, property, plant and equipment, revenue, receivables, inventories, expenditure, net assets and investment property. Adverse due to expenditure not supported, property, plant and equipment, revenue, inventory	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
							and investment property.		
						2021			
21	Karoi Town Council	2021 2022 2023 2024	Adverse due to non - compliance with IPSAS 17, inventories, IPSAS 1 and IPSAS 18 Qualified due to non-compliance with IPSAS 1, IPSAS 18, IPSAS 17, IPSAS 23 Accounts not submitted Accounts not submitted	2020 2021 2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 17, IPSAS 12, IPSAS 18 and IPSAS 9 Accounts submitted and audit in progress Accounts not submitted Accounts not submitted	2019	Adverse due to non-compliance with IPSAS 4, IPSAS 17 and unallocated deposits.	2018	Adverse due to non-compliance with IPSAS 4
22	Mvurwi Town Council	2022 2023 2024	Adverse due to IPSAS 41, receivables, IPSAS 4, IPSAS 3 and Revenue Accounts submitted and audit in progress	2021 2022 2023	Adverse due to non-compliance with IPSAS 4, business licence, beer levy and receivables Accounts not submitted audit in progress Accounts not submitted	2019 2020	Adverse due to non-compliance with IPSAS 4, IPSAS 10 and value added tax. Adverse due to non-compliance with IPSAS 4, IPSAS 10, revenue, statutory obligation and	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
			Accounts not submitted				property, plant and equipment		
23	Norton Town Council	2023 2024	Qualified due to IAS 16, IFRS 9 Accounts submitted and audit in progress	2022 2023	Adverse due to non-compliance with IAS 16, IAS 21, IAS 29, IFRS 9 Accounts not submitted	2021	Adverse due to non-compliance with IAS 21 and IAS 16 property, plant and equipment	2020	Adverse due to non-compliance with IAS 21 and property, plant and equipment valuation,
24	Plumtree Town Council	2023 2024	Adverse due to IPSAS 47, suspense, IPSAS 18, expenditure IPSAS 21 and property, plant and equipment. Accounts not yet submitted	2022 2023	Adverse due to non-compliance with IPSAS 9, suspense account, value added tax Accounts submitted and audit in progress	2020 2021	Adverse due to non-compliance with IPSAS 9, IPSAS 16 Adverse due to non-compliance with IPSAS 9 revenue, suspense account	2019	Adverse due to non-compliance with IPSAS 4, receivables, suspense account, revenue stands sales, revenue completeness, occurrence and accuracy of system billed revenue.
25	Rusape Town Council	2022 2023	Qualified due to non-compliance with IPSAS 10, IPSAS 16 and 17 Accounts not yet submitted	2021 2022	Qualified due to non-compliance with IPASA 4, IPSAS 3, IPSAS 10, IPSAS 17 and IPSAS 16 Accounts submitted and audit in progress	-	-	2020	Qualified

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2024	Accounts not yet submitted	2023	Accounts not submitted				
26	Shurugwi Town Council	2023 2024	Adverse due to non-compliance with IPSAS 10, IPSAS 45, expenditure, employment costs Accounts not yet submitted	2022 2023	Adverse due to Non-compliance with IPSAS 10, IPSAS 9 and IPSAS 23 Revenue Accounts not submitted	2021	Adverse due to non-compliance with IPSAS 10, revenue, Land, payroll, expenditure, revenue, payroll and cash.	2020	Adverse due to non-compliance with IPSAS 10, revenue, payroll, expenditure, property, plant and equipment and cash and cash equivalents.
27	Zvishavane Town Council	2023 2024	Adverse due to non-compliance with IPSAS 47, receivables, expenditure, payables, IPSAS 1 and IPSAS 18, IPSAS 45 Accounts not yet submitted	2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 9- Revenue from Exchange Transactions and IPSAS 23, Inventory, IPSAS 1, IPSAS 18 Accounts submitted and audit in progress	2020 2021	Adverse due to non-compliance with IPSAS 10, IPSAS 3 Adverse due to non-compliance with IPSAS 4, IPSAS 10, inventory, property, plant and equipment	-	-
	LOCAL BOARDS								
28	Chirundu Local Board	2022 2023	Qualified due to non-compliance with IPSAS 4, IPSAS 17 and revenue	2021 2022	Adverse due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 17 and IPSAS 29	-	-	2019	Adverse

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2024	Accounts submitted and audit in progress Accounts not submitted	2023	Accounts submitted and audit in progress Accounts not submitted				
29	Epworth Local Board	2022 2023 2024	Adverse due to non-compliance with IAS 21, IAS 29, IFRS 15, IAS 16 and IAS 20 Accounts not yet submitted Accounts not yet submitted	2021 2022 2023	Adverse due to non-compliance with IAS 21, IAS 29 and IAS 16 Accounts submitted and audit in progress Accounts not submitted	-	-	-	-
30	Hwange Local Board	2020 2021 2022	Adverse due to IPSAS 1, IPSAS 18, Suspense account, IPSAS 4, IPSAS 23 and IPSAS 17 Adverse due to non-compliance with IPSAS 1, IPSAS 18 and IPSAS 17 Adverse due to non-compliance with	2019 2020 2021	Disclaimer due to non-compliance with IPSAS 4, IPSAS 10, cash and bank balances, expenditure, payables, property, plant and equipment, receivables and revenue. Accounts submitted and audit in progress Accounts not submitted	2017 2018	Disclaimer due to property, plant equipment, cash and cash, receivables, payables revenue and expenses Cash, receivable, property, plant and equipment and inventory	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
			IPSAS 1, IPSAS 18 and IPSAS 17	2022	Accounts not submitted				
		2023	Accounts not submitted	2023	Accounts not submitted				
		2024	Accounts not submitted						
31	Lupane Local Board	2022	Qualified due to non-compliance with IPSAS 41 and IPSAS 17	2020	Disclaimer due to non-compliance with IPSAS 23, Revenue, Completeness of deferred income, impairment of receivables, Completeness and property, plant and equipment	-	-	-	-
		2023	Adverse due to non-compliance IPSAS 45, IPSAS 16, opening balances	2021	Disclaimer due to non-compliance with IPSAS 17 Completeness, accuracy and existence of payable receivables				
		2024	Accounts not submitted	2022	Accounts submitted and audit in progress				
				2023	Accounts not submitted				

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
32	Ruwa Local Board	2022 2023 2024	Qualified due to non-compliance with IPSAS 23, IPSAS 1 and IPSAS 18 Qualified due to non-compliance with IPSAS 23, IPSAS 1 and IPSAS 18 Accounts submitted and audit in progress	2022 2023	Accounts submitted and audit in progress Accounts submitted and audit in progress	2021	Unmodified	-	-
	RURAL DISTRICT COUNCIL								
33	Beitbridge Rural District Council	2022 2023 2024	Adverse due to non-compliance with IAS 16, 21, 40 and IFRS 9 Accounts not submitted Accounts not submitted	2021 2022 2023	Adverse due to non-compliance with IPSAS 4, IAS 16, revenue and receivables and IFRS 9 Accounts not submitted Accounts not submitted	2020	Adverse due to non-compliance with IAS 21, IAS 16, asset register, revenue and receivables	-	-
34	Bikita Rural District Council	2023	Adverse due to non-compliance with IPSAS 10, IPSAS 41, IPSAS 21, IPSAS 45	2022 2023	Adverse due to IPSAS 10 Accounts not submitted	-	-	2020	Adverse

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2024	and Hanyanya investment Accounts not submitted						
35	Bindura Rural District Council	2023 2024	Qualified due to non-compliance with IPSAS 45 and IPSAS 47 revenue Accounts not submitted	2022 2023	Qualified due to non-compliance with IPSAS 17, IPSAS 9, IPSAS 23, IPSAS 12 Accounts not submitted	2021	Qualified due to non-compliance with IPSAS 17 property, plant and equipment	2020	Adverse due to opening balances translated at an inappropriate exchange rate, valuation of property, plant and equipment and allowance for credit losses
36	Binga Rural District Council	2023 2024	Qualified due to non-compliance with IPSA 16 Property, plant and equipment Accounts not submitted	2022 2023	Qualified due to non-compliance with IAS 21, completeness of receivables Accounts not submitted	2021	Qualified due to non-compliance with IAS 21	2020	Adverse due to non-compliance with IAS 21 on opening balances and property, plant and equipment valuation.
37	Bubi	2022 2023	Adverse due to IPSAS 10, IPSAS 17, inventories, IPSAS 18 and IPSAS 29	2020 2021	Adverse due to IPSAS 4, IPSAS 10, IPSAS 17 and IPSAS 12	2018	Adverse due to IPSAS 4, expenditure, inventories, cash and cash equivalents, payables	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2024	Qualified due to IPSAS 17, and receivables Accounts not submitted	2022 2023	Adverse due to IPSAS 4, IPSAS 10, IPSAS 17 and IPSA 12 inventory Accounts not submitted Accounts not submitted	2019	Adverse due to IPSAS 4, revenue from exchange transactions, expenditure, payable, payroll, revenue		
38	Buhera Rural District Council	2023 2024	Qualified due to IPSAS 23, IPSAS 41 and IPSAS 31. Qualified due to non-compliance with IPSAS 41, 21, 47 and 12	2022 2023	Qualified due to recognition of revenue, Non-compliance with IFRS 9, IAS 16 Accounts submitted and audit in progress	2021	Qualified due non-compliance with IAS 8 and IAS 21, IAS 29, property, plant and equipment	2020	Adverse due to non-compliance with IAS 21 on opening balances, valuation of property, plant and equipment, cash and cash equivalents and unreconciled receivable balances.
39	Bulilima Rural District Council	2022 2023 2024	Qualified due to IFRS 9 and IAS 16 Accounts submitted audit in progress Accounts not submitted	2021 2022 2023	Adverse due to Non-compliance with IAS 21, IAS 16 and IAS 36 Accounts submitted and audit in progress Accounts not submitted	2020	Adverse due non-compliance with IAS 41, IAS 8, IAS 21 and IAS 29	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
40	Chaminuka Rural District Council	2023 2024	Qualified due to IPSAS 45 Accounts submitted audit in progress	2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 3, IPSAS 17, IPSAS 1 Accounts not submitted	2021	Adverse due to non-compliance with IPSAS 4 and IPSAS 17.	2020	Adverse
41	Chegutu Rural District Council	2023 2024	Qualified due to IPSAS 45, IPSAS 41 Accounts not submitted			-	-	2020	Adverse
42	Chikomba Rural District Council	2023 2024	Qualified due to non-compliance with IAS 16, IAS 2 Accounts not submitted	2022 2023	Qualified due to non-Compliance with IAS 16 Accounts not submitted	2021	Adverse due non-compliance with IAS 8, IAS 21 and IAS 29	2020	Adverse
43	Chipinge Rural District Council	2023 2024	Adverse due to IPSAS 4, IPSAS 45, IPSAS 16, IPSAS 47 and IPSAS 41 Accounts not submitted	2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 17, IPSAS 16. Accounts not submitted	2018 2019	Adverse due to non-compliance with IPSAS 4, IPSAS 17, IPSAS 12, revenue, net assets. Adverse due to non-compliance with IPSAS 4, IPSAS 17, IPSAS 12, revenue, unsupported amount	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
						2020	in statement of net assets. Adverse due to non-compliance with IPSAS 4, IPSAS 17, IPSAS 12, revenue, unsupported amount in statement of net assets. Adverse due to non-compliance with IPSAS 4, IPSAS 17		
44	Chimanimani Rural District Council	2023 2024	Qualified due to IPSAS 45 and Allowance for credit losses Accounts not submitted	2022 2023	Adverse due to non-compliance with IAS 21, revenue Accounts not submitted	2021	Adverse due to non-compliance with IAS 21, IFRS 15, IAS 16, IAS 2, biological assets, inventories		
45	Chiredzi Rural District Council	2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 10 and property, plant and equipment Adverse due to non-compliance with IPSAS 4, IPSAS 10	2021 2022	Adverse due to non-compliance with IPSAS 4, land and buildings and IPSAS 29 financial instrument Accounts submitted and audit in progress Accounts not submitted	2020	Adverse due to non-compliance with IPSAS 4, IPSAS 17 and IPSAS 41	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
			and property, plant and equipment, IPSAS 23	2023					
		2024	Accounts submitted and audit in progress						
46	Chirumanzu Rural District Council	2021	Adverse due to non-compliance with IAS 21, IAS 29, IAS 16, IAS 10, IFRS 9	2021	Accounts submitted and audit in progress	2020	Qualified due non-compliance with IAS 8 and IAS 21, property, plant and equipment, impairment	-	-
		2022	Qualified due to non-compliance with IAS 16, IAS 36 and IFRS 9	2022	Accounts not submitted				
		2023	Accounts submitted and audit in progress	2023	Accounts not submitted				
		2024	Accounts not submitted						
47	Chivi Rural District Council	2023	Qualified due to non-compliance with IFRS 9	2022	Adverse due to non-compliance with IAS 21, IAS 8, Property, Plant and Equipment, Revenue, IFRS 9 Financial Instruments	-	-	-	-
		2024	Accounts submitted and audit in progress	2023	Accounts not submited				

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
48	Gokwe North District Council	2023 2024	Qualified due to non-compliance with IAS 16 and completeness of revenue Accounts submitted and audit in progress	2022 2023	Adverse due to IAs 21, IAS 16, incompleteness of revenue Accounts not submitted	2021	Qualified due to non-compliance with IAS 21, receivables and IAS 16	2020	Adverse
49	Gokwe South District Council	2023 2024	Adverse due to non-compliance with IPSAS 45, IPSAS 41, IPSAS 16 and IPSAS 18 Accounts submitted and audit in progress	2022 2023	Adverse due to non-compliance with IAS 21, IAS 8, IAS 16, IFRS 9 Accounts not submitted	2021	Adverse due non-compliance with IAS 8, IAS 21, IAS 16, IAS 36, IAS 29 and IFRS 9	2020	Qualified
50	Goromonzi Rural District Council	2023 2024	Unmodified Accounts submitted and audit in progress	2022 2023	Unmodified Accounts submitted and audit in progress	2021	Qualified due to non-compliance with IPSAS 17	2020	Adverse due to non-compliance with IAS 16 and IAS 21
51	Guruve Rural District Council	2022	Adverse due to non-compliance with IAS 16, IFRS 8, IFRS 15 and IAS 37	2020 2021	Adverse due to non-compliance with IAS 21, IAS 8, IAS 29 and IFRS 13			-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2023 2024	Accounts submitted and audit in progress Accounts not submitted	 2023	Qualified due to non-compliance with IAS 16, IAS 36 and IFRS 9 Accounts not submitted				
52	Gutu Rural District Council	2023 2024	Qualified due to non-compliance with IPSAS 4, IPSAS 45, IPSAS 12 and IPSAS 41 Accounts not submitted	2022 2023	Qualified due to IPSAS 4, IPSAS 17 Property, Plant and Equipment, IPSAS 12 IPSAS 23, IPSAS 41 - "Financial Instruments, IPSAS 10 Accounts not submitted	-	-	-	-
53	Gwanda Rural District Council	2022 2023 2024	Qualified due to IAS 16, IAS 36, IFRS 9 and IAS 29 Adverse due to non-compliance with IPSAS 16, Value Added Tax, receivables, Payroll and Investment property Accounts not submitted	2021 2022 2023	Qualified due to non-compliance with IPSAS 4 and IPSAS 17 Accounts submitted and audit in progress Accounts not submitted	-	-	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
54	Hurungwe Rural District Council	2023 2024	Accounts submitted and audit in progress Accounts not submitted	2022 2023	Qualified due to non-compliance with IPSAS 21-Impairment, IPSAS 12 Inventories Accounts not submitted	-	-	2020	Adverse due to non-compliance with IPSAS 4, IPSAS 17 and IPSAS 27 biological assets valuation
55	Hwange Rural District Council	2019 2020 2021 2022 2023	Disclaimer due to IPSAS 10, revenue, expenditure, Cash, expenditure, Receivables, payables Disclaimer due to non-compliance with revenue, expenditure, cash, capital expenditure, receivables, payables Accounts submitted and audit in progress Accounts submitted and Audit in progress Accounts submitted and audit in progress	2019 2020 2021 2022 2023	Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts not submitted	2017 2018	Qualified due to non-compliance with IPSAS 17, payables, expenses. Adverse due to non-compliance with IPSAS 17, cash and bank, revenue, payables, expenditure	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2024	Accounts not submitted						
56	Hwedza Rural District Council	2023 2024	Qualified due to IAS 21, IAS 16 and IFRS 9 Accounts submitted and audit in progress	2022 2023	Qualified due to non-compliance with IAS 21 Accounts not submitted	2021	Qualified due to non-compliance with IAS 21 effects of changes in foreign exchange rates.	-	-
57	Insiza Rural District Council	2022 2023 2024	Qualified due to non-compliance with IPSAS 16, IPSAS 41, IPSAS 40, IPSAS 9 and IPSAS 8 Qualified due to non-compliance with IPSAS 16, IPSAS 41, IPSAS 40, IPSAS 9 and IPSAS 8 Accounts not submitted	2020 2021 2022 2023	Adverse due to non-compliance with IAS 21, IAS 8 and property plant and equipment Qualified due to non-compliance with IAS 21, IAS 8, opening balances Accounts submitted and audit in progress Accounts not submitted	2019	Adverse due to non-compliance with IAS 21, IAS 16, IFRS 16, biological assets and intangible assets	2020	Qualified opinion
58	Kusile Rural District Council	2020	Disclaimer due to IPSAS 4, IPSAS 10, IPSAS 17, Payables, Cash and cash, IPSAS	2019	Disclaimer due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 10, payables, revenue, cash and	2018	Disclaimer due to non-compliance with IPSAS 4, IPSAS 17, revenue from non-	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
			23, Unsupported expenditure and inventories		bank, receivables, employment cost and inventories		exchange transactions, cash and cash equivalents, receivables, inventories, unsupported payables and expenditure		
		2021	Adverse due to IPSAS 17, Suspense Account balance, Receivables, IPSAS 10, IPSAS 29 and IPSAS 20	2020	Accounts not submitted				
				2021	Accounts not submitted				
				2022	Accounts not submitted				
		2022	Adverse due to IPSAS 17, Suspense account, receivables, IPSAS 10 and IPSAS 29	2023	Accounts not submitted				
		2023	Adverse due to IPSAS 45, Suspense account, Receivables, IPSAS 10, IPSAS 41, IPSAS 20						
		2024	Accounts submitted and audit in progress						
59	Makonde Rural District Council	2021	Qualified due to non-compliance with	2020	Disclaimer due to opening balances, IPSAS 10, IPSAS 3.	-	-	2016	Disclaimer due to non-compliance with IPSAS 17,

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
			IPSAS 17 and IPSAS 10 Qualified due to non-compliance with IPSAS 17 and IPSAS 10 Accounts submitted and audit in progress Accounts not submitted	2021 2022 2023	Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts not submitted			2017	unsupported payables, revenue expenditure, cash and bank receivables, inventory, employment costs and segment reporting Disclaimer due to non-compliance with IPSAS 17, unsupported payables, revenue expenditure, cash and bank receivables, inventory, employment costs
60	Makoni Rural District Council	2023 2024	Qualified due to non-compliance with IAS 16 and IAS 2	2022 2023	Qualified due to non-compliance with IAS 16 Accounts not submitted	2021	Adverse due to non-compliance with IAS 21 and IAS 29	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
			Accounts submitted and audit in progress						
61	Mangwe Rural District Council	2021 2022 2023 2024	Qualified due to non-compliance with IPSAS 23, IPSAS 17, IPSAS 29. Qualified due to IPSAS 29, IPSAS 1 and IPSAS 23 Accounts submitted and audit in progress Accounts not submitted	2020 2021 2022 2023	Adverse due to non-compliance with IAS 21, IAS 8, IAS 29, IFRS 9, IFRS 13, IAS 40 Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts not submitted	2019	Adverse due to non-compliance with IAS 8, IAS 21, IAS 29, property, plant and equipment, IAS 40, IFRS 9 and IAS 41	-	-
62	Manyame Rural District Council	2023 2024	Qualified due to non-compliance with IAS 21 and IAS 16 Accounts not yet submitted	2022 2023	Adverse due to non-compliance with IAS 21, IAS 29, IAS 16 Accounts not submitted	2021	Qualified due to non-compliance with IAS 21	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
63	Marondera Rural District Council	2023 2024	Unmodified Accounts not submitted	2022 2023	Unmodified Accounts not submitted	2021	Qualified due to non-compliance with IPSAS 17 property, plant and equipment	2020	Qualified due to non-compliance with IAS 21
64	Masvingo Rural District Council	2023 2024	Qualified due to IAS 21, mining levy, IFRS 9, Valuation of assets, IAS 16, IAS 40 Accounts submitted and audit in progress	2022 2023	Adverse due to non-compliance with IAS 21, IAS 29, revenue and trade receivables, IFRS 9, IAS 20, valuation of property plant and equipment, revaluation of land and buildings, depreciation of buildings Accounts submitted audit in progress	-	-	2020	Adverse due to non-compliance with IPSAS 4, prior period adjustments and unexplained balances on cashflows
65	Matobo Rural District Council	2023 2024	Adverse due to non-compliance with IPSAS 17, IPSAS 16, receivables and payables Accounts not submitted	2022 2023	Adverse due to non-compliance with IPSAS 4 Accounts submitted audit in progress	2021	Adverse due to non-compliance with IPSAS 4 and IPSAS 17 property, plant and equipment	2020	Adverse due to non-compliance with IAS 21, valuation of property, plant and equipment, depreciation and inventory
66	Mazowe Rural District Council	2023	Adverse due to non-compliance with IPSAS 17, IPSAS 29, IPSAS 21, IPSAS 12 and opening balance	2022 2023	Adverse due to non-compliance with IPSAS 17 and revenue Accounts not submitted	2020	Adverse due to non-compliance with IAS 21, IAS 16, revenue, stands and unreconciled inter fund balances.	2018 2019	Adverse due to non-compliance with IPSAS 4, investment property and

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2024	Accounts not submitted			2021	Disclaimer due to non-compliance with IPSAS 16, revenue, stand register	2020	suspense account. Adverse due to non-compliance with IPSAS 4 on opening balances Adverse due to non-compliance with IPSAS 4 Effects of foreign exchange rates.
67	Mberengwa Rural District Council	2022 2023 2024	Qualified due to non-compliance with IPSAS 17 and IPSAS 41 Qualified due to non-compliance with IPSAS 45, IPSAS 41 valuation of receivables Accounts not submitted	2021 2022 2023	Adverse due to prior year balances, revenue, receivables Accounts not submitted Accounts not submitted	-	-	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
68	Mbire Rural District Council	2023 2024	Qualified due to non-compliance with IFRS 9, IFRS 15, Valued Added Tax and unsupported journal Accounts not submitted	2021 2022 2023	Qualified due to non-compliance in IFRS 9, unsupported journal entries. Qualified due to non-compliance with IAS 21, IFRS 9, Billing and IFRS 15 Accounts not submitted	2019 2020	Adverse due incomplete records following system crash, non-compliance with IAS 8, IAS 16, IAS 29 Qualified due non-compliance with IAS 21, IAS 8, IFRS 9, lease income	2020	Adverse
69	Mhondoro-Ngezi Rural District Council	2022 2023 2024	Adverse due to non-compliance with IPSAS17, IPSAS12, IPSAS 27, Expenditure, IPSAS 9, IPSAS 1 and IPSAS 18 Accounts submitted and audit in progress Accounts not yet submitted	2020 2021 2022 2023	Adverse due to IPSAS 4, IPSAS 3, IPSAS 17, IPSAS 12, IPSAS 27, expenditure and revenue Adverse due to IPSAS 4, IPSAS 17, IPSAS 12, IPSAS 27 and Expenditure, Revenue, Cash Accounts submitted and audit in progress Accounts not submitted	-	-	-	-
70	Mudzi Rural District Council	2022	Adverse due to non-compliance with IAS 16, IAS 36, IAS 40,	2020	Adverse due to non-compliance with IAS 21, IAS 8, IFRS 9, property, plant and equipment and payables	-	-	2019	Adverse due to non-compliance with IPSAS 4 Effects of foreign

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2023 2024	IFRS 9, IFRS 8 and IFRS 29 Adverse due to non-compliance with IPSAS 41, IPSAS 18, IPSAS 10, IPSAS 45 and open balances Accounts not yet submitted	2021 2022 2023	Adverse due to non-compliance with IAS 16, IFRS 9, receivables and payables, IAS 36 Adverse due to non-compliance with IAS 16, IFRS 9, receivables and payables, IAS 36 Accounts submitted and audit in progress Accounts not submitted				exchange rates, property, plant and equipment, land stock and Agriculture
71	Murewa Rural District Council	2023 2024	Qualified due to non-compliance with billboards revenue Accounts not yet submitted	2022 2023	Qualified due to IPSAS 17, Conceptual framework, IPSAS 35, IPSAS 16 Accounts not submitted	2021	Qualified due to non-compliance with IPSAS 17	-	-
72	Mutare Rural District Council	2023 2024	Qualified due to non-compliance with IPSAS 12, IPSAS 17, IPSAS 16, IPSAS 31 and IPSAS 41	2022 2023	Qualified due to non-compliance with IPSAS 9, IPSAS 17, IPSAS 31, IPSAS 29 Accounts submitted and audit in progress	2020	Adverse due non-compliance with IPSAS 3, IPSAS 4, IPSAS 10, IPSAS 13, IPSAS 17 and IPSAS 23	2020	Adverse

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
			Accounts submitted and audit in progress						
73	Mutasa Rural District Council	2023 2024	Adverse due to unallocated receipts, IPSAS 4, IPSAS 41 and payroll Accounts not submitted	2022 2023	Adverse due to unallocated receipts, non-compliance with IAS 16, IFRS 9, cash and cash Accounts submitted and audit in progress	2020 2021	Adverse due non-compliance with IAS 21, IAS 16, IAS 29 and IFRS 9 Disclaimer due unverified year end journals, foreign currency receipts, non-compliance with IAS 16, IFRS 13, cash and cash equivalents and allowances for credit losses	2019	Adverse due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 13 Leases, IPSAS 17, unallocated receipts, unverified beer levy, cash and cash and eco-cash
74	Mutoko Rural District Council	2023 2024	Qualified due to non-compliance with IAS 2, conceptual framework Accounts not submitted	2022 2023	Adverse opinion due to non-compliance with IAS 21, inventories and beer levy Accounts submitted and audit in progress	-	-	-	-
75	Muzarabani Rural District Council	2023 2024	Qualified due to non-compliance with IPSAS 45, IPSAS 12	2021	Adverse due to non-compliance with IPSAS 4, stand re-possessions. Qualified due to IPSAS 4 and IPSAS 10	-	-	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
			Accounts submitted and audit in progress	2022 2023	Qualified due to IPSAS 4 and IPSAS 10 Accounts not submitted				
76	Mwenezi Rural District Council	2021 2022 2023 2024	Adverse due to non-compliance with IPSAS 4, IPSAS 3, IPSAS 17, IPSAS 9 and IPSAS12 Adverse due to non-compliance with IPSAS 17, IPSAS 9 and IPSAS 23, IPSAS 29 and Payables Qualified due to non-compliance with IPSAS 45, IPSAS 41 Accounts submitted and audit in progress	2020 2021 2022 2023	Adverse due to on-compliance with IPSAS 4, Receivables, Donations, Payables, Non-exchange receivables, Inventories, Cash and cash equivalents Accounts submitted and audit in progress Accounts not submitted Accounts not submitted	-	-	2019	Adverse due to non-compliance with IPSAS 4, opening balances
77	Nkayi Rural District Council	2023 2024	Adverse due to completeness of revenue, IAS 16 Accounts not yet submitted	2022 2023	Qualified due to completeness of revenue Accounts not submitted	2021	Adverse due to IAS 21, IFRS 13, IAS 16	2019	Adverse due to non-compliance with IPSAS 4, stand sales revenue and

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
									mobile money balance.
78	Nyaminyami Rural District Council	2021 2022 2023 2024	Adverse due to non-compliance with IPSAS 10, IPSAS17, IPSAS 21, IPSAS 16, Accumulated fund and IPSAS18 Adverse due to non-compliance with IPSAS17, IPSAS 23, unreconciled inter fund, unsupported expenditure and IPSAS 18. Adverse due to IPSAS 17, IPSAS 23, Inter-funds, Unsupported expenditure and IPSAS 18 and Inventories Accounts not yet submitted	2020 2021 2022 2023	Disclaimer due to non-compliance to IPSAS 4, IPSAS 3, IPSAS 10, adjustments in the statement of changes in equity, IPSAS 17, inventory, revenue, expenditure not supported, compensation of employees, provision and contingencies Accounts submitted and audit in progress Accounts not submitted Accounts not submitted	2016 2017 2018	Adverse due to non-compliance with IPSAS 17, land stock, employment cost, revenue, payables, expenditure, and IPSAS 9 Adverse due to non-compliance with IPSAS 17, land stock and inventory employment cost, revenue, payables, expenditure Disclaimer due to non-compliance with IPSAS 4 IPSAS 17, IPSAS 9, land stock and inventory, employment costs, revenue, payables and cash Disclaimer due to non-compliance with	2015	Qualified due to non-compliance with IPSAS 4 Effects of foreign exchange rates and property, plant and equipment

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
						2019	IPSAS 4, IPSAS 10, net assets, IPSAS 17, IPSAS 9, land stock inventory, employment benefits, payables, receivables, expenditure, cash segment reporting		
79	Nyanga Rural District Council	2022 2023 2024	Qualified due to IPSAS 17, conceptual framework, beer levy, foreign exchange gains, inter-funds and IPSAS 29. Accounts submitted and audit in progress Accounts not submitted	2021 2022 2023	Adverse with non-compliance with IPSAS 17, IPSAS 23, Inter-funds, 12 Inventories Accounts submitted and audit in progress Accounts not submitted	2019 2020	Adverse due to non-compliance with IPSAS 4, IPSAS 17, inventories, revenue and inter funds. Adverse due to non-compliance with IPSAS 4, IPSAS 17, inventories, revenue from mining claims and inter funds.	-	-
80	Pfura Rural District Council	2022 2023 2024	Accounts submitted and audit in progress Accounts not submitted	2021 2022	Adverse due to non-compliance with IPSAS 29, IPSAS 4, IPSAS 17, IPSAS 21 Accounts submitted and audit in progress	2020	Adverse due to non-compliance with IPSAS 4, IPSAS 12 and IPSAS 17	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
			Accounts not submitted	2023	Accounts not submitted				
81	Runde Rural District Council	2023 2024	Qualified due to non-compliance with IAS 16, IAS 2 and revenue Accounts submitted and audit in progress	2022 2023	Adverse due to Stands inventory and incompleteness of revenue Accounts not submitted	-	-	2019	Adverse
82	Rushinga Rural District Council	2023 2024	Adverse due to non-compliance with IPSAS 33, IPSAS 41 and IPSAS 12 Accounts not submitted	2022 2023	Qualified due to non-compliance with IAS 37 Provisions, Contingent Liabilities and Contingent Assets and IAS 1 Presentation of Financial Statement, IAS 16 Property, Plant and Equipment Accounts not submitted	2020 2021	Adverse due to non-compliance with IAS 21, IAS 29, IAS 16, receivables, IFRS 9, revenue, opening balances. Qualified due to non-compliance with IAS 16, unverified journal entries, IFRS 9	2020	Adverse due to valuation of property plant and equipment, unsupported transactions, non-compliance with IPSAS 29 and IPSAS 21.
83	Sanyati Rural District Council	2023	Qualified due to non-compliance with IPSAS 45, IPSAS 21 and IPSAS 41	2022	Qualified Opinion due to non-compliance with IPSAS 17 Property, Plant and Equipment and IPSAS 21 Impairment of Non-Cash Generating Assets,	2020	Adverse due to non-compliance with IPSAS 4 and IPSAS 17	2019	Adverse due to non-compliance with IPSAS 4 Effects of foreign exchange rates.

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2024	Accounts submitted and audit in progress		IPSAS 1and IPSAS 18 Segment Reporting	2021	Qualified due to non-compliance with IPSAS 17		
				2023	Accounts not submitted				
84	Tongogara Rural District Council	2022	Qualified opinion due to non-compliance with IPSAS 26, IPSAS 16.	2021	Qualified due to non-compliance with IPSAS 4, unsupported expenditure, unsubstantiated receivables	2020	Qualified due to non-compliance with IPSAS 4 and unsupported expenditure.	-	-
		2023	Qualified opinion due to non-compliance with IPSAS 17, accumulated fund, IPSAS 18 and IPSAS 26	2022	Accounts not submitted				
				2023	Accounts not submitted				
		2024	Accounts not submitted						
85	Tsholotsho Rural District Council	2021	Adverse due to non-compliance with IAS 21, IAS 16, IAS 40, IFRS 9 and cash	2020	Adverse due to non-compliance with IAS 21, IAS 16, IAS 40, IFRS 9 and cash	2019	Adverse due to non-compliance with IAS 21, IAS 16, IAS 40, IFRS 9 and cash on hand	-	-
		2022	Adverse due to non-compliance with IFRS 15, cash on hand, IAS 21, IFRS 16, IAS 40, IFRS 9	2021	Accounts submitted audit in progress				
				2022	Accounts not submitted				
		2023		2023	Accounts not submitted				

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
			Qualified due to non-compliance with IFRS 9 2024 Accounts submitted and audit in progress						
86	Umguza Rural District Council	2021 2022 2023 2024	Adverse due to IPSAS 10, IPSAS 4, IPSAS 17, IPSAS 16, Temporary deposits, IPSAS 29 and IPSAS 12 Adverse due to IPSAS 4, IPSAS 17, IPSAS 16, IPSAS 12 and IPSAS 29 Accounts submitted and audit in progress Accounts submitted and audit in progress	2020 2021 2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 10, property, plant and equipment, beer levy, stand sales, lease income inventory, payroll, expenditure not supported and cash and bank Accounts submitted and audit in progress Accounts not submitted Accounts not submitted	2019	Adverse due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 17, unsupported expenditure and revenue.	-	-
87	UMP (Zvataida) Rural District Council	2023	Adverse due to non-compliance with IAS 21, IFRS 9 IAS 16	2022	Qualified due to non-compliance with IAS 21, IAS 8, IAS 16	2021	Adverse	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2024	Accounts not yet submitted						
88	Umzingwane Rural District Council	2022 2023 2024	Adverse due to non-compliance with IPSAS 29 and IPSAS 16 Adverse due to non-compliance with IPSAS 4, 12 and 41 Accounts not submitted	2021	Adverse due to non-compliance with International Accounting Standard (IAS) 29 – "Financial Reporting in Hyperinflationary Economies"	2020	Adverse	-	-
89	Vungu Rural District Council	2020 2021 2022	Adverse due to non-compliance with IAS 21, ias 16, revenue and receivables and Payables Adverse due to valuation of Property, plant and equipment, IAS 2 and IFRS 9 Adverse due to non-compliance with IAS 21, IAS 40, IAS 16, IAS 2, IFRS 15 and IFRS 9	2020 2021 2022 2023	Accounts submitted and audit in progress Accounts not submitted Accounts not submitted Accounts not submitted	-	-	-	-

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2023 2024	Accounts submitted and audit in progress Accounts not submitted						
90	Zaka Rural District Council	2022 2023 2024	Adverse due to IPSAS 4, IPSAS 17 and IPSAS 12 Accounts not submitted Accounts not submitted	2021 2022 2023	Adverse due to non-compliance with International Public Sector Accounting Standard IPSAS 4 and IPSAS 17 “Property, Plant and Equipment” Accounts not submitted Accounts not submitted	-	-	-	-
91	Zibagwe Rural District Council	2021	Qualified due to non-compliance with IPSAS 9, IPSAS 16 and IPSAS 41	2020	Qualified due to non-compliance with IPSAS 3	-	-	2018	Adverse due to non-compliance with IPSAS 4

	ANNEXURE "A" LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY								
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2024 AG Report		**FY 2023 AG Report**		**2022 AG Report**		**2021 AG Report**	
		2022 2023 2024	Qualified due to non-compliance with IPSAS 9, IPSAS 16 and IPSAS 41 Qualified due to non-compliance with IPSAS 21 and IPSAS 41 Accounts submitted audit in progress	2021 2022 2023	Qualified due to revenue from beer levy Accounts submitted and audit in progress Accounts not submitted Accounts not submitted			2019 2020	Adverse due to non-compliance with IPSAS 4 Adverse due to non-compliance with IPSAS 4
92	Zvimba Rural District Council	2023 2024	Qualified due to non-compliance with IPSAS 45, IPSAS 16 and IPSAS 12 Accounts not submitted	2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 29 Financial instruments, Incomplete asset register, Beer Levy, Donations Accounts not submitted	2021	Adverse	-	-

ANNEXURE "B" AUDITS IN PROGRESS AND BEING FINALISED

AUDITS IN PROGRESS AND BEING FINALISED		
	LOCAL AUTHORITY	**YEAR**
	CITY COUNCILS	
1.	Bulawayo City Council	2022
2.	Harare City Council	2022 and 2023
3.	Kwekwe City Council	2023 and 2024
4.	Mutare City Council	2024
5.	Victoria Falls City Council	2024
	MUNICIPAL COUNCILS	
6.	Beitbridge Municipality	2022
7.	Chitungwiza Municipality	2023 and 2024
8.	Marondera Municipality	2024
	TOWN COUNCILS	
9.	Gokwe Town Council	2023
10.	Mvurwi Town Council	2023
11.	Norton Town Council	2024
	LOCAL BOARDS	
12.	Chirundu Local Board	2023
13.	Ruwa Local Board	2024
	RURAL DISTRICT COUNCIL	
14.	Bulilima Rural District Council	2023
15.	Chaminuka Rural District Council	2024
16.	Chiredzi Rural District Council	2024
17.	Chirumanzu Rural District Council	2023
18.	Chivi Rural District Council	2024
19.	Gokwe North Rural District Council	2024

AUDITS IN PROGRESS AND BEING FINALISED		
	LOCAL AUTHORITY	**YEAR**
20.	Gokwe South Rural District Council	2024
21.	Goromonzi Rural District Council	2024
22.	Guruve Rural District Council	2023
23.	Hurungwe Rural District Council	2023
24.	Hwange Rural District Council	2021, 2022 and 2023
25.	Hwedza Rural District Council	2024
26.	Kusile Rural District Council	2024
27.	Makonde Rural District Council	2023
28.	Makoni Rural District Council	2024
29.	Mangwe Rural District Council	2023
30.	Masvingo Rural District Council	2024
31.	Mhondoro-Ngezi Rural District Council	2023
32.	Mutare Rural District Council	2024
33.	Muzarabani Rural District Council	2024
34.	Mwenezi Rural District Council	2024
35.	Nyanga Rural District Council	2023
36.	Pfura Rural District Council	2022
37.	Runde Rural District Council	2024
38.	Sanyati Rural District Council	2024
39.	Tsholotsho Rural District Council	2024
40.	Umguza Rural District Council	2023 and 2024
41.	Vungu Rural District Council	2023
42.	Zibagwe Rural District Council	2024

ANNEXURE "C" AUDITS AT SIGNING STAGE

AUDITS AT SIGNING		
	LOCAL AUTHORITY	**YEAR AT SIGNING**
	CITY COUNCILS	
1.	Harare City Council	2021
2.	Masvingo City Council	2023
3.	Kadoma City Council	2023
	MUNICIPAL COUNCIL	
4.	Redcliff Municipality	2023
	LOCAL BOARD	
5.	Hwange Local Board	2022
	RURAL DISTRICT COUNCIL	
6.	Buhera Rural District Council	2024
7.	Gutu Rural District Council	2023
8.	Kusile Rural District Council	2021, 2022 and 2023

ANNEXURE "D" ACCOUNTS NOT SUBMITTED FOR AUDIT AS AT MAY 31, 2025

ACCOUNTS NOT YET SUBMITTED FOR AUDIT AS AT MAY 31, 2025		
	LOCAL AUTHORITY	**Year**
	CITY COUNCILS	
1.	Bulawayo City Council	2023 and 2024
2.	Harare City Council	2024
3.	Gweru City Council	2024
4.	Kadoma City Council	2024
5.	Masvingo City Council	2024
	MUNICIPAL COUNCILS	
6.	Beitbridge Municipality	2023 and 2024
7.	Bindura Municipality	2024
8.	Chegutu Municipality	2024
9.	Chinhoyi Municipality	2024
10.	Gwanda Municipality	2024
11.	Kariba Municipality	2024
12.	Redcliff Municipality	2024
	TOWN COUNCILS	
13.	Chipinge Town Council	2024
14.	Chiredzi Town Council	2024
15.	Gokwe Town Council	2024
16.	Karoi Town Council	2023 and 2024
17.	Mvurwi Town Council	2024
18.	Shurugwi Town Council	2024
19.	Zvishavane Town Council	2024
20.	Plumtree Town council	2024

ACCOUNTS NOT YET SUBMITTED FOR AUDIT AS AT MAY 31, 2025		
	LOCAL AUTHORITY	**YEAR**
21.	Rusape Town Council	2023 and 2024
	LOCAL BOARDS	
22.	Chirundu Local Board	2024
23.	Epworth Local Board	2023 and 2024
24.	Hwange Local Board	2023 and 2024
25.	Lupane Local Board	2024
	RURAL DISTRICT COUNCIL	
26.	Beitbridge Rural District Council	2023 and 2024
27.	Bikita Rural District Council	2024
28.	Bindura Rural District Council	2024
29.	Binga Rural District Council	2024
30.	Bubi Rural District Council	2024
31.	Bulilima Rural District Council	2024
32.	Chegutu Rural District Council	2024
33.	Chikomba Rural District Council	2024
34.	Chimanimani Rural District Council	2024
35.	Chipinge Rural District Council	2024
36.	Chirumanzu Rural District Council	2024
37.	Guruve Rural District Council	2024
38.	Gutu Rural District Council	2024
39.	Gwanda Rural District Council	2024
40.	Hurungwe Rural District Council	2024
41.	Hwange Rural District Council	2024
42.	Insiza Rural District Council	2024

ACCOUNTS NOT YET SUBMITTED FOR AUDIT AS AT MAY 31, 2025		
	LOCAL AUTHORITY	**YEAR**
43.	Makonde Rural District Council	2024
44.	Mangwe Rural District Council	2024
45.	Manyame Rural District Council	2024
46.	Marondera Rural District Council	2024
47.	Matobo Rural District Council	2024
48.	Mazowe Rural District Council	2024
49.	Mberengwa Rural District Council	2024
50.	Mbire Rural District Council	2024
51.	Mhondoro-Ngezi Rural District Council	2024
52.	Mudzi Rural District Council	2024
53.	Murewa Rural District Council	2024
54.	Mutasa Rural District Council	2024
55.	Mutoko Rural District Council	2024
56.	Nkayi Rural District Council	2024
57.	Nyaminyami Rural District Council	2024
58.	Nyanga Rural District Council	2024
59.	Pfura Rural District Council	2023 and 2024
60.	Rushinga Rural District Council	2024
61.	Tongogara Rural District Council	2024
62.	UMP (Zvataida) Rural District Council	2024
63.	Umzingwane Rural District Council	2024
64.	Vungu Rural District Council	2024
65.	Zaka Rural District Council	2023 and 2024
66.	Zvimba Rural District Council	2024

ANNEXURE "E" SUBMISSION OF FINANCIAL STATEMENTS STATUS 2018-2024

Key
√ - The financial statements have been submitted and the entity is up to date.
× - The financial statements have not been submitted and the entity is in arrears for the years indicated in Annexure D

	SUBMISSION OF FINANCIAL STATEMENTS STATUS FOR THE YEAR ENDED DECEMBER 31,							
	LOCAL AUTHORITY	**2024**	**2023**	**2022**	**2021**	**2020**	**2019**	**2018**
	CITY COUNCILS							
1	Bulawayo City Council	×	×	√	√	√	√	√
2	Harare City Council	×	√	√	√	√	√	√
3	Gweru City Council	×	√	√	√	√	√	√
4	Kadoma City Council	×	√	√	√	√	√	√
5	Kwekwe City Council	√	√	√	√	√	√	√
6	Masvingo City Council	×	√	√	√	√	√	√
7	Mutare City Council	√	√	√	√	√	√	√
8	Victoria Falls City Council	√	√	√	√	√	√	√
	MUNICIPAL COUNCILS							
9	Beitbridge Municipality	×	×	√	√	√	√	√
10	Bindura Municipality	×	√	√	√	√	√	√
11	Chegutu Municipality	×	√	√	√	√	√	√
12	Chinhoyi Municipality	×	√	√	√	√	√	√
13	Chitungwiza Municipality	√	√	√	√	√	√	√
14	Gwanda Municipality	×	√	√	√	√	√	√
15	Kariba Municipality	×	√	√	√	√	√	√
16	Marondera Municipality	√	√	√	√	√	√	√
17	Redcliff Municipality	×	√	√	√	√	√	√
	TOWN COUNCILS							
18	Chipinge Town Council	×	√	√	√	√	√	√
19	Chiredzi Town Council	×	√	√	√	√	√	√
20	Gokwe Town Council	×	√	√	√	√	√	√
21	Karoi Town Council	×	×	√	√	√	√	√
22	Mvurwi Town Council	×	√	√	√	√	√	√
23	Shurugwi Town Council	×	√	√	√	√	√	√
24	Zvishavane Town Council	×	√	√	√	√	√	√
25	Plumtree Town Council	×	√	√	√	√	√	√
26	Rusape Town Council	×	×	√	√	√	√	√
27	Norton Town Council	√	√	√	√	√	√	√
	LOCAL BOARDS							
28	Chirundu Local Board	×	√	√	√	√	√	√
29	Epworth Local Board	×	×	√	√	√	√	√
30	Hwange Local Board	×	×	√	√	√	√	√
31	Lupane Local Board	×	√	√	√	√	√	√
32	Ruwa Local Board	√	√	√	√	√	√	√

	ANNEXURE "E" SUBMISSION OF FINANCIAL STATEMENTS STATUS OF LOCAL AUTHORITIES FOR THE YEAR ENDED DECEMBER 31							
	LOCAL AUTHORITY	**2024**	**2023**	**2022**	**2021**	**2020**	**2019**	**2018**
	RURAL DISTRICT COUNCIL							
33	Beitbridge Rural District Council	×	×	√	√	√	√	√
34	Bikita Rural District Council	×	√	√	√	√	√	√
35	Bindura Rural District Council	×	√	√	√	√	√	√
36	Binga Rural District Council	×	√	√	√	√	√	√
37	Bubi Rural District Council	×	√	√	√	√	√	√
38	Buhera Rural District Council	√	√	√	√	√	√	√
39	Bulilima Rural District Council	×	√	√	√	√	√	√
40	Chaminuka Rural District Council	√	√	√	√	√	√	√
41	Chegutu Rural District Council	×	√	√	√	√	√	√
42	Chikomba Rural District Council	×	√	√	√	√	√	√
43	Chimanimani Rural District Council	×	√	√	√	√	√	√
44	Chipinge Rural District Council	×	√	√	√	√	√	√
45	Chiredzi Rural District Council	√	√	√	√	√	√	√
46	Chirumanzi Rural District Council	×	√	√	√	√	√	√
47	Chivi Rural District Council	√	√	√	√	√	√	√
48	Gokwe North Rural District Council	√	√	√	√	√	√	√
49	Gokwe South Rural District Council	√	√	√	√	√	√	√
50	Goromonzi Rural District Council	√	√	√	√	√	√	√
51	Guruve Rural District Council	×	√	√	√	√	√	√
52	Gutu Rural District Council	×	√	√	√	√	√	√
53	Gwanda Rural District Council	×	√	√	√	√	√	√
54	Hurungwe Rural District Council	×	√	√	√	√	√	√
55	Hwange Rural District Council	×	√	√	√	√	√	√
56	Hwedza Rural District Council	√	√	√	√	√	√	√
57	Insiza Rural District Council	×	√	√	√	√	√	√
58	Kusile Rural District Council	√	√	√	√	√	√	√
59	Makonde Rural District Council	×	√	√	√	√	√	√
60	Makoni Rural District Council	√	√	√	√	√	√	√
61	Mangwe Rural District Council	×	√	√	√	√	√	√
62	Manyame Rural District Council	×	√	√	√	√	√	√
63	Marondera Rural District Council	×	√	√	√	√	√	√
64	Masvingo Rural District Council	√	√	√	√	√	√	√
65	Matobo Rural District Council	×	√	√	√	√	√	√
66	Mazowe Rural District Council	×	√	√	√	√	√	√
67	Mberengwa Rural District Council	×	√	√	√	√	√	√
68	Mbire Rural District Council	×	√	√	√	√	√	√
69	Mhondoro-Ngezi Rural District Council	×	√	√	√	√	√	√
70	Mudzi Rural District Council	×	√	√	√	√	√	√

71	Murewa Rural District Council	×	√	√	√	√	√	√
72	Mutare Rural District Council	√	√	√	√	√	√	√
	ANNEXURE "E" SUBMISSION OF FINANCIAL STATEMENTS STATUS F LOCAL AUTHORITIES FOR THE YEAR ENDED DECEMBER 31							
	LOCAL AUTHORITY		**2023**	**2022**	**2021**	**2020**	**2019**	**2018**
73	Mutasa Rural District Council	×	√	√	√	√	√	√
74	Mutoko Rural District Council	×	√	√	√	√	√	√
75	Muzarabani Rural District Council	√	√	√	√	√	√	√
76	Mwenezi Rural District Council	√	√	√	√	√	√	√
77	Nkayi Rural District Council	×	√	√	√	√	√	√
78	Nyaminyami Rural District Council	×	√	√	√	√	√	√
79	Nyanga Rural District Council	×	√	√	√	√	√	√
80	Pfura Rural District Council	×	×	√	√	√	√	√
81	Runde Rural District Council	×	√	√	√	√	√	√
82	Rushinga Rural District Council	√	√	√	√	√	√	√
83	Sanyati Rural District Council	√	√	√	√	√	√	√
84	Tongogara Rural District Council	×	√	√	√	√	√	√
85	Tsholotsho Rural District Council	√	√	√	√	√	√	√
86	Umguza Rural District Council	√	√	√	√	√	√	√
87	UMP (Zvataida) Rural District Council	×	√	√	√	√	√	√
88	Umzingwane Rural District Council	×	√	√	√	√	√	√
89	Vungu Rural District Council	×	√	√	√	√	√	√
90	Zaka Rural District Council	×	×	√	√	√	√	√
91	Zibagwe Rural District Council	√	√	√	√	√	√	√
92	Zvimba Rural District Council	×	√	√	√	√	√	√

ANNEXURE "G" UNDELIVERED GOODS AND SERVICES MAY 31, 2025

Local Authority	Description of goods	Quantity	Date of Payment	ZWG Amount	US$ Amount
Kwekwe City Council	Ambulance	1			63 891
Masvingo City Council	Pick-up truck, new starter for a fire tender and repair of a dozer	3	March 2022	15.43 million	
Masvingo City Council	545* 200 litres bitumen	545	January 2016		137 713
Bindura Municipality	Front-end loader	1	December 2018		90 850
Shurugwi Town Council	Generator	1	January 2022	7 million	65 000
Bulilima Rural District Council	Cement	430 bags	May 2022	3.5 million	4732
Chipinge Rural District Council	backhoe and front-end loader	2	June 2019	675 970	103 308
Goromonzi Rural District Council	New T35 engine	1	January 2023	6.4 million	
Murehwa Rural District Council	Quarry stones	$20m^3$ of 20mm quarry stones,	July 2021	189 000	
Mwenezi Rural District Council	Toyota Hilux double cab	1	May 2018		67 750
Gweru City Council	Overpayment for a backhoe loader	1	July 2021		19 000
Buhera Rural District Council	CAT 140 G model motorised grader	1	February 2023		122 000
Karoi Town Council	Refuse truck	1	May 2018		109 000